# Federal Comment Letter Program: the 27 letters

Tokenization Systems (Zach Zukowski). Filed April 10, 2026 to November 4, 2026. Compiled November 5, 2026. 335 pages. Index, outcomes and the recommendation table: https://tokenization.systems/letters/


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A letter marked text only was filed as comment-box text with no attachment; its text is on its page at https://tokenization.systems/letters/.

Each letter follows in filing order; the PDF outline carries one bookmark per letter. The international standard-setter response (FSB, July 1, 2026) is a distinct series and is not included.

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April 10, 2026

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Submitted via regulations.gov, Docket OCC-2025-0372

Re: Comment on RIN 1557-AF41, Docket OCC-2025-0372-0001, Implementing the GENIUS Act for Stablecoin Issuance by Entities Subject to OCC Jurisdiction

Dear Office of Chief Counsel:

**I. The Problem This Comment Addresses**

In July 2025, Binance began letting institutional traders post Circle's USYC, a tokenized money market fund, as collateral for derivatives trades. In November, Binance added BlackRock's BUIDL. In February 2026, it added Franklin Templeton's BENJI. All three instruments are yield-bearing, priced at net asset value, and held through the same custodian (Ceffu). The exchange's margin framework treats them comparably: same eligibility category, same custody arrangement, comparable collateral ratios applied to their NAV.

These three instruments are not the same.

BENJI is a U.S. mutual fund registered under the Investment Company Act of 1940. If Franklin Templeton fails, the fund's assets are segregated by statute. Holders have a statutory claim. The fund has a board of directors, SEC oversight, and prospectus-governed change control. Its portfolio is restricted to U.S. government securities. It is available to U.S. investors.

BUIDL is a BVI limited partnership administered by Securitize, a SEC-registered broker-dealer and digital transfer agent. It has no 1940 Act registration. Holders have a contractual claim under BVI law. Redemption routes primarily through Circle's USDC facility (established April 2024), meaning BUIDL holders trying to exit during a USDC stress event are redeeming into the very instrument that is depegging. Securitize also processes direct redemptions for qualified investors at a $250,000 minimum. The subscription pathway was expanded in October 2024 through a Zero Hash integration that enables USDC-to-USD conversion for purchasing BUIDL shares, but the redemption pathway remains USDC-dependent for most holders.

USYC represents shares in the Hashnote International Short Duration Yield Fund Ltd., a Cayman Islands mutual fund licensed by the Cayman Islands Monetary Authority. The token is issued by Circle International Bermuda Limited, regulated by the Bermuda Monetary Authority. USYC is explicitly unavailable to U.S. persons under Regulation S of the Securities Act of 1933. It subscribes and redeems exclusively in USDC, not USD. Despite being the largest tokenized Treasury product in the world ($2.2 billion as of March 2026), it operates entirely outside the U.S. regulatory perimeter.

A counterparty on the other side of a collateralized trade on Binance cannot see which of these three instruments backs the position. The counterparty bears the risk profile of whichever instrument the collateral poster chose. If that instrument's redemption pathway is impaired under stress, the collateral

cannot be liquidated at its reported NAV, the exchange marks the collateral down, the resulting margin shortfall triggers a call the counterparty may not be able to meet, and forced liquidation at a discount depresses the price for every other pool holding the same instrument. The counterparty absorbs a loss they did not choose, could not observe, and were not compensated for: no yield premium, no risk disclosure, and no contractual right to specify which collateral instrument backs their position.

The proposed rule regulates permitted payment stablecoin issuers. It does not regulate tokenized fund shares. It does not regulate the collateral frameworks that pool these instruments together. No current or proposed federal regulation addresses this boundary. This comment letter identifies what the proposed rule gets right, where it could be strengthened, and what remains unaddressed.

I have applied a ten-category diagnostic framework (the Minimum Viable Equivalence Pack, or MVEP) to nine tokenized financial products, including the three instruments described above plus USDC, USDT, OUSG, USDG, PYUSD, DAI, and the JPMorgan deposit token (JPMD). The full analysis is attached as an exhibit. The findings below are drawn from that analysis.

## II. What the Proposed Rule Gets Right

**Reserve composition.** The proposed rule requires PPSI reserves to consist of cash, demand deposits, and short-term U.S. Treasury obligations held at federally insured institutions. This is the single most important provision in the rule because it breaks a chain that currently propagates failure across products.

Here is how that chain works. BUIDL redeems through USDC. OUSG (Ondo Finance) holds 99.5% of its portfolio in BUIDL, so OUSG also redeems through USDC. DAI (MakerDAO) swaps to USDC through its Peg Stability Module.

When Silicon Valley Bank failed in March 2023, Circle held $3.3 billion at SVB. USDC depegged to $0.88. The cascade did not stop at USDC. A Federal Reserve staff analysis documents that Dai's Peg Stability Module, designed to stabilize Dai's price, instead "created a direct channel of contagion from USDC to Dai," and that the contagion then propagated through Dai's additional PSMs to USDP (which depegged to $0.91, with over half its total supply withdrawn) and GUSD (which depegged to $0.96), stablecoins that had zero direct exposure to SVB. A single bank failure in Santa Clara cascaded through at least five tokenized products because all of them depended, directly or through intermediary PSMs, on the same cash settlement asset.

The depeg resolved within 48 hours only because the FDIC invoked the systemic risk exception to backstop all SVB depositors, including Circle's $3.3 billion. Even after the intervention, Circle's cash reserves at U.S. financial institutions fell from $11.5 billion on March 6 to $3.7 billion on March 31: the FDIC backstop stopped the depeg but did not prevent a $7.8 billion net outflow over the following three weeks.

The proposed rule's reserve composition requirement prevents this for PPSIs by requiring their reserves to terminate at federally supervised assets rather than at other tokenized instruments. This is a substantive improvement and should be preserved in the final rule.

**Extension of federal supervision.** The nine-product analysis produces a clear pattern: products governed by established federal regulatory frameworks (banking law for JPMD, the 1940 Act for BENJI) produce measurably better holder-protection outcomes than products governed by state money services business frameworks or no coherent framework at all. JPMD and BENJI satisfy the core

requirements of every diagnostic category. For example, JPMD holders have FDIC insurance up to $250,000 and a statutory priority claim in insolvency; USDC holders have neither. BENJI's assets are segregated from Franklin Templeton's estate by statute; BUIDL's assets are governed by a BVI contractual arrangement.

The only diagnostic dimension on which JPMD and BENJI do not produce stronger holder-protection outcomes than the stablecoin products is the Article 12 take-free defect. Under UCC Article 12, a good-faith buyer of a tokenized instrument should acquire clean title even if a prior holder was a thief. But the statute requires the buyer to qualify through a "voluntary transaction creating an interest in property," and a thief cannot create an interest in property, so the protection fails when it matters most. This defect breaks the good-faith-purchaser protection for all tokenized instruments regardless of regulatory regime: it is a defect in the legal infrastructure, not in any individual product's design. On every other dimension (insolvency protection, redemption enforceability, settlement finality, reserve segregation, governance, monitoring), the bank deposit token and the 1940 Act fund deliver measurably stronger protections than any stablecoin in the sample.

This is not surprising. Banking law and the 1940 Act were designed to protect depositors and fund investors. State MSB law was designed to regulate wire transfer operators: firms like Western Union and MoneyGram that hold customer funds transiently while a transfer clears, typically for hours or days. The capital requirements reflect this transient model. Under the Money Transmission Modernization Act (adopted by 31 states covering 99% of money transmission activity), the minimum tangible net worth for a money transmitter holding $40 billion in customer funds is approximately $216 million, or 0.54% of total assets. A bank holding $40 billion in deposits would be required to maintain approximately $4.8 billion in CET1 capital, or 12%. The gap is approximately 22 to 1.

But stablecoin issuers are not wire transfer operators. They hold customer funds permanently. Tether has $185 billion in circulation; Circle has $75 billion. These are not transient balances being wired somewhere; they are monetary liabilities that holders treat as cash and hold indefinitely. When Circle disclosed $3.3 billion in exposure to Silicon Valley Bank, that exposure was approximately 15 times the MTMA capital minimum for an issuer of Circle's size. The Federal Reserve's own analysis notes that Circle's total stockholders' equity as of December 2023 was $0.34 billion, "representing just over a tenth of the $3.3 billion reserves held at SVB," and that "[w]ithout a public guarantee on the uninsured deposits at SVB, Circle faced the possibility of a significant shortfall." The capital framework would not have absorbed the loss.

And MSB capital requirements lack everything else banks have: no stress testing, no deposit insurance fund, no resolution framework, no FDIC backstop. The GENIUS Act retrofits holder protections onto instruments that operated for years under this framework. The proposed rule extends federal supervision to PPSI issuers that currently lack it, which moves stablecoin products closer to the protection levels that JPMD and BENJI already achieve. This is the right direction.

Odinet and Tosato, who have conducted the most detailed study of Tether's and Circle's contractual frameworks, independently identify the same structural problems: asymmetrical terms of service that insulate issuers from liability, ambiguous customer rights in the underlying digital assets, redemption that operates as a revocable privilege rather than an enforceable right, and perilous standing for holders in issuer bankruptcy. For example, Tether's terms of service disclaim liability across seventeen enumerated categories, reserve the right to modify, suspend, or terminate services without notice at sole discretion, and characterize redemption simultaneously as a "revocable, limited licence" and a

"contractual right personal to the customer." Only 882 verified Tether accounts and 1,834 Circle accounts have direct redemption rights; the remaining millions of holders must exit through secondary-market intermediaries.

Odinet and Tosato also find that straightforward private ordering solutions exist (expanded contractual privity, rebalanced terms, proprietary rights in reserves via UCC Article 8 securities accounts) but that no major issuer has adopted them. The proposed rule's extension of federal supervision addresses through regulation what the market has failed to provide through private ordering.

**Differentiation among PPSI categories.** The proposed rule distinguishes Federal qualified PPSIs, State qualified PPSIs (with joint OCC-state supervision above $10 billion), and IDI subsidiaries. This differentiation is consistent with the analysis: the nine products separate into three regulatory tiers (Tier 1: federal banking law and the 1940 Act, covering JPMD and BENJI; Tier 2: regulated stablecoins under the GENIUS Act and state MSB frameworks, covering USDC, PYUSD, and USDG; Tier 3: unregulated or decentralized, covering USDT and DAI), and the boundaries between those tiers correspond to the boundaries between the proposed rule's PPSI categories.

## III. Three Ways the Proposed Rule Could Be Strengthened

### A. Require PPSIs to Disclose Known Legal Defects in Their Holder-Rights Foundation

There is a documented defect in the legal foundation of every tokenized instrument operating under UCC Article 12. Professors Frisch and Dalrymple identified it in 2024. Here is what it means in practice:

Suppose a hacker steals USDC tokens and sells them to an innocent buyer on a decentralized exchange. Under Article 12 of the Uniform Commercial Code, the buyer should be protected by the "take-free" rule, which is designed to let good-faith purchasers acquire clean title. But the take-free rule requires the buyer to be a "qualifying purchaser," and a qualifying purchaser must acquire the token through a "voluntary transaction creating an interest in property." A thief cannot create an interest in property. So the innocent buyer does not qualify, and the take-free protection fails.

The Article 12 Reporter was notified of this defect in April 2022 and declined to fix it because doing so would expose the same defect in UCC Article 8, which governs securities. The defect is documented, acknowledged, and intentionally unrepaired. No stablecoin issuer currently discloses it to holders.

Separately, the GENIUS Act defines payment stablecoins by the issuer's obligation to redeem but does not specify whether that obligation runs to the owner of the token or to the person who controls it. If a token is in a custodial wallet, does the custodian have redemption rights, or the beneficial owner? The Act is silent.

**Recommendation:** Require PPSIs to publish a documented analysis of holder rights under applicable commercial law, specifically addressing the Article 12 qualifying-purchaser defect and the GENIUS Act owner-versus-controller ambiguity, together with any compensating measures the PPSI has implemented (insurance, make-whole commitments, holder recovery procedures).

### B. Coordinate Across Federal Regulators on the Collateral Eligibility Boundary

The problem described in Section I (three instruments from three regulatory regimes receiving comparable collateral treatment) exists now and is growing. Deribit and Crypto.com also accept BUIDL as collateral. The tokenized Treasury market reached $11 billion in March 2026, up from

approximately $1 billion in early 2024. Multiple institutional forecasts project tokenized real-world assets reaching $10 trillion by 2030. As more instruments enter collateral frameworks, the risk of undifferentiated pooling increases.

The proposed rule regulates PPSIs. The SEC regulates 1940 Act funds. Banking law regulates deposits. The CFTC regulates derivatives. No regulator currently has jurisdiction over the boundary where these instruments are combined in the same collateral pool. Each regulator supervises the instruments within its perimeter. Nobody supervises the seam where they are combined.

This is the structural analog to the pre-crisis problem in structured finance. Before 2008, rating methodologies treated mortgage-backed instruments with different credit profiles as equivalent within the same tranche. The categorization methodology did not differentiate, and neither did the market participants who relied on it. The mechanism here is the same: a risk categorization methodology (the collateral eligibility framework) treats instruments with different failure modes and recovery profiles as equivalent. The scale is not comparable; the stablecoin market is approximately $250 billion versus the pre-crisis MBS market's $11 trillion. But the mechanism is operating now, the tokenized Treasury market is growing at approximately 500% annually, and the regulatory gap that permits undifferentiated pooling is the same gap that the proposed rule leaves open.

**Recommendation:** The OCC should coordinate with the SEC, Federal Reserve, FDIC, FinCEN, and Treasury on the collateral eligibility boundary, potentially through a joint policy statement clarifying that tokenized instruments from different regulatory regimes should not receive equivalent collateral treatment without a standardized equivalence assessment.

### C. Adopt a Standardized Equivalence Assessment as a Supervisory Tool

The proposed rule defines what PPSI compliance looks like (reserve composition, capital, custody, redemption procedures). It does not provide a standardized method for evaluating whether a specific PPSI's payment stablecoin actually delivers the holder-rights profile that compliance is designed to ensure.

The MVEP framework is one implementation of such an assessment. It evaluates whether holders have enforceable redemption rights or merely a revocable privilege, whether reserves are segregated from the issuer's estate in bankruptcy, whether settlement is final under applicable commercial law, and whether the redemption pathway terminates at a federally supervised asset or at another tokenized instrument. Other comparable frameworks may also be suitable. The key requirement is that the framework produce reproducible assessments that distinguish instruments with different risk profiles, so that collateral framework operators, counterparties, and supervisors have a common measurement where none currently exists.

**Recommendation:** The OCC should adopt or reference a standardized assessment framework as a supervisory tool, incorporated in the final rule, in supervisory guidance, or developed jointly with stakeholders.

## IV. A Third Regulatory Alternative for Section IX

The OCC has analyzed two regulatory alternatives: a 2 percent issuance-based capital requirement and a 6-month operational backstop. Both address the quantitative capital provisions. Neither evaluates whether a PPSI's payment stablecoin actually delivers enforceable redemption rights, insolvency protection, or settlement finality to holders.

A third alternative: require PPSIs to publish and update a standardized equivalence assessment on a defined cadence (quarterly or semiannually), reviewed by OCC examiners during regular supervision. The OCC's RIA estimates the cost of the monthly reserve composition report at $3,144 per PPSI per year; a quarterly equivalence assessment would be a comparable order of magnitude, likely $5,000 to $15,000 annually. The benefit is a common analytical baseline that addresses the collateral interoperability problem and surfaces structural defects like the Article 12 qualifying-purchaser issue that the existing disclosure regime does not reach.

One additional consideration: the GENIUS Act grants stablecoin holders super-priority over all claims in issuer bankruptcy, including administrative expenses. Odinet and Tosato observe that this "risks creating administratively insolvent debtors" because the trustee cannot fund the proceeding when stablecoin holders' claims rank ahead of the trustee's fees. The result could make reorganization infeasible, trapping the holders the Act was designed to protect in a proceeding that cannot resolve. The OCC's implementing rules should address this tension, potentially by coordinating with the FDIC on resolution mechanics that preserve reorganization viability while maintaining holder priority.

## V. Specific Technical Comments

**On the NY State baseline.** The RIA uses NY DFS regulations as the baseline for non-OCC regulated bank PPSIs. None of the four stablecoin issuers in the nine-product sample (Circle/USDC, Tether/USDT, Paxos-managed USDG, PayPal/PYUSD) currently satisfies a rigorous holder-rights standard across all ten diagnostic dimensions, meaning the NY baseline likely produces a conservative compliance-cost estimate relative to a more representative pre-GENIUS Act baseline.

**On Treasury market effects.** USDC's holdings of U.S. Treasury securities as of March 2025 are nearly twice what they were in March 2023, according to the Federal Reserve's analysis of the SVB episode. A BIS working paper estimates that stablecoin outflows raise 3-month Treasury yields by two to three times as much as inflows lower them, an asymmetry that would amplify any future forced liquidation of stablecoin reserves during a banking crisis.

As institutional risk committees, prime brokers, and regulators recognize the recursive failure problem, demand for PPSI-quality reserves from non-PPSI tokenized instruments may grow, potentially exceeding the OCC's current estimates of the reserve demand effect on short-term Treasury yields.

**On the 1940 Act boundary.** BENJI (Franklin Templeton's FOBXX) achieves holder-protection outcomes comparable to JPMD through the 1940 Act rather than banking law. The OCC should consider whether some issuers may structure products under the 1940 Act as an alternative to PPSI licensing, and whether coordination with the SEC on this boundary would prevent regulatory arbitrage.

**On the IDI subsidiary boundary.** The disclosure regime for IDI subsidiary PPSIs should explicitly distinguish the PPSI's payment stablecoin from the parent IDI's tokenized deposit products (like JPMD) to prevent customer confusion. JPMorgan Chase could in principle establish a PPSI subsidiary while continuing to issue JPMD directly, creating a two-product scenario where the customer needs to understand which product they hold.

## VI. Conclusion

The proposed rule's reserve composition requirement breaks the recursive chain that propagated a single bank failure in Santa Clara through four tokenized products in March 2023. Its extension of

federal supervision begins to close the capital gap between the MSB frameworks that currently govern stablecoin issuers (where a $40 billion issuer's minimum capital is approximately $216 million) and the banking frameworks that govern the deposits those stablecoins claim to represent (where the same $40 billion would require approximately $4.8 billion in CET1 capital, plus stress testing, deposit insurance, and resolution planning). Its differentiation among PPSI categories reflects the genuine structural differences that the nine-product analysis identifies. These provisions are sound, they address real problems, and they should be preserved in the final rule.

But the proposed rule addresses the instruments within the OCC's perimeter. It does not address the boundary where those instruments are combined with instruments from other regulatory perimeters in the same collateral pools. Today, three tokenized Treasury products governed by three different regulatory regimes (U.S. mutual fund law, BVI partnership law, and Cayman/Bermuda offshore fund law) receive comparable collateral treatment on the same exchange, through the same custodian, and continues to do so as of the date of this comment, with no disclosure to the counterparty on the other side of the trade about which instrument backs their position. The tokenized Treasury market has grown from $1 billion to $11 billion in two years.

If the collateral eligibility boundary remains unregulated as this market scales, the concentration of heterogeneous monetary-instrument risk in undifferentiated collateral categories will grow with it. The OCC has the analytical foundation and the institutional credibility to lead the interagency coordination that this boundary requires. The three recommendations in this letter (holder-rights disclosure, interagency coordination on collateral eligibility, and a standardized equivalence assessment) are designed to be implementable within the proposed rule's existing structure, at marginal cost, and without changes to the quantitative capital and reserve provisions. The cost of inaction is that the regulatory gap at the collateral boundary persists, the market grows into it, and the next stress event propagates through the same undifferentiated pooling mechanism that the pre-crisis structured finance market demonstrated at much larger scale.

I appreciate the Office's consideration of these comments and would welcome the opportunity to discuss any of these findings with OCC staff. The full analysis is attached.

Respectfully submitted,

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**Exhibit:** MVEP v9 manuscript (https://papers.ssrn.com/sol3/papers.cfm?abstract_id=6363138; current draft attached)

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April 14, 2026

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Submitted via regulations.gov, Docket OCC-2025-0372

**Re:** Supplemental Comment on RIN 1557-AF41, Docket OCC-2025-0372-0001, Implementing the GENIUS Act for Stablecoin Issuance by Entities Subject to OCC Jurisdiction

Dear Office of Chief Counsel:

I write to supplement the comment letter I submitted to this docket on April 10, 2026. Today, on April 13, the Securities and Exchange Commission's Division of Trading and Markets issued a staff statement describing conditions under which certain user interface providers may facilitate crypto asset securities transactions without registering as broker-dealers. The statement intersects with the OCC's proposed rule in ways that warrant consideration before the final rule is adopted.

The SEC statement does not address payment stablecoins. It expressly excludes them: a Covered User Interface Provider that "holds, has access to, handles, manages, or possesses" user stablecoins falls outside the statement's scope. There is no direct conflict between the SEC statement and the OCC's proposed rule. The SEC statement articulates an interface-layer interpretive position for crypto asset securities, a comparatively narrow segment of the tokenized asset market. It has no counterpart for payment stablecoins, which are the dominant segment by transaction volume, holder count, and market capitalization. That asymmetry is the subject of this supplemental comment.

## I. What the SEC Statement Does

The SEC statement identifies a category of entity, the Covered User Interface Provider, that is operationally involved in preparing transactions in crypto asset securities but that, by meeting twelve specific conditions, is not treated as a broker-dealer under Section 15(a) of the Exchange Act.

The twelve conditions fall into three functional groups. Discretion constraints prohibit the provider from soliciting specific transactions, characterizing any execution pathway as offering the "best price" or as being the "most reliable," or exercising any control or discretion over market information or securities transactions. Objectivity requirements require that default parameters, trading venue selection, execution routing, and the

software preparing trading instructions all operate on pre-disclosed and objective parameters that are independently verifiable. Compensation must be based on objective factors, applied consistently, and "product, execution route, execution venue, and counterparty agnostic." Disclosure obligations require the provider to disclose nine categories of material facts, including non-registration status, fee calculation and structure, material conflicts of interest, cybersecurity controls, policies (if any) to protect against maximal extractable value strategies, and the parameters the interface's software uses to prepare trading instructions.

The statement is equally explicit about what disqualifies a provider from this treatment. A provider that negotiates transaction terms, solicits specific transactions, makes investment recommendations, arranges financing, processes trade documentation, conducts asset valuations, executes or settles transactions, or takes or routes orders does not qualify. A provider that holds, has access to, handles, manages, or possesses user funds, securities, or stablecoins also does not qualify. The stablecoin exclusion is explicit and categorical: handling stablecoins in any of these ways places a provider outside the statement entirely.

The statement is interpretive guidance, not a rule. The statement expressly provides that "this statement, like all staff statements, has no legal force or effect: it does not alter or amend applicable law, and it creates no new or additional obligations for any person." It will be considered withdrawn five years from April 13, 2026, absent intervening Commission action.

## II. The Structural Parallel to the Proposed Rule

The twelve conditions all point in the same direction. Taken together, they distinguish an entity that controls the transaction flow from an entity that merely facilitates it. The statement does not use "control layer" as a defined regulatory category, but it operationalizes the distinction I described in prior published work on the control layer in tokenized financial markets.[1] The provider must not exercise control or discretion over market information or securities transactions, must not use parameters that are not pre-disclosed and independently verifiable, and must charge compensation that is product, execution route, execution venue, and counterparty agnostic. Each constraint targets a different element of the control layer: discretionary judgment over market information, parameter selection, and economic incentive. The interface itself must not be the source of any judgment that shapes the user's transaction.

The OCC's proposed rule contains no equivalent interface-layer framework for stablecoins. It regulates permitted payment stablecoin issuers directly, which is the right regulatory target, but it does not reach the interfaces through which holders acquire, transfer, or redeem PPSI-issued stablecoins. A holder today can transact in a PPSI-issued stablecoin through an interface that exercises substantial discretion over routing, default parameters, execution venue, and fee structure, without any federal oversight of the interface's conduct. When the same interface also facilitates transactions in tokenized equity or debt securities, the asymmetry becomes concrete: the SEC statement imposes twelve conditions on the interface's conduct with respect to those securities, while its conduct with respect to the stablecoin remains entirely unconstrained.

This is not a conflict between regimes. It is a gap. The gap has two consequences the OCC should consider.

The protection gradient is inverted relative to usage. A user transacting in tokenized equity through a compliant Covered User Interface Provider is protected by nine mandatory disclosures, twelve conduct conditions, and a pre-disclosed objective parameter regime. The same user transacting in a PPSI-issued stablecoin through the same interface receives only the protections the issuer itself provides, which my original comment letter identified as structurally inadequate across multiple diagnostic categories (including insolvency posture and redemption enforceability). The more frequent activity, involving larger aggregate value and a larger holder population, is the less-protected activity.

The supervisory gradient runs in the wrong direction. Crypto asset securities are a narrow segment of the tokenized asset market. Payment stablecoins are the dominant segment by transaction volume, holder count, and market capitalization. Federal supervisory attention to the interface layer should scale with segment size. It scales inversely: the smaller segment has twelve-condition federal staff guidance, the larger segment has none.

Both gaps, the collateral interoperability gap identified in my original comment letter and the interface layer gap identified here, are symptoms of the same underlying mismatch: federal financial regulation is organized by instrument class, but tokenized finance combines instrument classes at the infrastructure layer. The recommendation below addresses the interface layer symptom through a mechanism that does not require rewriting the underlying architecture.

## III. Recommendation

The OCC should require permitted payment stablecoin issuers to exercise reasonable diligence over the interfaces through which their stablecoins are distributed. The diligence standard should include specific attention to whether those interfaces satisfy conduct conditions comparable to the SEC's twelve conditions, calibrated to the payment stablecoin context. This approach is consistent with the OCC's existing third-party risk management guidance and does not require new regulatory authority or interagency coordination.

Calibrated to stablecoins, those conduct standards would include:

- Allowing users to customize default parameters relevant to stablecoin transactions (transfer amounts, fee preferences, routing preferences);
- Using only pre-disclosed and objective parameters for routing and fee calculation;
- Selecting default counterparties and execution routes based on objective factors;
- Disclosing affiliations with stablecoin issuers, custodians, or other infrastructure providers;
- Disclosing fee calculation and structure;
- Disclosing material conflicts of interest;
- Disclosing policies to protect user trading information; and

• Disclosing the interface's integration with issuers, along with the policies for evaluating, onboarding, and auditing those issuers.

***A specific disclosure requirement: the underlying claim on the reserves***

One conduct standard warrants particular attention because it addresses the single largest holder-protection gap identified in the nine-product analysis attached to my original comment letter. The interface should be required to make available, at the point of transaction, three categories of information about the holder's relationship to the reserves backing the stablecoin: the nature of the legal claim, the composition of the reserves, and the location and custody of the reserves.

PPSIs should be required to publish this information in a standardized format, and interfaces should be required to display it to holders at any point at which the holder is acquiring, transferring, or redeeming the stablecoin. The substantive disclosure obligation belongs on the PPSI because the PPSI is the regulated party and the source of the underlying information. The access obligation belongs on the interface because the interface is where the holder makes the decision and where the disclosure becomes operationally relevant.

**Legal claim.** The disclosure should state, in plain language, the nature of the legal claim the holder has on the reserves. Is the claim a statutory entitlement (as in 1940 Act fund segregation), a contractual right under the issuer's terms of service, a trust beneficiary interest, a bankruptcy priority claim, or some combination? The supporting manuscript documents that holder-protection outcomes diverge sharply across these categories, and that holders today often cannot determine which category applies to their stablecoin without reading and interpreting issuer terms of service that are sometimes ambiguous or self-contradictory. Tether's terms of service simultaneously characterize redemption as a "revocable, limited licence" and a "contractual right personal to the customer," with disclaimers across seventeen enumerated categories of liability. Circle's terms restrict direct redemption rights to 1,834 verified accounts. The user holding USDC or USDT through an interface cannot know any of this without reconstructing it from documents published outside the transaction flow.

**Reserve composition.** The disclosure should state what the reserves consist of, with sufficient granularity to distinguish federally insured deposits from short-term Treasury securities from money market fund shares from repurchase agreements from other instruments. The proposed rule already requires PPSIs to maintain reserves of cash, demand deposits, and short-term U.S. Treasury obligations held at federally insured institutions, which is the most important provision in the rule. This disclosure requirement extends that substantive protection to the interface layer by making the composition visible to the holder at the moment of transaction. A holder who can see that the reserves backing a stablecoin are 100% federally insured deposits is making a different decision than a holder who can see that the reserves are 60% short-term Treasuries held at a single foreign custodian.

**Reserve location and custody.** The disclosure should identify the custodial institutions holding the reserves, the jurisdictions in which they are held, and any counterparty exposures that affect the holder's ability to recover the reserves under stress. This is the disclosure that would have surfaced Circle's $3.3 billion exposure to Silicon Valley

Bank in advance of the March 2023 depeg. Circle's exposure was discoverable from public attestation reports, but the reports were published on a monthly cadence and required interpretation that most holders could not perform. Holders who learned about the SVB exposure learned about it during the depeg, not before it. An interface-layer disclosure that named the custodial institutions in real time would convert a hindsight observation into a forward-looking risk signal.

The three disclosures together address the divergence between what holders believe they own and what they actually own. The supporting manuscript identifies this divergence as the single most consequential holder-protection failure across the nine-product sample, affecting Category 1 (rights parity), Category 5 (insolvency posture), and Category 6 (settlement finality). The interface layer is where the divergence becomes operationally consequential because the interface is where the holder makes the decision to acquire, hold, or transfer. A holder who can see, at the moment of transaction, the legal nature of their claim, the composition of the reserves, and the location of those reserves is substantially better positioned to evaluate the risk than a holder who must reconstruct that information from terms of service, attestation reports, and SEC filings published outside the transaction flow.

This recommendation does not require the OCC to develop new substantive disclosure standards from scratch. The information categories already exist. PPSIs already maintain reserves under the proposed rule's requirements, already have terms of service that establish holder rights, and already engage custodians for the reserves. The OCC's role is to require that this information be published in a standardized format and made accessible to holders at the point of transaction. The interface's role, supervised through the PPSI's third-party risk management diligence, is to display it.

***Three advantages of the broader recommendation***

This approach has three advantages. First, it places the supervisory burden on the PPSI, which is within the OCC's jurisdiction and does not require coordination with any other agency. Second, it uses a mechanism (third-party risk management diligence) the OCC is already experienced in administering. Third, it parallels the SEC's framework closely enough that a single interface serving both instrument classes can satisfy both regimes through a single compliance program. This last point matters: market participants operating at the boundary between the two regimes face real compliance costs from regulatory fragmentation, and aligning the two frameworks reduces those costs without weakening either.

An alternative is a joint interpretation with the SEC Division of Trading and Markets clarifying how the two regimes interact when the same interface facilitates transactions in both crypto asset securities and payment stablecoins. This addresses the asymmetry more directly but requires interagency coordination that may extend beyond the current rulemaking timeline. The two approaches are not mutually exclusive: the PPSI third-party supervision mechanism can be implemented in the final rule now, and a joint interpretation can follow when interagency bandwidth permits.

A further consideration: the SEC staff statement is explicit that it is interim guidance with a five-year sunset. Whatever framework the OCC adopts for the interface layer in stablecoin markets will be in place when the SEC statement is reconsidered or replaced.

Adopting a durable approach now, calibrated to align with the SEC's interim conditions, positions the OCC's supervisory framework to remain coherent across the SEC's eventual transition to a more permanent regime.

**IV. Consistency with My Original Comment Letter**

My original letter argued that the collateral eligibility boundary is the most consequential gap the proposed rule leaves unaddressed. That finding is unchanged. The SEC statement surfaces a second gap, at the interface layer, where the same underlying architecture produces the same type of problem: federal financial regulation is organized by instrument class, but tokenized finance combines instrument classes at the infrastructure layer, and the boundaries where they combine are currently unregulated. The collateral interoperability gap operates where tokenized instruments are pooled as collateral. The interface gap operates where holders interact with tokenized instruments at all.

The three recommendations in my original letter (holder-rights disclosure, interagency coordination on collateral eligibility, and a standardized equivalence assessment) remain the core recommendations. This supplemental comment adds a fourth: incorporation of interface-layer conduct expectations into the supervisory framework for permitted payment stablecoin issuers, drawing on the SEC's Covered User Interface Provider conditions as a model calibrated to an adjacent but analogous regulatory problem.

The control-layer framing applied in this supplemental comment is developed at greater length in my January 2026 article cited in note 1, published prior to either the OCC proposed rule or the SEC staff statement. That article identifies the control layer as the operative locus of regulation in tokenized markets and is the analytical foundation for both the original comment letter and this supplement.

I appreciate the Office's consideration of these supplemental comments. My original letter and the supporting manuscript (Minimum Viable Equivalence Packs, SSRN 6363138) remain attached to the docket.

Respectfully submitted,

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1. Zukowski, Z. (2026). "Clarity's Real Target: The Control Layer." medium.com/@CryptoZach/claritys-real-target-the-control-layer. See also Zukowski, Z. (2026). "Routing the Dollar: Gateway Infrastructure and the Control Layer in Tokenized Financial Markets." Working paper, Tokenization Systems. Available at SSRN: ssrn.com/abstract=5249057.

**TOKENIZATION SYSTEMS**
Digital Asset Research & Consulting
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April 15, 2026

U.S. Department of the Treasury
Attention: Office of the General Counsel
1500 Pennsylvania Avenue NW
Washington, DC 20220

Submitted via regulations.gov, Docket TREAS-DO-2026-0232

**Re:** GENIUS Act Broad-Based Principles for Determining Whether a State-Level Regulatory Regime Is Substantially Similar to the Federal Regulatory Framework (RIN 1505-AC90, 91 FR 16844)

Dear Office of the General Counsel:

The proposed principles address the central question for the dual Federal-State regime the GENIUS Act creates: how to evaluate whether fifty different State frameworks produce equivalent holder-protection outcomes across dozens of specific requirements. This comment addresses six areas where the principles could be strengthened, responsive to twenty-six of the NPRM's questions. The comment draws on two prior comment letters I submitted to the OCC on its GENIUS Act implementing rule (Docket OCC-2025-0372, comment), including a supplemental letter responding to the SEC Division of Trading and Markets staff statement of April 13, 2026 on Covered User Interface Providers. A supporting manuscript (Minimum Viable Equivalence Packs, SSRN id 6363138) develops these arguments at length and is available on SSRN and on the OCC docket.

## I. The Substantially-Similar Assessment Would Benefit from a Standardized Diagnostic Framework

*Responsive to Questions 4, 10, 12, 13*

Treasury's proposed §1521.2(b)(1) requires that implementation of each State-calibrated requirement "leads to regulatory outcomes that are at least as stringent and protective as the Federal regulatory framework." Question 10 asks whether substantial similarity should be assessed on a section-by-section basis or a holistic basis. Question 13 asks whether "at least as stringent and protective" is the appropriate standard.

A standardized diagnostic framework, structured around functional dimensions of holder protection rather than statutory sections, would make the assessment more administrable and more consistent across States. I have developed and published such a framework: the Minimum Viable Equivalence Pack (MVEP), a ten-category diagnostic tool that evaluates tokenized financial instruments across rights parity, custody

treatment, settlement finality, insolvency posture, and six other dimensions including system of record, reconciliation, redemption mechanics, governance and change control, disclosure and monitoring, and collateral operability. The framework has been applied to nine tokenized dollar instruments currently live in institutional markets, spanning three regulatory tiers: banking law, the Investment Company Act of 1940, and state money transmission. The analysis demonstrates that instruments governed by different regulatory regimes produce materially different holder-protection outcomes on the same diagnostic dimensions, even when those instruments receive comparable collateral eligibility on the same institutional derivatives exchange, through the same custodian.

A category-by-category diagnostic assessment would evaluate each functional dimension of holder protection independently while preserving the ability to identify cross-cutting weaknesses that a section-by-section approach would miss. The analysis of these nine live instruments demonstrates that holder-protection failures cluster across multiple statutory sections simultaneously: rights parity, insolvency posture, and settlement finality tend to fail on the same instruments simultaneously, because a weak legal claim on reserves produces weak insolvency protection and uncertain settlement. A section-by-section assessment could approve a regime that passes each section individually but fails on the cross-cutting dimensions that matter most for holders.

On Question 4, the classification in Appendix A treats custody (section 10) and insolvency (section 11) outside the uniform/State-calibrated framework, addressing them only under §1521.5. The nine-instrument analysis demonstrates that custody arrangements and insolvency posture are among the three most consequential determinants of holder-protection outcomes (along with rights parity). If custody and insolvency are evaluated only under §1521.5's general consistency standard while reserves and capital are evaluated under §1521.3's "consistent in all substantive respects" standard, the specific gaps the MVEP framework identifies will persist across State regimes regardless of reserve adequacy. Those gaps include ambiguous legal claims that leave holders uncertain whether they have a statutory entitlement or a contractual right, custody arrangements that commingle assets from different regulatory regimes without disclosure, and insolvency priorities that may not be enforceable in State receivership proceedings.

On Question 12, the full Federal regulatory framework, not statutory text alone, is the appropriate baseline. The most consequential holder-protection gaps across today's nine live tokenized dollar instruments arise from operational choices that issuers and infrastructure providers make within the bounds of their statutory authorization, choices that the statutory text neither requires nor expressly prohibits. Circle restricting direct redemption to 1,834 verified accounts is an implementation choice. BUIDL's USDC-dependent redemption pathway is a product design choice. The collateral interoperability boundary on Binance is an exchange-level decision. A state-similarity assessment based solely on statutory text would miss all of these.

## II. Reserve Transparency, Redemption, and Marketing Controls

*Responsive to Questions 18, 21, 28, 29, 31, 32*

The three-category reserve disclosure proposed in my supplemental OCC comment letter (legal claim, composition, location/custody) is relevant to the state-similarity assessment for the same reason it is relevant to the OCC's issuer-level rule: reserve transparency directly affects holder-protection outcomes, and differences in disclosure requirements across State regimes will produce divergent outcomes on the dimensions that matter most to holders. If the OCC adopts this disclosure in its final rule, it becomes part of the Federal regulatory framework against which State regimes are measured. If the OCC does not adopt it, Treasury could independently incorporate it into the principles for evaluating whether State regimes "meet or exceed" reserve transparency standards.

On Question 21, the three-category disclosure implies specific data fields that should be uniform across States for comparability. If each State defines its own format for the monthly reserve composition report, the Stablecoin Certification Review Committee's ability to compare across regimes is impaired. A standardized format, at minimum covering the holder's legal claim, reserve composition, and custodial identity and jurisdiction, would improve the assessment's administrability.

On Questions 31 and 32, the two-business-day redemption standard assumes the redemption pathway is functional. Circle suspended USDC primary-market redemptions from Friday evening March 10 through Monday morning March 13, 2023, a period during which the secondary market continued trading around the clock and the price fell to $0.87. A two-business-day standard cannot protect holders when the redemption pathway itself is suspended for reasons outside their control. The MVEP analysis compounds this with a finding on BUIDL: its primary redemption pathway routes through Circle's USDC facility, meaning a BUIDL holder trying to exit during a USDC stress event redeems into the instrument that is depegging. States should adopt a timely redemption standard at least as protective as the OCC's, but the standard should also require disclosure of redemption pathway dependencies. A regime that satisfies the two-business-day requirement but does not require issuers to disclose when their sole redemption route depends on another tokenized instrument (as BUIDL's depends on USDC) leaves holders unable to evaluate whether the redemption pathway itself could fail under the same stress conditions that trigger the need to redeem. Redemption disclosures should include the identity and jurisdiction of the redemption counterparty and whether the redemption pathway depends on other tokenized instruments that could be impaired under stress.

On Question 18, section 4(e) (marketing and misrepresentations) should be included in the state-similarity assessment. The divergence between what holders believe they own and what they actually own is the single largest holder-protection gap across today's nine live tokenized dollar instruments. Tether's terms of service characterize the right to use its platform as a "revocable, limited licence" while characterizing the right to purchase or redeem Tether Tokens as "a contractual right personal to you," with liability disclaimers across seventeen enumerated categories including Tether's own negligent or misleading statements, third-party insolvency, and platform malfunction

(Tether Token Terms of Sale and Service, last updated February 26, 2026). Circle markets USDC as a dollar equivalent while restricting direct redemption to a small subset of verified accounts. Reserve disclosure without marketing controls addresses what the issuer holds but not what the issuer tells holders they own, which is where the most consequential misunderstanding occurs. A State regime that is "substantially similar" on every prudential dimension but that permits marketing practices leaving holders fundamentally misinformed about their actual legal position would fail on the dimension that matters most to holders at the point of transaction.

On Questions 28 and 29, States should be permitted to narrow the set of permissible reserve assets (narrowing strengthens holder protection) but not to expand it beyond what the OCC has approved. The SVB episode demonstrates the reserve composition risk: Circle's reserves included deposits at a single bank that failed. A State that prohibits any single custodial institution from holding more than a defined percentage of total reserves as uninsured deposits would be exceeding the Federal framework in a way that directly reduces the risk the March 2023 episode exposed. Permitting States to approve novel reserve assets independently would allow issuers to seek State licenses specifically because the State permits reserve assets the OCC has not approved, undermining the "meets or exceeds" standard by enabling issuers to hold riskier reserves under a State regime than would be permitted under the Federal framework.

## III. Capital Adequacy, Operational Backstop, and Custodial Concentration

*Responsive to Questions 36, 40, 44*

On Question 36, the MVEP manuscript quantifies the capital gap under the Money Transmission Modernization Act. The minimum capital for a $40 billion issuer operating as a money transmitter is approximately $216 million, 0.54% of outstanding issuance, a ratio of approximately 22 to 1 between outstanding issuance and required minimum capital, before accounting for the additional protections (stress testing, deposit insurance, and resolution planning) that banking law imposes on federally chartered issuers and that the MTMA framework does not require of money transmitters. Any "minimal capital requirement based on a set percentage of outstanding issuance value" should produce outcomes at least as protective as the banking-law capital ratios that apply to federally chartered payment stablecoin issuers.

On Question 44, the MTMA capital gap is directly relevant to how historical capital levels under State regimes should be evaluated. Many States regulate stablecoin issuers as money transmitters under MTMA-based frameworks. The historical capital levels of money transmitters under those frameworks are the empirical evidence that MTMA capital requirements are inadequate for stablecoin issuance at scale. A State that adopted capital requirements based on its existing money transmitter framework would not meet or exceed the Federal regulatory framework.

On Question 40, the operational backstop should address custodial concentration risk in addition to total expenses. The SVB episode demonstrates that the relevant risk is not insufficient operating capital but excessive concentration of reserves at a single custodial institution. Circle's equity was approximately $0.34 billion, representing, in the Federal Reserve's language, "just over a tenth" of the $3.3 billion in reserves held as

uninsured deposits at Silicon Valley Bank, which itself represented approximately 8% of Circle's roughly $40 billion in total USDC reserves at the time (Du, Sonawane, and Watsky, "In the Shadow of Bank Runs," Federal Reserve FEDS Notes, December 2025; Watsky et al., "Primary and Secondary Markets for Stablecoins," Federal Reserve FEDS Notes, February 2024). An operational backstop based solely on total expenses would not have prevented the March 2023 depeg because the problem was not that Circle lacked operating capital; the problem was that the potential loss at a single custodial institution exceeded the issuer's total equity by a factor of ten. The operational backstop should include a custodial diversification requirement specifying that no single custodial institution holds more than a defined percentage of total reserves.

## IV. Activities That Defeat the Act's Protective Provisions

*Responsive to Question 51*

Question 51 asks whether a State qualified payment stablecoin issuer could engage in permissible activities that "functionally defeat the Act's protective provisions." The MVEP nine-instrument analysis includes an instrument that, while not itself a payment stablecoin under the Act, illustrates the structural risk that Question 51 is designed to address.

MakerDAO, which issues DAI (approximately $5.4 billion outstanding as of early 2026) through an overcollateralized lending protocol rather than through the fiat-reserve model the Act contemplates, engages in lending, governance, and protocol management activities that are substantially larger than its stablecoin issuance function. DAI is backed by a complex mix of crypto-collateral, real-world assets, and the Peg Stability Module, with governance concentrated in MKR token holders who vote on collateral parameters that directly determine DAI holders' risk exposure, including which assets back DAI, at what debt ceilings, and how protocol surplus is allocated, decisions in which MKR holders' economic interests are not fully aligned with those of DAI holders. The MVEP analysis classifies DAI as the weakest instrument in the nine-instrument sample on multiple diagnostic dimensions (rights parity, insolvency posture, governance controls) precisely because the issuer's non-stablecoin activities introduce risks that DAI holders bear but cannot observe or control.

A State regime that licensed a similarly structured entity as a State qualified payment stablecoin issuer, permitting extensive non-stablecoin activities under section 4(a)(7)(B), could produce holder-protection outcomes that defeat the Act's protective provisions even if the regime is nominally compliant with every reserve, capital, and disclosure requirement. The analytical point generalizes: any fiat-reserve issuer that a State licenses under section 4(a)(7)(B) to engage in lending, governance, or protocol management alongside stablecoin issuance would face the same tension between activity-driven revenue and holder-focused reserve management that the DAI example illustrates. The reserve segregation and insolvency priority protections in the Act are designed to protect stablecoin holders from the issuer's other creditors with respect to reserve assets; they are not designed to protect holders from operational failures, governance capture, or reputational contagion arising from the issuer's non-stablecoin activities, any of which could impair the issuer's ability to maintain and redeem its

stablecoins even if reserves remain legally segregated and available for redemption.

Treasury should establish a principle that the Stablecoin Certification Review Committee may evaluate whether the aggregate scope of activities permitted under a State regime, when considered in combination with the Act's reserve segregation and insolvency priority provisions, could compromise the holder-protection outcomes the Act is designed to produce. Section 4(a)(7)(B) provides State discretion to authorize activities, but that discretion is constrained by the "meets or exceeds" standard. A State that exercises this discretion in a way that functionally defeats the Act's protections does not meet that standard regardless of its nominal compliance on individual provisions.

**V. Insolvency, UCC Article 12, and Cross-Border Treatment**

*Responsive to Questions 6, 8, 17, 20, 68, 69*

Three dimensions of holder protection depend on legal frameworks outside a State's direct control. The state-similarity assessment should account for each.

On Questions 68 and 69, the federal bankruptcy priority for stablecoin holders under section 11 (amending Section 507 of the Bankruptcy Code) operates through federal law. If a State qualified payment stablecoin issuer enters State receivership rather than federal bankruptcy, the holder's priority over other creditors with respect to reserve assets depends on whether the State receivership statute recognizes the federal priority, applies its own priority rules, or creates ambiguity about which rules govern, an uncertainty the Act does not resolve. States may be structurally unable to replicate this protection because they cannot amend the federal Bankruptcy Code. Treasury should acknowledge this limitation and provide guidance on how States can achieve substantially similar insolvency outcomes through State law mechanisms that produce the same practical result.

On Question 8, UCC Article 12 (controllable electronic records) creates a holder-protection issue that varies across States. The MVEP manuscript identifies a qualifying-purchaser defect: the "take-free" protection for purchasers of controllable electronic records fails when a thief is in the chain of title because the thief cannot be a "qualifying purchaser." States that have not enacted the 2022 UCC amendments, or that have enacted non-uniform versions, produce materially different holder-protection outcomes on this dimension. Treasury should consider whether a State's enactment status of UCC Article 12 is relevant to the substantial similarity assessment, particularly for the custody and insolvency provisions in proposed §§1521.5(d) and (e).

On Question 20, the two issues above illustrate a broader pattern: some portions of the Federal regulatory framework may be structurally unreplicable by States. Beyond the bankruptcy priority and Article 12, a third instance is the OCC's examination authority over nationally chartered custodians, which States cannot exercise because they lack jurisdiction over those institutions. The absence of a federal interface-layer framework creates a different problem: States can only exceed the federal framework on this dimension, not match it.

On Questions 6 and 17, the state-similarity assessment should consider how payment stablecoins function as infrastructure for other tokenized products, including those

issued under foreign regulatory regimes. Three of the nine instruments in the MVEP sample (USYC, BUIDL, and BENJI) are tokenized fund shares, not payment stablecoins, but all three depend on USDC for redemption liquidity or collateral settlement. When a payment stablecoin serves as the redemption pathway for tokenized securities issued across multiple jurisdictions, impairment of the stablecoin (as occurred during the March 2023 USDC depeg) propagates through every product that depends on it. A State regime that evaluates a payment stablecoin issuer's holder-protection outcomes without considering the issuer's role as redemption infrastructure for other products would miss a significant source of systemic interconnection. The state-similarity assessment should consider whether a State-licensed payment stablecoin issuer's dependencies on, or dependencies from, foreign-issued products create risks that the State regime does not address.

## VI. Interface-Layer Conduct Standards as Additional State Requirements

*Responsive to Questions 70, 71*

Treasury's proposed §1521.6 permits States to impose additional requirements beyond the Federal regulatory framework. I recommend that Treasury explicitly recognize interface-layer conduct standards as a permissible and encouraged category of additional State requirements. The basis for this recommendation is the structural gap identified in my supplemental OCC comment letter: the SEC's April 13 staff statement on Covered User Interface Providers imposes twelve conduct conditions on interfaces facilitating crypto asset securities transactions but expressly excludes payment stablecoins from its scope. The OCC's proposed rule, the SEC's staff statement, and Treasury's proposed principles all address adjacent regulatory questions, but none addresses the interface layer for payment stablecoins. States that adopt conduct standards for interfaces facilitating stablecoin transactions, calibrated to the SEC's twelve conditions, would be addressing the interface-layer gap that the entire federal framework currently leaves open.

On Question 71, section 7(f)(4) of the Act provides that "nothing in this Act shall preempt State consumer protection laws, including common law, and the remedies available thereunder." Interface-layer conduct standards adopted by States could be characterized as consumer protection laws under this provision, which means they would be preserved from preemption even if a future federal interface-layer framework is adopted. Treasury should make this explicit in the final rule to encourage States to adopt interface-layer protections without concern that a subsequent federal regime would preempt them.

## VII. Relationship to Prior Comment Letters

The six recommendations above are consistent with and extend the four recommendations in my OCC comment letter series (Docket OCC-2025-0372). The OCC letters address the issuer-level and interface-level regulatory framework; this comment extends that analysis to the state-similarity assessment. Treasury's choice to anchor the Federal regulatory framework definition primarily to the OCC's regulations means that any improvements adopted in the OCC's final rule will automatically strengthen the baseline against which State regimes are measured. The

recommendations in this comment are freestanding: each identifies a specific gap in the state-similarity assessment and proposes a mechanism to address it, regardless of whether the OCC adopts the specific proposals in my earlier letters.

I appreciate Treasury's consideration of these comments.

Respectfully submitted,

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**Submitted via Comments@fdic.gov with "RIN 3064-AG20" in subject line**

Jennifer M. Jones
Deputy Executive Secretary
Attention: Comments—RIN 3064-AG20
Federal Deposit Insurance Corporation
550 17th Street NW
Washington, DC 20429

April 18, 2026

**Re: RIN 3064-AG20, Approval Requirements for Issuance of Payment Stablecoins by Subsidiaries of FDIC-Supervised Insured Depository Institutions (90 Fed. Reg. 59409, December 19, 2025)**

Dear Ms. Jones:

Tokenization Systems, an independent research program on stablecoin and payment infrastructure regulation, submits this comment on the FDIC's proposed application rule under section 5 of the GENIUS Act. The comment's central proposition is that the application rule is the FDIC's first and foundational opportunity to map the control-layer topology of a prospective Permitted Payment Stablecoin Issuer (PPSI). Filing content shapes both the approval decision and the baseline for ongoing supervision, particularly given the FDIC's role as the PPSI's primary Federal payment stablecoin regulator under section 2(25) of the GENIUS Act (12 U.S.C. 5901(25)). The proposed rule will be more effective if it is designed to surface the structural features that are consequential for ongoing supervision.

The comment applies the research program's control-layer framework, grounded in the Control Layer Intensity Index (CLII) and the Minimum Viable Equivalence Pack (MVEP), both available on SSRN. CLII scores stablecoin operators on the intensity of operational control they exercise over issuance, routing, custody, and compliance functions; MVEP identifies ten categories of structural features that distinguish operators whose architectures provide functional equivalents to traditional deposit protection from those whose architectures do not. Tokenization Systems has submitted prior comments applying this framework to the OCC implementing rule for PPSIs (Docket OCC-2025-0372, including a supplemental comment on interface-layer conduct) and to Treasury's state-similarity principles (TREAS-DO-2026-0232). Companion comments on the parallel FinCEN general AML/CFT rulemaking (FINCEN-2026-0034), the FinCEN-OFAC PPSI rulemaking (FINCEN-2026-0100), the banking agency joint AML/CFT rule (91 Fed. Reg. 18304), and the FDIC substantive PPSI requirements rule (RIN 3064-AG19) are submitted alongside or shortly following this comment. The five federal rulemakings together define the operational architecture within which PPSIs will issue payment stablecoins; the recommendations in this comment are designed to coordinate with the parallel rulemakings rather than to duplicate or contradict them.

The comment makes four specific recommendations responsive to Questions 3, 4, 5, and 7, and one structural observation responsive to Question 11. Each recommendation is implementable within the proposed rule's existing structure and is consistent with the GENIUS Act's statutory architecture. The research program takes no position on the underlying statutory design; its analysis addresses implementation questions that the statute leaves to agency discretion.

## I. Framing: The application as the FDIC's first control-layer mapping

Section 5 of the GENIUS Act directs the FDIC to establish a process and Federal framework for the licensing, regulation, examination, and supervision of PPSIs that prioritizes safety and soundness. The

application rule is the first operational step in that framework. An applicant submits; the FDIC evaluates; if approved, the PPSI subsidiary begins issuing payment stablecoins under the FDIC's ongoing supervision as primary Federal payment stablecoin regulator.

This sequence has an important implication for application rule design. The information the FDIC collects at the application stage becomes the baseline against which the FDIC evaluates the applicant, and also the baseline from which ongoing supervision under section 4 and section 6 proceeds. Filing content that is narrow at the application stage will leave the FDIC with a narrow baseline for later supervisory work; filing content that surfaces structural features of the PPSI's operational architecture will give the FDIC a foundation for both the approval decision and subsequent supervision.

The research program's control-layer framework identifies four operational features of tokenized finance that are consequential for supervision: (1) the distribution of operational functions across entities with different legal and regulatory relationships; (2) the location of reserve custody and its concentration; (3) the legal characterization of the holder's claim and its enforceability; and (4) the points at which the PPSI's operational architecture interacts with the architectures of other supervised entities. Each of the four recommendations below addresses one of these features in the context of the FDIC's proposed filing content requirements.

## II. Four recommendations

**Recommendation 1 (Q3): Filing content should include a structured mapping of section 4 activities to the entities that perform them**

Proposed § 303.252(d)(1) requires a description of the proposed activities of the subsidiary, "including the identities, roles, and responsibilities of the entities involved in the proposed payment stablecoin activities." The recommendation asks the FDIC to make that requirement more specific by requiring a structured mapping against the categories of activity enumerated in section 4 of the GENIUS Act.

The required mapping would have two axes. The first axis lists section 4 activity categories: (a) issuance operations under section 4(a)(7)(A)(i); (b) reserve management under section 4(a)(7)(A)(iii), subject to the 1:1 reserve composition requirement at section 4(a)(1)(A); (c) redemption operations under section 4(a)(7)(A)(ii), subject to the redemption policy requirement at section 4(a)(1)(B); (d) recordkeeping and transaction reconciliation (on-chain and off-chain); (e) BSA/AML and sanctions compliance under section 4(a)(5); (f) custody and safekeeping for payment stablecoins, required reserves, and private keys under section 4(a)(7)(A)(iv), subject to the custody authorization at 12 U.S.C. 5909(a); (g) activities that directly support the core permitted activities under section 4(a)(7)(A)(v); and (h) digital asset service provider activities and activities incidental thereto, authorized by the FDIC under the rule of construction at section 4(a)(7)(B). The second axis identifies the entity that performs each activity: the PPSI directly; the parent IDI under section 16(b); an affiliate; a third-party service provider; or a combination with a specified division of responsibility.

This mapping is essential for the FDIC to evaluate two statutory factors. Under section 5(c)(1), the FDIC must assess the subsidiary's ability to meet the requirements of section 4 based on its financial condition and resources. A PPSI whose section 4 activities depend materially on entities outside its corporate boundary has a different risk profile from one that performs the activities directly; the mapping surfaces the dependency structure for that evaluation. Under section 5(c)(3), the FDIC must evaluate the competence, experience, and integrity of officers, directors, and principal shareholders of the applicant, its subsidiaries, and parent company. Where section 4 activities are distributed across multiple entities, the competence assessment is better calibrated when it tracks that distribution. The mapping supports both

evaluations.

The same control-layer topology is the unit of analysis in the parallel FinCEN PPSI rulemaking at FINCEN-2026-0100, where AML/CFT and sanctions obligations attach at specific topology points. Requiring the mapping in the FDIC application rule creates coordinated filings across regulators without requiring duplicative information. Where the FDIC has already received the mapping as part of the application, the FDIC's ongoing supervision under section 6 of the Act can proceed from a shared baseline with FinCEN's supervision under FINCEN-2026-0100.

**Recommendation 2 (Q4): The final rule should explicitly preserve the FDIC's ability to establish section 5(c)(5) factors in subsequent rulemakings**

The proposed rule declines to add factors under section 5(c)(5) at this stage, citing the application rule's narrow scope and the FDIC's existing supervisory relationship with applicants. This decision is consistent with the application rule's purpose and avoids over-specifying at the application stage.

The forthcoming FDIC substantive rulemakings on capital requirements, liquidity requirements, reserve asset diversification, and operational, compliance, and information technology risk management (referenced in section II.B.3.a of the proposed rule preamble and addressed in the FDIC's concurrent substantive rulemaking at RIN 3064-AG19) will surface considerations that may warrant treatment as section 5(c)(5) factors in subsequent application rule revisions. These include: control-layer observability for PPSIs with materially distributed operational architectures; smart contract immutability and its implications for supervisory intervention; operational dependencies on public blockchain infrastructure; and concentration of reserve custody in ways that create material risk independent of reserve composition.

Two asks follow from the above. First, the final rule's preamble should state that the FDIC's decision not to add section 5(c)(5) factors at this stage does not foreclose the FDIC from adding factors later. Second, when the FDIC issues its substantive rulemakings on capital, liquidity, reserve diversification, and risk management (including RIN 3064-AG19), it should indicate that it will evaluate whether the four considerations identified above warrant treatment as section 5(c)(5) factors in a future revision of the application rule. These asks preserve the FDIC's flexibility without adding substantive requirements to the application rule and coordinate appropriately with the concurrent substantive rulemakings where these questions more properly belong.

**Recommendation 3 (Q5): Filing content should include disclosure of reserve custody concentration, not just composition**

Proposed § 303.252(d)(2) requires "reserve assets and composition and associated asset management plan." Composition addresses what assets back the stablecoin; concentration addresses where those assets are held. Concentration in reserve custody can create material risk that composition alone does not capture.

The March 2023 Silicon Valley Bank episode underscores the importance of this distinction. Du, Sonawane, and Watsky, "In the Shadow of Bank Runs: Lessons from the Silicon Valley Bank Failure and Its Impact on Stablecoins," FEDS Notes (December 17, 2025, DOI 10.17016/2380-7172.3958), document that during the March 2023 Silicon Valley Bank failure, USDC reserve concentration at a single bank caused the stablecoin to experience material de-pegging despite continuous full reserve backing. The concentration itself was the transmission channel. The same reserve composition, distributed across multiple custodians, would have produced a different outcome.

The filing content ask is that under § 303.252(d)(2), the asset management plan include: (a) named custodian institutions for reserve assets; (b) concentration limits as a percentage of total reserves per custodian institution; (c) the applicant's diversification rationale, including its analysis of single-institution failure scenarios; and (d) any planned use of the parent IDI or its affiliates as a reserve custodian, with a statement of why the resulting concentration does not create material risk to the PPSI's ability to meet section 4(a)(1)(B) redemption standards.

This recommendation coordinates with two parallel comments in the research program's submission record. The Banking letter (91 Fed. Reg. 18304) Recommendation 2 makes the parallel ask from the bank side: banks providing reserve custody to PPSIs should surface PPSI-relationship concentration as a distinct risk category in their AML/CFT risk assessments. The FDIC substantive rule comment (RIN 3064-AG19) treats reserve concentration as a first-order structural feature of PPSI operations. The FDIC application rule captures the same information from the PPSI side at the application stage, completing the coverage.

**Recommendation 4 (Q7): Customer agreements should include a rights-parity assessment**

Proposed § 303.252(d)(4) requires customer agreements to be submitted as part of the application. Section 5(c)(4) requires the FDIC to evaluate whether the redemption policy meets section 4(a)(1)(B) standards. Section 4(a)(1)(B) addresses the mechanics of redemption but does not directly address the antecedent legal question of what the holder's claim actually is.

This question matters because the GENIUS Act structure creates an unusual juxtaposition. A PPSI is a subsidiary of an insured depository institution, but the payment stablecoin is statutorily not a deposit (12 U.S.C. 5901(22)(B)) and is not subject to deposit insurance (12 U.S.C. 5903(e)(1)). Holders interacting with a PPSI that is a subsidiary of an IDI may form expectations about their legal position that do not match the legal reality: the holder has a contractual claim against the PPSI, subject to the PPSI's independent solvency, the UCC Article 12 qualifying-purchaser framework, and the mechanics of the PPSI's redemption process.

The filing content ask is that customer agreements submitted under § 303.252(d)(4) include: (a) clear characterization of the legal nature of the holder's claim as a contractual claim against the PPSI, expressly not a deposit claim against the parent IDI; (b) representations regarding the circumstances in which redemption may be limited, delayed, or suspended, with explicit attention to UCC Article 12 qualifying-purchaser scenarios; (c) disclosure of the UCC Article 12 qualifying-purchaser framework, including its asymmetric effects: qualifying purchasers take free of adverse claims, and holders whose stablecoins are acquired by a qualifying purchaser may have limited recourse against that purchaser even when the original transfer was wrongful; and (d) disclosure of the PPSI's solvency relationship with the parent IDI, including whether any parent-provided sources of strength, guarantees, or intercompany agreements exist and their legal enforceability.

The MVEP framework applied in the prior OCC comment (Docket OCC-2025-0372) addresses the parallel rights-parity questions for Federal qualified payment stablecoin issuers; the Treasury state-similarity comment (TREAS-DO-2026-0232) addresses them at the state-regulator level; and the FDIC substantive rule comment (RIN 3064-AG19) addresses them in the context of the deposit insurance pass-through analysis. The FDIC application rule is the final regulator view, and the customer agreement submitted with the application is the document that actually reaches the holder. Rights-parity disclosures belong in that document.

## III. Observation on cross-rulemaking coordination (Q11)

The research program offers one structural observation under Question 11 regarding effects the FDIC has not identified.

A subsidiary PPSI will have an AML/CFT program governed by the FinCEN-OFAC rulemaking at FINCEN-2026-0100. Its parent IDI will have an AML/CFT program governed by the banking agency rulemaking at 91 Fed. Reg. 18304. The FDIC will supervise both the subsidiary PPSI and the parent IDI, and will supervise the integration between their two programs. The application rule is the moment at which the FDIC first evaluates that integration. Proposed § 303.252(d)(4) requires "BSA/anti-money laundering/countering the financing of terrorism and economic sanctions requirements pursuant to section 4(a)(5) of the GENIUS Act," but does not expressly require the applicant to describe how the subsidiary PPSI's AML/CFT program will integrate with the parent IDI's program at the enterprise level.

The observation is that § 303.252(d)(4) should expressly note that the FDIC will evaluate enterprise-wide program integration, including governance, information sharing between the subsidiary PPSI and the parent IDI, unified or coordinated testing, and enterprise-wide risk assessment. This is an observation rather than a formal recommendation because the substantive AML/CFT program obligations arise under FINCEN-2026-0100 and 91 Fed. Reg. 18304, not under this rule. The application rule need only signal that program integration is a factor the FDIC will evaluate. The observation completes the enterprise-wide program integration thread that originates in the Banking letter (91 Fed. Reg. 18304) Recommendation 3 and is echoed in the PPSI letter (FINCEN-2026-0100) Recommendation 9.

## IV. Conclusion

The four recommendations and one observation above are designed to be implementable within the proposed rule's existing structure. None adds substantive requirements beyond the statutory framework of section 4. All are calibrated to the application rule's narrow scope of establishing procedures for FDIC approval of PPSI applications. The common thread is that the application is the FDIC's first opportunity to map the PPSI's control-layer topology, and filing content should be designed to surface the structural features that are consequential for both the approval decision and ongoing supervision.

The research program appreciates the FDIC's careful attention to the application rule and the proposed rule's emphasis on minimizing regulatory burden while establishing a foundation for GENIUS Act implementation. The recommendations above are offered in the same spirit.

Respectfully submitted,

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# Comment of Tokenization Systems on FINCEN-2026-0034

**Docket:** FINCEN-2026-0034; RIN 1506-AB72
**Re:** Anti-Money Laundering and Countering the Financing of Terrorism Programs
**Submitted to:** regulations.gov
**Submitted by:** Tokenization Systems
**Date:** April 18, 2026

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## Executive summary

The Notice of Proposed Rulemaking at FINCEN-2026-0034 operationalizes the AML Act's reorientation toward risk-based, effectiveness-focused supervision. The proposed rule's risk-based resource allocation directive is structurally compatible with a control-layer-level risk assessment, but the final rule will be more effective if it articulates this compatibility explicitly. AML regulation has always been control-layer regulation, because the Bank Secrecy Act attaches obligations to intermediaries rather than to transactions or instruments. In tokenized finance, intermediation can be disaggregated across several layers (issuer, custodian, interface, router, sweep engine, hold and freeze plumbing), and the choice of which layer carries the AML obligation is consequential for program effectiveness.

Tokenization Systems supports the proposed rule's general approach and offers seven recommendations directed at specific provisions. The highest-leverage recommendations are:

- **Recommendation 1:** Clarify that risk assessment processes for tokenized finance must evaluate control-layer exposure. The proposed rule's "business activities" requirement should explicitly include the control-layer functions the institution performs (issuer, custodian, interface, router, sweep, hold and freeze).
- **Recommendation 2:** Articulate a disqualifying-activities analog for tokenized finance operators, paralleling the SEC Division of Trading and Markets' April 13, 2026 staff statement on Covered User Interface Providers. This would reduce supervisory ambiguity at the boundary between traditional financial services and tokenized financial infrastructure.
- **Recommendation 5:** Calibrate independent testing requirements for control-layer verification. Testing for control-layer operators must be fit-for-purpose, with capability to evaluate on-chain activities, enforcement capability functionality, and identity verification coverage across all control-layer functions.
- **Recommendation 7:** Coordinate the final rule with the parallel PPSI AML rulemaking (FINCEN-2026-0100) and the banking agency AML rulemaking (91 Fed. Reg. 18304), with specific attention to the Federal Reserve Board's non-participation in the banking agency rulemaking.

Three additional recommendations address structural points outside the highest-leverage set:

- **Recommendation 3:** Integrate PPSI-related risks into the forthcoming AML/CFT Priorities update, including the custodial concentration channel documented in the Federal Reserve FEDS Note by Du,

Sonawane, and Watsky (DOI 10.17016/2380-7172.3958) and the financial stability considerations in the FEDS Note by Carapella, Lubis, and Vardoulakis (DOI 10.17016/2380-7172.4020).

- **Recommendation 4:** Preserve and clarify the US-based AML/CFT officer requirement for tokenized finance operators, ensuring the officer has effective supervisory control over US-nexus operations.
- **Recommendation 6:** Apply the supervision and enforcement consultation framework beyond banks, with priority for large MSBs operating in tokenized finance.

The comment is submitted alongside companion comments on FINCEN-2026-0100 (PPSI AML/CFT and sanctions compliance) and 91 Fed. Reg. 18304 (banking agency joint rule). The three filings are intended to be read together.

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## To the Director of FinCEN

This comment is submitted on behalf of Tokenization Systems, an independent research and advisory practice analyzing the structure of federal regulation of tokenized financial infrastructure. Its Q1 2026 research program produced eight papers, four of which address stablecoin and digital dollar infrastructure directly. The core analytical framework developed through this work is the Control Layer Intensity Index (CLII), which characterizes stablecoin issuers and related operators by the intensity with which they exercise control over the issuance, routing, and destruction of stablecoin units. The companion framework, Minimum Viable Equivalence Pack (MVEP), is a ten-category diagnostic that specifies the minimum legal, operational, and economic features required for a tokenized instrument to provide the functional equivalents of the protections afforded to bank depositors. Applied to stablecoin regulation, MVEP provides a principled basis for distinguishing operators whose architectures merit differentiated regulatory treatment from those whose architectures do not.

This comment addresses the Notice of Proposed Rulemaking published April 10, 2026. The research program has filed related comments on GENIUS Act implementation dockets at the Office of the Comptroller of the Currency (docket OCC-2025-0372, including an original comment submitted April 10, 2026 and a supplemental comment submitted April 13, 2026) and at Treasury (TREAS-DO-2026-0232, submitted April 15, 2026). An independent federal regulator, the SEC Division of Trading and Markets, adopted a control-layer distinction in its April 13, 2026 staff statement on Covered User Interface Providers.

The comment makes one structural observation and seven specific recommendations. The observation is that AML regulation has always been control-layer regulation, because the Bank Secrecy Act attaches obligations to intermediaries rather than to transactions or instruments. In traditional finance this architecture functioned well because the intermediary was almost always a bank or a money transmitter, and the bank or money transmitter was almost always the operator of the relevant transaction flow. In tokenized finance, intermediation can be disaggregated across several layers (issuer, custodian, interface, router, sweep engine, hold and freeze plumbing), and the choice of which layer carries the AML obligation is consequential for program effectiveness. The proposed rule's risk-based resource allocation directive is structurally compatible with a control-layer-level risk assessment, but the final rule will be more effective if it articulates this compatibility explicitly.

The comment acknowledges two structural features of the current rulemaking environment. First, the PPSI-specific AML/CFT rulemaking is now published as FINCEN-2026-0100, issued jointly by FinCEN and the Office of Foreign Assets Control (OFAC), published in the Federal Register April 10, 2026, with

comments due June 9, 2026. That rulemaking establishes AML/CFT program requirements and a separate sanctions compliance program for Permitted Payment Stablecoin Issuers. The recommendations below that reference PPSIs are offered as applying to the general AML program framework for the broader set of financial institutions that interact with PPSIs, including interface operators, custodians, and banks that hold reserve assets. Substantive recommendations specific to PPSI AML obligations are filed separately on the FINCEN-2026-0100 docket.

Second, the Federal Reserve Board did not join the concurrent banking agency NPRM on anti-money laundering and countering the financing of terrorism programs, issued April 10, 2026 by the FDIC, OCC, and NCUA (91 Fed. Reg. 18304). Recommendation 7 below addresses coordination across the three rulemakings and is written to accommodate either subsequent FRB participation or continued FRB separation.

## I. AML regulation is structurally a control-layer regime, and the proposed rule can make that explicit

The Bank Secrecy Act regulates financial institutions, not transactions. The four pillars of an AML program (internal policies, independent testing, designated officer, training) all attach to the institution, not to the instruments the institution handles. This is control-layer regulation by design: the law targets the entities that sit at the points where users initiate, route, and settle transactions, because those entities have the information and the enforcement capability to detect and deter illicit activity.

In traditional finance, the mapping from "financial institution" to "control-layer operator" is usually one-to-one. A depository institution holds deposits, clears checks, settles wires, operates ATM networks, and provides online banking access. All of these functions occur within a single supervised entity. The AML program sits on the entity, and the entity's program covers every control-layer function it performs.

In tokenized finance, the mapping is one-to-many or many-to-one. A single stablecoin can be issued by one entity (a PPSI), custodied by another (a regulated bank), accessed through multiple interfaces (wallets, exchanges, payment applications), routed by protocol-level operators, swept into treasury management systems, and frozen by hold and freeze plumbing administered by yet other entities. Each of these is a control-layer function. Each may be performed by a different regulated financial institution, each with its own AML program, or by an unregulated technical component, with no AML program at all.

The proposed rule's risk-based resource allocation directive implicitly acknowledges this fragmentation when it requires a financial institution to evaluate the ML/TF risks of its "business activities, including products, services, distribution channels, customers, and geographic locations." Distribution channels, in the tokenized finance context, are control-layer functions. A financial institution operating a mint and burn interface for a stablecoin has different ML/TF risks than one operating a retail wallet interface, and both have different risks from one operating a custody service for reserve assets. The proposed rule permits but does not require financial institutions to conduct their risk assessments at this level of specificity.

Recommendation 1 below addresses this gap directly.

## II. Seven recommendations

The following table maps each recommendation to the FinCEN question it addresses and to the proposed rule section it implicates, for reviewers navigating the comment by question rather than by recommendation.

| # | Recommendation | FinCEN Q | Proposed rule section |
|---|---|---|---|
| 1 | Clarify that risk assessment processes must evaluate control-layer exposure | Q9 | 31 CFR 10XX.210(b)(1)(i)(A) |
| 2 | Articulate a disqualifying-activities analog for tokenized finance operators | Q1 | General guidance (regulatory text or supplementary) |
| 3 | Integrate PPSI activities into the forthcoming AML/CFT Priorities | Q12, Q13 | 31 U.S.C. 5318(h)(4)(B) Priorities update |
| 4 | Preserve and clarify the US-based AML/CFT officer requirement | Q17 | 31 CFR 10XX.210(b)(3) (implementing 31 U.S.C. 5318(h)(5)) |
| 5 | Calibrate independent testing for control-layer verification | Q16 | 31 CFR 10XX.210(b)(2) |
| 6 | Apply the supervision consultation framework beyond banks, with priority for large MSBs | Q20 | 31 CFR 1020.221 |
| 7 | Coordinate the final AML rule with FINCEN-2026-0100 and 91 Fed. Reg. 18304 | Cross-cutting | Multiple (see text) |

**Recommendation 1: Clarify that risk assessment processes for tokenized finance must evaluate control-layer exposure**

Proposed 31 CFR 10XX.210(b)(1)(i)(A) requires that a financial institution's risk assessment processes evaluate the ML/TF risks of its business activities, including products, services, distribution channels, customers, and geographic locations. For financial institutions operating in tokenized finance, the final rule should clarify that "business activities" include the specific control-layer functions the institution performs.

In concrete terms, a financial institution's risk assessment processes should identify:

1. Which control-layer functions the institution performs (issuer, custodian, interface, router, sweep, hold and freeze).
2. The ML/TF risks associated with each function, including the extent of user identity verification capability, transaction data availability, and enforcement capability (whether the institution can hold, freeze, or block a transaction at the function it operates).
3. The dependencies between the institution's control-layer functions and those of other entities, particularly where an impairment of another entity's control-layer function would propagate to the institution's own activities.

This clarification does not impose a new substantive requirement. It articulates how the existing "business activities" requirement applies in tokenized finance, where institution-level and function-level risk assessments can diverge. The clarification would be particularly valuable for PPSIs, interfaces that distribute PPSI-issued stablecoins, and banks that custody stablecoin reserves, none of which has historically been evaluated through a control-layer lens.

The companion comments on FINCEN-2026-0100 and 91 Fed. Reg. 18304 each propose a corresponding requirement. The three together would produce consistent risk assessment practice across institutions whose activities span multiple supervisory domains, reducing both compliance burden (one integrated risk

assessment rather than three separately calibrated ones) and supervisory divergence (consistent treatment of the same economic activity).

The recommendation is responsive to FinCEN Question 9 in the NPRM, which invites comment on whether the description of "risk assessment processes" provides sufficient flexibility.

**Recommendation 2: Articulate a disqualifying-activities analog for tokenized finance operators**

On April 13, 2026, the SEC Division of Trading and Markets issued a staff statement establishing twelve conditions under which Covered User Interface Providers may facilitate crypto asset securities transactions without broker-dealer registration. Among these conditions is a nine-item list of disqualifying activities that, if performed by the provider, render the exemption unavailable. These include processing trade documentation, providing advice regarding the merits of a transaction, and exercising control or discretion over transactions.

The SEC statement is interpretive guidance with no legal force and does not address AML. Its structural logic, however, maps directly onto AML supervision. The disqualifying-activities list functions as a control-layer test: it distinguishes entities that exercise the functions the SEC considers definitional of broker-dealer activity from entities that merely facilitate transactions. An analogous list for AML purposes would distinguish entities that exercise the functions the BSA considers definitional of financial institution activity from entities that perform narrower technical functions.

The final rule should articulate, either in regulatory text or in supplementary guidance, the control-layer functions that bring an entity within the scope of AML/CFT program obligations. Candidate functions include: maintaining or updating customer information on a risk basis, conducting ongoing monitoring to identify suspicious transactions, directing transaction flow to specific counterparties or execution routes, holding customer assets in a manner that permits the holder to transact through the institution, and operating hold, freeze, or transaction-blocking capabilities.

This articulation would reduce supervisory ambiguity for financial institutions operating at the boundary between traditional financial services and tokenized financial infrastructure. It would also reduce the risk of regulatory arbitrage in which the same economic activity is structured to avoid AML obligations by distributing control-layer functions across entities that each disclaim the institutional status that would trigger the obligations.

The disqualifying-activities analog proposed here is the general AML channel for interface operator regulation. The companion comment on FINCEN-2026-0100 addresses interface operators through an information sharing framework (Recommendation 8 of that comment), applicable where the interface operator is independently registered as a BSA financial institution. The companion comment on 91 Fed. Reg. 18304 addresses interface operators as counterparties to banks providing correspondent services (Recommendation 1 of that comment). The three channels together determine whether a given interface operator faces AML/CFT obligations directly, through upstream PPSI diligence, through downstream bank correspondent supervision, or through some combination.

The recommendation is responsive to FinCEN Question 1, which invites comment on whether the description of an "effective" program is sufficiently clear.

**Recommendation 3: Integrate PPSI activities into the AML/CFT Priorities at the forthcoming update**

The AML/CFT Priorities issued June 30, 2021 predate the GENIUS Act, the OCC's February 2026 NPRM on PPSI implementation, and the public policy record establishing payment stablecoins as redemption infrastructure for tokenized fund shares. The current Priorities do not address stablecoin-specific ML/TF risks or control-layer considerations in tokenized finance. Under the AML Act's four-year update cycle at 31 U.S.C. 5318(h)(4)(B), the next Priorities are due.

The final rule should indicate that the forthcoming AML/CFT Priorities will explicitly address:

1. The ML/TF risks associated with PPSI issuance, reserve custody, and redemption, including the custodial concentration channel documented in Du, Sonawane, and Watsky, "In the Shadow of Bank Runs: Lessons from the Silicon Valley Bank Failure and Its Impact on Stablecoins," FEDS Notes (December 17, 2025, DOI 10.17016/2380-7172.3958), and the financial stability considerations set out in Carapella, Lubis, and Vardoulakis, "Stablecoins in 2025: Developments and Financial Stability Implications," FEDS Notes (April 8, 2026, DOI 10.17016/2380-7172.4020).
2. The ML/TF risks associated with stablecoin interface operators, including wallets, exchanges, and payment applications that distribute PPSI-issued stablecoins to retail users.
3. The ML/TF risks associated with the cross-regime dependency chain in which payment stablecoins function as redemption infrastructure for tokenized fund shares issued under the Investment Company Act of 1940 or foreign legal regimes.
4. The ML/TF risks associated with entities that straddle the boundary between domestic and foreign jurisdictions, particularly where technical operations are distributed outside the United States even though the institution has a US nexus.

An explicit signal now that the forthcoming Priorities will address these topics would support consistent AML program design by financial institutions that must make resource allocation decisions in the interim. The recommendation is responsive to FinCEN Questions 12 and 13, which invite comment on the AML/CFT Priorities.

**Recommendation 4: Preserve and clarify the US-based AML/CFT officer requirement for tokenized finance operators**

Proposed 31 CFR 10XX.210(b)(3) requires that the AML/CFT officer be located in the United States and accessible to FinCEN and its designee. The requirement implements 31 U.S.C. 5318(h)(5), as added by the AML Act. The preamble acknowledges that personnel located outside the United States may still perform certain AML/CFT functions.

The final rule should preserve this requirement without modification. It should clarify that for financial institutions operating in tokenized finance, where technical infrastructure is frequently distributed across multiple jurisdictions, the US-based officer must have effective supervisory control over the US-nexus operations and meaningful authority over the AML/CFT program, not a nominal title. The preamble should make explicit that this requirement applies to PPSIs regardless of where the entity is incorporated, where the underlying blockchain infrastructure operates, or where the engineering, custody, or compliance operations are headquartered, so long as the PPSI has a US nexus triggering BSA coverage.

The clarification addresses a specific concern in tokenized finance: the risk that an institution with US-facing activities could situate its AML/CFT officer abroad by characterizing the US activities as

technical rather than supervisory. This would undermine the statutory framework. The recommendation is responsive to FinCEN Question 17, which invites comment on whether further clarifications on the AML/CFT officer's US location are needed.

**Recommendation 5: Calibrate independent testing requirements for control-layer verification**

Proposed 31 CFR 10XX.210(b)(2) requires independent AML/CFT program testing. For financial institutions operating in tokenized finance, independent testing must include verification that the institution's AML program effectively covers the control-layer functions it performs. This requires capabilities that differ from traditional AML audit:

1. The ability to trace on-chain transactions against the institution's internal records to verify that the institution has visibility into the transactions for which it is responsible. A PPSI that issues a stablecoin whose subsequent on-chain movements are not recorded in the institution's monitoring systems cannot identify suspicious activity associated with that stablecoin, which is a material deficiency that audit procedures should detect.
2. The ability to evaluate whether the institution's enforcement capability (hold, freeze, or block authority) is functional. An institution that maintains a theoretical freeze capability that cannot be exercised in practice, or that is subject to unilateral override by an unregulated technical component, has a program deficiency that audit procedures should identify.
3. The ability to evaluate whether the institution's identity verification capability extends to all control-layer functions it performs. A PPSI that verifies identity at minting but not at transfer, or a wallet interface that verifies identity at onboarding but not at transaction initiation, has gaps that audit procedures should identify.

The final rule does not need to prescribe specific audit technology or procedures, which would be both difficult to draft well and prone to obsolescence. The final rule should, however, clarify that independent testing for control-layer operators must be "fit-for-purpose," meaning the testing must have the capability to evaluate the institution's actual activities, including its on-chain activities where applicable.

The companion comment on FINCEN-2026-0100 proposes an analogous requirement: operational verification that PPSIs' block, freeze, and reject capability is functional for both primary and secondary market transactions. The two recommendations share a principle: testing programs for control-layer operators should establish that capability works under conditions the institution would actually face, rather than inferring capability from the presence of infrastructure.

The recommendation is responsive to FinCEN Question 16, which invites comment on whether further clarifications on independent testing are necessary.

**Recommendation 6: Apply the supervision and enforcement consultation framework beyond banks, with priority for large MSBs**

Proposed 31 CFR 1020.221 establishes a consultation requirement between FinCEN and the Federal Financial Institutions Regulatory Agencies (FFIRAs) before any significant AML/CFT supervisory action. The consultation requirement applies only to banks. In Question 20, FinCEN invites comment on whether the framework should apply to other financial institutions.

The parallel PPSI AML rulemaking (FINCEN-2026-0100) already contemplates a consultation framework between FinCEN and the primary Federal payment stablecoin regulators with respect to significant AML/CFT supervisory actions involving PPSIs. The final rule in this rulemaking should extend an

analogous framework to MSBs above a size threshold to be determined by FinCEN in coordination with the FFIRAs. The rationale parallels the rationale for banks and for PPSIs: supervisory consistency improves when the statutory administrator of the BSA has the opportunity to review significant supervisory actions before they are initiated. Large MSBs operating in tokenized finance (including money transmitters handling significant stablecoin-denominated payment flows, prepaid access providers, and cross-border remittance operators) can have spillover effects on downstream interface operators, custodians, and holders comparable in magnitude to the spillover effects from bank or PPSI supervisory actions.

The final rule should also require that the MSB consultation framework be calibrated to produce outcomes consistent with the PPSI consultation framework in FINCEN-2026-0100. This consistency is particularly important during the transition period in which stablecoin-related activity may be conducted by entities registered as MSBs at the state level before crossing thresholds that trigger OCC PPSI supervision. Without consistent consultation frameworks, supervisory outcomes could diverge based on the regulatory characterization of the entity rather than the economic activity, which would undermine the AML/CFT program's effectiveness.

**Recommendation 7: Coordinate the final AML rule with the parallel PPSI AML rulemaking and the banking agency AML rulemaking**

Three parallel AML rulemakings were published April 10, 2026, with comments due June 9, 2026: (1) this rulemaking (FINCEN-2026-0034, general AML/CFT program framework for eleven financial institution categories); (2) the PPSI-specific rulemaking (FINCEN-2026-0100, joint FinCEN-OFAC, covering both AML and sanctions compliance for Permitted Payment Stablecoin Issuers); and (3) the banking agency rulemaking issued by the FDIC, OCC, and NCUA (91 Fed. Reg. 18304, covering supervised banks). The three rulemakings address overlapping but distinct populations of financial institutions. Their coordination in the final rules is material to the effectiveness of the overall AML/CFT regime.

The final rule in this rulemaking should include provisions (or a companion interpretive statement) addressing three specific coordination points:

1. The definition of "business activities" in proposed 31 CFR 10XX.210(b)(1)(i)(A) should be consistent across all three rulemakings for financial institutions whose activities span multiple supervisory domains. A bank that holds PPSI reserve assets is subject to the banking agency rule for its banking activities and interacts with FINCEN-2026-0100 through its custody relationship with the PPSI. Its risk assessment processes should address both sets of obligations in a consistent framework rather than being required to apply two separately calibrated analyses to the same economic activity.
2. The interface-layer supervision framework referenced in recommendations submitted on the OCC PPSI docket (OCC-2025-0372) should be reflected in the AML risk assessment requirements across all three rulemakings. An interface that distributes a PPSI-issued stablecoin should evaluate its distribution-activity ML/TF risks against two benchmarks: the PPSI's own third-party risk management of the interface, and the general AML/CFT program requirements applicable if the interface is independently registered as an MSB.
3. The AML/CFT officer's supervisory responsibility under 31 U.S.C. 5318(h)(5) should be coordinated across the three rulemakings. A PPSI should not be permitted to situate its AML/CFT officer and its operational officer in ways that create gaps in supervisory responsibility over any aspect of the institution's activities. A bank that holds PPSI reserves should have an AML/CFT

officer whose responsibility extends to the bank's reserve-custody activities. An MSB that distributes PPSI-issued stablecoins should have an AML/CFT officer whose responsibility addresses the interface-layer risks of that distribution.

Coordination across the three rulemakings is complicated by a structural fact: the Federal Reserve Board did not join the banking agency rulemaking. The banking agency NPRM at 91 Fed. Reg. 18304 is a re-issuance of a 2024 joint rule that included the Board, and the 20-month interval between the 2024 proposal and the 2026 re-issuance is sufficient for the Board to have rejoined if it had sought to. The Board's non-participation in 2026 is therefore structural, not a scheduling artifact. This creates a supervisory gap that falls most heavily on banks that span multiple supervisory jurisdictions. The final rule should include language (in regulatory text, in the preamble, or in a companion interpretive statement) addressing how coordination will be maintained in the event of continued FRB separation, and how it will be extended in the event of subsequent FRB participation. This coordination provision should be addressed in the final rule rather than deferred to a possible future Board action.

The coordination recommendation reflects the broader principle that federal financial regulation operates as a system. Stablecoin-specific rulemakings at multiple agencies will generate better outcomes if the rulemakings are drafted with attention to their interaction.

## III. Responses to specific FinCEN questions

**Question 1 (effective program):** The description is sufficiently clear at the conceptual level but would benefit from the clarifications proposed in Recommendations 1 and 2.

**Question 9 (risk assessment processes):** The plural formulation provides appropriate flexibility. Recommendation 1 proposes that for tokenized finance operators the risk assessment processes must include explicit control-layer evaluation.

**Question 12 (incorporating AML/CFT Priorities):** The difficulty of incorporating the 2021 Priorities into current AML programs is that the Priorities predate the GENIUS Act and the OCC PPSI NPRM. Recommendation 3 addresses this.

**Question 14 (prompt updates):** "Significantly changes" is clearer than "materially changes" for tokenized finance because the tokenized finance risk landscape evolves through specific events (new product launches, protocol upgrades, cross-chain bridge deployments) that create discrete risk changes. A standard keyed to "significant" changes admits of clearer bright lines than one keyed to "material."

**Question 16 (independent testing):** Recommendation 5 addresses this.

**Question 17 (AML/CFT officer location):** Recommendation 4 addresses this.

**Question 20 (supervision and enforcement beyond banks):** Recommendation 6 addresses this.

**Question 28 (innovative tools):** FinCEN's encouragement of innovative technology is welcome. The Director's factor in proposed 31 CFR 1020.221(d)(2) (considering the bank's advancement of AML/CFT Priorities through innovative activities) should be extended to PPSIs and large MSBs when the supervision framework is extended per Recommendation 6.

## Conclusion

The AML Act and this proposed rule mark a structural reorientation of US AML/CFT regulation toward risk-based, effectiveness-focused supervision. The reorientation is welcome, and the proposed rule operationalizes it carefully. The seven recommendations above would strengthen the rule's application to

tokenized finance, where the question of where AML obligations attach has become more consequential than in traditional finance. The control-layer framework, which has already been operationalized by another federal regulator in a crypto-adjacent rulemaking (SEC Division of Trading and Markets, April 13, 2026), provides a natural analytical tool for this application.

This comment is submitted alongside companion comments on FINCEN-2026-0100 (PPSI AML/CFT and sanctions compliance) and 91 Fed. Reg. 18304 (banking agency joint rule). The three filings are intended to be read together.

Tokenization Systems is available to discuss any of the recommendations in this comment.

Respectfully submitted,

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# Comment of Tokenization Systems on FINCEN-2026-0100

**Docket:** FINCEN-2026-0100; RIN 1506-AB73
**Re:** Permitted Payment Stablecoin Issuer Anti-Money Laundering/Countering the Financing of Terrorism Programs and Effective Sanctions Compliance Programs
**Submitted to:** regulations.gov
**Submitted by:** Tokenization Systems
**Date:** April 18, 2026

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## Executive summary

The joint FinCEN-OFAC NPRM at FINCEN-2026-0100 operationalizes the first statutory control-layer mandate in U.S. financial regulation. The GENIUS Act requires Permitted Payment Stablecoin Issuers (PPSIs) to have the technical capability to block, freeze, and reject transactions (proposed 31 CFR 1033.240) and to comply with lawful orders. These requirements, applied to both primary and secondary market activity, are a structural regulatory innovation.

Tokenization Systems supports the NPRM's structural approach, including the exercise of 31 U.S.C. 5312(a)(2)(Y) authority, the primary/secondary market framework, the MSB carve-out at proposed 31 CFR 1010.100(ff)(8)(iii), and the five-element sanctions compliance program at proposed 31 CFR 502.201(b).

The comment presents ten recommendations directed at specific provisions. Three recommendations focus on the highest-leverage question sets in the NPRM (Questions 27 through 32 on technical capabilities, Questions 35 through 39 on SAR obligations, and Questions 5 through 7 on definitions):

- **Recommendation 2 (Questions 27-32):** Require operational verification of block/freeze/reject capability through independent testing, for both primary and secondary market transactions. Technical capability cannot be presumed from the existence of smart contract functions. The NPRM's flexibility on technical methods is correct; the verification requirement preserves that flexibility while ensuring the capability is functional.
- **Recommendation 3 (Questions 5-7):** Clarify that the definition of "account" in proposed 31 CFR 1010.100(rrr) includes wallet addresses. Without this, lawful orders targeted at specific wallet addresses may be challenged as insufficiently particular. Additional clarifications address definitional boundary cases for tokenized deposits and basket-pegged stablecoin-like products.
- **Recommendation 5 (Questions 35-39):** Adopt a graduated secondary market SAR framework tied to 314(a) requests and executed block/freeze/reject actions, rather than either a blanket secondary market SAR obligation or no obligation. The final rule should also clarify the interaction between SAR reporting and block/freeze/reject and lawful order obligations.

Two additional recommendations address structural issues outside the highest-leverage question sets:

- **Recommendation 6:** Require PPSI risk assessments to address reserve custody relationships, including concentration risk, jurisdictional risk, and operational risk. The Federal Reserve FEDS Note by Du, Sonawane, and Watsky (DOI 10.17016/2380-7172.3958) documents the custodial concentration channel during the March 2023 Silicon Valley Bank episode.
- **Recommendation 9:** Coordinate the final rule with the parallel FinCEN general AML NPRM (FINCEN-2026-0034) and the banking agency NPRM (91 Fed. Reg. 18304), with specific attention to the Federal Reserve Board's non-participation in the banking agency rulemaking.

A preamble to the recommendations applies the MVEP framework systematically to Questions 8 through 19 on AML/CFT program design. Five of the ten MVEP categories map directly to specific provisions of proposed 31 CFR 1033.210 and related sections.

The comment is submitted alongside companion comments on FINCEN-2026-0034 (general AML/CFT program) and 91 Fed. Reg. 18304 (banking agency joint rule). The three filings are intended to be read together.

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## To the Director of FinCEN and the Director of OFAC

This comment is submitted on behalf of Tokenization Systems, an independent research and advisory practice analyzing the structure of federal regulation of tokenized financial infrastructure. Its Q1 2026 research program produced eight papers, four of which address stablecoin and digital dollar infrastructure directly. The core analytical framework developed through this work is the Control Layer Intensity Index (CLII), which characterizes stablecoin issuers and related operators by the intensity with which they exercise control over the issuance, routing, and destruction of stablecoin units. The companion framework, Minimum Viable Equivalence Pack (MVEP), is a ten-category diagnostic that specifies the minimum legal, operational, and economic features required for a tokenized instrument to provide the functional equivalents of the protections afforded to bank depositors. Applied to stablecoin regulation, MVEP provides a principled basis for distinguishing operators whose architectures merit differentiated regulatory treatment from those whose architectures do not.

The joint FinCEN-OFAC NPRM at FINCEN-2026-0100 is among the most consequential regulatory actions of the current GENIUS Act implementation cycle. The GENIUS Act imposes two technical capability requirements on Permitted Payment Stablecoin Issuers (PPSIs). First, a PPSI must have policies, procedures, and technical capabilities to block, freeze, and reject specific or impermissible transactions. Second, a PPSI must have the technological capability to comply with any lawful order. These requirements, operationalized in proposed 31 CFR 1033.240 and in proposed 31 CFR part 502, are the first instance in which U.S. financial regulation has imposed an affirmative operational-capability mandate on an intermediary for the purpose of controlling transactions in an issued instrument.

The rulemaking is consistent with the broader thesis of the Tokenization Systems research program: the locus of regulation and audit should be the operator and router, not the token itself. The NPRM's structural decomposition of PPSI activity into primary and secondary market components, together with its application of technical capability requirements to both market segments, reflects this approach.

This comment addresses the NPRM in three parts. Section I analyzes FinCEN's exercise of 31 U.S.C. 5312(a)(2)(Y) authority to define PPSIs as financial institutions, the primary/secondary market framework in section VI.B of the NPRM preamble, and the MSB carve-out. Section II addresses the proposed 31 CFR 1033.240 technical capability requirements, the sanctions compliance program elements in proposed 31 CFR 502.201(b), and the scope of the lawful order definition. Section III presents ten recommendations

directed at specific provisions of the NPRM, each tied to the NPRM's question set where applicable. Section IV addresses the OFAC question set. A brief closing section addresses coordination with the parallel FinCEN general AML rulemaking (FINCEN-2026-0034) and the banking agency rulemaking (91 Fed. Reg. 18304).

Tokenization Systems has submitted prior comments on related GENIUS Act implementation rulemakings. On the OCC Permitted Payment Stablecoin Issuer NPRM (docket OCC-2025-0372), the research program filed an original comment on April 10, 2026 and a supplemental comment on April 13, 2026. On Treasury's state-similarity rulemaking (TREAS-DO-2026-0232), the research program filed a comment on April 15, 2026. A companion comment on the FinCEN general AML/CFT program NPRM (FINCEN-2026-0034) is submitted alongside this comment. The recommendations in this comment are cross-referenced with those parallel filings.

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## I. Structural analysis of the PPSI regulatory framework

### I.A. FinCEN's exercise of 31 U.S.C. 5312(a)(2)(Y) is structurally significant

The NPRM's decision to use 31 U.S.C. 5312(a)(2)(Y) to define PPSIs as financial institutions is the first exercise of this authority for a category of digital asset issuers. The statutory authority permits FinCEN to designate a business as a financial institution when that business engages in activities similar to, related to, or a substitute for the activities of an enumerated financial institution. The NPRM's rationale, set out in section VI.A.1 of the preamble, identifies overlapping activity with both banks (through reserve custody and redemption) and money services businesses (through issuance and transmission of value).

The use of 5312(a)(2)(Y) rather than a new statutory financial institution category or a different existing category is consistent with the research program's position that tokenized financial infrastructure is most appropriately regulated through existing regulatory channels that attach to intermediaries and operators, rather than through token-specific classification. The NPRM's approach preserves the flexibility of the BSA framework while bringing PPSIs under its scope. This choice reduces the risk that subsequent tokenized asset categories will require case-specific statutory action; future asset classes whose issuers engage in activities similar to existing financial institutions can be brought under BSA coverage through the same authority.

### I.B. The primary/secondary market framework is control-layer decomposition

The NPRM uses primary market and secondary market as descriptive categories for the purpose of calibrating obligations. The operational distinction is clear: primary market activity involves direct interaction between the PPSI and a user (issuance, redemption, custody, and related services), while secondary market activity involves transfers that do not directly involve the PPSI as a party other than through interaction with the PPSI's smart contract. The NPRM applies some obligations (block/freeze/reject under proposed 31 CFR 1033.240(a), lawful order compliance under proposed 31 CFR 1033.240(b), and sanctions compliance internal controls under proposed 31 CFR 502.201(b)(3)) to both markets, while applying others (customer due diligence, SAR reporting) only to the primary market.

This structural choice is consistent with the Control Layer Intensity Index. Control-layer operators can exercise control at different operational layers: the issuance layer (minting, redemption, reserve custody), the routing layer (smart contract deployment, block/freeze/reject capability), and the settlement layer (lawful order execution). The NPRM's decision to apply block/freeze/reject and lawful order requirements to both primary and secondary market activity is consistent with the fact that the routing layer operates

independently of the PPSI's direct counterparty relationships. A PPSI can prevent a secondary market transfer through smart contract instruction without being a party to the underlying transaction, because the PPSI's control over the smart contract is the control mechanism, not the PPSI's relationship with the transacting parties.

The dual application is essential to the overall regulatory architecture. Supervision of the issuance layer alone, without routing-layer technical capability, would allow illicit activity to migrate to secondary markets. Supervision of the routing layer alone, without issuance-layer controls, would allow illicit actors to obtain stablecoins through direct issuance. The NPRM's dual application of certain obligations addresses both risks.

### I.C. The MSB carve-out partitions regulatory space cleanly

Proposed 31 CFR 1010.100(ff)(8)(iii) removes PPSIs from the MSB definition. Non-PPSI stablecoin issuers, including issuers of stablecoins that do not meet the GENIUS Act's payment stablecoin definition, remain subject to MSB regulation. The partition creates a clear regulatory boundary: PPSIs are subject to the tailored requirements of this NPRM, and other stablecoin issuers are subject to MSB requirements under the general FinCEN AML rulemaking at FINCEN-2026-0034.

One coordination question follows from this partition. A stablecoin issuer may, at any given time, issue both payment stablecoins (subject to PPSI regulation) and non-payment stablecoin digital assets (subject to MSB regulation). The NPRM should clarify whether such an issuer would be subject to PPSI requirements for its payment stablecoin activities and MSB requirements for its other activities, or whether the PPSI status would extend across all of the issuer's activities. This is addressed in Recommendation 1 below.

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## II. The GENIUS Act technical capability requirements as the first statutory control-layer mandate

### II.A. Proposed 31 CFR 1033.240 operationalizes a structural regulatory innovation

The GENIUS Act requires PPSIs to have the technical capabilities, policies, and procedures to block, freeze, and reject transactions that violate Federal or State laws, rules, or regulations. This is the first instance in U.S. financial regulation where the affirmative operational capability of an intermediary to act on transactions in an issued instrument is mandated by statute. Existing sanctions regulation obligates U.S. persons, including stablecoin issuers, not to engage in prohibited transactions. The GENIUS Act additionally requires the existence of the technical capability to prevent such transactions from occurring on the secondary market, where the PPSI is not a party to the transaction but its smart contract is the routing mechanism.

This is a structural regulatory innovation. U.S. financial regulation has historically imposed obligations on intermediaries with respect to their own activities and with respect to transactions occurring through their accounts. The GENIUS Act, as operationalized in proposed 31 CFR 1033.240, goes further: PPSIs must maintain the technical capability to act on transactions in instruments they have issued even when the PPSI is not a party to the transaction.

A forthcoming paper in the research program formalizes the control-layer framework that accounts for this structure and that the program has applied across its comment letter record. The framework characterizes the operational topology of tokenized financial infrastructure: the points at which intermediaries exercise control over issuance, routing, and settlement, and the intensity with which they do so. MVEP, cited in

the opening, applies that characterization to test products against a given obligation set; the forthcoming paper works at the level of the characterization itself. This rulemaking is a central applied context because it attaches obligations at specific points in the control-layer topology: AML/CFT program obligations at the issuance layer (proposed 31 CFR 1033.210), technical capability requirements at the routing layer (proposed 31 CFR 1033.240), and sanctions compliance across both layers (proposed 31 CFR 502.201(b)).

The program has applied the same framework to parallel dimensions of GENIUS Act implementation in prior comment letters: issuer-level supervisory requirements and interface-layer conduct in the OCC comment letter, and state-similarity assessment in the Treasury comment letter. This rulemaking addresses the AML/CFT and sanctions compliance dimensions of the same statute, at the issuance and routing layers.

### II.B. The sanctions compliance program extends the control-layer mandate to sanctions

Proposed 31 CFR 502.201(b) extends a parallel requirement to the sanctions compliance program. The five-element structure (senior management commitment, risk assessment, internal controls, testing and auditing, training) is consistent with OFAC's 2019 Framework for OFAC Compliance Commitments. What is new is the requirement at proposed 31 CFR 502.201(b)(3): internal controls must include technical capabilities to identify, block, and reject transactions that may violate or would violate U.S. sanctions, with the capability applying to both primary and secondary market activity. This operationalizes the GENIUS Act's statutory mandate through OFAC's sanctions compliance program structure.

The five-element structure aligns with the Control Layer Intensity Index (CLII). An issuer whose sanctions compliance program demonstrates all five elements functioning effectively across both primary and secondary market transactions, including through routing-layer technical capability, exhibits the highest CLII intensity. An issuer whose program covers only primary market activity, or whose routing-layer capability is present but not operationally verified, exhibits lower CLII intensity. The NPRM's requirement that all five elements be present, with technical capability operative on both markets, is consistent with the highest-intensity standard.

### II.C. The lawful order definition is the apex of control-layer obligation

Proposed 31 CFR 1010.100(rrr) defines lawful order through three elements: (1) requires the issuer to seize, freeze, burn, or prevent transfer of payment stablecoins; (2) specifies the stablecoins or accounts with reasonable particularity; and (3) is subject to judicial or administrative review or appeal. The lawful order obligation is the apex of the control-layer mandate because it converts maintained capability into compelled action: proposed 31 CFR 1033.240(a) requires the PPSI to be capable of blocking or freezing; the lawful order provisions require the PPSI to do so on an externally designated target, under an order subject to judicial or administrative review. The obligation extends to stablecoins held in a PPSI-controlled account and to stablecoins in a self-hosted wallet engaged in secondary market activity.

Wallet addresses should be included within the definition of "account," as addressed in Recommendation 3 below. The structural reason is clear: a lawful order targeted at a specific wallet address cannot be executed by a PPSI if "account" is interpreted to exclude wallet addresses. The PPSI's routing-layer capability operates on wallet addresses, and if lawful orders cannot be issued against wallet addresses, the routing-layer capability cannot be compelled by court order. Question 7 in the NPRM preamble invites comment on this point, and the research program's analysis supports affirming that wallet addresses are accounts within the meaning of the definition.

## III. Recommendations

**Application of the MVEP framework to AML/CFT program design (Questions 8 through 19)**

The research program's Minimum Viable Equivalence Pack (MVEP) framework provides the analytical basis for the AML/CFT program recommendations that follow. MVEP decomposes the minimum regulatory obligations for stablecoin deposit-equivalence into ten categories. Five categories are directly relevant to the AML/CFT program design in proposed 31 CFR 1033.210 and related provisions:

| MVEP Category | AML/CFT program mapping |
|---|---|
| Category 1: Rights Parity | Customer relationship definition; ongoing customer due diligence at proposed 31 CFR 1033.210(b)(1)(iii) |
| Category 3: Records and Reconciliation | Recordkeeping and Travel Rule via proposed 31 CFR 1033.410 (cross-reference to 31 CFR 1010.410(e) and (f)) |
| Category 5: Insolvency Posture | Correspondent account and private banking diligence at proposed 31 CFR 1033.610 and 1033.620 (counterparty exposure structure) |
| Category 8: Governance and Change Control | Written program, board or senior management approval, AML/CFT officer designation at proposed 31 CFR 1033.210(b)(3) and 1033.210(d); block/freeze/reject and lawful order technical capability at proposed 31 CFR 1033.240, as a governance-level operational control |
| Category 9: Disclosures | Customer-facing disclosure of AML/CFT program scope, sanctions compliance, and the legal nature of holder claims |

The Control Layer Intensity Index (CLII) operates as a companion framework that characterizes operator-level control across the life cycle of a payment stablecoin unit, including block/freeze/reject capability. Where the MVEP Category 8 mapping above references operational control capability, CLII provides the quantitative characterization of that control.

Applying this framework to Questions 8 through 19:

**Question 8 (secondary market risks):** Secondary market risks are captured primarily under Category 8 (Governance and Change Control) via the block/freeze/reject and lawful order technical capabilities, with the Control Layer Intensity Index (CLII) characterizing the operational intensity of that control. The NPRM's decision to apply these capabilities to secondary market activity is consistent with the MVEP framework. Secondary market risks that fall outside Category 8 (for example, risks from interface operator conduct rather than smart contract execution) are addressed through risk assessment requirements at proposed 31 CFR 1033.210(b)(1)(i)(A), which explicitly includes distribution channels.

**Question 9 (effective program clarity):** The proposed description of an effective AML/CFT program is sufficient in the main. The MVEP framework suggests one addition: program effectiveness should be assessed against the operational capability of control-layer functions, not only against process compliance. This is addressed in Recommendation 2 below.

**Question 10 (resource allocation):** The proposed rule's determination that PPSIs are best placed to identify risks and allocate resources is correct. The MVEP framework supports this: resource allocation should be informed by the PPSI's position across the ten MVEP categories, with higher-intensity categories warranting more intensive allocation. The final rule should not prescribe specific resource allocations across categories.

**Question 11 (establishing versus maintaining):** The distinction is useful and should be retained. The MVEP framework supports this bifurcation: establishing a program means building the operational capability for each applicable category; maintaining the program means verifying that the capability remains functional (per Recommendation 2 on operational verification).

**Question 12 (AML/CFT Priorities incorporation):** PPSIs may encounter difficulty in mapping the AML/CFT Priorities to the specific operational touchpoints of their payment stablecoin activities. The MVEP framework assists by providing a stable taxonomy: Priorities related to sanctions evasion map primarily to Category 8 (Governance and Change Control, including block/freeze capability); Priorities related to fraud map primarily to Category 3 (Records and Reconciliation); Priorities related to transnational criminal organizations map across Categories 1, 3, and 8.

**Questions 13 and 14 (risk assessment criteria and factors):** Addressed in Recommendation 1 below. The MVEP framework suggests additional factors PPSIs should consider: (a) position across the ten MVEP categories, (b) reliance on third parties for any MVEP category, and (c) operational interdependencies between categories (for example, Category 5 insolvency risk in reserve custody can produce Category 3 records and reconciliation problems during a custodial disruption).

**Question 15 (update timing):** The "promptly" standard at proposed 31 CFR 1033.210(b)(1)(i)(C) is appropriately calibrated. The MVEP framework suggests that different categories may warrant different update triggers: Category 8 changes (including smart contract upgrades, deployment on new blockchains, or changes to block/freeze capability) should trigger immediate risk assessment update; Category 3 changes (including changes to recordkeeping or Travel Rule processes) should trigger update within 30 days. The final rule could include this calibration in preamble guidance.

**Question 16 (flexibility for tailoring):** The proposed requirements provide sufficient flexibility. The MVEP framework is itself calibrated to size and complexity: a small PPSI with limited business lines may have lower Control Layer Intensity Index scores across several categories, justifying proportionally lighter program elements. This flexibility is preserved in the NPRM's outcomes-based approach.

**Question 17 (secondary market CDD):** PPSIs should consider information about secondary market transactions as part of CDD only when the secondary market information is linked to a specific primary market customer relationship. Blanket consideration of all secondary market activity is not operationally feasible and would dilute CDD effectiveness. The MVEP framework supports this bounded approach: CDD maps to Category 1 (Rights Parity), which is centered on the direct customer relationship rather than downstream transfers.

**Questions 18 and 19 (written program and approval):** The proposed rule's requirement that the AML/CFT program be written and approved is appropriate. On Question 18, the final rule should clarify that the written program must address each of the program elements at proposed 31 CFR 1033.210(b)(1) through (b)(4), together with the recordkeeping, reporting, and technical capability requirements elsewhere in the rulemaking. On Question 19, approval should cover the overall program framework and any material revisions to the risk assessment methodology, governance structure, or control-layer capability, but not parameter-level settings. This maps to MVEP Category 8 (Governance and Change Control) and is reflected in Recommendation 7 below on the scope of the felony conviction prohibition for the AML/CFT officer.

The following table maps each recommendation to the FinCEN and OFAC questions it addresses and to the proposed rule section it implicates, for reviewers navigating the comment by question rather than by recommendation.

| # | Recommendation | FinCEN/OFAC Q | Proposed rule section |
|---|---|---|---|
| 1 | Control-layer function mapping in PPSI risk assessments | Q13, Q14 | 31 CFR 1033.210(b)(1)(i)(A) |
| 2 | Operational verification of block/freeze/reject capability | Q27-Q30 | 31 CFR 1033.240(a); 1033.210(b)(2); 502.201(b)(4) |
| 3 | "Account" in lawful order definition should include wallet addresses | Q5, Q6, Q7 | 31 CFR 1010.100(rrr) |
| 4 | Sanctions compliance program integration with AML/CFT program | OFAC Q1, Q2 | 31 CFR 502.201(b); 1033.210(b) |
| 5 | SAR threshold and graduated secondary market framework | Q35-Q39 | 31 CFR 1033.320(a)(2); 1033.320(e) |
| 6 | Reserve custody relationships in PPSI risk assessments | Q46-Q49 | 31 CFR 1033.600, 1033.610, 1033.620 |
| 7 | AML/CFT officer felony conviction prohibition scope clarification | Scope clarification | 31 CFR 1033.210(b)(3)(iv) |
| 8 | Information sharing framework for interface operators | Q43-Q45 | 31 CFR 1033.520; 1033.540 |
| 9 | Coordination with parallel rulemakings | Q20-Q23 | 31 CFR 1033.221; multiple |
| 10 | Effective date and phased implementation | Q50 | Effective date provisions |

**Recommendation 1: Control-layer function mapping in PPSI risk assessments**

Proposed 31 CFR 1033.210(b)(1)(i)(A) requires risk assessment processes to evaluate the money laundering and terrorist financing risks of the PPSI's business activities, including products, services, distribution channels, customers, and geographic locations. The final rule should add an explicit requirement that risk assessments document which control-layer functions the PPSI performs directly versus through affiliates or third parties. This addresses Questions 13 and 14.

The final rule should require risk assessments to document: which entity operates the issuance function (mint and redemption); which entity holds reserve assets and under what custodial arrangements; which entity operates the routing layer (smart contract deployment, block/freeze/reject capability); which entity executes lawful orders; and which entities distribute the PPSI's stablecoins to secondary market users (interface operators), along with the contractual or operational relationships governing those distributions.

This documentation requirement is consistent with the NPRM's existing framework. Risk assessments already address distribution channels. The additional structure this recommendation proposes is a specific taxonomy of control-layer functions. A PPSI that performs all five functions internally has a different risk profile than a PPSI that relies on third-party interface operators for distribution or on affiliates for routing. The risk assessment should make these distinctions explicit.

For stablecoin issuers that issue both payment stablecoins and non-payment stablecoin digital assets, the risk assessment should document how the control-layer functions differ (if at all) across the two product categories. This addresses the coordination question flagged in section I.C above.

The companion comments on FINCEN-2026-0034 and 91 Fed. Reg. 18304 each propose a corresponding requirement. The three together would produce consistent risk assessment practice across institutions whose activities span multiple supervisory domains, reducing both compliance burden (one integrated risk assessment rather than three separately calibrated ones) and supervisory divergence (consistent treatment of the same economic activity).

**Recommendation 2: Operational verification of block/freeze/reject capability**

Proposed 31 CFR 1033.240(a) requires PPSIs to have technical capabilities, policies, and procedures to block, freeze, and reject specific or impermissible transactions. The NPRM does not specify how the existence of this capability is to be verified. This addresses Questions 27, 28, 29, and 30.

The final rule should require, as part of independent testing under proposed 31 CFR 1033.210(b)(2), operational verification that the block/freeze/reject capability is functional for both primary market and secondary market transactions. Operational verification should include: periodic testing that the PPSI can block a specified wallet address within a defined operational timeframe; periodic testing that the PPSI can freeze stablecoins in a specified wallet within a defined operational timeframe; periodic testing that the PPSI can reject a specified transaction type; and documentation that tests are performed on both primary market interactions (direct customer accounts) and secondary market smart contract interactions.

The rationale for operational verification is that technical capability cannot be presumed from the existence of smart contract functions. Smart contracts can contain block or freeze functions that are not operationally active, that require multi-party signatures no longer available, or that have been inadvertently disabled by subsequent upgrades. The GENIUS Act's requirement is that the PPSI has the technical capability, which is a present-tense operational statement, not a historical one.

This recommendation is also consistent with the NPRM's broader framework. Proposed 31 CFR 502.201(b)(4) requires independent testing of the sanctions compliance program. The operational verification recommended here would be a specific component of that testing, applicable to both AML/CFT and sanctions compliance programs.

On Question 28 (aspects that could unintentionally constrain PPSIs' choice of technical or operational approaches): the NPRM's approach of specifying the capability outcome rather than prescriptive technical methods is the correct framing. Prescriptive technical requirements would become outdated as blockchain architectures evolve and would create supervisory expectations about specific implementations that could limit PPSIs' ability to adopt improvements. The research program supports this flexibility approach. The operational verification requirement preserves flexibility (no specific verification method is prescribed) while ensuring the capability is functional.

On Question 30 (technical, operational, or architectural challenges): PPSIs face four implementation challenges that warrant supervisory awareness:

1. Smart contract immutability constrains retroactive application of block/freeze functions to historical transactions; the capability generally operates prospectively.
2. Cross-chain bridges and wrapped stablecoin representations create scenarios in which the PPSI's smart contract capability may not extend to bridged representations on other chains.
3. Smart contract upgrade processes carry operational risk; upgrades can inadvertently disable or modify block/freeze functions, and the operational verification requirement addresses this risk directly.
4. Coordination with secondary market venues (digital asset exchanges, interface operators) creates information gaps about which parties are attempting to use PPSI stablecoins in restricted ways.

The final rule should expect PPSIs to document these challenges in their risk assessments (per Recommendation 1) and address them through their internal policies, procedures, and controls.

On Questions 31 and 32 (lawful order capability scope and secondary market clarity): the research program supports the NPRM's approach of applying lawful order capability to both primary and secondary market activity. The wallet address clarification in Recommendation 3 below addresses the principal remaining ambiguity about reasonable particularity in lawful orders.

The companion comment on FINCEN-2026-0034 extends the same principle to independent testing generally (Recommendation 5 of that filing): for control-layer operators, testing must evaluate demonstrated capability, not inferred capability. The PPSI-specific operational verification requirement proposed here is the technical-capability application of that principle.

**Recommendation 3: "Account" in the lawful order definition should include wallet addresses**

Question 7 asks whether the definition of account in the lawful order definition at proposed 31 CFR 1010.100(rrr) should include wallet addresses. The research program recommends that the final rule clarify that account, for purposes of lawful orders, includes any identifier used to hold a payment stablecoin, including a wallet address.

The structural reason is noted in Section II.C above. A lawful order must specify the accounts subject to blocking with reasonable particularity. If wallet addresses are not included within the definition of account, a lawful order targeted at a specific wallet address may be challenged as insufficiently particular. This would create a gap in the control-layer mandate: the routing-layer capability operates on wallet addresses, but court orders could not compel action on wallet addresses.

The clarification is consistent with the GENIUS Act's policy intent. The Act specifically contemplates that lawful orders may require PPSIs to seize, freeze, burn, or prevent transfer of stablecoins, and the operational target of such actions is typically a wallet address. The final rule should make this explicit, either by adding a clarifying sentence to the definition of lawful order at proposed 31 CFR 1010.100(rrr) or by including the clarification in the preamble to the final rule.

On Question 5 (definitional clarity): the research program assesses the proposed definitions as sufficiently clear in the main, with the wallet address clarification above being the principal additional item. The new definitions at proposed 31 CFR 1010.100(ppp) through (xxx) adopt GENIUS Act language consistently; the technical modifications FinCEN proposes are generally appropriate to reconcile with existing FinCEN definitional architecture.

On Question 6 (boundary products): two categories of products warrant additional attention in the final rule or in accompanying guidance. First, tokenized deposits may, in some configurations, share structural features with payment stablecoins. The GENIUS Act's exclusion of deposits from the payment stablecoin definition addresses this in principle; the final rule should clarify that a tokenized deposit whose issuer represents it will maintain stable value relative to fiat currency remains excluded from the payment stablecoin definition so long as it meets the statutory definition of a deposit under 12 U.S.C. 1813. Second, stablecoin-like products pegged to a basket of assets (rather than a single fiat currency) fall outside the payment stablecoin definition. The final rule should clarify that such products remain subject to MSB regulation under the general FinCEN AML framework, and that a PPSI cannot avoid PPSI obligations by reformulating a single-currency-pegged product as a basket-pegged product.

**Recommendation 4: Sanctions compliance program integration with AML/CFT program**

Proposed 31 CFR 502.201(b) requires a sanctions compliance program with five elements. Proposed 31 CFR 1033.210(b) requires an AML/CFT program. In practice, PPSIs will likely operate these as an integrated compliance function, as the NPRM's Regulatory Impact Analysis acknowledges at section XII.A.4.ii.a. This addresses OFAC Questions 1 and 2.

The final rule should explicitly permit, though not require, integration of the sanctions compliance program with the AML/CFT program, subject to the following conditions: (a) the risk assessment processes under proposed 31 CFR 1033.210(b)(1)(i) and proposed 31 CFR 502.201(b)(2) address both ML/TF risks and sanctions risks, with distinct documentation of each; (b) internal controls under proposed 31 CFR 502.201(b)(3) and AML/CFT program controls under proposed 31 CFR 1033.210(b)(1) are documented separately or with explicit mapping between the two; and (c) independent testing under proposed 31 CFR 502.201(b)(4) and proposed 31 CFR 1033.210(b)(2) covers both programs, with test results that distinguish between AML/CFT and sanctions compliance findings.

The integration allowance is consistent with efficient compliance operation. The documentation requirements preserve the ability of both FinCEN and OFAC to examine compliance with their respective program requirements. The integration allowance also reduces compliance costs without reducing compliance effectiveness, which is consistent with the NPRM's RIA analysis of the regulatory baseline.

**Recommendation 5: SAR threshold calibration and graduated secondary market framework**

Proposed 31 CFR 1033.320(a)(2) establishes a $5,000 SAR threshold for PPSIs, consistent with CIP-subject institutions. This is a material change from the current $2,000 threshold for MSBs. The NPRM does not impose a secondary market SAR obligation. Questions 35 and 39 address these points.

On the threshold: the $5,000 calibration is reasonable for PPSI primary market activity, where transactions are typically larger than retail transactions at money transmitters. The research program does not recommend adjustment of the threshold.

On secondary market SAR reporting: the research program recommends that the final rule include a graduated secondary market SAR framework, not a blanket secondary market SAR obligation. The framework should include two specific circumstances in which secondary market SAR reporting is required: (a) when a PPSI has received a section 314(a) request identifying a specific wallet address, and the PPSI identifies secondary market activity involving that wallet address subsequent to the request; and (b) when a PPSI has executed a block, freeze, or reject action with respect to a specific wallet address under proposed 31 CFR 1033.240(a), and the PPSI identifies secondary market activity involving related wallet addresses subsequent to the action.

These two circumstances address the information gap the NPRM identifies (PPSIs may have limited insight into secondary market activity) while creating specific, actionable reporting obligations tied to the PPSI's existing operational touchpoints with secondary market activity. The research program does not recommend broader secondary market SAR obligations at this time, as the NPRM's analysis of the information gap is consistent with the research program's analysis. The voluntary secondary market SAR safe harbor at proposed 31 CFR 1033.320(e) should be preserved as written.

On Question 36 (specific transaction types warranting additional clarification): three transaction types warrant specific clarification in the final rule or in accompanying guidance:

1. Transactions in which a PPSI-issued stablecoin is converted to or from a tokenized deposit issued by the same parent insured depository institution.

2. Cross-chain bridging transactions where a PPSI-issued stablecoin is wrapped or represented on another blockchain.
3. Transactions involving stablecoin-to-stablecoin exchange where multiple PPSIs are involved.

The final rule should address whether SAR reporting obligations apply across these transaction types, and which PPSI (if multiple are involved) is obligated to file.

On Question 37 (joint SAR filing for subsidiary PPSIs): the NPRM's provision at proposed 31 CFR 1033.320(d)(1)(ii)(B) adequately addresses this by permitting SAR sharing between a PPSI subsidiary and its parent insured depository institution. No modification is recommended. The provision appropriately recognizes the enterprise-wide nature of AML/CFT compliance where a PPSI operates within a larger banking organization.

On Question 38 (interaction between SAR reporting and block/freeze/reject, recordkeeping, and lawful order obligations): the final rule should clarify three specific interaction points:

1. The execution of a block/freeze/reject action under proposed 31 CFR 1033.240(a) does not itself constitute a suspicious transaction triggering mandatory SAR reporting, absent other indicia of suspicion.
2. Compliance with a lawful order under proposed 31 CFR 1033.240(b) does not itself constitute a suspicious transaction, absent other indicia of suspicion.
3. Records of block/freeze/reject actions and lawful order compliance should be retained for five years consistent with other BSA recordkeeping, but should be maintained separately from SAR records to preserve the distinct confidentiality protections that apply to SARs under proposed 31 CFR 1033.320(d).

The graduated secondary market SAR framework proposed above addresses the forward-looking interaction (where a block or freeze generates information about related wallet addresses) while this clarification addresses the backward-looking interaction (where the act of blocking or freezing itself does not automatically trigger a SAR).

**Recommendation 6: Reserve custody relationships in PPSI risk assessments**

Proposed 31 CFR 1033.600, 1033.610, and 1033.620 apply enhanced due diligence for correspondent accounts for foreign financial institutions and private banking accounts. The NPRM does not specifically address the AML/CFT risks of the relationships between PPSIs and the banks that hold PPSI reserve assets. Questions 46, 47, 48, and 49 address special standards of diligence.

The final rule should include a specific provision addressing PPSI reserve custody relationships. When a PPSI maintains reserve assets with a bank (including a foreign bank), the PPSI's risk assessment under proposed 31 CFR 1033.210(b)(1)(i) should address the concentration risk, jurisdictional risk, and operational risk of that custody relationship. This is not strictly a correspondent account relationship under the traditional definition, but it has analogous risk characteristics.

The Federal Reserve FEDS Note by Du, Sonawane, and Watsky (December 17, 2025, DOI 10.17016/2380-7172.3958) documents the custodial concentration channel of stablecoin peg instability during the March 2023 Silicon Valley Bank episode. When Circle disclosed that USDC reserves included approximately $3.3 billion at Silicon Valley Bank, the resulting deviation from peg was substantial and extended across the stablecoin market. This channel operates through the reserve custody relationship, not through the PPSI's direct customer relationships. The AML/CFT framework should address risks operating through this channel, and the illicit finance risk of a reserve custodian itself is a distinct category of risk that

warrants explicit attention in the risk assessment process.

The final rule should require that PPSI risk assessments address: the identity and jurisdictional location of banks holding PPSI reserve assets; the concentration of reserve assets across reserve custodians; the AML/CFT and sanctions compliance programs of those reserve custodians, to the extent this information is available to the PPSI; and contingency plans for reserve custody disruption.

This recommendation complements the OCC's PPSI operational requirements rulemaking (OCC-2025-0372), which addresses reserve composition and custody from a safety and soundness perspective. The AML/CFT framework should address the same channel from an illicit finance perspective.

**Recommendation 7: AML/CFT officer felony conviction prohibition scope clarification**

Proposed 31 CFR 1033.210(b)(3)(iv) incorporates the GENIUS Act's prohibition on designating as the AML/CFT officer any individual convicted of a felony offense involving insider trading, embezzlement, cybercrime, money laundering, terrorism financing, or financial fraud. The scope of this prohibition is unclear in three specific respects.

The final rule should clarify: (a) whether foreign convictions count. The statutory language does not specify, and the final rule should clarify that foreign convictions for equivalent offenses count, subject to the principle that the foreign conviction must have been for conduct that would constitute a felony offense of one of the specified types under U.S. law. (b) Whether there is a time horizon. A felony conviction from 30 years ago for financial fraud presents a different risk profile than a conviction from 3 years ago. The final rule should specify whether the prohibition is lifetime or whether it operates with a lookback period. If a lookback period applies, the rule should specify its length. (c) Whether the prohibition extends to expunged or pardoned convictions. Different states have different rules on expungement; the final rule should specify federal policy.

The research program does not take a position on the appropriate resolution of these questions; it recommends that the final rule resolve them explicitly rather than leaving them to be addressed in supervisory practice.

**Recommendation 8: Information sharing framework for interface operators**

Proposed 31 CFR 1033.520 and 1033.540 apply sections 314(a) and 314(b) of the USA PATRIOT Act to PPSIs. The NPRM does not specifically address how these information sharing provisions interact with interface operators (digital asset exchanges and other entities that distribute PPSI-issued stablecoins to secondary market users). Questions 43, 44, and 45 address information sharing.

The final rule should clarify the information sharing framework between PPSIs and their interface operators. Where an interface operator is independently registered as an MSB or is otherwise a BSA financial institution, the interface operator and the PPSI should be able to participate in 314(b) information sharing with respect to stablecoin-related activity, including for the purpose of identifying secondary market transactions that may warrant SAR reporting by the interface operator. The safe harbor protections under 31 U.S.C. 5318(g)(3) should extend to information sharing between PPSIs and their interface operators, subject to the interface operator's own BSA reporting obligations. The final rule should also address whether a PPSI's receipt of a 314(a) request should trigger outreach to interface operators that distribute the PPSI's stablecoins, for the purpose of identifying secondary market activity involving the subject of the request.

The rationale is that interface operators are often better positioned than PPSIs to identify illicit activity in

secondary market transactions, because interface operators maintain customer relationships with secondary market participants. A coordinated information sharing framework between PPSIs and interface operators would increase the quality of SAR reporting and the responsiveness to 314(a) requests.

The information sharing framework proposed here is the PPSI channel for interface operator engagement. The companion comment on FINCEN-2026-0034 addresses whether an interface operator itself bears AML/CFT program obligations (Recommendation 2 of that comment, on the disqualifying-activities analog). The companion comment on 91 Fed. Reg. 18304 addresses how banks providing correspondent services to interface operators should evaluate that exposure in their risk assessments (Recommendation 1 of that comment). The three channels together determine whether illicit activity at the interface layer is detected through the interface operator's own program, through the PPSI's third-party diligence, or through the bank correspondent relationship.

**Recommendation 9: Coordination with parallel rulemakings**

The NPRM is one of three parallel AML rulemakings published April 10, 2026, with comments due June 9, 2026. The other two are the FinCEN general AML/CFT program NPRM (FINCEN-2026-0034) and the banking agency joint NPRM (91 Fed. Reg. 18304). The research program has filed or will file comments on both.

The final rule should include specific provisions (or a companion interpretive statement) addressing three coordination points:

1. Where a PPSI is also registered in some capacity as an MSB during a transition period, the final rule should clarify which set of obligations applies during the transition, despite the MSB carve-out at proposed 31 CFR 1010.100(ff)(8)(iii).

2. Where a PPSI is a subsidiary of an insured depository institution, the final rule should clarify the interaction between the PPSI's AML/CFT program obligations under proposed 31 CFR 1033.210 and the parent IDI's AML/CFT program obligations under the banking agency NPRM. The NPRM at section VI.A.2.i addresses this in part; the final rule should provide more specific guidance on enterprise-wide program design.

   This is the PPSI-as-subsidiary configuration. A distinct configuration exists where the insured depository institution itself operates as a Federal Qualified Payment Stablecoin Issuer; the bank and the FQPSI are the same entity, with a single AML/CFT program covering both bank and stablecoin activities. The companion comment on 91 Fed. Reg. 18304 addresses the FQPSI-as-bank configuration (Recommendation 1 of that comment). The supervisory treatment of the two configurations should be coordinated in the final rules so that economically similar activities produce consistent AML/CFT obligations regardless of whether the PPSI is structured as a subsidiary or as a function of the bank itself.

3. The Federal Reserve Board did not join the banking agency NPRM. The banking agency NPRM at 91 Fed. Reg. 18304 is a re-issuance of a 2024 joint rule that included the Board, and the 20-month interval between the 2024 proposal and the 2026 re-issuance is sufficient for the Board to have rejoined if it had sought to. The Board's non-participation in 2026 is therefore structural, not a scheduling artifact, and the coordination gap for PPSI-related supervision should be addressed in this rulemaking rather than deferred to a possible future Board action. The final rule should include language addressing how coordination will be maintained in the event of continued FRB separation, and how it will be extended in the event of subsequent FRB participation, for banks subject to Federal Reserve supervision that become PPSIs or that hold PPSI reserves. The absence

of FRB participation creates a potential gap in supervisory consistency for banks that span multiple supervisory jurisdictions, and the final rule should address how this gap will be managed.

On the supervision and enforcement framework at proposed 31 CFR 1033.221 (Questions 20 through 23), the research program supports application of the framework to PPSIs. The consultation mechanism between FinCEN and the primary Federal payment stablecoin regulators under proposed 31 CFR 1033.221(c) is structurally analogous to the mechanism proposed for banks in FINCEN-2026-0034. The research program's analysis indicates that supervisory consistency for PPSIs is particularly important given the novelty of the PPSI regulatory category and the potential for supervisory divergence across four primary Federal payment stablecoin regulators (OCC, Board, FDIC, NCUA) and state regulators. The consultation framework should be adopted as proposed, with the coordination provisions above addressed in the final rule.

**Recommendation 10: Effective date and phased implementation**

Question 50 asks for comment on the proposed 12-month effective date. The research program recommends a 12-month effective date for most provisions, with two phased extensions.

First, operational verification of block/freeze/reject capability under Recommendation 2 above should be subject to an 18-month effective date, to permit PPSIs to build, test, and document the verification protocols. Second, the coordination provisions under Recommendation 9 should be subject to a 24-month effective date, to permit the final rules across the three parallel rulemakings to come into effect and for interpretive coordination to occur.

The research program does not recommend extensions beyond these specific provisions. The general 12-month effective date is appropriate for the substantive obligations of the NPRM. Extensions should be targeted at specific operational points where the cross-rulemaking coordination or technical buildout is the binding constraint.

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## IV. Response to OFAC question set: Five-element control-layer framework

The OFAC question set (Questions 1 through 7 in section X of the NPRM preamble) is addressed below by applying the five-element sanctions compliance program structure at proposed 31 CFR 502.201(b) as the organizing framework. The five elements (senior management and organizational commitment; risk assessments; internal controls; testing and auditing; training) together operationalize the control-layer mandate of the GENIUS Act. The research program's position is that each element should be assessed against its contribution to the PPSI's functional capability to identify, block, freeze, reject, or lawfully order action on sanctions-implicated transactions across both primary and secondary market activity.

**Element 1: Senior management and organizational commitment (proposed 31 CFR 502.201(b)(1))**

No OFAC question targets Element 1 directly. One interpretive consideration should inform the final rule. PPSI senior management configurations will vary by entity type: subsidiaries of insured depository institutions have board oversight through the parent IDI; Federal qualified payment stablecoin issuers have OCC-approved governance structures; state qualified payment stablecoin issuers have state-approved structures. The final rule should interpret Element 1 flexibly to accommodate these different configurations, provided the functional requirements (review, approval, and support of the compliance program with authority and autonomy over the compliance function) are met. This interpretive flexibility

is consistent with the GENIUS Act's direction that regulations be tailored to the size and complexity of the PPSI.

**Element 2: Risk assessments (proposed 31 CFR 502.201(b)(2)): Question 6**

**Question 6 (risk factors for sanctions risk assessments):** PPSIs should consider risk factors across five categories:

1. Customer risk: direct customer jurisdiction, entity type, beneficial ownership, and the customer's own sanctions compliance program.
2. Product risk: the specific features of the payment stablecoin, including whether the stablecoin is deployed on multiple blockchains and which blockchains.
3. Transaction risk: volume, frequency, and counterparty patterns in both primary and secondary market activity, with specific attention to patterns consistent with sanctions evasion typologies.
4. Geographic risk: jurisdictional exposure through counterparties and through wallet address associations with sanctioned jurisdictions (including through blockchain analytics-identified exposures).
5. Technological risk: the PPSI's technical capability to execute the internal controls at Element 3, including the scalability and resilience of block/freeze/reject capability under high-volume conditions.

The MVEP framework applied to Questions 8 through 19 above provides additional structure: risk factors should be cross-referenced to the relevant MVEP categories, with Category 8 (Governance and Change Control) receiving particular attention for sanctions-implicated operational risks, together with the Control Layer Intensity Index (CLII) for characterizing the operator's overall control-layer intensity.

**Element 3: Internal controls (proposed 31 CFR 502.201(b)(3)): Questions 2, 3, 4, and 5**

Element 3 bears the largest share of the OFAC question set because it operationalizes the control-layer mandate.

**Question 2 (payment stablecoin-related activity definition scope):** The definition at proposed 31 CFR 502.303 is appropriately scoped to capture the full lifecycle of a payment stablecoin, including secondary market activity. The definition's inclusion of issuing, trading, holding, transacting, transferring, redeeming, or any other activity appropriately covers the control-layer functions identified in Recommendation 1 above. No modification is recommended.

**Question 3 (best practices for policies, procedures, and internal controls):** The research program identifies five best practices that PPSIs should consider:

1. Policies and procedures should be versioned, with version history preserved to demonstrate compliance posture at the time of any apparent violation.
2. Internal controls should include both preventive controls (wallet-address-level SDN List screening at the smart contract layer) and detective controls (post-transaction monitoring for patterns consistent with sanctions evasion).
3. Sanctions screening should operate at both the customer onboarding stage (primary market) and the routing stage (secondary market via smart contract logic).
4. Controls should be tested against specific sanctions scenarios, not only against general sanctions lists.
5. Incident response procedures should address both false negatives (failed detection) and false positives (over-blocking), with documented resolution processes that preserve due process for

legitimate users whose wallets may be incorrectly associated with sanctioned activity.

**Question 4 (technical, operational, or architectural controls for block/freeze/reject):** Effective technical controls include real-time sanctions screening at the smart contract level (including wallet address screening against SDN List wallet addresses); pre-issuance screening of direct customers; post-redemption screening; geolocation controls where operationally feasible; and routing-layer screening of smart contract interactions involving known sanctioned addresses. These controls are consistent with OFAC's 2021 Sanctions Compliance Guidance for the Virtual Currency Industry and with current market practice among larger stablecoin issuers. For the specific example cited in Question 4 (rejecting secondary market transactions involving Iran), PPSIs should implement transaction-level geolocation screening combined with wallet address screening against known Iran-linked addresses, and should document the specific data sources and refresh cadence used for each screening category.

**Question 5 (flexibility for technical implementation):** The proposed rule appropriately affords PPSIs flexibility. The research program supports the NPRM's outcomes-based approach. Prescriptive technical requirements would become outdated and would create supervisory expectations about specific implementations that could limit PPSIs' ability to adopt technical improvements. The flexibility is particularly important given the heterogeneity of PPSI business models (different blockchains, different smart contract architectures, different user bases). The operational verification requirement proposed in Recommendation 2 above preserves flexibility at the implementation level while ensuring the capability itself is functional.

**Element 4: Testing and auditing (proposed 31 CFR 502.201(b)(4))**

No OFAC question targets Element 4 directly. The operational verification requirement proposed in Recommendation 2 above is the research program's principal contribution on this element. Independent testing under Element 4 should verify that the internal controls at Element 3 function as designed, particularly the block/freeze/reject capability for both primary and secondary market activity. The testing should also verify that sanctions screening tools (SDN List screening, blockchain analytics integrations, geolocation controls) are correctly configured and updated in response to changes in OFAC's SDN List and related sanctions authorities.

**Element 5: Training (proposed 31 CFR 502.201(b)(5))**

No OFAC question targets Element 5 directly. The research program notes one consideration: training for PPSI personnel must address both traditional sanctions topics (SDN List, blocked persons, geographic restrictions) and digital-asset-specific topics (wallet address screening, smart contract logic, cross-chain considerations, blockchain analytics interpretation). Training programs that cover only the traditional topics will not equip personnel to identify and respond to sanctions risks specific to payment stablecoin activity. OFAC's 2021 Virtual Currency Industry Guidance provides a starting point for the digital-asset-specific training content.

**Question 7 (effective date)**

The 12-month effective date is appropriate for sanctions compliance program establishment. The five-element structure is consistent with existing OFAC guidance and with current market practice among PPSIs likely to qualify under the GENIUS Act. The phased extensions proposed in Recommendation 10 above (18 months for operational verification of block/freeze/reject capability, 24 months for coordination provisions) address specific operational buildout concerns but do not extend to the sanctions compliance program establishment itself.

**Question 1 (overall clarity of minimum elements)**

The five-element structure at proposed 31 CFR 502.201(b) is clear in the main. The research program's recommendations strengthen operational specificity in two places. First, the operational verification requirement at Recommendation 2 strengthens Element 3 (internal controls) and Element 4 (testing and auditing) by requiring demonstrated functionality rather than presumed functionality. Second, the clarifications to the payment stablecoin-related activity scope at Element 3 (through the definition at proposed 31 CFR 502.303 and the boundary product discussion in Recommendation 3) address definitional uncertainty that could otherwise create gaps in the five-element framework's application to specific PPSI activities.

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## V. Closing

The joint FinCEN-OFAC NPRM at FINCEN-2026-0100 operationalizes the first statutory control-layer mandate in U.S. financial regulation. This is a structural regulatory innovation with implications that extend beyond the PPSI category. Subsequent rulemakings addressing tokenized financial infrastructure (including tokenized deposits, tokenized securities, and other digital asset categories) will likely adopt similar operational-capability requirements. The form this rulemaking takes will therefore shape how subsequent federal rulemakings address the operator and router dimensions of tokenized financial infrastructure.

The research program supports the NPRM's structural approach. The exercise of 31 U.S.C. 5312(a)(2)(Y) authority, the primary/secondary market framework, the MSB carve-out at proposed 31 CFR 1010.100(ff)(8)(iii), the dual application of block/freeze/reject and lawful order capability to both markets, and the five-element sanctions compliance program structure are each consistent with regulating and auditing the operator and router rather than the token itself.

The ten recommendations in this comment are directed at specific operational points where the final rule can strengthen the overall framework without altering its structural approach. The highest-leverage recommendations are operational verification of technical capability (Recommendation 2), clarification of "account" in the lawful order definition (Recommendation 3), and reserve custody risk assessment (Recommendation 6). The coordination recommendations (Recommendation 9) address the three-rulemaking landscape in which this NPRM sits.

The research program's companion comments on FINCEN-2026-0034 (general AML/CFT program) and 91 Fed. Reg. 18304 (banking agency joint rule) address the overlapping frameworks for other financial institution types. The three filings are intended to be read together.

Tokenization Systems is available to discuss any of the recommendations in this comment.

Respectfully submitted,

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## Appendix: Cross-reference to NPRM questions

| Question # | Topic | Addressed in |
|---|---|---|
| Q4 | MSB carve-out | Section I.C, Recommendation 9 |
| Q5 | Definitional clarity | Recommendation 3 |
| Q6 | Boundary products (tokenized deposits, basket-pegged products) | Recommendation 3 |
| Q7 | Lawful order “account” definition | Section II.C, Recommendation 3 |
| Q8 | Secondary market risks | MVEP framework subsection |
| Q9 | Effective program clarity | MVEP framework subsection |
| Q10 | Resource allocation | MVEP framework subsection |
| Q11 | Establishing versus maintaining program | MVEP framework subsection |
| Q12 | AML/CFT Priorities incorporation | MVEP framework subsection |
| Q13, Q14 | Risk assessment criteria and factors | MVEP framework subsection, Recommendation 1 |
| Q15 | Risk assessment update timing | MVEP framework subsection |
| Q16 | Flexibility for tailoring | MVEP framework subsection |
| Q17 | Secondary market CDD consideration | MVEP framework subsection |
| Q18, Q19 | Written program and approval scope | MVEP framework subsection, Recommendation 7 |
| Q20–Q23 | Supervision framework | Recommendation 9 |
| Q27, Q29 | Block/freeze/reject refinement and secondary market scope | Recommendation 2 |
| Q28 | Avoiding unintended constraints on technical approaches | Recommendation 2 |
| Q30 | Technical, operational, and architectural challenges | Recommendation 2 |
| Q31, Q32 | Lawful order capability scope (primary and secondary market) | Recommendations 2, 3 |
| Q35 | Clarity of secondary market SAR scope | Recommendation 5 |
| Q36 | Specific transaction types for SAR clarification | Recommendation 5 |
| Q37 | Joint SAR filing for subsidiary PPSIs | Recommendation 5 |
| Q38 | Interaction of SAR with block/freeze/reject and lawful orders | Recommendation 5 |
| Q39 | Reconsideration of secondary market SAR obligation | Recommendation 5 |
| Q43, Q44, Q45 | Information sharing | Recommendation 8 |
| Q46, Q47, Q48, Q49 | Special standards of diligence | Recommendation 6 |

| Question # | Topic | Addressed in |
|---|---|---|
| Q50 | Effective date | Recommendation 10 |
| OFAC Q1 | Overall clarity of minimum elements | Section IV |
| OFAC Q2 | Payment stablecoin-related activity definition | Section IV (Element 3) |
| OFAC Q3 | Best practices for policies, procedures, and internal controls | Section IV (Element 3) |
| OFAC Q4 | Technical controls for block/freeze/reject | Section IV (Element 3) |
| OFAC Q5 | Flexibility for technical implementation | Section IV (Element 3) |
| OFAC Q6 | Risk factors for sanctions risk assessments | Section IV (Element 2) |
| OFAC Q7 | Effective date | Section IV, Recommendation 10 |

# Comment of Tokenization Systems on the Banking Agency Joint AML/CFT Program NPRM (91 Fed. Reg. 18304)

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**Issuing agencies:** Office of the Comptroller of the Currency; Federal Deposit Insurance Corporation; National Credit Union Administration
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**Date:** April 18, 2026

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## Executive summary

The joint NPRM at 91 Fed. Reg. 18304, issued by the OCC, FDIC, and NCUA, amends bank AML/CFT program requirements to align with the AML Act of 2020 and with the parallel FinCEN general AML/CFT program NPRM (FINCEN-2026-0034). The proposed amendments preserve the four-pillar AML program architecture while adding requirements for risk assessment processes, a US-based AML/CFT officer, consideration of the AML/CFT Priorities, and a culture of compliance.

Tokenization Systems supports the proposed rule's general approach. The comment makes one structural observation and six specific recommendations. The structural observation is that banks increasingly perform control-layer functions in tokenized finance, including reserve custody for payment stablecoin issuers, tokenized deposit issuance, custody of tokenized securities, and operation as Federal qualified payment stablecoin issuers. Bank AML/CFT programs will be more effective if risk assessment processes explicitly address these control-layer functions.

The highest-leverage recommendations are:

- **Recommendation 1:** Clarify that risk assessment processes for banks operating in tokenized finance must evaluate the control-layer functions the bank performs, including reserve custody for payment stablecoin issuers, tokenized deposit issuance, and custody of tokenized securities.
- **Recommendation 2:** Require bank risk assessments to address reserve custody relationships with Permitted Payment Stablecoin Issuers (PPSIs), including concentration risk, operational risk, and the custodial channel through which reserve custodian disruption can propagate to stablecoin markets. The Federal Reserve FEDS Note by Du, Sonawane, and Watsky (DOI 10.17016/2380-7172.3958) documents this channel during the March 2023 Silicon Valley Bank episode.
- **Recommendation 6:** Address the Board of Governors' non-participation in this rulemaking. The 2026 proposal is a re-issuance of a 2024 joint rule that included the Board, creating a supervisory

consistency gap for banks subject to FRB supervision. The final rule should include a coordination mechanism that accommodates either subsequent FRB participation or continued FRB separation.

Three additional recommendations address structural points outside the highest-leverage set:

- **Recommendation 3:** Clarify coordination between the parent bank's AML/CFT program and the AML/CFT program of a PPSI operated as a bank subsidiary, including joint SAR filing arrangements under proposed 31 CFR 1033.320(d)(1)(ii)(B) and supervisory coordination with FinCEN.
- **Recommendation 4:** Preserve and clarify the US-based AML/CFT officer requirement for banks operating in tokenized finance, ensuring the officer has effective supervisory control over US-nexus operations regardless of where technical operations are headquartered.
- **Recommendation 5:** Define the culture of compliance requirement, as it applies to banks operating in tokenized finance, to include explicit responsibility for control-layer function performance, not only documentary and procedural compliance.

The comment is submitted alongside companion comments on the parallel FinCEN rulemakings: FINCEN-2026-0034 (general AML/CFT program) and FINCEN-2026-0100 (PPSI AML/CFT and sanctions compliance). The three filings are intended to be read together.

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## To the Office of the Comptroller of the Currency, the Federal Deposit Insurance Corporation, and the National Credit Union Administration

This comment is submitted on behalf of Tokenization Systems, an independent research and advisory practice analyzing the structure of federal regulation of tokenized financial infrastructure. Its Q1 2026 research program produced eight papers, four of which address stablecoin and digital dollar infrastructure directly. The core analytical framework developed through this work is the Control Layer Intensity Index (CLII), which characterizes stablecoin issuers and related operators by the intensity with which they exercise control over the issuance, routing, and destruction of stablecoin units. The companion framework, Minimum Viable Equivalence Pack (MVEP), specifies the minimum combination of regulatory obligations that would make a stablecoin functionally equivalent to a bank deposit for regulatory purposes.

This comment addresses the Notice of Proposed Rulemaking published April 10, 2026 at 91 Fed. Reg. 18304. The research program has submitted prior comments on related GENIUS Act implementation rulemakings. On the OCC Permitted Payment Stablecoin Issuer NPRM (docket OCC-2025-0372), the research program filed an original comment on April 10, 2026 and a supplemental comment on April 13, 2026. On Treasury's state-similarity rulemaking (TREAS-DO-2026-0232), the research program filed a comment on April 15, 2026. Companion comments on the parallel FinCEN rulemakings FINCEN-2026-0034 (general AML/CFT program) and FINCEN-2026-0100 (PPSI AML/CFT and sanctions compliance) are submitted alongside this comment.

The comment makes one structural observation and six specific recommendations. The observation is that banks increasingly perform control-layer functions in tokenized finance. A bank may hold reserve assets for a PPSI, operate its own tokenized deposit program, custody tokenized securities, operate as a Federal qualified payment stablecoin issuer under OCC supervision, or provide correspondent banking services to stablecoin issuers and interface operators. Each of these is a control-layer function: the bank exercises control over the information, enforcement capability, or operational touchpoints that determine whether illicit activity can be detected or deterred. The proposed rule's risk assessment requirement is structurally

compatible with explicit control-layer evaluation, and the final rule will be more effective if it articulates this compatibility explicitly.

The comment acknowledges two structural features of the current rulemaking environment. First, the Federal Reserve Board did not join this rulemaking. The absence of FRB participation creates a supervisory consistency gap for banks subject to FRB supervision (state member banks, bank holding companies, savings and loan holding companies, and US operations of foreign banks). Recommendation 6 addresses this. Second, two parallel FinCEN rulemakings were published on the same day: FINCEN-2026-0034 (general AML/CFT program framework for eleven financial institution categories) and FINCEN-2026-0100 (joint FinCEN-OFAC AML/CFT and sanctions compliance for Permitted Payment Stablecoin Issuers). Recommendation 7 addresses three-rulemaking coordination.

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## I. Banks increasingly perform control-layer functions in tokenized finance

The Bank Secrecy Act regulates financial institutions, not transactions. The four pillars of an AML program (internal policies, independent testing, designated officer, training) all attach to the institution, not to the instruments the institution handles. This is control-layer regulation by design: the law targets the entities that sit at the points where users initiate, route, and settle transactions, because those entities have the information and the enforcement capability to detect and deter illicit activity.

In traditional banking, the mapping from "bank" to "control-layer operator" is straightforward. A depository institution holds deposits, clears checks, settles wires, operates ATM networks, provides online banking access, and maintains correspondent relationships. All of these functions occur within a single supervised entity. The AML program sits on the entity, and the entity's program covers every control-layer function it performs.

In tokenized finance, banks perform new control-layer functions that may not be captured by traditional AML program design. Five categories are particularly consequential: reserve custody for payment stablecoin issuers; issuance of tokenized deposits; custody of tokenized securities; operation as a Federal qualified payment stablecoin issuer (making the bank itself a PPSI); and correspondent services to stablecoin issuers and interface operators.

1. Banks may hold reserve assets for Permitted Payment Stablecoin Issuers. This is a custodial function with distinct AML/CFT implications: the bank's handling of reserve flows can reveal patterns indicating illicit activity at the PPSI level, and the bank's operational continuity directly affects the PPSI's ability to maintain its stablecoin peg (addressed in Recommendation 2).
2. Banks may issue tokenized deposits. The issuance of tokenized deposits creates AML/CFT questions at the boundary between deposit regulation and payment stablecoin regulation.
3. Banks may custody tokenized securities, including tokenized Treasury funds and tokenized money market funds. The custody function interacts with the investment adviser or fund administrator's AML obligations.
4. Banks may operate as Federal qualified payment stablecoin issuers (FQPSIs) under OCC supervision. In this role, the bank itself is a PPSI subject to FINCEN-2026-0100 requirements in addition to the bank AML program.
5. Banks may provide correspondent banking services to stablecoin issuers and interface operators. This creates a downstream exposure to illicit activity that occurs through the correspondent customer but is not directly visible to the bank.

The proposed rule's risk assessment requirement implicitly accommodates these functions by requiring

evaluation of "products, services, distribution channels, customers, and geographic locations." Tokenized finance activities are products and services within the meaning of this requirement. The proposed rule permits but does not require banks to conduct their risk assessments at a level of granularity that identifies control-layer functions specifically. Recommendation 1 addresses this gap.

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## II. Seven recommendations

The following table maps each recommendation to the proposed rule topic it addresses and to the regulatory section or cross-reference it implicates, for reviewers navigating the comment by topic rather than by recommendation.

| # | Recommendation | Proposed rule topic | Regulatory section / Cross-reference |
|---|---|---|---|
| 1 | Control-layer function mapping in bank risk assessments | Risk assessment processes | Bank risk assessment provisions; FINCEN-2026-0100 (Rec 2 of that comment) |
| 2 | Bank risk assessments must address reserve custody relationships with PPSIs | Risk assessment processes | Bank risk assessment provisions; FINCEN-2026-0100 (Rec 6 of that comment) |
| 3 | Coordination between parent bank program and PPSI subsidiary program | Enterprise-wide program design | 31 CFR 1033.320(d)(1)(ii)(B); FINCEN-2026-0100 |
| 4 | US-based AML/CFT officer requirement | AML/CFT officer provisions | 31 U.S.C. 5318(h)(5) |
| 5 | Culture of compliance requirement should include control-layer function performance | Culture of compliance provisions | AML Act institutional-responsibility emphasis (31 U.S.C. 5311 note) |
| 6 | Address the Federal Reserve Board's non-participation | Cross-cutting (preamble or regulatory text) | 89 Fed. Reg. 65242 (2024 proposal, Board included); 91 Fed. Reg. 18304 (2026 re-issuance, Board omitted) |
| 7 | Coordination with parallel FinCEN rulemakings | Cross-cutting | 31 CFR 1033.221; FINCEN-2026-0034; FINCEN-2026-0100 |

**Recommendation 1: Control-layer function mapping in bank risk assessments for tokenized finance activities**

The proposed rule requires banks to establish risk assessment processes that evaluate the ML/TF risks of their business activities. For banks operating in tokenized finance, the final rule should clarify that "business activities" include the specific control-layer functions the bank performs.

The GENIUS Act (Public Law 119-27, codified at 12 U.S.C. 5901 et seq.) established the Permitted Payment Stablecoin Issuer (PPSI) category and, within it, the Federal Qualified Payment Stablecoin Issuer

(FQPSI) subcategory of insured depository institutions under OCC supervision. Banks that operate as FQPSIs are PPSIs, and their payment stablecoin activities are subject to both this rulemaking and the joint FinCEN-OFAC PPSI rulemaking at FINCEN-2026-0100. Banks that hold reserves for non-bank PPSIs, or that provide correspondent services to stablecoin issuers or interface operators, are not themselves PPSIs but perform control-layer functions that interface with PPSI obligations. The risk assessment process under the final rule should recognize these structural relationships; Recommendation 3 addresses the integrated program design for bank-PPSI subsidiary structures.

In concrete terms, a bank's risk assessment processes should identify:

1. Which control-layer functions the bank performs in tokenized finance (reserve custody for PPSIs, tokenized deposit issuance, tokenized securities custody, FQPSI issuance activities if applicable, correspondent services to stablecoin issuers or interface operators).
2. The ML/TF risks associated with each function, including the extent of user identity verification capability, transaction data availability, and enforcement capability (whether the bank can hold, freeze, or block a transaction at the function it operates or through the institutional customer it serves).
3. The dependencies between the bank's control-layer functions and those of other entities, particularly where an impairment of another entity's control-layer function would propagate to the bank's own activities. For example, a bank holding PPSI reserves should evaluate the AML/CFT risks flowing from the PPSI's activities that would manifest in reserve flows.

This clarification does not impose a new substantive requirement. It articulates how the existing risk assessment requirement applies in tokenized finance, where institution-level and function-level risk assessments can diverge. The clarification would be particularly valuable for banks that are relatively new to tokenized finance activities and have not historically evaluated those activities through a control-layer lens.

The companion comments on FINCEN-2026-0034 and FINCEN-2026-0100 each propose a corresponding requirement. The three together would produce consistent risk assessment practice across institutions whose activities span multiple supervisory domains, reducing both compliance burden (one integrated risk assessment rather than three separately calibrated ones) and supervisory divergence (consistent treatment of the same economic activity).

The correspondent-services exposure to interface operators proposed for inclusion in the bank's risk assessment is the bank-side channel for interface operator regulation. The companion comment on FINCEN-2026-0034 addresses the interface operator's own AML/CFT program obligations (Recommendation 2 of that comment). The companion comment on FINCEN-2026-0100 addresses the PPSI's information sharing and third-party diligence obligations toward interface operators (Recommendation 8 of that comment). The three channels together determine whether illicit activity at the interface layer surfaces through the bank's correspondent monitoring, through the interface operator's own AML program, or through the PPSI-level oversight.

**Recommendation 2: Bank risk assessments must address reserve custody relationships with PPSIs**

Proposed revisions to the bank AML/CFT program rule require risk assessment of the bank's business activities. For banks that hold reserve assets for Permitted Payment Stablecoin Issuers, the risk assessment must address the specific AML/CFT implications of that custody relationship.

The custodial concentration channel documented by the Federal Reserve in the FEDS Note by Du,

Sonawane, and Watsky (DOI 10.17016/2380-7172.3958) illustrates why this custody relationship warrants specific attention in the AML/CFT risk assessment. When Circle disclosed that USDC reserves included approximately $3.3 billion at Silicon Valley Bank during the March 2023 episode, the resulting deviation from peg was substantial and extended across the stablecoin market. The custodial relationship, not the PPSI's direct customer relationships, was the transmission channel.

The research program's comment letter on the OCC implementing rule (Docket OCC-2025-0372) quantifies this concentration at the issuer level: Circle's $3.3 billion in reserves at Silicon Valley Bank represented approximately 8% of USDC's total reserves concentrated at a single non-GSIB institution. Per the Federal Reserve FEDS Note, Circle's subsequently-disclosed December 31, 2023 stockholders' equity of $0.34 billion was just over a tenth of its $3.3 billion SVB reserve exposure (Du, Sonawane, and Watsky, December 17, 2025), a ratio the FEDS Note authors use as a proxy because Circle was private in March 2023 and did not disclose contemporaneous equity. Following the FDIC's invocation of the systemic risk exception, Circle diversified its reserve custody across additional institutions in the weeks that followed. Bank-level risk assessment of PPSI reserve custody operates on the other side of the same concentration channel.

The final rule should require that bank risk assessments address four specific categories of custodial risk:

1. The identity and nature of the PPSI whose reserves are held, including the PPSI's AML/CFT program posture, control-layer capability, and sanctions compliance posture.
2. The concentration of PPSI reserve assets held by the bank as a proportion of both the bank's total deposits and the PPSI's total reserves. Concentration on either side creates elevated AML/CFT and operational risk.
3. The AML/CFT implications of reserve flow patterns, including unusual movements that may indicate illicit activity at the PPSI level even when the PPSI's own program has not flagged the activity.
4. The operational risk to the PPSI from any disruption of the bank's reserve custody services, including how such disruption would propagate to the stablecoin market and to other downstream operators. This category overlaps with but is distinct from safety and soundness supervision.

This recommendation complements the PPSI-specific recommendation in the research program's companion FINCEN-2026-0100 comment, which proposes that PPSI risk assessments address reserve custody from the PPSI's perspective. The bank-side and PPSI-side recommendations together address both sides of the custodial relationship.

**Recommendation 3: Coordination between parent bank AML/CFT program and PPSI subsidiary AML/CFT program**

Some PPSIs will operate as subsidiaries of insured depository institutions. The FINCEN-2026-0100 NPRM addresses this configuration through proposed 31 CFR 1033.320(d)(1)(ii)(B), which permits joint SAR filing between a PPSI subsidiary and its parent IDI, and through related provisions addressing supervisory coordination.

The final rule in this rulemaking should address the bank-side corollary. Where a bank has a PPSI subsidiary, the bank's AML/CFT program should explicitly address:

1. The allocation of AML/CFT program responsibilities between the parent bank and the PPSI subsidiary. Allocation should preserve the bank-level program's responsibility for enterprise-wide

risk assessment while permitting the PPSI subsidiary to maintain a PPSI-specific program that complies with FINCEN-2026-0100.

2. The joint SAR filing arrangements under proposed 31 CFR 1033.320(d)(1)(ii)(B), including operational procedures for information flow between the bank and the PPSI subsidiary, and the coordination of SAR filings with FinCEN.
3. The coordination of supervisory responses involving both the bank's primary Federal banking regulator and FinCEN's PPSI supervisory activities. The research program's companion comment on FINCEN-2026-0100 proposes specific consultation mechanisms for PPSI supervision; the bank-side rulemaking should be consistent with that framework.

**Recommendation 4: US-based AML/CFT officer requirement for banks operating in tokenized finance**

The proposed rule requires that the AML/CFT officer be located in the United States, accessible to the primary Federal banking regulator, and have authority and autonomy over the AML/CFT program. This requirement implements 31 U.S.C. 5318(h)(5), as added by the AML Act.

The final rule should preserve this requirement without modification. It should clarify that for banks operating in tokenized finance, where technical infrastructure is frequently distributed across multiple jurisdictions, the US-based officer must have effective supervisory control over the US-nexus operations and meaningful authority over the bank's AML/CFT program, not a nominal title.

The preamble should make explicit that this requirement applies regardless of where the bank's technology operations, blockchain infrastructure, or compliance personnel supporting technical functions are headquartered. A bank with US-facing tokenized finance activities should not be permitted to situate its AML/CFT officer abroad by characterizing the US activities as technical rather than supervisory. This clarification addresses a specific concern: tokenized finance creates operational configurations in which the distinction between "technical" and "compliance" can become contested in ways that did not arise in traditional banking.

**Recommendation 5: Culture of compliance requirement should include responsibility for control-layer function performance**

The proposed rule introduces a culture of compliance requirement, reflecting a statutory emphasis on institutional responsibility beyond documentary and procedural compliance. For banks operating in tokenized finance, the final rule should clarify that culture of compliance includes explicit responsibility for control-layer function performance.

In practical terms, a bank's culture of compliance in tokenized finance should include:

1. Institutional commitment to the operational functioning of control-layer capabilities, not merely to their existence. A bank that maintains reserve custody functions must actually perform those functions in a manner that preserves AML/CFT visibility, not merely document procedures claiming to do so.
2. Clear lines of senior management accountability for AML/CFT outcomes in tokenized finance activities. This accountability should be specific and individualized, not diffused across generic compliance oversight.

3. Institutional commitment to timely remediation of control-layer deficiencies when they are identified, whether through internal testing, supervisory examination, or external events. Tokenized finance involves specific categories of deficiency (smart contract upgrade failures, cross-chain bridge vulnerabilities, interface operator deficiencies) that may not be familiar to traditional bank compliance programs.

The final rule should address culture of compliance either in regulatory text or in the preamble, with attention to the specific considerations that tokenized finance raises.

**Recommendation 6: Address the Federal Reserve Board's non-participation in this rulemaking**

The 2026 proposal is a re-issuance of a 2024 joint rule that included the Board of Governors of the Federal Reserve System. Under the 2024 proposal at 89 Fed. Reg. 65242 (August 9, 2024), the Board would have amended 12 CFR Part 208 to align Regulation H with the FinCEN program rule. The 2026 re-issuance at 91 Fed. Reg. 18304 retains the OCC, FDIC, and NCUA and drops the Board.[1] The 20-month interval between the two proposals is sufficient for the Board to have rejoined if it had sought to. The Board's non-participation in 2026 is therefore structural, not a scheduling artifact. The resulting supervisory-consistency question is a feature of the current regulatory landscape that the final rule should acknowledge and navigate explicitly.

The gap is particularly consequential in tokenized finance for three reasons:

1. Bank holding companies often own subsidiaries that operate tokenized finance activities, and the AML/CFT program of the subsidiary may interact with the BHC-level supervisory framework.
2. State member banks engage in the same tokenized finance activities as national banks and state non-member banks, and supervisory divergence across these three categories would create uneven AML/CFT outcomes.
3. US operations of foreign banks are increasingly involved in stablecoin and tokenized deposit activity, and the FRB's supervisory role over these operations is material to the overall AML/CFT architecture.

The final rule should address the FRB non-participation through three specific provisions:

1. The final rule should include language (in regulatory text, in the preamble, or in a companion interpretive statement) that accommodates either subsequent FRB participation or continued FRB separation.
2. The final rule should establish a coordination mechanism between the three participating agencies and the FRB, even in the absence of FRB adoption of the rule, to avoid supervisory divergence on matters where banks span multiple supervisory jurisdictions.
3. The final rule should address how banks that operate across supervisory jurisdictions (including through bank holding company structures) should navigate the resulting inconsistency during the period of FRB separation.

The research program does not take a position on whether the FRB should join the rulemaking or issue its own parallel rule. The research program's position is that supervisory consistency is essential for banks operating in tokenized finance, and the final rule should address the consistency question directly rather than leaving it to be resolved through subsequent supervisory practice.

[1]The 2024 proposal carried four matched RINs: 1557-AF14 (OCC, Docket OCC-2024-0005), 7100-AG78 (Board, Docket R-1835), 3064-AF34 (FDIC), and 3133-AF45 (NCUA, Docket NCUA-2024-0033). The 2026 re-issuance retains the OCC and FDIC RIN assignments, carries the NCUA docket forward under re-designated RIN 3133-AG08, and omits the Board; Docket R-1835 and RIN 7100-AG78 do not appear in the 2026 rulemaking.

**Recommendation 7: Coordination with the parallel FinCEN rulemakings**

Three parallel AML rulemakings were published April 10, 2026, with comments due June 9, 2026: (1) this rulemaking (91 Fed. Reg. 18304, banking agency joint rule for supervised banks); (2) FinCEN's general AML/CFT program NPRM (FINCEN-2026-0034, covering eleven financial institution categories); and (3) FinCEN's joint FinCEN-OFAC rulemaking for Permitted Payment Stablecoin Issuers (FINCEN-2026-0100). The three rulemakings address overlapping populations of financial institutions. Their coordination in the final rules is material to the effectiveness of the overall AML/CFT regime.

The final rule in this rulemaking should include provisions (or a companion interpretive statement) addressing three specific coordination points:

1. Banks that are subject to both this rule and FinCEN's general rule should not be required to apply two separately calibrated risk assessment methodologies to the same economic activity. The banking agency rule and the FinCEN general rule should be interpreted consistently with respect to risk assessment scope, update timing, and documentation standards for banks.
2. Banks that operate as FQPSIs or that have PPSI subsidiaries should not be required to maintain AML/CFT programs that conflict between the banking agency rule (applicable to the bank) and the FINCEN-2026-0100 rule (applicable to the PPSI or FQPSI activities). The final rule should permit integrated program design that satisfies both frameworks where the requirements are compatible.
3. The supervision and enforcement coordination mechanisms in proposed 31 CFR 1033.221 (consultation between FinCEN and the primary Federal payment stablecoin regulators for PPSIs) should inform the coordination between FinCEN and the banking agencies for bank AML/CFT supervision. The research program's companion comment on FINCEN-2026-0100 proposes specific consultation arrangements; the bank-side rule should be consistent with that framework.

The three-rulemaking coordination is particularly consequential for the FRB non-participation discussed in Recommendation 6. If the FRB issues a separate rulemaking for its supervised banks or declines to issue one, the resulting fragmentation would be most damaging at the intersection of the three rulemakings (banks that span multiple supervisory jurisdictions and that engage in tokenized finance). Recommendation 6 and Recommendation 7 should be read together.

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## III. Conclusion

The AML Act and the proposed rule mark a structural reorientation of bank AML/CFT regulation toward risk-based, effectiveness-focused supervision. The reorientation is welcome, and the proposed rule operationalizes it carefully for the banking sector. The seven recommendations above would strengthen the rule's application to tokenized finance, where banks increasingly perform control-layer functions that differ from traditional banking activities.

The Federal Reserve Board's non-participation is the most significant unresolved issue in this rulemaking environment. The research program supports a final rule that directly addresses the consistency question rather than leaving it to be resolved through subsequent supervisory practice. The specific coordination mechanisms proposed in Recommendation 6 can accommodate either FRB participation or continued separation.

The research program's companion comments on FINCEN-2026-0034 and FINCEN-2026-0100 are submitted alongside this comment. The three filings address the three parallel rulemakings as an integrated

regulatory architecture. Cross-reference between the comments is noted in Recommendations 2, 3, and 7 above.

Tokenization Systems is available to discuss any of the recommendations in this comment.

Respectfully submitted,

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## Appendix: Cross-reference to NPRM preamble topics

| Topic | Addressed in |
|---|---|
| Risk assessment processes | Recommendation 1 |
| Reserve custody for payment stablecoin issuers | Recommendation 2 |
| Bank subsidiary PPSIs and joint SAR filing | Recommendation 3 |
| US-based AML/CFT officer requirement | Recommendation 4 |
| Culture of compliance requirement | Recommendation 5 |
| Federal Reserve Board non-participation | Recommendation 6 |
| Coordination with parallel FinCEN rulemakings | Recommendation 7 |
| Tokenized finance activities | Section I, Recommendations 1-3, 5 |
| Interaction with FINCEN-2026-0034 | Recommendations 1, 7 |
| Interaction with FINCEN-2026-0100 | Recommendations 2, 3, 7 |

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Jennifer M. Jones
Deputy Executive Secretary
Attention: Comments—RIN 3064-AG19
Federal Deposit Insurance Corporation
550 17th Street NW
Washington, DC 20429

April 20, 2026

**Re: RIN 3064-AG19, GENIUS Act Requirements and Standards for FDIC-Supervised Permitted Payment Stablecoin Issuers and Insured Depository Institutions (91 Fed. Reg. 18534, April 10, 2026)**

Dear Ms. Jones:

Tokenization Systems, an independent research program on stablecoin and payment infrastructure regulation, submits this comment on the FDIC's proposed substantive requirements for FDIC-supervised Permitted Payment Stablecoin Issuers (PPSIs) and insured depository institutions (IDIs). The comment's central proposition is that three structural features of PPSI operations warrant specific treatment in the final rule: reserve custody concentration as a distinct risk channel from reserve composition; conditional deposit insurance pass-through as a structural-discipline mechanism gated on operator qualification rather than categorically foreclosed; and control-layer observability as a first-order supervisory capability established through the reporting and risk management provisions. The research program supports the FDIC's careful proposed implementation and offers twelve specific recommendations and one observation, each responsive to one or more of the FDIC's numbered questions.

The comment applies the research program's control-layer framework, grounded in the Control Layer Intensity Index (CLII, SSRN abstract 6267698) and the Minimum Viable Equivalence Pack (MVEP, SSRN abstract 6363138), both available on SSRN. CLII scores stablecoin operators on the intensity of operational control they exercise over issuance, routing, custody, and compliance functions; MVEP identifies ten categories of structural features that distinguish operators whose architectures provide functional equivalents to traditional deposit protection from those whose architectures do not. MVEP is particularly consequential for this rulemaking because it provides a principled mechanism for distinguishing PPSIs whose structural integrity merits differentiated treatment (including, as discussed in Section IV, conditional deposit insurance pass-through) from those whose architectures do not. Tokenization Systems has submitted prior comments applying this framework to the OCC implementing rule for PPSIs (Docket OCC-2025-0372, including a supplemental comment on interface-layer conduct) and to Treasury's state-similarity principles (TREAS-DO-2026-0232). Companion comments on the parallel FinCEN general AML/CFT rulemaking (FINCEN-2026-0034), the FinCEN-OFAC PPSI rulemaking (FINCEN-2026-0100), the banking agency joint AML/CFT rule (91 Fed. Reg. 18304), and the FDIC application rule (RIN 3064-AG20) are submitted alongside or shortly preceding this comment. The seven federal rulemakings across six dockets together define the operational architecture within which PPSIs will issue payment stablecoins; the recommendations in this comment are designed to coordinate with the parallel rulemakings rather than to duplicate or contradict them.

The comment makes twelve specific recommendations organized in three groups and one structural observation. Group I (Recommendations 1 through 6) addresses reserve asset composition, diversification, and custody concentration, responsive to Questions 40, 47, 50, 51, 55, 57, 60, and 67. Group II (Recommendations 7 through 10) addresses deposit insurance coverage and tokenized deposits, responsive to Questions 38, 125, 130, 131, 134, and 138. The centerpiece of Group II, Recommendation 7, proposes a conditional pass-through deposit insurance framework gated on MVEP qualification, representing the research program's principal substantive contribution to this rulemaking. Group III (Recommendations

11 and 12) addresses risk management, private key management, and control-layer observability through supervisory reporting, responsive to Questions 83 and 91. The observation addresses capital framework calibration under Question 100. Each recommendation is implementable within the proposed rule's existing structure and is consistent with the GENIUS Act's statutory architecture.

## I. Framing: Three structural features warrant distinct treatment

The FDIC's proposed rule addresses many operational dimensions of PPSI supervision. The research program's analytical contribution focuses on three structural features where the proposed rule's current treatment may be refined without expanding the rule's scope: reserve custody concentration, deposit insurance pass-through, and control-layer observability.

**Reserve custody concentration is a distinct risk channel from reserve composition.** The proposed § 350.4(e) reserve composition requirements, mirroring section 4(a)(1)(A) of the GENIUS Act, define what assets may back payment stablecoins. The proposed § 350.4(f) diversification requirements define where those assets may be held. Composition and concentration are distinct risk dimensions that produced distinct transmission channels during the March 2023 Silicon Valley Bank failure. Group I addresses the concentration channel specifically.

**Deposit insurance pass-through can be a structural-discipline mechanism, not a categorical exposure.** The FDIC's proposed § 330.11(a)(3) forecloses pass-through deposit insurance for reserve deposits on the theory that pass-through would be inconsistent with 12 U.S.C. 5903(e)(1)'s prohibition on stablecoins being subject to deposit insurance. This reading is more categorical than the statute requires. Pass-through is a recognized mechanism in FDIC doctrine that attaches coverage to underlying deposits while leaving other instruments uninsured; the GENIUS Act's prohibition addresses the stablecoin itself, not the underlying deposit. Group II, centered on Recommendation 7, proposes that pass-through be available only to PPSIs meeting a high MVEP qualification threshold, turning pass-through from a categorical exposure to a structural-discipline tool.

**Control-layer observability is established through the reporting and risk management provisions.** The FDIC's proposed § 350.7(g) weekly confidential report and § 350.6(b) information technology and security program together define the FDIC's operational visibility into the PPSI's control-layer functions. Group III addresses these provisions specifically, proposing calibrations that surface the structural features most relevant to ongoing supervision.

## II. MVEP as a diagnostic framework

Because the Minimum Viable Equivalence Pack (MVEP) is the load-bearing framework for Recommendation 7's conditional pass-through proposal, this section introduces the framework in sufficient detail to support the recommendations that follow. MVEP is a ten-category diagnostic framework developed to convert the categorical distinction between "deposit" and "not a deposit" into a graduated assessment of structural integrity across legal, operational, and economic dimensions (Zukowski, "Minimum Viable Equivalence Pack," SSRN 6363138). The framework is not a regulatory scoring system but a diagnostic tool; its value for this rulemaking is that it provides a principled basis for distinguishing operators whose architectures merit differentiated treatment from those whose architectures do not.

The ten MVEP categories, each with required evidence and a pass condition, are:

1. **Rights Parity.** Tokenholder rights match the underlying claim in contract and enforcement, verified independently of marketing materials.

2. **System of Record.** One authoritative record exists, with a defined path to resolve disagreements between records.
3. **Records and Reconciliation.** Timing discrepancies close before valuation or liquidation events; integrity discrepancies trigger defined halt procedures; no unresolved unknowns.
4. **Custody and Customer Property.** Customer property treatment is explicit, verified under documented stress scenarios, and consistent with disclosures.
5. **Insolvency Posture.** Claim priority is clear; rehypothecation and forced conversion risks are explicit.
6. **Settlement Finality.** Finality criteria and reversal authority are explicit; value integrity is verifiable under oracle disruption.
7. **Reorg / Exception Handling.** Halt triggers, loss allocation, and communication timelines are pre-agreed and tested.
8. **Governance and Change Control.** Every change is logged, approved, and reversible; audit log demonstrates continuous compliance since launch.
9. **Disclosures.** Disclosures match product reality under stress; no material risk is absent.
10. **Collateral Operability.** Collateral can be liquidated via at least one path under each stress scenario within the contractual deadline, or loss allocation for failure is explicit and pre-agreed.

Of these ten categories, six are most directly relevant to deposit insurance pass-through qualification. These six categories together determine whether a payment stablecoin holder's practical position approximates the protections afforded to a depositor through pass-through insurance:

- **Category 1 (Rights Parity)** is the first-order condition for pass-through: if the holder's legal claim against the PPSI is materially weaker than a depositor's claim against an IDI, pass-through coverage would attach to an underlying structure from which the holder does not meaningfully benefit.
- **Category 4 (Custody and Customer Property)** addresses reserve segregation and customer-property treatment, which are the structural preconditions for pass-through to attach to the reserve deposit rather than to the PPSI's general estate.
- **Category 5 (Insolvency Posture)** determines whether the holder's claim priority in a PPSI insolvency allows the reserve deposit's insurance coverage to flow through to the holder rather than to the PPSI's general creditors.
- **Category 6 (Settlement Finality)** determines whether the redemption obligation is par-stable and whether the value integrity of the reserve deposit to which pass-through coverage would attach is verifiable under stress.
- **Category 8 (Governance and Change Control)** ensures that the PPSI's admin key policies, change control discipline, and audit logging support the ongoing integrity of the pass-through arrangement, including timely disclosure of material changes in MVEP qualification.
- **Category 9 (Disclosures)** ensures that holders receive accurate, product-specific disclosure of pass-through status, conditions under which it may lapse, and the legal nature of their claim when it is not available.

The six-category subset identified above is an application-specific analytical step layered on top of MVEP's canonical baseline, not a substitute for it. As specified in MVEP (SSRN abstract 6363138, Section 2), the four categories most directly tied to the GENIUS Act's 1:1 reserve regime, redeemability, segregation, and disclosure obligations (Categories 1, 4, 5, and 9) are baseline-mandatory for any GENIUS-compliant PPSI. The two additional categories elevated here, Category 6 (Settlement Finality) and Category 8 (Governance and Change Control), are added because pass-through coverage is sensitive to per-redemption value integrity under stress (a multi-dimensional concern spanning operational and economic dimensions in MVEP's framework) and to ongoing disclosure of material changes in

qualification status (an operational-dimension concern). Together, the six categories define the structural-discipline floor that the FDIC may reasonably require before extending pass-through coverage to a PPSI's reserve deposits.

For purposes of Recommendation 7, MVEP qualification would require (a) an aggregate score of at least 8 out of 10 across the ten-category framework, (b) no single category scoring below 6 out of 10, and (c) all six of the pass-through-critical categories enumerated above scoring at least 7 out of 10. The four categories not enumerated above (2, 3, 7, and 10) address related structural dimensions that are relevant to overall supervisory assessment but are not individually dispositive for pass-through qualification.

MVEP is a diagnostic framework and its application to any specific PPSI would require supervisory judgment. The research program's recommendation is that the FDIC treat MVEP as a principled starting point for the qualification test, not as a mechanical scoring rule. Supervisory discretion is appropriate because the framework's categories interact in ways that a mechanical rule would not capture: a PPSI with a marginal score in one category may be more robustly structured than a PPSI with a higher score in that category but a structural weakness in an adjacent category.

## III. Group I: Reserves, concentration, and the SVB lesson (Recommendations 1 through 6)

### Recommendation 1 (Q47): Retain the 40 percent single-institution concentration cap at proposed § 350.4(f)

The proposed rule would limit a PPSI's total counterparty exposure to any one eligible financial institution to no more than 40 percent of reserve assets. The research program's recommendation is that the FDIC retain this limit as proposed and treat it as an upper bound, not a calibration target.

The March 2023 Silicon Valley Bank episode underscores why. Circle disclosed that $3.3 billion of USDC reserves, approximately 8 percent of total reserves concentrated at a single non-GSIB (globally systemically important bank) institution, remained at SVB when the bank was taken into receivership. That 8 percent concentration coincided with material peg deviation, with USDC trading at $0.86 at its intraday trough before federal intervention through the systemic risk exception, which the Du, Sonawane, and Watsky FEDS Note (December 17, 2025) documents as the transmission channel. Per the Federal Reserve FEDS Note, Circle's SVB exposure was approximately ten times Circle's subsequently-disclosed December 31, 2023 stockholders' equity of $0.34 billion (Du, Sonawane, and Watsky, "In the Shadow of Bank Runs: Lessons from the Silicon Valley Bank Failure and Its Impact on Stablecoins," FEDS Notes, December 17, 2025, DOI 10.17016/2380-7172.3958), a ratio the FEDS Note authors use as a proxy because Circle was private in March 2023.

If 8 percent concentration at a single non-GSIB caused material peg deviation, 40 percent concentration represents a materially higher single-institution exposure. The 40 percent cap should be understood as a ceiling that PPSIs should rarely approach, not a calibration that PPSIs should view as permissible in normal operation. The research program supports the 40 percent cap in the proposed rule and recommends that the final rule preamble state explicitly that the FDIC's supervisory expectations for PPSI reserve custody concentration will be materially below the 40 percent regulatory cap.

### Recommendation 2 (Q40, Q60): Cap uninsured deposits as reserve assets and require disclosure of uninsured deposit exposure

Question 40 asks whether there should be a limit on the amount of reserve assets held in uninsured deposits. The research program's recommendation is yes, subject to calibration based on aggregate deposit insurance coverage capacity at the PPSI level.

Uninsured deposits present credit risk that insured deposits do not present. Where a PPSI's reserve deposits exceed the Standard Maximum Deposit Insurance Amount (SMDIA, currently $250,000) at any single institution, the excess is uninsured regardless of the institution's own risk profile. Given that PPSI reserve deposits will routinely exceed the SMDIA at each custodian by many orders of magnitude, the practical consequence is that most PPSI reserve deposits are uninsured, and the FDIC cannot rely on deposit insurance as a backstop for PPSI reserve custody counterparty risk.

Two specific asks follow. First, the final rule should establish that reserve deposits at any single eligible financial institution that exceed a calibrated threshold (for example, 25 percent of total reserves) require the PPSI to demonstrate that the custodian's own capital, liquidity, and risk management profile provides protection commensurate with the exposure. Second, the monthly composition report under proposed § 350.4(g), responsive to Question 60, should disclose the portion of reserve assets held in uninsured deposits by custodian institution, providing both supervisory and market discipline on uninsured concentration. The template at Table 1 to proposed § 350.4(g) already distinguishes insured from uninsured deposits; the recommendation is to require the disclosure by named custodian institution rather than in aggregate, subject to competitive-information protections.

**Recommendation 3 (Q50, Q55): Add a principles-based diversification requirement in addition to the 40 percent per-institution cap**

Question 50 asks whether the FDIC should impose a principles-based requirement that reserve assets be sufficiently diverse to manage credit, liquidity, interest rate, and price risks. Question 55 asks whether PPSIs should be required to maintain more than one type of reserve asset. The research program recommends yes on both counts.

The 40 percent per-institution cap addresses single-institution concentration but does not address the failure mode of a PPSI holding 100 percent of reserves in a single category of reserve assets at multiple institutions. Consider a hypothetical PPSI holding all reserves as Treasury bills at three custodians in proportions of 40 percent, 35 percent, and 25 percent. Such a PPSI satisfies the proposed § 350.4(f) cap but has no diversification across reserve asset categories. During periods of Treasury market stress, such a PPSI faces correlated liquidity risk across its entire reserve pool.

The recommendation is a principles-based diversification requirement alongside the per-institution cap. The requirement should direct PPSIs to maintain reserves that are sufficiently diverse across reserve asset categories, maturity profiles, and custody institutions to manage credit, liquidity, interest rate, and price risks commensurate with the PPSI's business model and risk profile. Implementation can be through supervisory guidance rather than through prescriptive category caps, preserving PPSI flexibility to calibrate diversification to its specific circumstances.

**Recommendation 4 (Q51): Do not exempt a PPSI subsidiary of an FDIC-supervised IDI from proposed § 350.4(f) on the basis of parent-bank size**

Question 51 asks whether the FDIC should exempt a PPSI subsidiary of an FDIC-supervised IDI from the 40 percent concentration cap if the IDI has less than a specified amount of total assets (for example, $10 billion, $30 billion, or $50 billion). The research program recommends no.

The within-enterprise concentration of PPSI reserves at the parent IDI is precisely the transmission channel that operated during the March 2023 episode in its most acute form. A subsidiary PPSI holding 100 percent of reserves at its parent IDI provides no diversification: a single event affecting the parent IDI affects the reserve pool in full. The parent IDI's size does not change the concentration mechanics. A

smaller parent IDI is, if anything, less capable of absorbing concentrated stress than a larger one, both in absolute terms and relative to the scale of PPSI reserve deposits it may be asked to custody.

The final rule should apply the 40 percent cap uniformly to all FDIC-supervised PPSIs, regardless of parent IDI size. The FDIC should also provide supervisory guidance that a parent IDI serving as a reserve custodian for its subsidiary PPSI receives the same per-institution concentration treatment as any third-party custodian, which operationally means the subsidiary PPSI must diversify its reserve custody across multiple institutions.

**Recommendation 5 (Q67): Require PPSIs to monitor the financial condition of eligible financial institutions holding reserve assets**

Question 67 asks whether PPSIs should be required to monitor the financial condition of eligible financial institutions holding reserve assets, including IDIs. The research program recommends yes, with specific attention to custodial counterparty concentration.

A PPSI that holds reserves at an eligible financial institution has a dependency relationship with that institution. The institution's financial condition is an input to the PPSI's ability to meet its redemption obligations under section 4(a)(1)(B) of the GENIUS Act and proposed § 350.5(b). A PPSI that does not monitor custodian financial condition is effectively delegating that assessment to the custodian's own primary regulator, without the structured information flow that characterizes, for example, a bank's correspondent banking relationships.

The recommendation is that proposed § 350.6(a)(1)(iv), which requires adequate procedures to monitor, safeguard, manage, and control assets including reserve assets, be supplemented with explicit language requiring monitoring of the financial condition of each eligible financial institution holding reserve assets, with monitoring cadence and intensity commensurate with the PPSI's exposure to that institution. PPSIs exceeding defined concentration thresholds at any single custodian should be required to monitor that custodian through published regulatory data, counterparty credit metrics, and direct supervisory engagement as appropriate.

**Recommendation 6 (Q57): Establish IDI-side limits on PPSI reserve deposits exceeding a specified percentage of IDI total deposits**

Question 57 asks whether the FDIC should impose limitations on deposits placed as reserve assets by PPSIs at IDIs to address safety and soundness risks to those IDIs. The research program recommends yes, through an IDI-side requirement to hold offsetting cash assets at the Federal Reserve Bank.

The concern this recommendation addresses is the mirror image of Recommendations 1 through 5. Those recommendations address PPSI-side concentration. This recommendation addresses IDI-side concentration: where an IDI accepts reserve deposits from a PPSI in an amount that represents a material percentage of the IDI's total deposits, the IDI becomes exposed to a single-customer concentration that is itself a safety and soundness concern. A sudden redemption request by the PPSI, triggered by a redemption spike in the payment stablecoin market, can transmit liquidity stress directly from the PPSI to the IDI.

The specific ask is that where PPSI reserve deposits exceed a specified percentage of the IDI's total deposits (a calibrated threshold, for example 5 or 10 percent), the IDI be required to hold an offsetting amount in Federal Reserve Bank balances. This requirement mirrors the liquidity treatment that would apply to large non-core funding sources in traditional bank liquidity management and addresses the specific channel by which PPSI stress can transmit to an IDI's balance sheet. The calibration can be

established through supervisory process or through a principles-based regulatory standard, depending on the FDIC's preference.

## IV. Group II: Deposit insurance, tokenized deposits, rights parity (Recommendations 7 through 10)

### Recommendation 7 (Q125, Q130): Reconsider the default non-availability of pass-through deposit insurance; adopt a conditional pass-through framework gated on MVEP qualification

Proposed § 330.11(a)(3) would categorically preclude pass-through deposit insurance for reserve deposits backing payment stablecoins. The FDIC's reasoning is that pass-through would treat payment stablecoin holders as the insured depositors, which the FDIC reads as inconsistent with 12 U.S.C. 5903(e)(1)'s prohibition on payment stablecoins being subject to deposit insurance.

The research program's principal substantive contribution to this rulemaking is the recommendation that the FDIC reconsider this categorical foreclosure. An alternative framework, gated on MVEP qualification, would make pass-through insurance available only to those PPSIs whose structural architecture provides the functional equivalents of deposit protection that historically justify pass-through. This alternative is consistent with the GENIUS Act's statutory architecture, preserves the marketing prohibition, and advances the Act's structural objectives.

**The proposed framework.** Under the recommended framework, pass-through deposit insurance would be available for reserve deposits backing a PPSI's payment stablecoin where all of the following conditions are met:

(a) The PPSI achieves a Minimum Viable Equivalence Pack (MVEP) qualification score meeting the thresholds identified in Section II: an aggregate score of at least 8 out of 10 across the ten-category framework, no single category scoring below 6 out of 10, and each of the six pass-through-critical categories (Categories 1, 4, 5, 6, 8, and 9) scoring at least 7 out of 10.

(b) The FDIC, as the PPSI's primary Federal payment stablecoin regulator for this rulemaking's population of FDIC-supervised subsidiary PPSIs, attests to the PPSI's MVEP qualification on a quarterly basis as part of the existing examination process. Qualification lapsing below the threshold immediately suspends pass-through eligibility. (Parallel attestation mechanisms for PPSIs under OCC or Federal Reserve supervision would be established through the OCC's and Fed's parallel rulemakings.)

(c) Coverage attaches to the reserve deposit at the IDI, not to the payment stablecoin. The payment stablecoin itself remains uninsured and may not be marketed as insured.

(d) Beneficial ownership of the covered reserve deposit runs through to verified payment stablecoin holders whose identities are ascertainable either from the IDI's records or from records maintained by the PPSI consistent with 12 CFR 330.5(b). On-chain records that establish verifiable beneficial ownership are acceptable.

(e) Each beneficial owner's covered interest is aggregated with other deposits that person holds at the same IDI for purposes of the Standard Maximum Deposit Insurance Amount.

(f) The PPSI discloses to each holder, in advance of acquisition and through the customer agreement required under § 350.5(d), that (i) pass-through coverage attaches to the underlying reserve deposit, not to the payment stablecoin; (ii) coverage is subject to identity verification and aggregation with the holder's other deposits at the same IDI; (iii) coverage may lapse if the PPSI falls below the

MVEP qualification threshold; and (iv) the payment stablecoin itself is not insured and is subject to the GENIUS Act's marketing prohibitions.

**Statutory interpretation.** The conditional pass-through framework is consistent with 12 U.S.C. 5903(e)(1) and (e)(2) for three reasons.

1. The payment stablecoin itself remains uninsured. Pass-through insurance under existing FDIC doctrine attaches to the underlying deposit, not to the instrument through which the beneficial owner holds their interest. A holder of an IOLTA (interest on lawyer trust account) account interest, a custodial brokerage account interest, or a Section 529 plan interest does not hold an insured instrument; they hold an interest whose underlying deposit is insured. The same structure applies here.

The FDIC's NPRM articulates this concern through two specific framings: that pass-through "treats end customers as depositors," and that pass-through makes the payment stablecoin an "access mechanism" to an insured deposit account. Under the recommended framework, the first framing is accommodated: verified beneficial owners of the underlying reserve deposit are treated as depositors of that deposit, consistent with pass-through doctrine applied to IOLTA accounts, Section 529 plans, and custodial brokerage accounts. The instrument through which the beneficial owner holds their interest (the payment stablecoin) remains uninsured. The second framing requires a distinction: pass-through can make the stablecoin an access mechanism to the insured reserve deposit, but this does not make the stablecoin itself insured. An IOLTA client's beneficial interest is an access mechanism to pass-through-insured trust account funds; the IOLTA arrangement makes client deposits insurable on a pass-through basis without making the lawyer's trust account itself a direct-deposit account of each client. The marketing prohibition at 12 U.S.C. 5903(e)(2) is preserved by the requirement that the stablecoin not be marketed as insured; the disclosure framework under Recommendation 8 makes clear that what is insured is the underlying reserve deposit, subject to pass-through conditions, and that the stablecoin holder's claim runs through the reserve structure rather than attaching to the stablecoin itself.

2. 12 U.S.C. 5903(e)(1)'s prohibition is that the stablecoin "shall not be… subject to deposit insurance." Under the recommended framework, the stablecoin remains not subject to deposit insurance; the reserve deposit is subject to deposit insurance, as reserve deposits are under existing law whether or not they back a payment stablecoin. Against existing FDIC doctrine on pass-through mechanics, including application to IOLTA accounts and Section 529 plans, the GENIUS Act's prohibition on the stablecoin being "subject to deposit insurance" can be read as addressed to the stablecoin as an instrument rather than as a categorical foreclosure on pass-through attachment to the underlying reserve deposit. The GENIUS Act does not directly address pass-through mechanics for reserve deposits; the FDIC has authority to interpret the interaction between the GENIUS Act's prohibition and the FDI Act's pass-through doctrine.

3. The marketing prohibition under 12 U.S.C. 5903(e)(2) is preserved directly. Under the recommended framework, the PPSI may not represent the payment stablecoin as insured. The PPSI may represent that reserve deposits backing the payment stablecoin are insured on a pass-through basis to qualifying holders, subject to the specific conditions and disclosures enumerated above. This is a meaningful distinction: holders understand that their payment stablecoin, as an instrument, is not insured, while also understanding that the underlying reserve structure provides a specific layer of protection available only if the PPSI maintains MVEP qualification.

A possible counterargument is that even conditional pass-through, by associating any form of deposit insurance with the reserve structure, creates consumer confusion that the GENIUS Act's marketing prohibition was designed to prevent. The response is that the consumer confusion concern cuts in the

opposite direction under the recommended framework. Under the FDIC's proposed § 330.11(a)(3), holders of payment stablecoins at a PPSI with sophisticated structural protections (high MVEP scores) receive identical treatment for deposit insurance purposes to holders of payment stablecoins at a PPSI with minimal structural protections (low MVEP scores). Both sets of holders are told that the stablecoin is uninsured; neither set is told that the underlying reserve arrangements differ materially in structural integrity. The conditional framework corrects this by making structural integrity legible in a way that consumers can act on: payment stablecoins from MVEP-qualifying PPSIs carry a specific pass-through attachment to insured reserve deposits for verified holders, while payment stablecoins from non-qualifying PPSIs do not. This is the opposite of consumer confusion; it is structural transparency. The marketing prohibition is preserved by the requirement that the stablecoin itself not be marketed as insured; the reserve structure and its pass-through attachment are separate disclosures under Recommendation 8's disclosure framework.

**Why this matters for the GENIUS Act's objectives.** The GENIUS Act's structural framework is designed to produce PPSIs whose operational integrity is commensurate with the payment function they serve. Conditional pass-through gated on MVEP qualification reinforces this structural design. A PPSI seeking pass-through eligibility has strong incentives to maintain high scores across all ten MVEP categories: reserve discipline, legal framework, governance, operational resilience, and supervisory observability. These are the features that the GENIUS Act itself is designed to promote.

MVEP-gating therefore operates as an incentive alignment mechanism, not as a regulatory accommodation. A PPSI that does not meet the MVEP threshold receives the FDIC's proposed § 330.11(a)(3) treatment (no pass-through) by default. A PPSI that does meet the threshold has, by construction, invested in the structural features that the GENIUS Act was designed to promote: the conditional pass-through framework makes pass-through harder to achieve than the current market state, not easier, and rewards only the operators whose architectures provide genuine structural equivalents of deposit protection.

**Market impact considerations.** The FDIC's proposed § 330.11(a)(3) categorical foreclosure will likely be interpreted by the market as establishing a structural distinction between payment stablecoins and bank deposits such that the former cannot offer deposit-equivalent protections. Under conditional pass-through, the distinction becomes: payment stablecoins from MVEP-qualifying PPSIs provide holders with specific pass-through-protected reserve interests, while payment stablecoins from non-qualifying PPSIs do not. This creates a market signal that rewards structural discipline in operator design. The research program views this market effect as aligned with the GENIUS Act's objectives.

**Banking sector considerations.** Some banking sector observers may read this recommendation as advocating for regulatory accommodation of stablecoins at the expense of the deposit franchise. The research program views the recommendation differently. Under the conditional pass-through framework, pass-through is available only through reserve deposits actually held at IDIs, which creates a structural incentive for MVEP-qualifying PPSIs to hold reserves as insured deposits rather than in Treasury bills, repurchase agreements, or money market fund securities. The framework therefore tilts the reserve composition choice toward IDI deposit custody, expanding rather than contracting the intersection between payment stablecoin operations and the banking system.

**Recommendation 8 (Q38, Q130): Strengthen the disclosure framework so that holders of payment stablecoins from non-MVEP-qualifying PPSIs understand the absence of pass-through coverage**

Whether or not the FDIC adopts the conditional pass-through framework proposed in Recommendation 7, the disclosure framework for payment stablecoin holders should be strengthened. Under the FDIC's

current proposal at § 330.11(a)(3), no PPSI's payment stablecoin holders receive pass-through coverage. Under the recommended conditional framework, only MVEP-qualifying PPSIs' holders receive such coverage. In either case, holders need to understand their position clearly.

The specific ask is that the final rule require, through the customer agreement disclosures under § 350.5(d) and through the reserve composition report under § 350.4(g), a standardized disclosure statement covering: (a) whether the payment stablecoin is issued by an MVEP-qualifying PPSI (if the conditional framework is adopted); (b) whether the reserve deposits backing the payment stablecoin are subject to pass-through deposit insurance to qualifying holders (if applicable); (c) the circumstances under which pass-through coverage would lapse (if applicable); (d) the legal nature of the holder's claim if pass-through is not available (a contractual claim against the PPSI, not a deposit claim); and (e) a reference to the FDIC's reserve composition and custody rules that apply to the PPSI.

The disclosure framework operates in parallel to the rights-parity disclosures recommended in the research program's companion comment on the FDIC application rule (RIN 3064-AG20), Recommendation 4. The application rule's customer agreement disclosures characterize the legal nature of the holder's claim at the point of application and approval; this rule's disclosure framework operates throughout the ongoing life of the PPSI. Together, the two rulemakings establish a disclosure regime that addresses both the PPSI's initial approval and its ongoing operations.

**Recommendation 9 (Q131, Q134): Support the technology-neutral clarification of "deposit" at proposed § 330.1(e) and § 330.3(k)**

The FDIC's proposed clarification that the technology or recordkeeping utilized by an IDI to record deposit liabilities does not affect whether those liabilities constitute "deposits" is a structural clarification that the research program supports. The clarification aligns with the analytical conclusion developed in Zukowski, "Seven Dollars" (Tokenization Systems working paper, forthcoming), which analyzes the legal status of tokenized dollar-denominated instruments, including tokenized deposits, across their substantive economic and legal characteristics rather than their recordkeeping technology.

A tokenized deposit is a deposit that happens to be recorded on a distributed ledger: the ledger mirrors the IDI's core banking records, the instrument is typically non-fungible and single-bank, and the depositor's legal claim against the IDI is unchanged. The related but distinct category of deposit tokens operates on its own ledger, is typically fungible across multiple issuing banks, and is used for interbank settlement rather than as a substitute for a deposit relationship. The FDIC's technology-neutral clarification properly addresses the tokenized deposit case, because the legal status of the instrument is determined by its substantive economic and legal characteristics (convertibility, redeemability, obligor, legal enforceability), not by the recordkeeping technology. The deposit token case raises separate questions that this rulemaking does not need to address.

The proposed § 330.1(e) amendment to "deposit account records" and the proposed § 330.3(k) technology-neutrality clarification together implement this substantive reading within the deposit insurance regulatory framework. The research program supports both amendments and recommends that the final rule preamble articulate the analytical foundation explicitly: the statutory definition of "deposit" under section 3(l) of the FDI Act is substantive, not technology-dependent; the application of that definition to a specific liability turns on whether the liability meets the substantive criteria, regardless of the technology used to record it.

**Recommendation 10 (Q138): Classify a digital asset representing a claim on a deposit (but not itself a tokenized deposit) as a payment stablecoin backed by tokenized deposits, not as a tokenized deposit**

Question 138 asks how the FDIC should treat a digital asset that represents an interest in or claim on a deposit at an IDI but is not itself the tokenized deposit. This is an important boundary question that arises directly from the analytical framework of Seven Dollars.

The recommendation is that such a digital asset be classified as a payment stablecoin backed by tokenized deposits, not as a tokenized deposit, consistent with the GENIUS Act's payment stablecoin definition. The reasoning proceeds in three steps.

1. The digital asset described in Question 138 does not meet the substantive definition of a deposit under section 3(l) of the FDI Act, because the instrument is a claim on a deposit rather than a deposit itself. The holder's legal position is different: a depositor has a direct claim against the IDI; a holder of a claim-on-deposit instrument has a claim against the instrument's issuer, who in turn holds the deposit.
2. Under the GENIUS Act's definition at 12 U.S.C. 5901(22)(A), the claim-on-deposit instrument meets the definition of a payment stablecoin if it is (i) a digital asset that is or is designed to be used as a means of payment or settlement and (ii) the issuer is obligated to convert, redeem, or repurchase the instrument for a fixed amount of monetary value. A digital asset representing a redeemable claim on a deposit will typically satisfy both criteria.
3. The GENIUS Act's exclusions at 12 U.S.C. 5901(22)(B) are not triggered. The instrument is not a national currency, not a deposit (per step one), and not a security. It therefore meets the payment stablecoin definition and is subject to the GENIUS Act framework. The fact that its reserve asset is tokenized deposits does not change its classification.

The practical consequence is that a bank seeking to offer such an instrument to its customers is operating a payment stablecoin activity subject to the GENIUS Act. Three configurations may arise in practice: first, a bank issuing tokenized deposits to its own customers without an associated payment stablecoin (not a PPSI arrangement; remains bank deposits under the proposed § 330.1(e) clarification); second, a bank operating as a Federal qualified payment stablecoin issuer (FQPSI) and issuing a payment stablecoin backed by its own tokenized deposits (OCC supervision; subject to GENIUS Act requirements); third, a subsidiary PPSI issuing a payment stablecoin backed by tokenized deposits held at the parent IDI (this rule's supervision; subject to this rule plus the application rule at RIN 3064-AG20). The research program recommends that the final rule preamble distinguish these three configurations explicitly and clarify that the Q138 classification (payment stablecoin backed by tokenized deposits) applies to the second and third configurations, coordinating with the OCC's parallel rulemaking on FQPSI approvals.

## V. Group III: Risk management, private keys, and control-layer observability (Recommendations 11 and 12)

**Recommendation 11 (Q83): Require operational verification of private key management controls in proposed § 350.6(b)**

The FDIC's proposed § 350.6(b)(3) addresses private key management, backup, and recovery in principles-based terms and identifies three example layered-security components: multi-party computation or multi-signature technology with cold or offline storage; geographically dispersed, encrypted, regularly tested recovery keys; and monitoring for material on-chain updates including forks and smart contract

vulnerabilities. The research program's recommendation is that the final rule elevate these examples from illustrative to operational verification requirements.

The operational verification requirement would direct the FDIC's examination process under proposed § 350.7 to test, not merely review documentation of, the PPSI's private key management controls. Test procedures would include demonstration of multi-party computation or multi-signature recovery under controlled conditions, verification of geographic dispersion through custody attestation from the recovery-key custodians, and demonstration of smart contract monitoring through response-time measurements for simulated anomaly events.

This recommendation is consistent with the operational verification requirement proposed for the parallel FinCEN PPSI rulemaking (Recommendation 2 of the research program's FINCEN-2026-0100 comment), which addresses the block/freeze/reject operational capability required under proposed 31 CFR 1033.240. The two rulemakings together establish an operational verification regime for the PPSI's two most consequential technical control-layer capabilities: reserve and private key custody (this rule) and AML/CFT-mandated transactional control (FinCEN rule).

**Recommendation 12 (Q91): Calibrate the proposed § 350.7(g) confidential weekly report to include specific control-layer observability data points**

The FDIC's proposed § 350.7(g) confidential weekly report lists eight candidate data categories and seeks comment on the appropriate content. The research program's recommendation is that the report include the full set proposed by the FDIC and, in addition, three specific control-layer observability categories.

The three additional categories are: (a) reserve custody counterparty exposures, including the named custodian for each portion of reserves and the exposure amount, beyond what the monthly composition report under § 350.4(g) already requires, with weekly granularity; (b) block, freeze, and reject action counts, aligned with the reporting required under the parallel FinCEN PPSI rulemaking at FINCEN-2026-0100's proposed 31 CFR 1033.240, for supervisory consistency; and (c) the largest secondary-market holders of the payment stablecoin, identified by wallet address or by beneficial owner where the PPSI has that information.

These three categories address control-layer observability specifically. Reserve custody exposure data allows the FDIC to track concentration in near real time, not just at month-end. Block/freeze/reject action counts allow the FDIC to assess the PPSI's exercise of its technical control capability and to coordinate with FinCEN's parallel supervision. Largest-holder data allows the FDIC to identify concentration risk at the holder level, which is material for redemption liquidity planning and for supervising the operator's relationship with its largest holders.

## VI. Observation on capital framework (Q100)

The research program offers a brief observation on the capital framework at proposed §§ 350.8, 350.9, and 350.10.

The GENIUS Act's structural design, with its narrow reserve composition, narrow activities, and statutory amendments to the U.S. Bankruptcy Code protecting payment stablecoin holders' claims, constrains the capital calibration problem for PPSIs. The research program's analytical contribution to capital calibration is thin relative to its contribution to reserve discipline and deposit insurance treatment, and the research program defers to commenters with capital-framework expertise on the calibration questions raised in Questions 96 through 112.

On Question 100 specifically, regarding the proposed operational backstop, the research program observes that the proposed 12-months-of-total-expenses calibration is a reasonable starting point for a principles-based requirement. The operational backstop's purpose is to provide liquidity for continued operations during a business disruption independent of reserve assets, and 12 months is consistent with the order of magnitude of disruption scenarios the FDIC would need to supervise through. The research program offers no specific modification to this calibration.

## VII. Conclusion

The twelve recommendations and one observation above are designed to be implementable within the proposed rule's existing structure. The three-group organization reflects the research program's view that three structural features of PPSI operations warrant distinct attention in the final rule: reserve custody concentration as a distinct risk channel from composition; deposit insurance pass-through as a structural-discipline mechanism; and control-layer observability through the reporting and risk management provisions. Recommendation 7's conditional pass-through framework is the research program's principal substantive contribution; the other recommendations are calibrations and specifications of the FDIC's proposed approach.

This rule, together with the concurrent application rule at RIN 3064-AG20 and the forthcoming FDIC rulemakings on capital and liquidity requirements, will define the FDIC's supervisory architecture for subsidiary PPSIs. The three-rulemaking package gives the FDIC an integrated framework in which the application stage establishes the baseline (AG20), the substantive requirements address ongoing operations (this rule), and the capital and liquidity provisions address stress resilience (forthcoming). The recommendations in this comment are calibrated to this integrated framework rather than to this rule in isolation, and they coordinate with the parallel FinCEN, banking agency, OCC, and Treasury rulemakings that together complete the federal operational architecture for payment stablecoins.

The research program appreciates the FDIC's careful work on this proposal and the evident effort to balance statutory implementation, supervisory capacity, and regulatory burden. The recommendations above are offered in the same spirit.

Respectfully submitted,

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# Supplemental comment to FinCEN on the AML/CFT Programs NPRM (RIN 1506-AB72)

Submitted electronically via https://www.regulations.gov

To the Director of the Financial Crimes Enforcement Network

Date: June 9, 2026

Re: Supplemental comment to Docket FINCEN-2026-0034, RIN 1506-AB72, Anti-Money Laundering and Countering the Financing of Terrorism Programs; supplementing the comment of record at regulations.gov comment FINCEN-2026-0034-0008 (filed April 18, 2026)

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This is a supplemental comment to the comment our program filed on this docket on April 18, 2026, which appears on the record at regulations.gov as comment FINCEN-2026-0034-0008. That comment offered seven recommendations on the proposed AML/CFT program rule. This supplement adds one focused point and does not restate the recommendations already on the record. It is limited to a single matter on which first-party empirical evidence has become available to us since the April filing.

The point concerns Recommendation 4 of our comment of record, which urged FinCEN to preserve and clarify the requirement that the AML/CFT officer be located in the United States, and argued that the United States based officer should hold effective supervisory control over the United States nexus operations and meaningful authority over the AML/CFT program, rather than a nominal title. We raised the concern that an institution with United States facing activities could situate its AML/CFT officer abroad by characterizing those activities as technical rather than supervisory. Our April comment made that argument as a reasoned position. It did not offer first-party measurement of how far the nominal locus of responsibility can in practice diverge from the effective locus of control.

The proposed rule is squarely concerned with that divergence. The preamble at Section V.D.3 states that the proposed rule "is not intended to be primarily concerned with the formal title of the individual responsible for establishing and implementing the AML/CFT program," and instead "focuses on the AML/CFT officer's position in the financial institution's organizational structure that enables the AML/CFT officer to effectively establish and implement the financial institution's AML/CFT program." Question 17 of the proposed rule carries this framing forward to the boundary between functions that may be performed outside the United States and the officer's required location inside it. The question for the agency, in our reading, is this: to keep responsibility from drifting away from the place where it can be exercised, must the location and authority requirement be stated in terms of effective control rather than formal designation? The evidence below speaks to whether that drift is a rare edge case or a common outcome of delegated authority.

We have completed an empirical study of governance concentration, "Auditing Governance Concentration Beyond Token Allocation: A Live-Governance Study of 52 Token Protocols," accepted for publication at the peer-reviewed journal Frontiers in Blockchain and available

at https://papers.ssrn.com/sol3/papers.cfm?abstract_id=6599278. Its fifty-two protocol cross-section spans decentralized finance, decentralized physical infrastructure, and related token-governed systems. The sample consists of token-governed protocols, which are not payment stablecoin issuers, not Bank Secrecy Act financial institutions, and not subject to the proposed rule. We do not advance these protocols as analogues to regulated institutions, and we do not suggest that the rule should reach them. We offer one finding only, a descriptive association measured in a single 2026 cross-section, and we offer it as a transferable method and as a cautionary pattern about delegated authority, not as a claim about any regulated population.

Sufficient governance data exist for eighteen protocols in that sample. In thirteen of those eighteen, under formal delegation of governance authority, effective voting control concentrated above the nominal locus of token holdings. Among those thirteen, the measured divergence between effective control and nominal holdings ranged from a factor of 2.5 times to a factor of 25.6 times, with a mean of approximately 6.8 times and a median of 4.4 times. The remaining five dispersed control instead, by design features specific to their governance architecture. Concentration appeared even under an election rule expressly designed to disperse control, a pattern consistent with a small, self-selected set of active participants more concentrated than the population nominally entitled to vote. The pattern that we document is that where authority is formally delegated, the effective and the nominal loci of control separate by a large and measurable factor in most cases, rather than coinciding or separating only slightly.

The transfer to the agency's question is methodological and cautionary. It is methodological in that the divergence between a formal designation and an effective locus of control can be measured directly, rather than presumed, wherever the underlying authority relationships are observable. It is cautionary in that, in a system where authority is delegated, the modal outcome we observe is separation between the nominal and the effective loci of control, not coincidence between them. A requirement that fixes only the formal location or title of the AML/CFT officer, without a parallel requirement that the officer hold the effective supervisory control that the location is meant to secure, would in our reading leave room for precisely the separation we measure. This evidence is consistent with, and gives empirical weight to, the concern in our Recommendation 4 that effective supervisory control, and not the formal designation alone, is the operative requirement. It indicates that the agency's own stated focus on the officer's effective position, rather than the formal title, is well placed. It also indicates that the divergence the proposed rule guards against is common rather than exceptional in delegated arrangements.

We accordingly reaffirm Recommendation 4 of our comment of record, with this added empirical support: the United States location requirement for the AML/CFT officer is most likely to achieve its purpose if it is paired with an explicit requirement that the officer hold effective supervisory control over the United States nexus operations, because measurement of delegated systems indicates that nominal designation and effective control diverge by a large factor in most cases where authority is delegated. We note that our companion comment on the banking agencies' joint proposal at 91 Fed. Reg. 18304 makes the same effective-supervisory-control request for supervised banks; adopting the clarification here

would keep the two parallel rulemakings consistent on this point.

We appreciate the agency's consideration of this supplemental point and of our comment of record.

Respectfully submitted,

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# Supplemental Comment of Tokenization Systems on FINCEN-2026-0100

**Submission channel:** regulations.gov (Docket FINCEN-2026-0100); alternatively by mail to the Financial Crimes Enforcement Network
**To:** The Director of the Financial Crimes Enforcement Network and the Director of the Office of Foreign Assets Control
**Docket:** FINCEN-2026-0100; RIN 1506-AB73
**Re:** Supplement to the comment of Tokenization Systems (on the record as FINCEN-2026-0100-0005, filed April 18, 2026) regarding Permitted Payment Stablecoin Issuer Anti-Money Laundering/Countering the Financing of Terrorism Programs and Effective Sanctions Compliance Programs
**Date:** June 9, 2026

**Author:**
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## Purpose of this supplement

This letter supplements the comment that Tokenization Systems filed on this docket on April 18, 2026, which is on the public record as comment FINCEN-2026-0100-0005. It adds one focused point and does not restate the prior comment or its other recommendations.

The single point concerns Recommendation 6 of the filed comment, which urged the agencies to require that Permitted Payment Stablecoin Issuer (PPSI) risk assessments address reserve custody relationships, including concentration risk, jurisdictional risk, and operational risk. As filed, that recommendation rested on a single third-party descriptive source: the Federal Reserve FEDS Note by Du, Sonawane, and Watsky (December 17, 2025, DOI 10.17016/2380-7172.3958), which documents that USDC reserves included approximately $3.3 billion held at Silicon Valley Bank during the March 2023 episode. That source documents the existence of a custodial concentration channel; it does not establish the causal magnitude or the timing of the resulting peg disruption. Since the April filing, first-party empirical evidence on exactly that question has matured, and this supplement places it before the agencies.

## The new ground: first-party causal evidence on the reserve-custody-concentration channel

A working paper produced within the author's research program, "Did Reserve Concentration Cause Stablecoin Fragility? Evidence from the SVB Shock," reached its current version on June 8, 2026, after the April 18 filing, with the event study as its lead specification. The study could not have been cited in the original comment; it is available from the author on request.

It supplies the first-party causal anchor that Recommendation 6 previously lacked, and it does so through a within-unit event study rather than through a cross-sectional comparison.

The evidence indicates the following. A within-unit event study of USDC's hourly price path documents a depeg trough of 9.77 percentage points at the tenth hour of the event window opened by the Silicon Valley Bank failure and Circle's disclosure of its exposure, measured against flat pre-event trends (mean absolute pre-event coefficient of 0.03 percentage points). The full hourly panel spans ten stablecoins over sixty days (10,091 stablecoin-hour observations before sample restrictions); after those restrictions, the event study is estimated on an eight-token specification. The recovery trajectory breaks at the joint Federal Reserve, Treasury, and Federal Deposit Insurance Corporation backstop announcement, and that break is detected by a formal joint structural-break (Chow) test that is significant at the announcement hour ($F = 7.41$, $p = 0.0012$). Two placebo tests are consistent with an event-specific channel rather than generalized market stress: a non-event weekend produces a null result ($p = 0.322$), and the Silvergate Bank collapse two days before the Silicon Valley Bank seizure also produces a null result ($p = 0.300$). Silvergate is a particularly informative placebo: a crypto-focused bank whose failure might have been expected to disturb stablecoin prices, yet it held no stablecoin reserves and therefore opened no reserve-loss channel. Two further measurements in the study locate the channel precisely. The exposure that produced this trough was approximately 8 percent of the issuer's total reserves, a small share in percentage terms. And with the reserve bank in receivership and weekend banking closed, the issuer's primary-market redemption throughput fell over the weekend to roughly seven percent of its seizure-day level, impairing the arbitrage that normally holds the token at par. Together these measurements carry an arithmetic the agencies can verify directly: even a complete loss of the Silicon Valley Bank exposure would have left roughly 92 cents on the dollar of reserve backing, yet at its minute-level intraday low the token traded near 89 cents, below that worst-case floor. The market was pricing not only the potential loss of the concentrated reserves but the impairment of the redemption mechanism itself; a reserve-custody concentration transmits through both channels at once.

The causal weight of this evidence rests on the within-unit time path and the structural-break test, which identify off the treated unit's own behavior and do not depend on the composition of any control group. The study's cross-sectional difference-in-differences point estimate (negative on every specification, approximately 1.7 percentage points on the reproducible panel) is reported in the study as a descriptive magnitude only. An eight-token cross-section with a single directly treated issuer cannot carry a cross-sectional significance claim, and the study does not assert one. The agencies should weigh the causal claim on the event-study trough and the structural-break test, not on the cross-section.

This evidence speaks directly to the agencies' own question. It indicates that a single-bank reserve-custody concentration shock, operating through the PPSI-to-reserve-bank relationship rather than through the PPSI's direct customer relationships, produced a large and abrupt deviation from peg, and that the deviation's recovery trajectory broke at the policy backstop announcement rather than reverting on its own, a path consistent with policy-driven recovery rather than market self-correction. That is precisely the relationship that the filed comment asked the agencies to bring within the special-standards-of-diligence frame-

work. The April comment could state the concern; it could not yet quantify it. The agencies now have a first-party, reproducible estimate of how severe and how fast the disruption can be.

## Relationship to the proposed rule

This point bears directly on Section I of the NPRM, the Questions on Proposed Special Standard of Diligence, and primarily on Question 48, which asks whether there are types of relationships, accounts, or arrangements involving PPSIs that may raise questions about whether they should be treated as correspondent accounts, private banking accounts, or neither. It bears as well on the related Questions 46, 47, and 49. The reserve-custody relationship between a PPSI and its reserve bank is such an arrangement. It is not a correspondent account under the traditional definition, but the evidence above indicates that it carries concentration and operational risk of a magnitude that warrants explicit treatment under the special-standards-of-diligence framework of proposed 31 CFR 1033.600 through 1033.630, including the special standards at 31 CFR 1033.610 and the prohibitions and special measures at 31 CFR 1033.620. The filed comment's Recommendation 6 addressed this same question set (Questions 46 through 49). This supplement strengthens that recommendation with the first-party causal evidence that the channel is material, not merely possible.

## Close

We accordingly reaffirm Recommendation 6 of our comment of record, with this added empirical support. For the reasons in our comment of record and the empirical evidence above, the final rule should require that PPSI risk assessments address reserve custody concentration as an arrangement carrying distinct and measurable risk under the special-standards-of-diligence framework.

We appreciate the agencies' consideration of this supplemental point and of our comment of record.

Respectfully submitted,

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**Submitted via the Federal eRulemaking Portal (regulations.gov), Docket No. NCUA-2026-1024**

Melane Conyers-Ausbrooks
Secretary of the Board
National Credit Union Administration
1775 Duke Street
Alexandria, Virginia 22314-3428

June 22, 2026

**Re: Docket No. NCUA-2026-1024; RIN 3133-AG10, Implementing the Guiding and Establishing National Innovation for U.S. Stablecoins Act for the Issuance of Stablecoins by Entities Subject to the Jurisdiction of the National Credit Union Administration (91 Fed. Reg. 28956, May 18, 2026)**

Dear Ms. Conyers-Ausbrooks:

Tokenization Systems, an independent research program on stablecoin and payment infrastructure regulation, submits this comment on the NCUA's proposed standards for the issuance of payment stablecoins by NCUA-Licensed Permitted Payment Stablecoin Issuers (PPSIs). Tokenization Systems has submitted comments on each of the parallel GENIUS Act implementing rulemakings: the OCC implementing rule (Docket OCC-2025-0372, including a supplemental comment on interface-layer conduct), the FDIC application rule (RIN 3064-AG20) and activities rule (RIN 3064-AG19), Treasury's state-similarity principles (TREAS-DO-2026-0232), the FinCEN general AML/CFT rulemaking (FINCEN-2026-0034, with a supplemental comment), the FinCEN-OFAC PPSI rulemaking (FINCEN-2026-0100, with a supplemental comment), and the banking agency joint AML/CFT rule (91 Fed. Reg. 18304). This comment completes Tokenization Systems' coverage of the GENIUS-implementing agencies. Because Tokenization Systems has analyzed each sibling proposal in detail, several recommendations below address a question no single-docket commenter is positioned to address: where the NCUA proposal and the sibling proposals diverge in ways that would invite charter arbitrage, and where deliberate alignment would be the stronger rule.

The comment applies Tokenization Systems' control-layer framework, grounded in the Control Layer Intensity Index (CLII) and the Minimum Viable Equivalence Pack (MVEP), both available on SSRN. CLII scores stablecoin operators on the intensity of operational control they exercise over issuance, routing, custody, and compliance functions; MVEP identifies ten categories of structural features that distinguish operators whose architectures provide functional equivalents to traditional deposit protection from those whose architectures do not (Zukowski, "Minimum Viable Equivalence Pack," SSRN 6363138). The framework is introduced at length in Tokenization Systems' FDIC RIN 3064-AG19 comment and is summarized here only where a recommendation depends on it.

The comment makes eleven specific recommendations organized in seven groups and one observation. Group I (Recommendations 1 and 2) addresses reserve diversification and reserve transparency, responsive to Questions 58, 68, 69, 83, 86, and 87. Group II

(Recommendations 3 through 5) addresses share insurance and tokenized shares, responsive to Questions 39, 167 through 176, and 180. Group III (Recommendations 6 and 7) addresses redemption, responsive to Questions 97, 99, 101, 102, and 103. Group IV (Recommendation 8) addresses capital calibration, responsive to Questions 153 and 154. Group V (Recommendation 9) addresses insolvency and resolution, responsive to Questions 37, 86, 143, and 188. Group VI (Recommendation 10) addresses cross-agency coordination, responsive to Questions 1, 2, 126, and 131, and to the statutory question the proposal's footnote 160 identifies. Group VII (Recommendation 11) addresses stress testing, responsive to Question 194. The observation addresses the operational backstop. Each recommendation is implementable within the proposed rule's existing structure and is consistent with the GENIUS Act's statutory architecture.

## I. Group I: Reserve diversification and reserve transparency (Recommendations 1 and 2)

### Recommendation 1 (Q58, Q68, Q69): Adopt the core quantitative diversification standards as requirements, not as an optional safe harbor

Proposed § 706.202(c) is presented in two options. Option A states a principles-based diversification requirement with an optional quantitative safe harbor (10 percent daily liquidity, 30 percent weekly liquidity, a 40 percent single-institution concentration cap, a 50 percent cap on daily-liquidity assets at any one institution, and a 20-day weighted average maturity). Option B states the same quantitative standards as mandatory requirements. Tokenization Systems recommends that the final rule make at least the single-institution concentration cap and the daily and weekly liquidity minimums mandatory, whether through Option B or through Option A with those elements carved out as binding floors.

Two reasons support this calibration. First, the empirical record. During the March 2023 Silicon Valley Bank failure, Circle disclosed that $3.3 billion of USDC reserves, approximately 8 percent of total reserves, remained at SVB when the bank entered receivership, and USDC lost its peg before federal intervention through the systemic risk exception (Du, Sonawane, and Watsky, "In the Shadow of Bank Runs: Lessons from the Silicon Valley Bank Failure and Its Impact on Stablecoins," FEDS Notes, December 17, 2025, DOI 10.17016/2380-7172.3958). That 8 percent single-institution concentration coincided with material peg deviation: by Tokenization Systems' own venue-and-frequency-labeled measurement, USDC traded roughly 13 percent below par at its centralized-venue intraday extreme, with an hourly volume-weighted decentralized-exchange trough of 10.4 percent. If 8 percent concentration at a single institution caused material peg deviation, a regime in which the 40 percent cap binds only as an optional safe harbor leaves the supervisor to discover excessive concentration through examination rather than through rule.

Second, cross-agency parity. The FDIC's RIN 3064-AG19 proposal presented its 40 percent single-institution cap as a requirement at proposed § 350.4(f), and Tokenization Systems' comment on that docket recommended retaining it as proposed. If the NCUA finalizes the same number as an optional safe harbor while the FDIC finalizes it as a requirement, the

difference is an arbitrage invitation: a sponsor selecting between an IDI-subsidiary structure and a FICU-subsidiary structure for a stablecoin program would face a binding concentration cap in one charter and a presumption in the other. Question 69's calibration sub-questions (alternate minimums, alternate maturity limits for smaller issuers) are appropriately resolved in whatever direction the record supports, but the binding-versus-optional design choice should not diverge across the two insurance-fund regulators.

### Recommendation 2 (Q83, Q86, Q87): Require the monthly public reserve report to name the institutions holding reserve deposits and to separate insured from uninsured amounts

Proposed § 706.202(e) requires monthly publication of reserve composition, including the average tenor and geographic location of custody of each category of reserve instruments. Tokenization Systems recommends two additions, both drawn from its FDIC AG19 comment and both squarely within questions the proposal itself poses (Question 86 asks whether the report should list and name the institutions holding Reserve Assets; Question 83 asks whether it should distinguish insured from uninsured balances): the report should identify the Eligible Financial Institutions holding reserve deposits and Share Accounts by name, and it should state the insured and uninsured portions of those balances.

The SVB episode is again the motivating record. The risk that materialized in March 2023 was not reserve composition (the assets were deposits) but reserve location (the deposits were concentrated at one institution whose failure was not anticipated by holders). A composition report that discloses "cash and deposits at insured institutions" without naming the institutions or separating the insured portion does not let a holder, a counterparty, or a researcher observe the concentration channel until it has already failed. Naming the custodial institutions in the monthly report aligns the public disclosure with the risk the diversification requirements in § 706.202(c) exist to manage, and the insured-versus-uninsured split is the single most decision-relevant fact about a reserve deposit. The NCUA's own proposed weekly confidential report already collects this information; the recommendation is to move the institution-level location facts into the public monthly report, where the GENIUS Act's transparency architecture suggests they belong.

## II. Group II: Share insurance and tokenized shares (Recommendations 3 through 5)

### Recommendation 3 (Q173 through Q176): Finalize the technology-neutral amendment to part 745 as proposed

Proposed § 745.2(f) states that the technology or type of recordkeeping an insured credit union uses to record account liabilities does not affect whether those liabilities constitute accounts. Tokenization Systems supports this amendment as proposed and recommends against narrowing it to a tokenized-share-specific provision (the alternative Question 173 floats). The parallel question arose in the FDIC's AG19 proposal, where Tokenization

Systems supported the FDIC's technology-neutral clarification of "deposit" on identical reasoning: the legal character of a liability is determined by its substance, not by its recordkeeping substrate, and a technology-specific rule would re-open the boundary question with every substrate generation. A technology-neutral rule at part 745 also keeps the two insurance funds' treatment of tokenized claims aligned, which matters for the classification boundary addressed in Recommendation 5.

**Recommendation 4 (Q39, Q167 through Q172): Pair the no-pass-through determination with a mandatory holder-facing disclosure, and coordinate the pass-through posture with the FDIC before finalization**

The proposal would insure Share Accounts held as stablecoin reserves only as corporate accounts of the PPSI, aggregated to a single Standard Maximum Share Insurance Amount per institution, with no pass-through coverage to stablecoin holders. Questions 167 through 172 ask whether this is the best reading and what its consequences would be. Tokenization Systems makes two recommendations that hold under either reading.

First, disclosure. Whatever insurance treatment the final rule adopts, the holder-facing consequence should be disclosed at the product surface, not left to inference from a regulation. Tokenization Systems recommends a three-category disclosure, presented together and in plain language: (a) the legal nature of the holder's claim (a contractual redemption claim against the PPSI, not an insured share); (b) the composition of the reserves backing that claim; and (c) the location and custodian of those reserves, including the insured and uninsured portions. This three-category structure (legal claim, composition, custody location) is the same disclosure architecture Tokenization Systems recommended in its OCC supplemental comment and its Treasury state-similarity comment; Question 39's interest in disclosures regarding the applicability of share insurance fits inside category (a). The GENIUS Act's marketing prohibitions police false affirmative claims of insurance; a mandatory three-category disclosure polices the more common failure, which is holder inference from silence.

Second, coordination. The NCUA reads the GENIUS Act's prohibition on stablecoins being subject to share insurance as foreclosing pass-through treatment of the underlying reserve accounts. The FDIC's AG19 proposal reached the analogous conclusion for deposit insurance, on a reading Tokenization Systems' FDIC comment argued is more categorical than the statute requires; that comment proposed a conditional pass-through framework gated on a demanding structural qualification (an application of the MVEP framework summarized above). Tokenization Systems' position on the merits is stated in that comment and is not repeated here. The recommendation to the NCUA is narrower: whichever posture prevails should prevail at both insurance funds. Reserve deposits at an IDI and reserve Share Accounts at a FICU are economically identical exposures; if one regime offers pass-through (conditionally or otherwise) and the other forecloses it, reserve placement and charter selection will migrate toward the more favorable treatment for reasons unrelated to safety and soundness. Questions 169 through 171 ask exactly the right questions about market demand, fund exposure, and failure risk; Tokenization Systems recommends that the NCUA and FDIC answer them jointly before either agency finalizes.

### Recommendation 5 (Q180): Classify a digital asset that represents only a claim on a Share Account as a payment stablecoin backed by tokenized shares, not as the tokenized share itself

Question 180 asks how to treat a digital asset that does not directly represent a tokenized share but only an interest in or claim on a Share Account. Tokenization Systems recommends the classification it proposed to the FDIC for the parallel deposit boundary: the instrument is a payment stablecoin backed by tokenized shares (or backed by Share Accounts), not a tokenized share. The distinction is load-bearing on both sides of the boundary. If the instrument is a tokenized share, it is excluded from the GENIUS Act perimeter, insured to the member under part 745, and subject to the FCU Act's account architecture. If it is a payment stablecoin, it is inside the GENIUS perimeter, uninsured, and subject to part 706 in full. An instrument that gives the holder a claim against an intermediary whose asset is the Share Account, rather than direct ownership of the Share Account itself, has the structure of the second category, and classifying it as the first would let the issuance perimeter be escaped by one level of indirection. The classification should turn on whose liability the holder ultimately holds, which is the same substance-over-substrate principle as Recommendation 3, applied in the other direction.

## III. Group III: Redemption (Recommendations 6 and 7)

### Recommendation 6 (Q103): Require redemption for any holder who completes screening and onboarding, and require disclosure of the number of accounts with direct redemption rights

Question 103 asks whether the rule should explicitly require a PPSI to redeem stablecoins for any holder who completes onboarding and screening, or for any holder with an account at a regulated financial institution. Tokenization Systems recommends the first formulation, paired with a disclosure that follows the same transparency logic as Recommendation 2 even though Question 103 does not itself raise it: the PPSI's public redemption policy under § 706.203(a) should state the number of accounts that currently hold direct redemption rights.

The empirical record motivating both halves comes from the incumbent market the GENIUS framework is designed to discipline. Tether's terms of service limit direct redemption rights to 882 verified accounts, and Circle limits direct redemption to 1,834 accounts (Odinet, Tosato, and Yadav, "The Moneyness of Stablecoins," forthcoming 136 Yale L.J. (2026), document these counts, the Tether figure from its 2025 disclosure and the Circle figure as of March 2025). Because fiat-backed issuers generally mint and redeem directly only with approved institutional customers, the remaining millions of holders reach and exit the stablecoin through secondary markets rather than the primary point of issuance (Watsky and others, "Primary and Secondary Markets for Stablecoins," FEDS Notes, Board of Governors of the Federal Reserve System, February 23, 2024); that secondary-market liquidity is untested under stress. A redemption promise that is operative for fewer than two thousand counterparties at each of the two largest issuers and nominal for everyone else is not the redemption architecture the GENIUS Act describes,

but nothing in the proposed § 706.203 text prevents an NCUA-Licensed PPSI from reproducing it through onboarding friction: the proposed rule guarantees a minimum redemption amount of one stablecoin "subject to appropriate Customer screening and onboarding," and screening policy is where channel narrowing would occur. An explicit obligation to onboard and redeem for any holder who clears the PPSI's published screening criteria closes that path, and the disclosure of the direct-redemption account count makes channel breadth observable so that supervision and market discipline can operate on it.

### Recommendation 7 (Q97, Q99, Q101, Q102): Cap redemption fees at documented cost during the extended-redemption state, deliver fee-change notices to all holders, and unify the redemption disclosures

Three calibrations of the § 706.203 fee and disclosure architecture follow from treating redemption fees as a potential suspension mechanism by pricing. The extended-redemption state that these calibrations operate within warrants a comment of its own (Q97): Tokenization Systems supports the proposed seven-calendar-day extension as a measured stress accommodation and recommends that both its trigger (redemption demands exceeding 10 percent of Outstanding Issuance Value in 24 hours) and its duration remain specified by rule rather than set at issuer discretion, consistent with the proposal's reservation of discretionary redemption limitations to the NCUA. First (Q99), during the extended-redemption state, when redemption demands have exceeded 10 percent of Outstanding Issuance Value in 24 hours and the timely period extends to seven calendar days, redemption fees should be capped at documented processing cost. The proposal already prohibits redemption fees entirely during forced liquidation; the same logic applies in the stress state that precedes it, because an unconstrained fee imposed mid-run functions as a discretionary redemption limitation, and the proposal elsewhere reserves discretionary limitations to the NCUA alone. Second (Q101), fee-change notices should be delivered to all holders the PPSI can reach, not only to direct purchasers; in a stablecoin structure the parties most exposed to a fee change are secondary-market holders who never transacted with the issuer. Third (Q102), Tokenization Systems supports unifying the redemption-policy, fee, and insurance-status disclosures into a single holder-facing document, which is where the three-category disclosure of Recommendation 4 belongs; a disclosure architecture scattered across customer agreements, websites, and policies fails exactly the holders it is for.

## IV. Group IV: Capital (Recommendation 8)

### Recommendation 8 (Q153, Q154): Pair the individualized capital requirement with an objective variable floor scaled to Outstanding Issuance Value

The proposal sets capital by individualized evaluation, with a $5 million floor during the de novo period, consistent with the OCC's proposed rule, which proposes the identical $5 million de novo floor at proposed 12 CFR 15.41(a)(1)(i)(B). Question 154 asks whether the rule should instead or additionally include a variable component calculated as a percentage of Outstanding Issuance Value, and sketches a possible calibration (1.0 percent up to $10

billion, 0.40 percent from $10 billion to $50 billion, 0.20 percent above $50 billion). Tokenization Systems recommends adopting a variable floor of this form underneath the individualized requirement: the individualized evaluation sets the requirement, and the variable schedule sets the minimum it cannot fall below as issuance scales.

The motivating arithmetic is the capital gap Tokenization Systems documented in its OCC comment. The state money-transmitter baseline from which the federal PPSI framework is escaping is the Money Transmission Modernization Act, the Conference of State Bank Supervisors model law that states adopt for money transmitters, whose tiered minimum-tangible-net-worth schedule sets the greater of $100,000 or 3 percent of the first $100 million in assets, 2 percent of assets from $100 million to $1 billion, and 0.5 percent of assets above $1 billion (Section 10.01(a)); the model law states that schedule, not a single percentage, and applying it to a representative $40 billion issuer yields approximately $216 million, a blended minimum of approximately 0.54 percent of assets; a bank holding the same $40 billion faces approximately 12 percent CET1 (approximately $4.8 billion), a gap of approximately 22 to 1 before stress testing, deposit insurance, or resolution planning. Former senior regulators have argued to the OCC that liquidity and diversification requirements are not sufficient substitutes for capital where reserves include uninsured deposits whose value can fall as bank-failure risk rises (Dudley and Liang, public comment to the OCC on GENIUS Act implementation, May 2026). A purely individualized requirement with only a de novo floor leaves the post-de-novo capital level entirely to supervisory negotiation, which produces two predictable failure modes: requirements that drift apart across the primary federal payment stablecoin regulators for identically situated issuers (the arbitrage problem of Recommendation 10), and a requirement that scales with examiner attention rather than with issuance. The Question 154 schedule, at 1.0 percent on the first tier, would sit roughly twice that blended state-baseline ratio while remaining far below bank ratios, which is a defensible floor for a narrow-purpose issuer holding statutorily constrained reserves; Tokenization Systems takes no position on the exact tier values but recommends that some objective issuance-scaled floor exist, and that its calibration be coordinated with the OCC and FDIC so that the floor is common across charters.

## V. Group V: Insolvency and resolution (Recommendation 9)

### Recommendation 9 (Q37, Q86, Q143, Q188): Adopt implementing rules for the GENIUS Act's insolvency provisions, require resolution planning scaled to issuance, require reserve traceability, and make custodial-priority waivers visible

Question 188 asks whether the NCUA should adopt rules implementing the GENIUS Act's insolvency provisions and whether PPSIs should be required to establish resolution plans. Tokenization Systems recommends yes to both, with the resolution-planning obligation scaled to issuance rather than applied uniformly, consistent with the international resolution standard's proportionality provision that a recovery and resolution plan should "reflect [a firm's] nature, complexity, interconnectedness, level of substitutability and size" (Financial Stability Board, Key Attributes of Effective Resolution Regimes for Financial Institutions, October 2014, Key Attribute 11.3). Three specific elements follow.

First, the segregation architecture in proposed § 706.202(a)(1) (identifiable, segregated, non-commingled reserves) is necessary but addresses a different layer than an insolvency rule. Segregation that exists as an operational practice during the going concern is not the same thing as segregation that is effective in a resolution proceeding; the difference between a statutory priority and a contractual arrangement is precisely what determines whether stablecoin holders recover at par or litigate their rank. The interagency stablecoin report made the underlying point at the outset of the reform effort: even when reserves equal the value of stablecoins in circulation, "other creditors may have a claim on the reserve assets that competes with that of stablecoin holders" (President's Working Group on Financial Markets, Federal Deposit Insurance Corporation, and Office of the Comptroller of the Currency, Report on Stablecoins, November 2021, at 4 n.8). The preamble acknowledges that holder claims would rank senior to claims of non-payment-stablecoin creditors and asks how to implement section 4(a)(7)(B); Tokenization Systems recommends the final rule state how the part 706 segregation requirements map onto the section 11 priority in an actual proceeding, rather than leaving the mapping to the first failure.

Second, traceability (Q86). The proposal asks what measures would keep Reserve Assets traceable and linked to their payment stablecoin so as to avoid difficulties resolving claims. The monthly public composition report of Recommendation 2 and the weekly confidential data already collect the needed facts; the recommendation is a requirement that the PPSI maintain, continuously and in a form an examiner or liquidating agent can use without reconstruction, a mapping from outstanding stablecoins to the specific reserve accounts and instruments backing them. Resolution speed is a holder-protection variable: a liquidating agent who must reconstruct the reserve mapping from transaction records redeems holders slower than one who reads it from a maintained record.

Third, custodial-priority waivers (Q143). The GENIUS Act's section 10(c)(3) priority for customer claims against a custodian is waivable by express agreement. Tokenization Systems recommends that any such waiver in a PPSI's custody arrangements be disclosed in the holder-facing disclosure of Recommendation 4, and that the NCUA consider whether waivers should be permitted at all in custody agreements covering required Reserve Assets. A priority that the statute grants and the custody agreement quietly waives is the kind of gap between disclosed architecture and operative architecture that the MVEP framework's insolvency-posture category exists to surface; at minimum it should not be quiet.

## VI. Group VI: Cross-agency coordination (Recommendation 10)

### Recommendation 10 (Q1, Q2, Q126, Q131; footnote 160): Coordinate reporting formats and primary-regulator designation on an interagency basis, and resolve the discretionary-redemption-limitation authority question explicitly

The proposal is commendably explicit about its alignment posture: definitions, risk-management standards, the de novo capital floor, and the deconsolidation treatment all track the OCC proposal, with deliberate credit-union adaptations. Three coordination items remain open, and Tokenization Systems, having commented on each sibling docket, recommends they be closed before finalization. The window for that is open and finite: the

GENIUS-implementing agencies are completing their rulemakings against the same July 18, 2026 statutory deadline, the one point at which the cross-charter divergences identified in this letter can be reconciled before divergent final rules lock them in.

First (Q126), the quarterly report of financial condition should be developed on an interagency basis across the primary federal payment stablecoin regulators, as the question contemplates. A common reporting format is what makes cross-charter supervision and research comparison possible at all; the Call Report precedent shows both that interagency formats are achievable and that retrofitting them after divergence is expensive.

Second (Q131 and the preamble's interjurisdictional discussion), the designation of the primary federal payment stablecoin regulator for entities with plausible claims to more than one regime should be resolved through a joint policy statement before the first such application, not case by case afterward. The preamble candidly notes that the agencies may address such potential interjurisdictional issues in the future; Tokenization Systems recommends the future arrive before licensing begins, because the ambiguity is itself an arbitrage instrument: an applicant who can choose its primary regulator by structuring will choose the most permissive divergence identified anywhere in this letter. The competitive dynamic that makes ex-ante alignment preferable to after-the-fact correction is a familiar one: where a firm secures greater regulatory freedom than its rivals, the resulting cost advantage is not a product of efficiency, and compliant firms face pressure either to seek the same treatment or to lose ground, a race to the bottom in which a stricter rule can become a practical nullity (Sandeep Vaheesan, "Lawbreaking as a Method of Competition," 75 American University Law Review (forthcoming 2026), SSRN 5433014).

Third, footnote 160. The proposal acknowledges that GENIUS Act section 4(a)(1)(B)(i) lists the state regulators, the FDIC, the Comptroller, and the Federal Reserve Board as the authorities that may impose discretionary redemption limitations, and that the NCUA is not expressly listed; the proposal concludes the NCUA holds the same authority by implication from other provisions. Tokenization Systems takes no position on whether the inference is correct. The recommendation is about sequencing and risk: a discretionary redemption limitation is, by construction, an instrument used mid-stress, and an instrument whose statutory basis is inferential will be challenged at the moment it is used, which is the worst possible moment for its validity to be uncertain. Tokenization Systems recommends that the agencies address the omission explicitly through a joint interpretation, and that the NCUA consider supporting a technical amendment that conforms the statutory list, so that the authority the rule presumes is one a court has no occasion to construe during a run. Tokenization Systems' prior comments have flagged the inverse pattern, where a proposed regulatory mechanism reaches beyond the statutory grant; this is the rarer case where the statutory text appears to under-include the regulator, and the cure is the same in both directions: make the authority explicit rather than inferential.

## VII. Group VII: Stress testing (Recommendation 11)

**Recommendation 11 (Q194): Require size-scaled stress testing, with a mandatory scenario calibrated to the reserve-concentration channel of the March 2023 depeg, and make summary results public**

Question 194 asks whether NCUA-Licensed PPSIs above a certain size should conduct periodic stress tests or run simulations modeled on historical stablecoin de-pegging events, how the scenarios should be designed, and whether results should be made public. Tokenization Systems recommends yes on all three points and offers concrete scenario design from the most fully documented episode.

The March 2023 depeg is the natural template because its transmission channel is measured, not hypothesized: as set out in Recommendation 1, an approximately 8 percent single-institution reserve concentration coincided with double-digit peg deviation before federal intervention. A mandatory scenario set should therefore include a single-custodian-failure shock applied to the issuer's actual reserve-concentration profile under proposed § 706.202(c), paired with a redemption run calibrated to the extended-redemption trigger in proposed § 706.203(c) (redemption demands exceeding 10 percent of Outstanding Issuance Value in 24 hours). Summary results should be public, on the same transparency logic as Recommendation 2: a concentration exposure that materializes only in a stress test the supervisor alone sees is one the market cannot discipline. The requirement should be scaled to issuance, so that small issuers are not burdened with large-issuer testing machinery; the scenario design, not the testing apparatus, is what this episode makes available to every issuer. This recommendation connects the concentration record of Recommendation 1, the stress trigger of Recommendation 7, and the resolution-readiness concern of Recommendation 9 under a single forward-looking requirement.

## VIII. Observation: Operational backstop calibration

The proposed operational backstop, twelve trailing months of total expenses held in highly liquid assets segregated from both capital and reserves, matches the calibration in the FDIC's AG19 proposal, which Tokenization Systems' comment on that docket characterized as a reasonable starting point. Tokenization Systems repeats that characterization here and notes that the cross-agency consistency of the backstop design is itself valuable; this is the alignment pattern Recommendation 10 asks the agencies to extend to the items where it does not yet hold.

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Tokenization Systems appreciates the NCUA's careful and unusually transparent proposal; the 199 numbered questions make the open design choices legible in a way that materially improves the quality of public input. The recommendations above are offered to support a final rule that protects payment stablecoin holders, preserves the safety and soundness of the credit union system, and avoids creating the cross-charter divergences that would undermine both.

Respectfully submitted,

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**Submitted via the Federal eRulemaking Portal (regulations.gov), Docket No. NCUA-2026-1024 (supplemental comment)**

Melane Conyers-Ausbrooks
Secretary of the Board
National Credit Union Administration
1775 Duke Street
Alexandria, Virginia 22314-3428

June 22, 2026

**Re: Supplemental comment on Docket No. NCUA-2026-1024; RIN 3133-AG10, Implementing the GENIUS Act for the Issuance of Stablecoins by Entities Subject to the Jurisdiction of the NCUA (91 Fed. Reg. 28956). This supplements the comment of Tokenization Systems filed June 22, 2026, comment tracking number mqp-6xf4-2irf.**

Dear Ms. Conyers-Ausbrooks:

Tokenization Systems submits this supplemental comment to make its principal comment easier for the agency to route and act on. It adds no new recommendations. It (1) summarizes the eleven recommendations in a routing table keyed to the NCUA's questions, (2) sets out where the NCUA proposal aligns with or diverges from the sibling GENIUS Act rulemakings, (3) offers suggested rule text for the five highest-priority asks, (4) responds to anticipated objections, and (5) consolidates the sources relied on. The principal comment remains the comment of record.

## I. Recommendation routing table

| Recommendation | NCUA questions | Requested final-rule action | Why it matters |
|---|---|---|---|
| 1. Mandatory reserve diversification floors | 58, 68, 69 | Make the single-institution concentration cap and the daily and weekly liquidity minimums binding, not an optional safe harbor | An 8 percent single-bank concentration drove the March 2023 USDC depeg; an optional cap defers the safeguard to examination |
| 2. Public reserve-location disclosure | 83, 86, 87 | Require the monthly public report to name reserve-holding institutions and split insured from uninsured | The 2023 risk was reserve location, which composition-only reporting hides until failure |
| 3. Technology-neutral part 745 | 173 to 176 | Finalize Section 745.2(f) as proposed, not narrowed to tokenized shares | A liability's character turns on substance, not recordkeeping substrate |
| 4. No-pass-through plus disclosure plus FDIC coordination | 39, 167 to 172 | Pair the determination with a mandatory three-category holder disclosure; coordinate the posture with the FDIC | IDI reserve deposits and FICU reserve Share Accounts are economically identical; divergence drives placement arbitrage |

| Recommendation | NCUA questions | Requested final-rule action | Why it matters |
|---|---|---|---|
| 5. Claim-on-Share-Account classification | 180 | Classify it as a payment stablecoin backed by tokenized shares, not as a tokenized share | Prevents escaping the issuance perimeter by one level of indirection |
| 6. Direct-redemption access plus count disclosure | 103 | Require redemption for any holder who clears screening and onboarding; disclose the count of direct-redemption accounts | Tether grants direct redemption to 882 accounts and Circle to 1,834; onboarding friction can otherwise narrow the channel |
| 7. Stress-state fee cap plus all-holder notices plus unified disclosure | 97, 99, 101, 102 | Cap redemption fees at documented cost in the extended-redemption state; notice all holders; unify the disclosures | An unconstrained mid-run fee is a discretionary redemption limitation by pricing |
| 8. Objective variable capital floor | 153, 154 | Add an issuance-scaled minimum beneath the individualized requirement and the $5 million de novo floor | Prevents post-de-novo capital from drifting across regulators by examiner negotiation |
| 9. Insolvency rules, resolution plans, traceability, waiver visibility | 37, 86, 143, 188 | Adopt insolvency implementing rules; require issuance-scaled resolution plans and continuous reserve traceability; disclose Section 10(c)(3) waivers | Going-concern segregation is not priority effective in a resolution |
| 10. Cross-agency coordination and footnote 160 | 1, 2, 126, 131 | Develop the quarterly report and primary-regulator designation interagency; resolve the discretionary-redemption-limitation authority explicitly | A common format and a pre-set designation remove the arbitrage an applicant could exploit by structuring |
| 11. Size-scaled stress testing | 194 | Require a mandatory March 2023-calibrated scenario; publish summary results | The depeg transmission channel is measured, not hypothesized, and reusable by every issuer |
| Observation: operational backstop | preamble | Preserve the twelve-month backstop | Cross-agency consistency with the FDIC calibration is itself valuable |

## II. Cross-agency alignment and divergence

The distinctive contribution of the principal comment is that Tokenization Systems has commented on every GENIUS Act implementing rulemaking and can therefore identify where the NCUA proposal and its siblings diverge in ways that invite charter arbitrage. The key points:

| Issue | NCUA proposal | Sibling proposal | Recommended alignment |
|---|---|---|---|
| Single-institution concentration cap | Optional safe harbor (Option A) or mandatory (Option B) | FDIC RIN 3064-AG19: mandatory at proposed Section 350.4(f) | Make it mandatory at the NCUA; an optional cap invites IDI-versus-FICU arbitrage |
| Reserve pass-through to holders | No pass-through | FDIC: no pass-through (more categorical than the statute requires) | Coordinate before finalizing; do not let the posture diverge across the two funds |
| De novo capital floor | $5 million (tracks the OCC) | OCC: $5 million at proposed 12 CFR 15.41(a)(1)(i)(B) | Aligned; add an objective issuance-scaled floor, calibrated jointly |
| Operational backstop | Twelve months of expenses | FDIC RIN 3064-AG19: twelve months | Aligned; preserve |
| Technology-neutral treatment | Part 745 (Section 745.2(f)) | FDIC: technology-neutral deposit clarification | Aligned; finalize as proposed |
| Discretionary-redemption-limitation authority | Inferred (the NCUA is not listed in Section 4(a)(1)(B)(i)) | FDIC, OCC, Federal Reserve, state regulators: expressly listed | Cure by joint interpretation now; seek a conforming statutory amendment later |

## III. Suggested rule text for the five highest-priority asks

These are offered as drafting starting points, not as preferred verbatim language; the calibration values are the proposal's own.

1. Reserve floors. Revise proposed Section 706.202(c) to make the single-institution concentration cap and the daily and weekly liquidity minimums mandatory: adopt Option B, or retain Option A while providing that those elements are required floors rather than safe-harbor factors.
2. Reserve-location disclosure. Revise proposed Section 706.202(e) to require the monthly public report to identify by name each Eligible Financial Institution holding Reserve Assets or Share Accounts and to state the insured and uninsured amount held at each.
3. Direct-redemption access. Revise proposed Section 706.203 to require a PPSI to redeem for any holder who completes the PPSI's published Customer screening and onboarding criteria, and to require the public redemption policy under Section 706.203(a) to state the number of accounts that hold direct redemption rights.
4. Capital floor. Revise the capital standard to add, beneath the individualized requirement and the $5 million de novo floor, an objective minimum equal to a stated percentage of Outstanding Issuance Value, with the percentage calibrated jointly with the OCC and FDIC so the floor is common across charters.

5. Stress testing. Require a PPSI above a stated issuance threshold to conduct periodic stress tests that include a mandatory single-custodian-failure scenario applied to the issuer's actual reserve-concentration profile under Section 706.202(c), paired with a redemption run calibrated to the Section 706.203(c) extended-redemption trigger, and to publish summary results.

## IV. Anticipated objections

Reserve-location disclosure (confidentiality or run risk). Naming reserve-holding institutions can be calibrated so it does not create a real-time run-targeting tool: report the names and the insured-versus-uninsured split on the existing monthly cycle (a lag that defeats real-time targeting), or, if the agency prefers, disclose concentration in banded form (the share of reserves at the single largest institution and at the top three, in percentage bands) rather than naming each institution. The NCUA already collects the institution-level data in its weekly confidential report; the recommendation moves a calibrated version of it to the public monthly report.

Direct redemption (AML and sanctions neutrality). The ask preserves neutral, risk-based screening. A PPSI applies its published Customer Identification and screening criteria to every holder equally and redeems for any holder who clears them. The recommendation removes only the discretionary channel-narrowing that screening policy could otherwise accomplish; it does not require redeeming for an unscreened or sanctioned party, and it does not weaken anti-money-laundering or sanctions controls.

Footnote 160 (what the rule can do now versus what needs a statute). The NCUA can act within the final rule and need not wait for Congress. In the final rule the agency can ground the discretionary-redemption-limitation authority in the provisions the proposal already cites, state that basis explicitly, and commit to a joint interagency interpretation. A conforming technical amendment to GENIUS Act Section 4(a)(1)(B)(i) that adds the NCUA to the enumerated list is the durable fix only Congress can make; it is desirable but not a precondition for finalizing the rule. Separating the two keeps the final rule from becoming hostage to a statutory change.

## V. Sources relied on


- Chuan Du, Ria Sonawane, and Cy Watsky, "In the Shadow of Bank Runs: Lessons from the Silicon Valley Bank Failure and Its Impact on Stablecoins," FEDS Notes (Board of Governors of the Federal Reserve System, December 17, 2025), DOI 10.17016/2380-7172.3958.
- Christopher K. Odinet, Andrea Tosato, and Yesha Yadav, "The Moneyness of Stablecoins," 136 Yale Law Journal (forthcoming 2026).
- Cy Watsky and others, "Primary and Secondary Markets for Stablecoins," FEDS Notes (Board of Governors of the Federal Reserve System, February 23, 2024).
- Conference of State Bank Supervisors, Money Transmission Modernization Act (model law), Section 10.01(a).

- Financial Stability Board, Key Attributes of Effective Resolution Regimes for Financial Institutions (October 2014), Key Attribute 11.3.
- President's Working Group on Financial Markets, Federal Deposit Insurance Corporation, and Office of the Comptroller of the Currency, Report on Stablecoins (November 2021).
- Sandeep Vaheesan, "Lawbreaking as a Method of Competition," 75 American University Law Review (forthcoming 2026), SSRN 5433014.
- William Dudley and Nellie Liang, public comment to the OCC on GENIUS Act implementation (May 2026).


Respectfully submitted,


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# Comment on the Notice of Proposed Rulemaking: Bank Secrecy Act and Sanctions Compliance Standards for FDIC-Supervised Permitted Payment Stablecoin Issuers

**Submitted to:** Federal Deposit Insurance Corporation, via Comments@fdic.gov (RIN 3064-AG29 in the subject line) and the FDIC Federal Register publications portal (https://www.fdic.gov/federal-register-publications)
**Docket / RIN:** RIN 3064-AG29
**Federal Register citation:** 91 Fed. Reg. 34171 (June 5, 2026)
**Comment period closes:** August 4, 2026
**Submitted by:** Tokenization Systems (www.Tokenization.Systems)
**Date:** June 30, 2026

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## Introduction and summary

Tokenization Systems is an independent research program studying the operational control layer of tokenized financial systems: the technical and organizational functions through which a stablecoin issuer or interface operator actually exercises control over issuance, reserve custody, transaction routing, and the execution of lawful orders. Tokenization Systems develops measurement instruments that make those control functions observable to supervisors, including the Minimum Viable Equivalence Pack, a ten-category structural diagnostic for diligence at decision points, and the Control Layer Intensity Index for continuous monitoring.

Tokenization Systems has submitted 12 prior federal comments across six federal agencies, including comments to the Office of the Comptroller of the Currency on its implementing rule for permitted payment stablecoin issuers (Docket OCC-2025-0372, with a supplemental comment on interface-layer conduct); to the Department of the Treasury on state-similarity principles (TREAS-DO-2026-0232); to the Financial Crimes Enforcement Network on the general anti-money-laundering rulemaking (FINCEN-2026-0034) and, jointly addressed to the Office of Foreign Assets Control, on the permitted-payment-stablecoin-issuer program rulemaking (FINCEN-2026-0100); to the Federal banking agencies on the joint anti-money-laundering rule (91 Fed. Reg. 18304); and to the FDIC on the prudential activities rule (RIN 3064-AG19) and the application-process rule (RIN 3064-AG20). This comment is Tokenization Systems' third FDIC comment. The federal rulemakings together define the operational architecture within which permitted payment stablecoin issuers (PPSIs) will issue payment stablecoins; the recommendations in this comment are designed to coordinate with the parallel rulemakings rather than to duplicate or contradict them.

This rule occupies a distinct position in that architecture. As the FDIC states in Section III, the proposed rule would "amend subpart A of part 350 to add a provision to address PPSI BSA and sanctions compliance standards" and would "establish subpart C of part

350 to add supervision and enforcement provisions for PPSI AML/CFT programs." Proposed Section 350.6(d) imposes the substantive obligation by incorporation, requiring each PPSI to comply with the Bank Secrecy Act, sections 4(a)(5) and 4(a)(6)(B) of the GENIUS Act, and "applicable regulations at 31 CFR chapter V and 31 CFR chapter X." The substantive AML/CFT and sanctions program content (what such a program must contain, and what makes it effective) lives in the companion FinCEN and OFAC rule at 91 Fed. Reg. 18582 and in 31 CFR chapters V and X. This rule is therefore principally a supervision-and-coordination instrument: it specifies how the FDIC will examine and enforce against PPSIs through its own channel, and how the FDIC will coordinate with the Director of FinCEN before doing so.

The central proposition of this comment is that the coordination architecture the rule proposes (the advance-notice consultation under proposed Section 350.202 and the effective-program disposition under proposed Section 350.201) functions as intended only if the FDIC and FinCEN read the same measured control posture of the same operator. Two agencies coordinating on a verbal account, or on separately gathered and non-comparable observations, will produce duplicative examination, divergent determinations, and the logistical friction the FDIC itself identifies in Question 4. A shared, reproducible measurement of control-layer posture, organized as a single supervisory record per operator, closes that gap. The comment's distinctive contribution is to identify the same problem at the boundary of a dual-character instrument: where the token does not change, but the obligor, legal regime, and supervisory perimeter do.

A note on scope and evidence precedes the recommendations. Where this comment draws on Tokenization Systems' empirical work in tokenized governance and concentration, that work studies decentralized-finance and decentralized-physical-infrastructure protocols, not PPSIs. Those findings are offered to illustrate a measurement method and a failure mode, not as evidence about any PPSI. The comment flags this scope qualification at each point of use. It notes in addition that every FDIC-supervised PPSI will be a subsidiary of an insured depository institution (the FDIC supervises zero PPSIs at present, per Section IV.A), so Tokenization Systems' protocol-level findings transfer as method only and not as a description of the entities this rule covers.

The six recommendations are mapped below to the FDIC's questions and to the action requested in the final rule, preamble, or examination guidance:

| Recommendation | FDIC question or provision | Requested final-rule action | Why it matters |
|---|---|---|---|
| 1. Observable effective-program criteria | Question 1; proposed Section 350.201 | Clarify that the effective-program disposition rests on observable indicators drawn from the FinCEN program requirements, not attestation alone. | Prevents the disposition from becoming a paper-program safe harbor. |

| Recommendation | FDIC question or provision | Requested final-rule action | Why it matters |
|---|---|---|---|
| 2. Shared control-posture record | Question 4; proposed Section 350.202(b)(1) | Make a reproducible control-posture record a standing component of the FDIC-to-FinCEN notice package. | Gives both agencies the same measured object and reduces duplicative examination. |
| 3. Thresholds keyed to posture | Questions 2 and 3; proposed Sections 350.200 and 350.202 | Pair any issuance-value threshold or PPSI-requested consultation option with a control-posture trigger, and include section 6(b) suspension or revocation actions when AML/CFT deficiencies are part of the basis. | Keeps consultation focused on both systemic consequence and control failure. |
| 4. Operational test of block, freeze, and reject capability | Proposed Section 350.6(d); Section IV.C | Require examination evidence that the capability works across primary and secondary channels, with intensity scaled to measured holder concentration. | Converts the sanctions obligation from a documented design into an observed control. |
| 5. Accountable line for parent-program reliance | Question 1; proposed Section 350.6(d) | Confirm that one identifiable accountable line holds both PPSI-specific control-posture information and authority to act on it. | Prevents parent-program reliance from diffusing responsibility between the entity that sees the problem and the entity that can fix it. |
| 6. Coverage across holding-location obligor changes | Question 1; proposed Sections 350.201, 350.202, and 350.6(d) | Confirm that AML and sanctions coverage follows a tokenized instrument when its obligor and legal regime change based on holding location. | Prevents the unexamined leg of a dual-character instrument from becoming the blind spot in the supervision architecture. |

The highest-priority implementation language could be framed as follows:

- **Preamble clarification for proposed Section 350.201:** "In determining whether a permitted payment stablecoin issuer has established an effective AML/CFT program for purposes of this subpart, the FDIC will evaluate observable evidence that the program's identity-verification, transaction-monitoring, sanctions-screening, and lawful-order-execution controls are operationally exercisable for the control functions the issuer performs."
- **Examination-guidance language for proposed Section 350.201:** "A program should not be treated as effective solely because policies, procedures, or attestations exist; examiners should confirm that the issuer can demonstrate the relevant control functions under test conditions appropriate to its business model and risk profile."
- **Possible Section 350.202(b)(1) implementation language:** "The written notice to the Director of FinCEN should include, where available, the issuer's current control-posture record, including the examination workpapers and operational metrics used to assess whether the relevant controls function in practice."
- **Examination-guidance language for proposed Section 350.6(d):** "An examination of sanctions compliance should include operational testing of the issuer's capability to block, freeze, or reject transactions in accordance with lawful orders and applicable sanctions law, including testing across both issuer-controlled and secondary-market holding channels."
- **Preamble clarification for dual-character instruments:** "Where one tokenized instrument changes obligor or applicable legal regime based on the holder's location inside or outside a consortium, the FDIC should confirm that AML/CFT and sanctions coverage, identity continuity, and lawful-order execution remain effective across the transition."

The recommendations also align with the parallel federal rulemakings and answer the principal objections likely to arise:

| Issue | This proposal | Sibling proposal(s) | Recommended alignment |
|---|---|---|---|
| Effective-program disposition | AG29 creates the FDIC effective-program disposition in proposed Section 350.201. | FINCEN-2026-0100 and 31 CFR chapter X supply the substantive AML/CFT program standard. | Preserve FinCEN's substantive standard, but state the observable evidence FDIC examiners use to determine that the standard is met in practice. |
| FDIC and FinCEN consultation | AG29 requires advance notice and consideration of FinCEN input under proposed Section 350.202. | FINCEN-2026-0034 and FINCEN-2026-0100 both depend on comparable program information across regulated entities. | Use a single control-posture record so FinCEN and the FDIC reason over the same measured object instead of reconstructing two records. |

| Issue | This proposal | Sibling proposal(s) | Recommended alignment |
|---|---|---|---|
| Block, freeze, and reject capability | AG29 incorporates sanctions compliance through proposed Section 350.6(d) and references operational costs for block, freeze, and reject capability. | FINCEN-2026-0100 and OFAC set the sanctions-program obligation for PPSIs. | Treat AG29 as the FDIC examination channel for testing whether that capability works across primary and secondary holding channels. |
| Parent-program reliance | AG29's impact analysis expects most FDIC-supervised PPSIs to leverage parent institution compliance programs. | AG20 raised enterprise-wide integration in the application channel; the banking-agency AML rule addresses program governance at banking institutions. | Confirm that reliance on the parent program preserves one accountable line with both PPSI-specific information and authority to act. |
| Dual-character instruments | AG29 examines FDIC-supervised PPSIs, but a single token can change obligor and legal regime based on holding location. | AG19 addresses prudential PPSI requirements; FINCEN-2026-0100 addresses AML/CFT and sanctions program content. | Use AG29 consultation and examination to confirm that the leg outside direct FDIC examination is not an AML or sanctions blind spot. |

The main anticipated objections are manageable. If the FDIC is concerned about burden, the shared record reduces duplicative reconstruction rather than adding a second exam. If the FDIC is concerned about privilege under Question 5, the operational record is a record of observed control facts, not a substitute for privileged legal analysis. If the FDIC is concerned that the named dual-character example sounds like an enforcement allegation, the example is offered only as a supervisable failure mode and not as a claim that either named institution is an FDIC-supervised PPSI under this rule.

## I. Group I: The effective-program disposition and the consultation framework need a common measured object (Recommendations 1 through 3)

### Recommendation 1 (Question 1; proposed Section 350.201): Tie the effective-program disposition to observable, reproducible qualification criteria

Proposed Section 350.201(a) provides that, except with respect to a significant or systemic failure to implement an effective AML/CFT program in accordance with applicable regulations at 31 CFR chapter X, "an FDIC-supervised permitted payment stablecoin issuer that has established an effective AML/CFT program in accordance with applicable regulations at 31 CFR Chapter X will not be subject to an AML/CFT enforcement action or to a significant AML/CFT supervisory action related to the program requirements issued by FinCEN." Question 1 asks whether the FDIC "should further refine or clarify any of the concepts or definitions outlined in the proposed supervision and enforcement provisions." The most consequential concept the proposed rule leaves unrefined is the meaning of "effective AML/CFT program," and Tokenization Systems recommends that the FDIC clarify how an examiner reaches that determination, anchoring it in observable, reproducible features of the program rather than in attestation alone.

The drafting structure makes this clarification load-bearing. The rule does not itself define an effective program; the preamble ties the determination to the program requirements issued by FinCEN under 31 CFR chapter X. That deferral is appropriate as to substantive program content, because the content is set in the companion rule. It is incomplete as to examination practice, because nothing in proposed Section 350.201 states what an examiner observes in order to conclude that a program is effective rather than nominal. The disposition is consequential: a PPSI that clears it is, by the rule's own terms, not subject to an AML/CFT enforcement action or a significant AML/CFT supervisory action on the program requirements. A disposition with that consequence should rest on a reproducible determination.

Tokenization Systems' prior comments have argued, in both the FinCEN and the FDIC channels, that a program's existence on paper does not establish that the program functions. In its FINCEN-2026-0100 comment (Recommendation 2), Tokenization Systems argued that the block, freeze, and reject capability required of a PPSI cannot be presumed from the existence of smart-contract functions and must be operationally verified; in its FINCEN-2026-0034 comment (Recommendation 5), it generalized that point to independent testing that is fit for purpose, tracing on-chain behavior against internal records rather than reviewing documentation alone; and in its comment on the FDIC prudential rule (RIN 3064-AG19, Recommendation 11), it extended the principle to operational verification of private-key management controls. The increment this comment adds is to carry that established principle into the disposition that Section 350.201 creates: the effective-program determination should be the output of a reproducible examination, expressed in observable features (whether the program's identity-verification, monitoring, and lawful-order-execution functions are demonstrably exercisable for each control function the PPSI performs), and not a conclusion drawn from an attestation that the program

exists.

Tokenization Systems does not recommend that the FDIC author its own definition of an effective program that diverges from the FinCEN standard; that would defeat the coordination the rule seeks and risk inconsistency between the two instruments. It recommends that the FDIC, in the preamble to the final rule or in examination guidance accompanying Section 350.201, identify the observable indicators an examiner uses to reach the determination, drawn from the FinCEN program requirements, so that the determination is reproducible across examinations and comparable across PPSIs. Tokenization Systems' research supports treating the gap between a documented program and an operative one as the recurring failure point rather than an edge case. In Tokenization Systems' comparison of payment-stablecoin operators across regulatory-intensity scores, a higher score on the continuous-monitoring index did not by itself prevent a peg failure: in March 2023, the operator scoring highest on the index nonetheless experienced a depeg of approximately 10.4 percent on decentralized exchanges and approximately 13 percent on centralized exchanges, while a lower-scoring operator held its peg over the same window. That contrast, offered as illustration of the principle and not as evidence about any PPSI, shows that effectiveness is a property of observed behavior under stress, not of documented design; a determination framework that does not measure observed behavior will systematically overstate effectiveness.

**Recommendation 2 (Question 4; proposed Section 350.202): Give the advance-notice consultation a single, shared, reproducible control-posture record**

Proposed Section 350.202(b)(1) requires the FDIC to send the Director of FinCEN written notice of its intent to take an AML/CFT enforcement action or a significant AML/CFT supervisory action "at least 30 days before taking the action," with a shorter period available in the FDIC's sole discretion for unsafe-or-unsound conditions. The notice must be accompanied by the relevant AML/CFT information underlying the proposed action, which the rule states may include, among other things, "the relevant portions of the draft report or enforcement action, the relevant examination workpapers supporting the proposed action, and the relevant AML/CFT information submitted by permitted payment stablecoin issuer to the FDIC." Section 350.202(a) provides that the FDIC will consider FinCEN's input on the action, "which may include any view as to the effectiveness of the permitted payment stablecoin issuer's AML/CFT program." Question 4 asks: "How can the consultation process be streamlined and prevent logistical burdens for PPSIs or delays in exam report issuance?"

Tokenization Systems recommends that the FDIC streamline the consultation by maintaining, for each PPSI, a single reproducible record of measured control-layer posture that both the FDIC and FinCEN read, and by making that record a standing component of the information transmitted with the Section 350.202(b)(1) notice. The mechanism the rule proposes already contemplates transmitting examination workpapers and the underlying AML/CFT information; the recommendation is that a defined, reproducible control-posture record be a standing element of that package rather than an ad hoc

assembly of materials at the moment an action is contemplated.

The principal source of the logistical burden and exam-report delay the FDIC identifies in Question 4 is the cost of FinCEN reconstructing, within the notice window, an independent understanding of a control posture the FDIC has already examined. If FinCEN's view as to the effectiveness of the PPSI's program, contemplated in Section 350.202(a), is formed against the same measured record the FDIC used to reach its determination under Section 350.201, the two agencies reason over a common object. Divergence then reflects a genuine difference in judgment about a shared posture, which is the kind of difference the consultation is designed to surface, rather than an artifact of two agencies measuring different things. This is the operational form of the coordination the rule seeks. Tokenization Systems' prior FinCEN-channel comments recommended that the agencies coordinate (FINCEN-2026-0100, Recommendation 9; FINCEN-2026-0034, Recommendation 7); this recommendation gives that coordination a concrete object, a common, observable record, which is the form that prevents duplicative examination.

The record need not be elaborate. Tokenization Systems' prior comment to the FDIC on the prudential activities rule recommended that the confidential weekly report under proposed Section 350.7(g) carry a small set of control-layer observability data points, including block, freeze, and reject action counts aligned for supervisory consistency with the corresponding metric in the parallel FinCEN PPSI rule (RIN 3064-AG19, Recommendation 12). Those same data points, already proposed for the prudential channel, are the natural common dataset for the consultation contemplated here: the data that supports the prudential weekly report also supports the AML/CFT consultation, and using one dataset for both is the streamlining the proposed rule seeks. A practical corollary follows from Tokenization Systems' applied work on operator-level supervision, which describes a single supervisory record organized per operator, covering one operator that conducts multiple regulated activities under multiple regulators. The same logic applies to the FDIC and FinCEN around a single PPSI: one operator, one measured control-posture record, read by both agencies, rather than two parallel reconstructions. A single record per operator both minimizes the duplicative examination the Question 4 burden language anticipates and shortens the effective cost of the notice window, because FinCEN reviews an existing record rather than assembling a new one.

### Recommendation 3 (Questions 2 and 3; proposed Section 350.202): Pair any consultation threshold with a control-posture trigger, account for section 6(b) actions, and support a PPSI-requested option keyed to the same record

Question 2 asks whether any aspects of the GENIUS Act framework with regard to supervision, examination, and enforcement need to be better accounted for in the consultation process, and asks specifically whether "the definition of AML/CFT enforcement action and this framework [should] account for suspension or revocation under section 6(b) of the GENIUS Act, (12 U.S.C. 5905(b)), based in whole or in part on AML/CFT deficiencies." Question 3 asks whether the consultation process should include an asset threshold, offering the example of "consultation [required] for any significant AML/CFT supervisory actions involving PPSIs with $10 billion or more in outstanding

issuance value," and asks in the alternative whether the rule should "provide the option for PPSIs to request that the FDIC consult with FinCEN prior to initiating a significant AML/CFT supervisory action, if the PPSI is aware of a potential enforcement action."

On Question 2, Tokenization Systems recommends that the consultation framework expressly account for a suspension or revocation under section 6(b) of the GENIUS Act that rests in whole or in part on AML/CFT deficiencies. A suspension or revocation is the most consequential action the framework reaches, and an action grounded even in part in AML/CFT deficiencies engages precisely the FinCEN view as to program effectiveness that Section 350.202(a) contemplates. Tokenization Systems recommends that the definition of AML/CFT enforcement action in proposed Section 350.200, or the scope of the consultation in proposed Section 350.202, be drawn so that a section 6(b) action premised in part on AML/CFT deficiencies triggers the same advance-notice consultation as a stand-alone AML/CFT enforcement action, so that the FinCEN view informs the most severe determinations rather than only the intermediate ones.

On the Question 3 threshold, Tokenization Systems offers a calibrated response. Outstanding issuance value is a reasonable first-order proxy for systemic consequence, and an issuance-value threshold is administrable and observable; Tokenization Systems does not recommend replacing it. It is, however, an incomplete proxy for the control-layer risk the consultation exists to manage, because two PPSIs at the same issuance value can present materially different control postures. The recommendation is therefore that, if the FDIC adopts an issuance-value threshold, it pair the threshold with a control-posture trigger: consultation is required for PPSIs at or above the issuance-value figure and also for any PPSI whose measured control-posture record (Recommendation 2) falls below a defined supervisory floor, regardless of issuance value. This pairing keeps the threshold administrable while directing the consultation requirement to the cases where the FinCEN view is most likely to matter. The thresholds themselves are properly the FDIC's to set; the recommendation is only that the trigger be keyed to a measured object and not to issuance value in isolation.

On the alternative the question raises, Tokenization Systems supports providing PPSIs the option to request that the FDIC consult with FinCEN before initiating a significant AML/CFT supervisory action when the PPSI is aware of a potential action. The same shared, reproducible record recommended in Recommendation 2 is what makes a PPSI-initiated consultation tractable: a PPSI that maintains the control-layer measurements Tokenization Systems describes can support its request with the same observable evidence the FDIC and FinCEN would use, which keeps the optional path from becoming a separate, differently grounded process. Tokenization Systems recommends that any PPSI-initiated consultation option in proposed Section 350.202 be keyed to that common record, so that the optional path and the FDIC-initiated path rest on the same observable basis.

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## II. Group II: The examined program must rest on verified capability and locate where control actually sits (Recommendations 4 through 6)

### Recommendation 4 (proposed Section 350.6(d); Section IV.C cost discussion): Confirm the block, freeze, and reject capability by operational test, scaled to measured holder concentration

The FDIC requests comment on the requirements contained in proposed Section 350.6(d), which requires each PPSI to comply with, among other things, an "economic sanctions compliance program" and the "applicable regulations at 31 CFR chapter V." In the Impact Analysis, the FDIC describes the relevant operational capability directly: PPSIs will incur operational costs developing "capabilities to block, freeze, or reject transactions in accordance with lawful orders and applicable sanctions law" (Section IV.C). The FDIC states elsewhere in Section IV.C that "most, if not all, FDIC-supervised PPSIs would leverage their parent institutions' AML/CFT and sanctions compliance programs," such that "the expected incremental cost imposed by the proposed rule is expected to be relatively small."

Tokenization Systems recommends that, when the FDIC examines a PPSI's compliance with the sanctions-program obligation incorporated by Section 350.6(d), the block, freeze, and reject capability be operationally verified rather than inferred from the existence of the parent's program or from the presence of on-chain functions, and that the verification be scoped by a measurement of where the PPSI's tokens are actually held. The substantive position is already on the record: in its FINCEN-2026-0100 comment (Recommendation 2), Tokenization Systems argued that this capability must be independently tested for both the primary and the secondary market and cannot be presumed from the existence of smart-contract functions, and the OFAC internal-controls portion of that comment recommended preventive screening at the smart-contract layer paired with detective post-transaction monitoring, tested against scenarios and not against lists alone. This comment does not re-litigate that position. The increment is jurisdictional: the FDIC's examination under this rule is the channel through which that already-recommended verification is actually exercised against an FDIC-supervised PPSI, and the effective-program disposition under Section 350.201 (Recommendation 1) should not be reached for the sanctions component unless the block, freeze, and reject capability has been demonstrated rather than represented.

The leverage-the-parent structure the FDIC describes in Section IV.C makes verification more important, not less. A PPSI that inherits a parent institution's monitoring architecture inherits a capability that was designed for the parent's products and customer base, not necessarily for the PPSI's on-chain issuance and the secondary-market circulation of its stablecoin. The block, freeze, and reject capability operates on a different object (a circulating token, often held across many wallet addresses the issuer never onboarded) than the deposit and payment rails the parent's program was built to police. Verification of the capability against the PPSI's actual product is what establishes that the inherited program covers the inherited risk; an examination that accepts the inheritance as sufficient does not

test the seam between the two.

This recommendation should account for secondary-market structure, because the consequence of a defective freeze capability scales with holder concentration: the more concentrated the issuer's tokens are in holdings the issuer does not directly control, the more a single defect reaches. Holder concentration is a measurable, reproducible quantity: Tokenization Systems' measurement of two large dollar stablecoins on a single public ledger found, in a snapshot dated May 20, 2026, a top-100-holder Herfindahl-Hirschman Index of approximately 1,130 for one Solana-resident stablecoin against approximately 235 for another on the same chain, a difference of roughly five times. Those tokens are not PPSI-issued; the figure shows only that secondary-market concentration is measurable and varies materially across comparable tokens. The supervisory implication is that the operational verification recommended here should be scaled to the concentration profile of the specific token, because concentration determines how much of circulating supply a single lawful-order action reaches.

**Recommendation 5 (Question 1; proposed Section 350.6(d)): Where a PPSI leverages its parent's program, confirm an identifiable accountable line holding both information and authority**

Question 1 invites refinement of the concepts in the proposed provisions. The proposed rule's Impact Analysis states that the FDIC "expects that most, if not all, FDIC-supervised PPSIs would leverage their parent institutions' AML/CFT and sanctions compliance programs, including risk assessment methodologies, monitoring architectures, and governance structures" (Section IV.C). That expectation, that a PPSI's program will substantially be its parent insured depository institution's program, raises a concept the proposed rule does not address directly: where a PPSI's compliance functions are performed by, or shared with, its parent, who holds both the information the program monitors and the authority the program requires to act on what it detects.

Tokenization Systems recommends that the FDIC clarify, in connection with the incorporated requirement of proposed Section 350.6(d), that an effective program at a PPSI that leverages its parent's program requires an identifiable line of accountability under which a party, identifiable to the examiner, holds both the PPSI-specific control-posture information and the authority to direct remedial action on it. Leveraging the parent's program is not improper; the cost analysis treats it as the expected and efficient arrangement. The concern is that when a compliance function is delegated or shared, accountability can become diffuse: the party with the on-chain visibility to detect a sanctioned-address interaction may not be the party with the contractual or technical authority to freeze it, and the party with the authority may lack a complete view of the PPSI-specific posture. A documentary description of which entity performs which function does not, by itself, establish that an accountable party holds both information and authority; that establishment requires examining the operative arrangement.

Tokenization Systems' empirical work on delegated governance illustrates the method by which this diffusion can be measured, and Tokenization Systems flags clearly that this work

studies decentralized governance systems, not PPSIs, and transfers as method and as a cautionary pattern only. In a 52-protocol cross-section study of tokenized governance systems, currently under review at Frontiers in Blockchain (resubmitted June 3, 2026), Tokenization Systems found that delegation amplifies effective voting power above token holdings in thirteen of eighteen protocols with sufficient governance data, with amplification ratios ranging from 2.5 times to 25.6 times the holding baseline. The study's subjects are decentralized-finance and decentralized-physical-infrastructure protocols, not payment stablecoin issuers, so those figures do not describe PPSI structures and are offered only to show that the method reliably surfaces a gap between nominal and effective control when control is delegated. The transferable point is diagnostic: where control is delegated, the nominal locus of accountability and the effective locus of control can diverge, and an examination that reads only the nominal structure will misjudge the program.

A structural pattern now emerging in the bank-led tokenization market sharpens this concern from a different direction, and Tokenization Systems flags that it offers the pattern as an illustration of a supervisable failure mode and not as an allegation of wrongdoing; neither named institution is presented as an FDIC-supervised permitted payment stablecoin issuer under this rule. The Hazel Network, described in a June 2026 white paper jointly published by Vantage Bank Texas and Custodia Bank, Inc., is a publicly announced arrangement of this kind: a single unified token carries a different obligor depending on where it is held (Vantage Bank and Custodia Bank, 2026). While held within the bank consortium it is a deposit liability of Vantage Bank Texas, an FDIC-insured member bank; when transferred outside that consortium the same token becomes a payment stablecoin issued by Custodia Bank, a Wyoming special-purpose depository institution, with no redemption or settlement event marking the transition, and as the white paper states, the token does not change, only its legal classification changes. An arrangement of this kind places the diffusion this recommendation addresses at its most acute, and it also strains the same-operator premise on which the central proposition of this comment rests, because the operator that stands as obligor, and the primary supervisor to which that operator answers, both change as the instrument crosses the boundary. That divergence is a structural feature of the design rather than an incidental one, because Custodia Bank, which does not hold a Federal Reserve master account, cannot itself stand as the insured-deposit obligor; the arrangement therefore assigns the deposit leg to Vantage Bank Texas, which holds such access, and assigns the post-boundary leg to Custodia, with the consequence that the state in which the instrument is least clearly accountable is also the state the design routes to the entity less integrated into the Federal banking supervisory perimeter (Custodia Bank, Inc. v. Federal Reserve Board of Governors, 2025). The information a control-posture record would capture and the authority to act on it can then sit with different entities under different supervisory regimes on either side of a transition the token makes programmatically rather than through a settlement event an examiner can observe. The examination contemplated by proposed Section 350.6(d) should be able to confirm that an identifiable accountable line holds both the control-posture information and the authority to act on it across the full lifecycle of the instrument, including the transition at which its obligor and its applicable regime change, and not only within the state in which an FDIC-supervised institution is the obligor; an accountable line confirmed only for the

deposit state would, by construction, leave unexamined the state in which the instrument is least clearly accountable, and the effective-program disposition under proposed Section 350.201 should not be reached for the sanctions component without that full-lifecycle confirmation.

This recommendation is framed as responsive to Question 1 and as a coordination point with the companion FinCEN and OFAC program rule, not as a critique of an existing provision of this rule: the rule contains no responsible-officer or governance-locus provision, and Tokenization Systems does not suggest that this rule should originate one. The recommendation extends to the FDIC examination channel a position Tokenization Systems advanced to FinCEN, that a United States-based AML/CFT compliance officer should hold effective supervisory control over United States-nexus operations rather than a nominal title (FINCEN-2026-0034, Recommendation 4), and it coordinates with Tokenization Systems' recommendation to the FDIC on the application rule that the FDIC signal it will evaluate enterprise-wide AML/CFT program integration between a subsidiary PPSI and its parent (RIN 3064-AG20, observation on Question 11). The increment is the supervision-channel one: the FDIC's examination under Section 350.6(d) should confirm that the leveraged arrangement preserves an identifiable accountable line rather than diffusing it.

**Recommendation 6 (Question 1; proposed Sections 350.201, 350.202, and 350.6(d)): Confirm that AML and sanctions coverage follows the instrument across a holding-location obligor change**

The full-lifecycle point in Recommendation 5 has three concrete applications that the rule's existing machinery can perform. Tokenization Systems offers them as coverage confirmations rather than as new requirements, and not as a representation about any institution; each carries a position already on the record forward to the case in which a single instrument changes its obligor and its applicable regime across a holding-location boundary.

First, the boundary transition itself should be a monitored and screenable event. Because the legal-character change can occur through an ordinary on-chain transfer with no issuance, redemption, or settlement event marking it, an examination that screens only transactions within each state can miss the moment the instrument crosses into the state with the weaker obligor. Tokenization Systems recommends that the block, freeze, and reject capability confirmed under Recommendation 4 be demonstrated exercisable at and after that transition, and not only within the state in which an FDIC-supervised institution is the obligor.

Second, identity and monitoring obligations should be confirmed not to lapse across the transition. When an instrument moves from a holder identified through the member institution's customer-identification program to a holder outside that perimeter, a control-posture record (Recommendation 2) scoped to the identified-holder state does not, by itself, establish coverage of the holder population on the other side. The examination should confirm that customer-identification and transaction-monitoring obligations are met

for the instrument's full holder population, and not only for the population captured in the state the FDIC examines.

Third, where the post-transition obligor answers to a supervisor other than the FDIC, the advance-notice consultation under proposed Section 350.202 should confirm that the state the FDIC does not examine is not, for that reason, an AML and sanctions blind spot. The shared, reproducible control-posture record recommended in Recommendation 2 is the natural instrument: it lets the FDIC and FinCEN confirm that the block, freeze, and reject capability and the screening obligation are owned and exercisable on the leg the FDIC does not directly supervise, so that the design does not, by construction, route the state in which the instrument is least clearly accountable to the entity least integrated into the examination this rule creates.

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## III. A note on proposed Section 350.203 and Question 5

Question 5 invites comment on the two options for permitting greater information sharing with the Director of FinCEN under proposed Section 350.203, and asks in particular whether the disclosure of confidential supervisory information to FinCEN would "compromise attorney-client privilege, other applicable privileges, or otherwise undermine the preservation of privilege in 12 U.S.C. 1821(t)." That question turns principally on privilege law and supervisory-information protection, on which Tokenization Systems does not hold subject-matter expertise; it offers no recommendation on the choice between Option 1 and Option 2 and defers the privilege question to commenters with the relevant expertise.

Tokenization Systems notes only the connection to its measurement recommendations, without taking a position on the privilege choice. The shared, reproducible control-posture record recommended in Recommendation 2 consists of observed operational facts about whether a capability functions, which are distinct in kind from the privileged legal analysis of a proposed action. A sharing framework built on that observed operational dataset reduces the volume of privilege-sensitive material that must change hands in order to establish a common view of the PPSI's control posture. Tokenization Systems raises this only as an interaction for the FDIC to confirm under whichever option it adopts, not as a position on Question 5.

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## Conclusion

This rule is the FDIC's supervision-and-coordination layer over an AML/CFT and sanctions program whose substance is set in the companion FinCEN and OFAC rule at 91 Fed. Reg. 18582 and in 31 CFR chapters V and X. Its two distinctive features, the effective-program disposition in proposed Section 350.201 and the FDIC and FinCEN advance-notice consultation in proposed Section 350.202, share one structural requirement: they work as intended only when the two agencies reason over the same measured object.

The recommendations above turn that requirement into practice. They ask the FDIC for an effectiveness disposition anchored in observable, reproducible features (Recommendation 1); a single shared control-posture record inside the consultation (Recommendation 2); thresholds and options keyed to that record, with section 6(b) actions expressly accounted for (Recommendation 3); a block, freeze, and reject capability confirmed by operational test scaled to measured holder concentration (Recommendation 4); an identifiable accountable line where a PPSI leverages its parent's program (Recommendation 5); and, where a single tokenized instrument changes its obligor and applicable regime across a holding-location boundary, confirmation that AML and sanctions coverage follows the instrument across that change (Recommendation 6). Each recommendation is a supervision-channel application of a position Tokenization Systems has argued in the parallel FinCEN and FDIC rulemakings; the increment here is to fit those positions to the examination and coordination machinery this rule actually creates. These recommendations describe structural features that can be observed and measured, not accommodations; a disposition grounded in observed function imposes discipline rather than relaxing it.

Tokenization Systems appreciates the opportunity to comment and is available to provide any of the underlying analysis referenced above.

Respectfully submitted,

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## Appendix: Selected Sources

Federal Deposit Insurance Corporation, "Bank Secrecy Act and Sanctions Compliance Standards for FDIC-Supervised Permitted Payment Stablecoin Issuers," 91 Fed. Reg. 34171 (June 5, 2026).

Financial Crimes Enforcement Network and Office of Foreign Assets Control, "Permitted Payment Stablecoin Issuer Anti-Money Laundering/Countering the Financing of Terrorism Program and Sanctions Compliance Program Requirements," 91 Fed. Reg. 18582 (April 10, 2026).

Federal Deposit Insurance Corporation, "GENIUS Act Requirements and Standards for FDIC-Supervised Permitted Payment Stablecoin Issuers and Insured Depository Institutions," 91 Fed. Reg. 18534 (April 10, 2026).

Vantage Bank and Custodia Bank, "Hazel Network: Unified Tokenized Bank Deposit and Stablecoin Token" (industry white paper, June 2026).

Custodia Bank, Inc. v. Federal Reserve Board of Governors, No. 24-8024 (10th Cir. Oct. 31, 2025).

**Submitted via the Commission's internet comment form at https://www.sec.gov/comments/dsp-3/draft-fy-2026-fy-2030-sec-strategic-plan (File Number DSP-3)**

Vanessa A. Countryman
Secretary
Attention: File Number DSP-3, Draft Strategic Plan for Fiscal Years 2026 through 2030
U.S. Securities and Exchange Commission
100 F Street NE
Washington, DC 20549-1090

July 2, 2026

**Re: File Number DSP-3, Draft Strategic Plan for Fiscal Years 2026 through 2030 (published for public comment June 2026; comments due July 2, 2026)**

Dear Ms. Countryman:

Tokenization Systems, an independent research program on stablecoin, tokenization, and digital-asset market structure, submits this comment on the Commission's Draft Strategic Plan for Fiscal Years 2026 through 2030. The comment's central proposition is that the plan's digital-asset objectives turn on a measurement capability the plan does not yet name: where a framework depends on whether a crypto asset or system is decentralized, that decentralization must be measured against a reproducible standard, not asserted. The surface signals most readily reached do not meet that standard: raw holder lists inflate measured concentration by a median factor of 2.3 times in Tokenization Systems' fifty-two-protocol audit, and disclosed token allocations do not predict where control settles. Tokenization Systems supports the plan's stated objective of providing "a firm regulatory foundation for digital assets and distributed ledger technologies through a rational, coherent, and principled approach," and offers four recommendations, each naming a capability or priority the plan can adopt to make that objective operational.

The comment applies Tokenization Systems' measurement work, grounded in the Control Layer Intensity Index (CLII), which scores operator-level control continuously, and the Minimum Viable Equivalence Pack (MVEP), a ten-category structural-equivalence diagnostic, both available on SSRN, together with a corrected concentration-measurement methodology documented across a fifty-two-protocol live-governance audit accepted for publication at Frontiers in Blockchain. Tokenization Systems has submitted thirteen prior comments across six federal agencies, including the Office of the Comptroller of the Currency (Docket OCC-2025-0372), the Department of the Treasury (TREAS-DO-2026-0232), the Federal Deposit Insurance Corporation (RIN 3064-AG19, RIN 3064-AG20, and RIN 3064-AG29), the Financial Crimes Enforcement Network (FINCEN-2026-0034), and the National Credit Union Administration (NCUA-2026-1024), totaling sixty-seven recommendations. This is Tokenization Systems' first comment to the Commission. Full citations for the instruments and findings relied on appear in the appendix to this letter.

The four recommendations map to the plan by goal and objective, and are summarized

below with the plan provision each responds to and the action requested:

| Recommendation | Plan provision | Requested plan action | Why it matters |
|---|---|---|---|
| 1. Reproducible measurement of concentration and control | Objective 1.1 ("a firm regulatory foundation"); Goal 1 narrative ("rigorous, unbiased assessments") | Name independent, reproducible measurement of digital-asset concentration and control as the capability the regulatory foundation rests on | Naive holder lists inflate measured concentration by a median factor of 2.3 times and up to approximately 18 times; the most readily reached indicator misstates the object the framework turns on |
| 2. Operator-level oversight framing | Objective 1.1 ("custody, trading, and staking services" under "appropriate oversight") | Frame oversight at the operator level, assessing an operator across its full product portfolio alongside token-level classification | The operator scoring highest on regulatory intensity experienced a 10 to 13 percent depeg in the March 2023 stress while a lower-scoring operator held its peg; one transfer agent serves three documented tokenization strategies |
| 3. Measured decentralization as the evidentiary standard | Objective 1.1 ("boundaries of securities law"; SEC and CFTC jurisdictional questions) | Measure decentralization from current on-chain state wherever a boundary or jurisdictional determination turns on it | Launch allocation does not predict where control settles ($r = 0.09$); delegation amplifies voting power 2.5 to 25.6 times in 13 of 18 protocols |
| 4. Reproducible on-chain metrics in advanced analytics | Objective 3.2 ("advanced analytics"); Goal 3 narrative (AI and blockchain oversight) | Build reproducible on-chain concentration and control instruments into the advanced-analytics capability | Two dollar stablecoins on the same chain carried top-100 holder concentrations roughly five times apart in a single snapshot |

# I. Recommendations

### Recommendation 1 (Objective 1.1): Name independent, reproducible measurement of digital-asset concentration and control as the capability the regulatory foundation rests on.

Objective 1.1 commits the Commission to "provide a firm regulatory foundation for digital assets and distributed ledger technologies through a rational, coherent, and principled approach," and the Goal 1 narrative states that "rules must be grounded in rigorous, unbiased assessments of costs and benefits." A principled foundation grounded in rigorous assessment depends on indicators that survive independent replication.

Tokenization Systems' fifty-two-protocol live-governance audit documents that naive holder lists inflate measured concentration by a median factor of 2.3 times, and up to approximately 18 times, once protocol-controlled addresses are removed. An indicator that errs by that magnitude can change the conclusion reached about the same system, depending only on whether protocol-controlled addresses are identified. Tokenization Systems recommends that the plan name independent, reproducible measurement of digital-asset concentration and control as a capability the regulatory foundation develops under Objective 1.1, and that any threshold the Commission later adopts rest on a measurement method that an outside party can reproduce from public on-chain data. The corrected methodology and its underlying data are documented for independent reproduction, which is consistent with the rigor the plan seeks.

### Recommendation 2 (Objective 1.1, custody, trading, and staking): Frame oversight at the operator level, not the token level alone.

Objective 1.1 states that "a modernized framework will also ensure that custody, trading, and staking services can operate under appropriate oversight without duplicative or conflicting requirements." Tokenization Systems' work indicates that the unit at which structural risk concentrates is frequently the operator, not the token, so a classification keyed to product type alone can miss a single operator whose failure propagates across multiple products.

Two findings support the recommendation. First, operator regulatory intensity and product stress performance are independent dimensions: the operator scoring highest on the Control Layer Intensity Index experienced a depeg of roughly 10 to 13 percent across trading venues during the March 2023 stress while a lower-scoring operator held its peg, indicating that regulatory intensity does not by itself predict stress performance. Second, across three documented tokenization strategies a single transfer agent serves all three, so that one operator's discontinuation would degrade all three simultaneously. This is a system-level concentration that entity-by-entity, product-by-product review does not surface. The Minimum Viable Equivalence Pack supplies a ten-category diagnostic for the operator-level review of custody and insolvency posture that this concentration implies. Tokenization Systems recommends that the Commission's approach to custody, trading, and staking services incorporate operator-level supervisory understanding, assessing an operator across its full portfolio rather than relying on token-by-token classification alone.

This is offered as a calibration of the oversight approach the plan already describes, not as an expansion of its scope.

**Recommendation 3 (Objective 1.1, boundaries of securities law and jurisdiction): Measure decentralization wherever a boundary or jurisdictional determination turns on it.**

Objective 1.1 commits the Commission to "clarifying the boundaries of securities law as it applies to digital assets" and to "clarifying jurisdictional questions between the SEC and Commodity Futures Trading Commission." Where a boundary or a jurisdictional allocation turns on the degree of decentralization, the standard applied should be measured rather than asserted.

The audit documents two findings bearing directly on this point. First, launch insider allocation is uninformative about steady-state concentration (Pearson r = 0.09, p = 0.55, N = 50), so a system's design at launch does not predict where control settles. Second, delegation amplifies voting power above token holdings in thirteen of eighteen protocols with sufficient governance data, with ratios ranging from 2.5 times to 25.6 times above the holding baseline, indicating that a disclosed allocation figure is not a reliable proxy for realized control. By contrast, current insider retention is informative about concentration (Spearman rho = 0.44, p = 0.005, N = 39; the relationship survives a non-insider tautology check at rho = 0.54). This is consistent with the view that decentralization is measurable from current on-chain state even where launch design is uninformative. Tokenization Systems recommends that, where a boundary-of-securities-law or jurisdictional determination rests on the degree of a system's decentralization, that degree be measured rather than inferred from holder counts or disclosed allocations, supported by indicators of current concentration and realized voting control. Tokenization Systems offers its corrected concentration methodology as one reproducible procedure for that determination.

**Recommendation 4 (Objective 3.2, technology and advanced analytics): Build reproducible on-chain concentration and control instruments into the advanced-analytics capability.**

Objective 3.2 commits the Commission to "review and modernize our technological infrastructure, systems, and tools" and to "support advanced analytics," and the plan states that "the responsible use of artificial intelligence and blockchain technologies can further improve oversight, reduce costs, and unlock new efficiencies." Reproducible on-chain measurement is a candidate component of that analytical capability.

Tokenization Systems' measurement instruments are computed from public on-chain data and are reproducible: the corrected concentration methodology, the Control Layer Intensity Index for continuous operator monitoring, and the Minimum Viable Equivalence Pack for structural diagnostics. As one illustration of the kind of indicator such instruments produce, a single 2026-05-20 snapshot of two dollar stablecoins on the same chain showed materially different top-100 holder concentration, with a Herfindahl-Hirschman Index of 1,130 for one and 235 for the other, roughly five times apart. This is a single-snapshot descriptive

contrast, not a causal finding; it indicates that two dollar instruments on the same chain can carry structurally distinct holder concentrations. Tokenization Systems recommends that the advanced-analytics capability under Objective 3.2 include reproducible on-chain concentration and control instruments, developed on public data and adaptable to the registered products the Commission reviews. Tokenization Systems notes that its empirical work to date covers token-governed protocols and stablecoin rails, not registered securities. The offer is method transfer: the adaptation of instruments developed on public on-chain data to registered-product review, rather than findings about registered products.

## II. Suggested plan language

The following language is offered as a drafting starting point for each recommendation, phrased for the plan's existing goal-and-objective structure. Each sentence is Tokenization Systems' proposed text, not quoted plan text.

- **Objective 1.1, regulatory foundation (Recommendation 1):** "The regulatory foundation will be supported by independent, reproducible measurement of digital-asset concentration and control, so that any determination that depends on the degree of a system's decentralization rests on a method an outside party can replicate from public data."
- **Objective 1.1, custody, trading, and staking (Recommendation 2):** "Oversight of custody, trading, and staking services will incorporate operator-level analysis that assesses a service provider across its full product portfolio."
- **Objective 1.1, boundaries and jurisdiction (Recommendation 3):** "Where a boundary-of-securities-law or jurisdictional question turns on the degree of a system's decentralization, the Commission will apply measured indicators of current concentration and realized control rather than holder counts or disclosed allocations alone."
- **Objective 3.2, advanced analytics (Recommendation 4):** "The Commission's advanced-analytics capability will include reproducible on-chain concentration and control metrics computed from public blockchain data and adaptable to the products the Commission reviews."

## III. Anticipated objections

The anticipated objections are addressable. If the concern is that a strategic plan should state direction rather than method, the recommendations ask the plan to name capabilities and evidentiary standards, which is plan-level content; every instrument choice remains with the staff and with any later rulemaking. If the concern is that decentralization measurement is an unsettled field, that is the case for a reproducibility standard rather than against one: where methods disagree, the Commission is better served by methods whose disagreements an outside party can inspect and replicate from public data. If the concern is that operator-level review expands the plan's scope, Recommendation 2 calibrates the custody, trading, and staking oversight the plan already describes and relies on information the Commission would gather in that oversight in any event. If the concern

is that naming measurement instruments would privilege a particular method or provider, the recommendations are capability-level and method-neutral; Tokenization Systems' instruments are offered as worked, reproducible examples, not as required procedures.

## IV. Conclusion

The four recommendations above are direction-level and are designed to be adopted within the plan's existing goal-and-objective structure; each names a measurement capability or priority that supports an objective the plan already states, and none expands the plan's scope. They share a single organizing point: a framework that turns on decentralization should rest on a measured, reproducible standard, because launch design does not predict where control settles (Pearson r = 0.09) and the holder-list measures most readily reached err by a median factor of 2.3 times. Tokenization Systems intends to contribute the same independent, reproducible measurement instruments to the Commission's anticipated digital-asset rulemakings, where measured indicators of concentration and control would inform any decentralization or eligibility threshold.

Tokenization Systems appreciates the Commission's work on the Draft Strategic Plan and the evident effort to ground its digital-asset objectives in rigorous analysis. The recommendations above are offered in the same spirit, and Tokenization Systems is available to provide the underlying data, methods, and analysis cited in the appendix.

Respectfully submitted,

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## Appendix: Selected sources

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(The fifty-two-protocol audit: the corrected concentration methodology and the launch-allocation, insider-retention, and delegation findings.)

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Zach Zukowski, "Three Tokenization Strategies: Infrastructure Competition, Settlement Architecture, and Operational Risk in Institutional Digital Asset Capital Markets," SSRN Working Paper No. 6483198, https://ssrn.com/abstract=6483198. (The single-transfer-agent finding.)

# Comment on the Notice of Proposed Rulemaking: Permitted Payment Stablecoin Issuer Anti-Money Laundering/Countering the Financing of Terrorism and Sanctions Compliance Risk Management

**Submitted to:** Office of the Comptroller of the Currency, via the Federal eRulemaking Portal (Regulations.gov), Docket ID OCC-2026-0463
**Docket / RIN:** Docket ID OCC-2026-0463; RIN 1557-AF55
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**Submitted by:** Tokenization Systems (www.Tokenization.Systems)
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## Introduction and summary

Tokenization Systems is an independent research program studying the operational control layer of tokenized financial systems: the technical and organizational functions through which a stablecoin issuer or interface operator actually exercises control over issuance, reserve custody, transaction routing, and the execution of lawful orders. Tokenization Systems develops measurement instruments that make those control functions observable to supervisors, including the Minimum Viable Equivalence Pack, a ten-category structural diagnostic for diligence at decision points, and the Control Layer Intensity Index for continuous monitoring.

Tokenization Systems has submitted prior federal comments across seven federal agencies. Those comments include comments to the Office of the Comptroller of the Currency on its rule implementing the GENIUS Act for payment stablecoin issuance by entities subject to the OCC's jurisdiction (RIN 1557-AF41, Docket OCC-2025-0372), with a supplemental comment on interface-layer conduct; to the Department of the Treasury on state-similarity principles (TREAS-DO-2026-0232); to the Financial Crimes Enforcement Network on the general anti-money-laundering rulemaking (FINCEN-2026-0034) and, jointly addressed to the Office of Foreign Assets Control, on the permitted-payment-stablecoin-issuer program rulemaking (FINCEN-2026-0100); to the Federal banking agencies on the joint anti-money-laundering rule (91 Fed. Reg. 18304); to the Federal Deposit Insurance Corporation on the prudential activities rule (RIN 3064-AG19), the application-process rule (RIN 3064-AG20), and the Bank Secrecy Act and sanctions compliance standards rule for FDIC-supervised permitted payment stablecoin issuers (RIN 3064-AG29); to the National Credit Union Administration on its GENIUS Act rulemaking; and to the U.S. Securities and Exchange Commission on its draft strategic plan. This comment is Tokenization Systems' third comment to the OCC. The federal rulemakings together define the operational architecture within which permitted payment stablecoin issuers (PPSIs) will issue payment stablecoins; the recommendations in this comment are designed to

coordinate with the parallel rulemakings rather than to duplicate or contradict them.

This rule occupies a distinct position in that architecture. The OCC proposes to amend its March 2, 2026 proposed rule implementing the GENIUS Act for payment stablecoin issuance (91 Fed. Reg. 10202), which established proposed part 15, by adding proposed Section 15.13(c); to add a supervision and enforcement framework at new subpart R of part 19 (proposed Sections 19.260 through 19.262); and to add an information-sharing provision at new Section 4.19 of part 4. Proposed Section 15.13(c) imposes the substantive obligation by incorporation, requiring each permitted payment stablecoin issuer to comply with the Bank Secrecy Act, sections 4(a)(5) and 4(a)(6)(B) of the GENIUS Act, and applicable regulations at 31 CFR chapters V and X, including any AML/CFT program, sanctions program, and reporting requirements. As the OCC states, the proposed rule "would not contain additional requirements beyond those contained in FinCEN and OFAC's regulations," so that "compliance with regulations at 31 CFR chapter V and 31 CFR chapter X, as promulgated by FinCEN and OFAC, would constitute compliance with proposed paragraph Sec. 15.13(c)." The substantive AML/CFT and sanctions program content (what such a program must contain, and what makes it effective) lives in the companion FinCEN and OFAC rule at 91 Fed. Reg. 18582 and in 31 CFR chapters V and X. This rule is therefore principally a supervision-and-coordination instrument: it specifies how the OCC will examine and enforce against permitted payment stablecoin issuers through its own channel, how the OCC will coordinate with the Director of FinCEN before doing so, and how a permitted payment stablecoin issuer may share information with the Director of FinCEN.

The central proposition of this comment is that the coordination architecture the rule proposes (the advance-notice consultation under proposed Section 19.261 and the enforcement-and-supervision policy under proposed Section 19.262) functions as intended only if the OCC and FinCEN read the same measured control posture of the same operator. Two agencies coordinating on a verbal account, or on separately gathered and non-comparable observations, will produce duplicative examination, divergent determinations, and the logistical friction the OCC itself identifies in Question 10. A shared, reproducible measurement of control-layer posture, organized as a single supervisory record per operator, closes that gap. This comment then extends the same measured-object logic to three surfaces distinctive to the OCC's proposal: the uniform treatment of permitted payment stablecoin issuers across entity types that Questions 1 and 2 raise; the reserve-asset security and holder-monetization protections that Questions 3, 4, and 5 raise; and the alignment with the parallel FDIC rule that Question 6 invites, where Tokenization Systems' comment record across both dockets lets it identify a threshold divergence that would invite regulatory arbitrage if left unresolved.

A note on scope and evidence precedes the recommendations. Where this comment draws on Tokenization Systems' empirical work in tokenized governance and concentration, that work studies decentralized-finance and decentralized-physical-infrastructure protocols, not PPSIs. Those findings are offered to illustrate a measurement method and a failure mode, not as evidence about any PPSI. The comment flags this scope qualification at each point of use. The OCC estimates that the proposal would affect approximately 29 permitted

payment stablecoin issuers, comprising roughly 12 OCC-regulated bank affiliates, 12 issuers affiliated with entities not currently OCC-regulated, and 5 white-label or consortium issuers, and it notes that OCC-supervised issuers may include uninsured national trust banks already subject to Bank Secrecy Act and suspicious-activity-reporting requirements. That entity-type variety is why Questions 1 and 2 matter for the OCC in a way that has no exact analog in the sibling FDIC rule, and Tokenization Systems' recommendations on those questions are framed accordingly.

The eight recommendations are mapped below to the OCC's questions and to the action requested in the final rule, preamble, or examination guidance:

| Recommendation | OCC question or provision | Requested final-rule action | Why it matters |
|---|---|---|---|
| 1. Observable effective-program criteria | Question 8; proposed Section 19.262 | Clarify that the effective-program disposition rests on observable indicators drawn from the FinCEN program requirements, not attestation alone. | Prevents the disposition from becoming a paper-program safe harbor. |
| 2. Shared control-posture record | Question 10; proposed Section 19.261(b) | Make a reproducible control-posture record a standing component of the OCC-to-FinCEN notice package. | Gives both agencies the same measured object and reduces duplicative examination. |
| 3. Thresholds keyed to posture | Questions 8 and 9; proposed Sections 19.260 and 19.261 | Pair any asset threshold or PPSI-requested consultation option with a control-posture trigger, and account for a revocation of approval to issue when AML/CFT deficiencies are part of the basis. | Keeps consultation focused on both systemic consequence and control failure. |
| 4. Operational test of block, freeze, and reject capability | Proposed Section 15.13(c) | Confirm by examination evidence that the capability works across primary and secondary channels, with intensity scaled to measured holder concentration. | Converts the sanctions obligation from a documented design into an observed control. |

| Recommendation | OCC question or provision | Requested final-rule action | Why it matters |
|---|---|---|---|
| 5. Accountable line and uniform standard across entity types | Questions 1 and 2; proposed Section 15.13(c) | Confirm that one identifiable accountable line holds both control-posture information and authority to act, and that the measured standard is uniform across entity types. | Prevents parent-program reliance and entity-type variety from diffusing responsibility or fragmenting the standard. |
| 6. Coverage across holding-location obligor changes | Proposed Sections 15.13(c), 19.261, and 19.262 | Confirm that AML and sanctions coverage follows a tokenized instrument when its obligor and legal regime change based on holding location. | Prevents the unexamined leg of a dual-character instrument from becoming the blind spot in the supervision architecture. |
| 7. Alignment with the parallel FDIC rule | Question 6; proposed Sections 15.13(c), 19.261, 19.262, and 4.19 | Align the OCC and FDIC supervision, consultation, and disclosure provisions on a common measured object, and reconcile the divergent consultation thresholds. | The two rules govern the same operators through different supervisors; unreconciled divergence invites arbitrage. |
| 8. Reserve-asset security and holder monetization keyed to measured concentration | Questions 3, 4, and 5; proposed Sections 15.11 and 15.13 | Treat reserve-asset identifiability, eligible-institution safeguards, and holder-monetization backstops as observable controls scaled to measured reserve-custody and holder concentration. | Reserve and redemption protections work only if calibrated to where reserves and tokens are actually concentrated. |

The highest-priority implementation language could be framed as follows:

- **Preamble clarification for proposed Section 19.262:** "In determining whether a permitted payment stablecoin issuer has established an effective AML/CFT program for purposes of this subpart, the OCC will evaluate observable evidence that the program's identity-verification, transaction-monitoring, sanctions-screening, and lawful-order-execution controls are operationally exercisable for the control functions

the issuer performs."

- **Examination-guidance language for proposed Section 19.262:** "A program should not be treated as effective solely because policies, procedures, or attestations exist; examiners should confirm that the issuer can demonstrate the relevant control functions under test conditions appropriate to its business model and risk profile."
- **Possible Section 19.261(b) implementation language:** "The written notice to the FinCEN Director should include, where available, the issuer's current control-posture record, including the examination workpapers and operational metrics used to assess whether the relevant controls function in practice."
- **Examination-guidance language for proposed Section 15.13(c):** "An examination of sanctions compliance should include operational testing of the issuer's capability to block, freeze, or reject transactions in accordance with lawful orders and applicable sanctions law, including testing across both issuer-controlled and secondary-market holding channels."
- **Preamble clarification for proposed part 15 (Questions 1 and 2):** "A permitted payment stablecoin issuer is examined against a uniform, observable control-posture standard regardless of its entity type or of the preexisting OCC regulations that would otherwise apply, so that the applicable standard is determined by the functions the issuer performs rather than by the regulatory category it occupies."

The recommendations also align with the parallel federal rulemakings and answer the principal objections likely to arise:

| Issue | This proposal | Sibling proposal(s) | Recommended alignment |
|---|---|---|---|
| Effective-program disposition | RIN 1557-AF55 creates the OCC enforcement-and-supervision policy in proposed Section 19.262. | RIN 3064-AG29 creates the parallel FDIC disposition in proposed Section 350.201; FINCEN-2026-0100 and 31 CFR chapter X supply the substantive standard. | Preserve FinCEN's substantive standard, but state the observable evidence OCC examiners use to determine that the standard is met in practice, in the same terms the FDIC uses. |
| OCC and FinCEN consultation | RIN 1557-AF55 requires advance notice and consideration of FinCEN input under proposed Section 19.261. | RIN 3064-AG29 requires the same under proposed Section 350.202; FINCEN-2026-0034 and FINCEN-2026-0100 depend on comparable program information across regulated entities. | Use a single control-posture record so FinCEN, the OCC, and the FDIC reason over the same measured object instead of reconstructing separate records. |

| Issue | This proposal | Sibling proposal(s) | Recommended alignment |
|---|---|---|---|
| Consultation threshold | RIN 1557-AF55 Question 9 offers a threshold of "$10 billion or more in assets." | RIN 3064-AG29 Question 3 offers a threshold of "$10 billion or more in outstanding issuance value." | Reconcile the two measures; a PPSI can sit above one threshold and below the other, so divergent thresholds invite forum and structure arbitrage. |
| Block, freeze, and reject capability | RIN 1557-AF55 incorporates sanctions compliance through proposed Section 15.13(c). | FINCEN-2026-0100 and OFAC set the sanctions-program obligation for PPSIs. | Treat the OCC examination as the channel for testing whether that capability works across primary and secondary holding channels. |
| Entity-type uniformity | RIN 1557-AF55 Questions 1 and 2 ask how to treat PPSIs uniformly across entity types and preexisting OCC regulations. | The March 2 rule (91 Fed. Reg. 10202) and 12 CFR part 21 set overlapping OCC obligations; RIN 3064-AG20 raised enterprise-wide integration in the application channel. | Anchor uniformity in a measured control-posture standard applied by function, so the standard does not fragment across national trust banks, bank affiliates, and non-bank issuers. |
| Dual-character instruments | RIN 1557-AF55 examines OCC-supervised PPSIs, but a single token can change obligor and legal regime based on holding location. | RIN 3064-AG29 addresses the same pattern at the FDIC; FINCEN-2026-0100 addresses AML/CFT and sanctions program content. | Use OCC consultation and examination to confirm that the leg outside direct OCC examination is not an AML or sanctions blind spot. |

The main anticipated objections are manageable. If the OCC is concerned about burden, the shared record reduces duplicative reconstruction rather than adding a second exam, which is directly responsive to the Question 10 streamlining concern and consistent with the OCC's own estimate that the consultation provision would impose costs on the agency rather than on issuers. If the OCC is concerned about privilege under Question 7, the operational control-posture record captures observed control facts, not privileged legal analysis, and it therefore reduces rather than enlarges the volume of privilege-sensitive material that must move between agencies. If the OCC is concerned that the named dual-character example in Recommendation 6 sounds like an enforcement allegation, the

example is offered only as a supervisable failure mode and not as a claim that either named institution is an OCC-supervised permitted payment stablecoin issuer under this rule.

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## I. Group I: The enforcement policy and the consultation framework need a common measured object (Recommendations 1 through 3)

### Recommendation 1 (Question 8; proposed Section 19.262): Tie the effective-program disposition to observable, reproducible qualification criteria

Proposed Section 19.262(a) provides that, "except with respect to a significant or systemic failure to implement an effective AML/CFT program in accordance with applicable regulations at 31 CFR chapter X, a permitted payment stablecoin issuer that has established an effective AML/CFT program in accordance with applicable regulations at 31 CFR Chapter X will not be subject to an AML/CFT enforcement action or to a significant AML/CFT supervisory action." The preamble states the same policy, adding that the disposition applies to actions "based on the program requirements issued by FinCEN or proposed Sec. 15.13(c)." Question 8 asks whether the OCC should "further refine or clarify any of the concepts or definitions outlined in this proposed supervision and enforcement framework." The most consequential concept the proposed rule leaves unrefined is the meaning of an "effective AML/CFT program," and Tokenization Systems recommends that the OCC clarify how an examiner reaches that determination, anchoring it in observable, reproducible features of the program rather than in attestation alone.

The drafting structure makes this clarification load-bearing. The rule does not itself define an effective program; the preamble ties the determination to the program requirements issued by FinCEN under 31 CFR chapter X and to proposed Section 15.13(c). That deferral is appropriate as to substantive program content, because the content is set in the companion rule. It is incomplete as to examination practice, because nothing in proposed Section 19.262 states what an examiner observes in order to conclude that a program is effective rather than nominal. The disposition is consequential: a PPSI that clears it is, by the rule's own terms, not subject to an AML/CFT enforcement action or a significant AML/CFT supervisory action. A disposition with that consequence should rest on a reproducible determination.

Tokenization Systems' prior comments have argued, in the FinCEN, OCC, and FDIC channels, that a program's existence on paper does not establish that the program functions. In its FINCEN-2026-0100 comment (Recommendation 2), Tokenization Systems argued that the block, freeze, and reject capability required of a PPSI cannot be presumed from the existence of smart-contract functions and must be operationally verified; in its FINCEN-2026-0034 comment (Recommendation 5), it generalized that point to independent testing that is fit for purpose, tracing on-chain behavior against internal records rather than reviewing documentation alone; and in its comment to the FDIC on the parallel Bank Secrecy Act and sanctions compliance rule (RIN 3064-AG29,

Recommendation 1), it applied the principle to that agency's identical effective-program disposition. The increment this comment adds is to carry that established principle into the disposition that proposed Section 19.262 creates: the effective-program determination should be the output of a reproducible examination, expressed in observable features (whether the program's identity-verification, monitoring, and lawful-order-execution functions are demonstrably exercisable for each control function the PPSI performs), and not a conclusion drawn from an attestation that the program exists.

Tokenization Systems does not recommend that the OCC author its own definition of an effective program that diverges from the FinCEN standard; that would defeat the coordination the rule seeks and would risk inconsistency between the two instruments. It recommends that the OCC, in the preamble to the final rule or in examination guidance accompanying proposed Section 19.262, identify the observable indicators an examiner uses to reach the determination, drawn from the FinCEN program requirements, so that the determination is reproducible across examinations and comparable across PPSIs. Tokenization Systems' research supports treating the gap between a documented program and an operative one as the recurring failure point rather than an edge case. In Tokenization Systems' comparison of payment-stablecoin operators across regulatory-intensity scores, a higher score on the continuous-monitoring index did not by itself prevent a peg failure: in March 2023, the operator scoring highest on the index nonetheless experienced a depeg of approximately 10.4 percent on decentralized exchanges and approximately 13 percent on centralized exchanges, while a lower-scoring operator held its peg over the same window. That contrast, offered as illustration of the principle and not as evidence about any PPSI, shows that effectiveness is a property of observed behavior under stress, not of documented design; a determination framework that does not measure observed behavior will systematically overstate effectiveness.

**Recommendation 2 (Question 10; proposed Section 19.261): Give the advance-notice consultation a single, shared, reproducible control-posture record**

Proposed Section 19.261(b) requires the OCC, before initiating an AML/CFT enforcement action or a significant AML/CFT supervisory action, to send the FinCEN Director written notice of its intent "at least 30 days before taking the action," unless a shorter period is necessary, in the sole discretion of the Comptroller, for an unsafe or unsound practice or condition. The notice must be accompanied by "the relevant AML/CFT information underlying the proposed action, including the relevant portions of the draft report or enforcement action, the relevant examination workpapers supporting the proposed action, and the relevant AML/CFT information submitted by the permitted payment stablecoin issuer to the OCC." Proposed Section 19.261(a) provides that the OCC will consider FinCEN's input, "which may include any view as to the effectiveness of the permitted payment stablecoin issuer's AML/CFT program." Question 10 asks: "How can the consultation process be streamlined and prevent logistical burdens for financial institutions or delays in exam report issuance?"

Tokenization Systems recommends that the OCC streamline the consultation by

maintaining, for each PPSI, a single reproducible record of measured control-layer posture that both the OCC and FinCEN read, and by making that record a standing component of the information transmitted with the Section 19.261(b) notice. The mechanism the rule proposes already contemplates transmitting examination workpapers and the underlying AML/CFT information; the recommendation is that a defined, reproducible control-posture record be a standing element of that package rather than an ad hoc assembly of materials at the moment an action is contemplated.

The principal source of the logistical burden and exam-report delay the OCC identifies in Question 10 is the cost of FinCEN reconstructing, within the notice window, an independent understanding of a control posture the OCC has already examined. If FinCEN's view as to the effectiveness of the PPSI's program, contemplated in proposed Section 19.261(a), is formed against the same measured record the OCC used to reach its determination under proposed Section 19.262, the two agencies reason over a common object. Divergence then reflects a genuine difference in judgment about a shared posture, which is the kind of difference the consultation is designed to surface, rather than an artifact of two agencies measuring different things. This is the operational form of the coordination the rule seeks. Tokenization Systems' prior FinCEN-channel comments recommended that the agencies coordinate (FINCEN-2026-0100, Recommendation 9; FINCEN-2026-0034, Recommendation 7); this recommendation gives that coordination a concrete object, a common, observable record, which is the form that prevents duplicative examination. The OCC's own impact analysis reinforces the point: the OCC estimates that the consultation provision would impose costs on the agency (a designated AML/CFT liaison, as many as two lawyers, and examination staff) rather than on issuers, so a mechanism that lets FinCEN review an existing record rather than assemble a new one directly reduces the cost the OCC itself anticipates.

A practical corollary follows from Tokenization Systems' applied work on operator-level supervision, which describes a single supervisory record organized per operator, covering one operator that conducts multiple regulated activities under multiple regulators. The same logic applies to the OCC and FinCEN around a single PPSI: one operator, one measured control-posture record, read by both agencies, rather than two parallel reconstructions. A single record per operator both minimizes the duplicative examination the Question 10 burden language anticipates and shortens the effective cost of the notice window: the consultation then turns on a record that already exists when the OCC contemplates an action, not on one assembled to meet the thirty-day deadline.

### Recommendation 3 (Questions 8 and 9; proposed Sections 19.260 and 19.261): Pair any consultation threshold with a control-posture trigger, account for revocation of approval to issue, and support a PPSI-requested option keyed to the same record

Question 8 asks whether the OCC should refine the concepts and definitions of the supervision-and-enforcement framework, and asks specifically whether "revocation of approval to issue a payment stablecoin, if based in whole or in part on AML/CFT deficiencies, be accounted for in, including in the definition of AML/CFT enforcement

action." Question 9 asks whether the consultation process should "include an asset threshold," and offers as an example "consultation is required for any significant AML/CFT supervisory actions involving permitted payment stablecoin issuers with $10 billion or more in assets," and asks in the alternative whether the rule should "provide the option for permitted payment stablecoin issuers to request that the OCC consult with FinCEN prior to initiating a significant AML/CFT supervisory action."

On Question 8, Tokenization Systems recommends that the framework expressly account for a revocation of approval to issue a payment stablecoin that rests in whole or in part on AML/CFT deficiencies. A revocation of the authority to issue is the most consequential action the framework reaches, and an action grounded even in part in AML/CFT deficiencies engages precisely the FinCEN view as to program effectiveness that proposed Section 19.261(a) contemplates. Tokenization Systems recommends that the definition of "AML/CFT enforcement action" in proposed Section 19.260, or the scope of the consultation in proposed Section 19.261, be drawn so that a revocation of approval premised in part on AML/CFT deficiencies triggers the same advance-notice consultation as a stand-alone AML/CFT enforcement action, so that the FinCEN view informs the most severe determinations rather than only the intermediate ones.

On the Question 9 threshold, Tokenization Systems offers a calibrated response. An asset threshold is administrable and observable, and Tokenization Systems does not recommend replacing it. It is, however, an incomplete proxy for the control-layer risk the consultation exists to manage, because two PPSIs at the same asset level can present materially different control postures. The recommendation is therefore that, if the OCC adopts an asset threshold, it pair the threshold with a control-posture trigger: consultation is required for PPSIs at or above the asset figure and also for any PPSI whose measured control-posture record (Recommendation 2) falls below a defined supervisory floor, regardless of asset level. This pairing keeps the threshold administrable while directing the consultation requirement to the cases where the FinCEN view is most likely to matter. The thresholds themselves are properly the OCC's to set; the recommendation is only that the trigger be keyed to a measured object and not to asset level in isolation. The choice of the threshold measure is also a cross-agency alignment question, and Tokenization Systems addresses the divergence between the OCC's asset measure and the FDIC's outstanding-issuance-value measure in Recommendation 7.

On the alternative the question raises, Tokenization Systems supports providing PPSIs the option to request that the OCC consult with FinCEN before initiating a significant AML/CFT supervisory action. The same shared, reproducible record recommended in Recommendation 2 is what makes a PPSI-initiated consultation tractable: a PPSI that maintains the control-layer measurements Tokenization Systems describes can support its request with the same observable evidence the OCC and FinCEN would use, which keeps the optional path from becoming a separate, differently grounded process. Tokenization Systems recommends that any PPSI-initiated consultation option in proposed Section 19.261 be keyed to that common record, so that the optional path and the OCC-initiated path rest on the same observable basis.

## II. Group II: The examined program must rest on verified capability and locate where control actually sits (Recommendations 4 through 6)

### Recommendation 4 (proposed Section 15.13(c)): Confirm the block, freeze, and reject capability by operational test, scaled to measured holder concentration

Proposed Section 15.13(c) requires each PPSI to comply with, among other things, the sanctions program and the applicable regulations at 31 CFR chapter V. The GENIUS Act obligation that provision incorporates includes the capability to block, freeze, or reject transactions in accordance with lawful orders and applicable sanctions law. Tokenization Systems recommends that, when the OCC examines a PPSI's compliance with the sanctions-program obligation incorporated by proposed Section 15.13(c), the block, freeze, and reject capability be operationally verified rather than inferred from the existence of a parent institution's program or from the presence of on-chain functions, and that the verification be scoped by a measurement of where the PPSI's tokens are actually held.

The substantive position is already on the record: in its FINCEN-2026-0100 comment (Recommendation 2), Tokenization Systems argued that this capability must be independently tested for both the primary and the secondary market and cannot be presumed from the existence of smart-contract functions, and the OFAC internal-controls portion of that comment recommended preventive screening at the smart-contract layer paired with detective post-transaction monitoring, tested against scenarios and not against lists alone. This comment does not re-litigate that position. The increment is jurisdictional: the OCC's examination under this rule is the channel through which that already-recommended verification is actually exercised against an OCC-supervised PPSI, and the examination that supports a determination under proposed Section 19.262 (Recommendation 1) should confirm that the block, freeze, and reject capability has been demonstrated rather than represented.

The population the OCC describes makes verification more important, not less. The OCC estimates that many OCC-supervised PPSIs will be affiliates or subsidiaries that draw on an affiliated institution's compliance architecture. A PPSI that inherits an affiliate's monitoring architecture inherits a capability that was designed for the affiliate's products and customer base, not necessarily for the PPSI's on-chain issuance and the secondary-market circulation of its stablecoin. The block, freeze, and reject capability operates on a different object (a circulating token, often held across many wallet addresses the issuer never onboarded) than the deposit and payment rails the affiliate's program was built to police. Verification of the capability against the PPSI's actual product is what establishes that the inherited program covers the inherited risk; an examination that accepts the inheritance as sufficient does not test the seam between the two.

This recommendation should account for secondary-market structure, because the consequence of a defective freeze capability scales with holder concentration: the more concentrated the issuer's tokens are in holdings the issuer does not directly control, the more a single defect reaches. Holder concentration is a measurable, reproducible quantity:

Tokenization Systems' measurement of two large dollar stablecoins on a single public ledger found, in a snapshot dated May 20, 2026, a top-100-holder Herfindahl-Hirschman Index of approximately 1,130 for one Solana-resident stablecoin against approximately 235 for another on the same chain, a difference of roughly five times. Those tokens are not PPSI-issued; the figure shows only that secondary-market concentration is measurable and varies materially across comparable tokens. The supervisory implication is that the operational verification recommended here should be scaled to the concentration profile of the specific token, because concentration determines how much of circulating supply a single lawful-order action reaches.

**Recommendation 5 (Questions 1 and 2; proposed Section 15.13(c)): Confirm an identifiable accountable line and a uniform measured standard across entity types**

Questions 1 and 2 ask how proposed part 15 should treat permitted payment stablecoin issuers that are already subject to OCC regulations imposing Bank Secrecy Act, sanctions, and suspicious-activity-reporting requirements, including uninsured national trust banks subject to 12 CFR part 21, and how the OCC should "enable permitted payment stablecoin issuers to be subject to a uniform and consistent set of requirements, regardless of entity type." Underlying both questions is a concept the proposed rule does not address directly. Where a PPSI's compliance functions are performed by, shared with, or inherited from an affiliate, and where the same issuer may sit at the intersection of proposed part 15 and preexisting OCC regulations, two accountability questions arise: who holds both the information the program monitors and the authority to act on what it detects, and by what standard that holding is judged across different entity types.

Tokenization Systems recommends two connected clarifications. First, the OCC should clarify, in connection with the incorporated requirement of proposed Section 15.13(c), that an effective program at a PPSI that leverages an affiliate's program requires an identifiable line of accountability under which a party, identifiable to the examiner, holds both the PPSI-specific control-posture information and the authority to direct remedial action on it. Leveraging an affiliate's program is not improper; it is the expected and efficient arrangement for many of the affiliated issuers the OCC estimates. The concern is that when a compliance function is delegated or shared, accountability can become diffuse: the party with the on-chain visibility to detect a sanctioned-address interaction may not be the party with the contractual or technical authority to freeze it, and the party with the authority may lack a complete view of the PPSI-specific posture. A documentary description of which entity performs which function does not, by itself, establish that an accountable party holds both information and authority; that establishment requires examining the operative arrangement.

Second, and responsive to the uniform-treatment concern in Question 2, Tokenization Systems recommends that the uniform standard the OCC seeks be anchored in a measured control-posture standard applied by function rather than in a checklist that varies with the regulatory category the issuer occupies. If an uninsured national trust bank, a bank affiliate, and a non-bank issuer each perform the same control functions over issuance,

custody, routing, and lawful-order execution, they should be examined against the same observable standard for those functions, whether the OCC accomplishes that by providing that compliance with proposed part 15 constitutes compliance with the overlapping requirement, by scoping the preexisting regulations to exclude PPSIs, or by another drafting route. The measured-posture standard is what keeps "uniform and consistent . . . regardless of entity type" from collapsing into the lowest common denominator of whichever preexisting regime is least demanding for a given entity type. Tokenization Systems takes no position on the precise drafting mechanism the OCC should use to resolve the overlap between proposed part 15 and part 21; it recommends only that whichever mechanism the OCC adopts preserve a single, observable, function-based standard rather than a set of category-specific ones.

Tokenization Systems' empirical work on delegated governance illustrates the method by which accountability diffusion can be measured, and Tokenization Systems flags clearly that this work studies decentralized governance systems, not PPSIs, and transfers as method and as a cautionary pattern only. In a 52-protocol cross-section study of tokenized governance systems, currently under review at Frontiers in Blockchain (resubmitted June 3, 2026), Tokenization Systems found that delegation amplifies effective voting power above token holdings in thirteen of eighteen protocols with sufficient governance data, with amplification ratios ranging from 2.5 times to 25.6 times the holding baseline. The study's subjects are decentralized-finance and decentralized-physical-infrastructure protocols, not payment stablecoin issuers, so those figures do not describe PPSI structures and are offered only to show that the method reliably surfaces a gap between nominal and effective control when control is delegated. The transferable point is diagnostic: where control is delegated, the nominal locus of accountability and the effective locus of control can diverge, and an examination that reads only the nominal structure will misjudge the program. This recommendation extends to the OCC examination channel a position Tokenization Systems advanced to FinCEN, that a United States-based AML/CFT compliance officer should hold effective supervisory control over United States-nexus operations rather than a nominal title (FINCEN-2026-0034, Recommendation 4), and it coordinates with Tokenization Systems' recommendation to the FDIC that the supervisor confirm an identifiable accountable line where a PPSI leverages an affiliate's program (RIN 3064-AG29, Recommendation 5).

### Recommendation 6 (proposed Sections 15.13(c), 19.261, and 19.262): Confirm that AML and sanctions coverage follows the instrument across a holding-location obligor change

A structural pattern now emerging in the bank-led tokenization market raises a coverage question the rule's existing machinery can address, and Tokenization Systems flags that it offers the pattern as an illustration of a supervisable failure mode and not as an allegation of wrongdoing; neither institution named below is presented as an OCC-supervised permitted payment stablecoin issuer under this rule. The Hazel Network, described in a June 2026 white paper jointly published by Vantage Bank Texas and Custodia Bank, Inc., is a publicly announced arrangement in which a single unified token carries a different

obligor depending on where it is held (Vantage Bank and Custodia Bank, 2026). While held within the bank consortium, it is a deposit liability of Vantage Bank Texas, an insured member bank; when transferred outside that consortium, the same token becomes a payment stablecoin issued by Custodia Bank, a Wyoming special-purpose depository institution, with no redemption or settlement event marking the transition, and as the white paper states, the token does not change, only its legal classification changes. That divergence is a structural feature of the design rather than an incidental one, because Custodia Bank, which does not hold a Federal Reserve master account, cannot itself stand as the insured-deposit obligor; the arrangement therefore assigns the deposit leg to the institution that holds such access and assigns the post-boundary leg to the special-purpose institution (Custodia Bank, Inc. v. Federal Reserve Board of Governors, 2025). The information a control-posture record would capture and the authority to act on it can then sit with different entities under different supervisory regimes on either side of a transition the token makes programmatically rather than through a settlement event an examiner can observe.

The pattern matters to the OCC specifically because the entity types the OCC supervises, including uninsured national trust banks and bank affiliates, are candidate obligors on one or both legs of such an arrangement, and because a design of this kind can route one leg outside the OCC's direct examination perimeter. Tokenization Systems offers three coverage confirmations that the rule's existing provisions can perform, each carrying a position already on the record forward to the case in which a single instrument changes its obligor and its applicable regime across a holding-location boundary.

First, the boundary transition itself should be a monitored and screenable event. Because the legal-character change can occur through an ordinary on-chain transfer with no issuance, redemption, or settlement event marking it, an examination that screens only transactions within each state can miss the moment the instrument crosses into the state with the weaker obligor. Tokenization Systems recommends that the block, freeze, and reject capability confirmed under Recommendation 4 be demonstrated exercisable at and after that transition, and not only within the state in which an OCC-supervised institution is the obligor.

Second, identity and monitoring obligations should be confirmed not to lapse across the transition. When an instrument moves from a holder identified through the issuer's customer-identification program to a holder outside that perimeter, a control-posture record (Recommendation 2) scoped to the identified-holder state does not, by itself, establish coverage of the holder population on the other side. The examination should confirm that customer-identification and transaction-monitoring obligations are met for the instrument's full holder population, and not only for the population captured in the state the OCC examines.

Third, where the post-transition obligor answers to a supervisor other than the OCC, the advance-notice consultation under proposed Section 19.261 should confirm that the state the OCC does not examine is not, for that reason, an AML and sanctions blind spot. The shared, reproducible control-posture record recommended in Recommendation 2 is the natural instrument: it lets the OCC and FinCEN confirm that the block, freeze, and reject

capability and the screening obligation are owned and exercisable on the leg the OCC does not directly supervise, so that the design does not, by construction, route the state in which the instrument is least clearly accountable to the entity least integrated into the examination this rule creates. The examination that supports a determination under proposed Section 19.262 should include that full-lifecycle confirmation.

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## III. Group III: The surfaces distinctive to the OCC's proposal (Recommendations 7 and 8)

### Recommendation 7 (Question 6; proposed Sections 15.13(c), 19.261, 19.262, and 4.19): Align the OCC and FDIC rules on a common measured object and reconcile the divergent thresholds

Question 6 invites comment on "whether any elements of the FDIC's proposed rule should be included in proposed part 15 or other proposed requirements for OCC-regulated permitted payment stablecoin issuers," and on "whether any of the requirements in the OCC's March 2 proposed rule should be amended to align more closely with the FDIC's proposed rule (or vice versa)." Question 6 poses the comparison against the FDIC rule that parallels the OCC's March 2 issuance rule, but the FDIC instrument that most directly parallels the supervision, consultation, and disclosure provisions this rule adds is the FDIC's separate Bank Secrecy Act and sanctions compliance rule (RIN 3064-AG29). Tokenization Systems is positioned to answer, because it filed comments across the FDIC rule set, including on RIN 3064-AG29, and the AG29 rule and this one are close structural siblings: each layers a supervision, consultation, and disclosure framework over the same substantive FinCEN and OFAC program standard, for the same population of permitted payment stablecoin issuers, differing principally in which prudential supervisor administers the layer.

The alignment Tokenization Systems recommends is not that the two rules be made textually identical, but that they resolve the shared design choices in the same way, so that a permitted payment stablecoin issuer, and the operator behind it, faces one measured standard rather than two supervisor-specific ones. Three alignment points follow, and one divergence requires an affirmative reconciliation.

First, the effective-program disposition. The OCC's proposed Section 19.262 and the FDIC's proposed Section 350.201 create the same disposition: a PPSI that has established an effective AML/CFT program is not subject to enforcement or significant supervisory action on the program requirements, subject to the significant-or-systemic-failure carve-out. Recommendation 1 above asks the OCC to state the observable evidence an examiner uses to reach that determination; Tokenization Systems made the identical request of the FDIC. The alignment recommendation is that the two agencies articulate the observable-evidence standard in the same terms, so that the same operator's program is not judged effective by one supervisor and nominal by the other on the same facts.

Second, the consultation record. The OCC's proposed Section 19.261 and the FDIC's

proposed Section 350.202 both require advance notice to the FinCEN Director accompanied by the underlying AML/CFT information. Recommendation 2 asks the OCC to make a single reproducible control-posture record a standing component of that package. Because the FinCEN Director is the common counterparty to both consultations, a control-posture record standardized across the OCC and FDIC channels lets FinCEN read the same measured object regardless of which prudential supervisor initiated the action, which is the streamlining both Question 10 here and the parallel FDIC question seek.

Third, the disclosure-and-privilege options. The OCC's proposed Section 4.19 and the FDIC's proposed Section 350.203 each offer two options for permitting a PPSI to share non-public supervisory information with the FinCEN Director, structured around the preservation of privilege under 12 U.S.C. 1821(t), with the OCC's Option 2 adding a contemporaneous-disclosure-to-the-OCC requirement. Tokenization Systems takes no position on the privilege choice itself (see the note on Question 7 below), but it recommends that the OCC and FDIC resolve the option the same way, because a PPSI supervised by one agency and affiliated with an institution supervised by the other should not face two different information-sharing regimes for the same FinCEN counterparty.

The divergence that requires reconciliation is the consultation threshold. The OCC's Question 9 offers a threshold of "$10 billion or more in assets." The FDIC's parallel question offers a threshold of "$10 billion or more in outstanding issuance value." These are different measures. Outstanding issuance value is the value of the payment stablecoins in circulation, a liability-side quantity that under the reserve requirement tracks the reserve assets backing them; total assets is a balance-sheet quantity that can include corporate and non-reserve assets, or that can understate circulating supply where an issuer's structure places reserves or issuance off its own balance sheet. A single operator can therefore sit above one threshold and below the other, and a consortium or white-label structure of the kind the OCC anticipates can be arranged so that issuance concentrates under the supervisor with the higher effective trigger. Divergent thresholds for the same coordination mechanism invite exactly the forum and structure arbitrage that a cross-agency-consistent rule is meant to foreclose. Tokenization Systems recommends that the OCC and FDIC adopt a common threshold measure, and that whichever measure is chosen (Tokenization Systems suggests outstanding issuance value, as the quantity most directly tied to the systemic consequence the threshold proxies), it be paired with the control-posture trigger of Recommendation 3 so that a low-issuance, weak-control issuer is not excluded from consultation by the threshold alone.

### Recommendation 8 (Questions 3, 4, and 5; proposed Sections 15.11 and 15.13): Treat reserve-asset security and holder monetization as observable controls scaled to measured concentration

Questions 3, 4, and 5 ask whether proposed part 15 should add protections for reserve assets and for holders. Question 3 asks whether reserve assets should be required to remain traceable and "identified" at all times, including whether proposed Section 15.13 should require "appropriate controls and systems necessary to ensure that reserve assets can be traced and identified at all times." Question 4 asks whether the OCC should impose

additional requirements on the "eligible financial institutions" that hold reserve assets, including safeguards against fraud and possible limits on reserve-management fees. Question 5 asks whether proposed part 15 should add protections to ensure that holders who are not direct customers of the issuer can still monetize their payment stablecoins, including a possible OCC option to require direct redemptions under certain conditions. These questions concern the substantive part 15 requirements rather than the supervision layer, but they share the same structural feature as the rest of this comment: each protection works only if it is an observable control calibrated to where reserves and tokens are actually concentrated.

On Question 3 (identifiability), Tokenization Systems recommends that the traceability requirement be framed as an observable, testable control rather than as a representation. The OCC's own framing, that reserve assets and their proceeds "can be traced and identified at all times," is the language of an operational capability that an examiner can test, in the same way that Recommendation 4 asks the OCC to test the block, freeze, and reject capability rather than accept its documentation. Tokenization Systems supports requiring, in proposed Section 15.13, the controls and systems that make reserve assets traceable at all times, and recommends that the effective-program and risk-management examination confirm the traceability by test (for example, by reconciling the on-chain and custodial record of reserves against outstanding issuance value at examination), not by attestation. The same observability principle answers the income-and-proceeds sub-question: whichever rule the OCC adopts for whether interest and proceeds remain "identified" reserve assets, the requirement is enforceable only if the tracing system can in fact distinguish principal, proceeds, and claimed surplus at all times.

On Question 4 (eligible-institution safeguards), Tokenization Systems recommends that any safeguard requirement account for reserve-custody concentration, because the security of reserves held at eligible financial institutions depends not only on each institution's safeguards but on how concentrated the reserves are across institutions. Concentration is the documented failure channel. In March 2023, when Silicon Valley Bank failed, one large dollar stablecoin issuer held approximately $3.3 billion of its reserves at that single bank, over seven percent of the issuer's reserves, and the stablecoin depegged as the market priced the risk that the concentrated reserves were impaired; the episode is offered as a documented illustration of reserve-custody-concentration risk and not as a representation about any permitted payment stablecoin issuer under this rule. The supervisory implication is that a requirement to verify eligible-institution safeguards is strengthened by a companion expectation that the PPSI measure and manage the concentration of its reserves across those institutions, so that the failure of any single eligible institution does not impair a disproportionate share of the reserve. This position carries forward the recommendation Tokenization Systems made in the FinCEN channel that PPSI risk assessments address reserve-custody concentration (FINCEN-2026-0100, Recommendation 6, as supplemented). On the fee sub-question, Tokenization Systems takes no position on the specific fee caps the OCC floats, and notes only that whichever disclosure or limit the OCC adopts is, again, most effective when the fee arrangement is observable to the examiner rather than represented.

On Question 5 (holder monetization), Tokenization Systems recommends that any monetization backstop be calibrated to measured secondary-market concentration, because whether holders who are not direct customers can in fact monetize depends on how concentrated and how liquid the secondary market for the specific token is. The holder-concentration measurement described in Recommendation 4 is directly relevant here: a token whose secondary-market holdings are highly concentrated, or whose liquidity depends on a small set of venues, is more likely to leave non-customer holders unable to monetize under stress than a broadly held, deeply traded token, even though both are "generally" monetizable in calm conditions. Tokenization Systems supports the OCC's contemplated option to require direct redemptions under certain conditions, and recommends that the condition triggering it be keyed to observable indicators of monetization failure (for example, a persistent and material secondary-market discount, or a measured collapse in redeemable liquidity), rather than to the issuer's representation that monetization channels remain adequate. The redemption-access architecture is itself a control that can be measured: Tokenization Systems' work on a March 2023 stablecoin run documented that effective redemption access concentrated in a small number of participants under stress, which is the kind of observable failure a conditioned direct-redemption backstop is meant to reach. That work studies a pre-GENIUS episode and is offered as method and illustration, not as evidence about any PPSI.

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## IV. A note on proposed Section 4.19 and Question 7

Question 7 invites comment on the two options for permitting greater information sharing with the FinCEN Director under proposed Section 4.19, and asks in particular whether the disclosure of confidential supervisory information to FinCEN would "compromise attorney-client privilege, other applicable privileges, or otherwise undermine the preservation of privilege in 12 U.S.C. 1821(t)." That question turns principally on privilege law and supervisory-information protection, on which Tokenization Systems does not hold subject-matter expertise; it offers no recommendation on the choice between Option 1 and Option 2 and defers the privilege question to commenters better placed to address it.

Tokenization Systems notes only the connection to its measurement recommendations, without taking a position on the privilege choice. The shared, reproducible control-posture record recommended in Recommendation 2 consists of observed operational facts about whether a capability functions, which are distinct in kind from the privileged legal analysis of a proposed action. A sharing framework built on that observed operational dataset reduces the volume of privilege-sensitive material that must change hands in order to establish a common view of the PPSI's control posture. Tokenization Systems raises this only as an interaction for the OCC to confirm under whichever option it adopts, and it notes, as stated in Recommendation 7, that whichever option the OCC adopts should be resolved consistently with the parallel FDIC provision so that the same operator does not face two different information-sharing regimes for the same FinCEN counterparty.

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## Conclusion

This rule is the OCC's supervision-and-coordination layer over an AML/CFT and sanctions program whose substance is set in the companion FinCEN and OFAC rule at 91 Fed. Reg. 18582 and in 31 CFR chapters V and X. Its distinctive features, the enforcement-and-supervision policy in proposed Section 19.262, the OCC-and-FinCEN advance-notice consultation in proposed Section 19.261, and the information-sharing provision in proposed Section 4.19, share one structural requirement: they work as intended only when the agencies reason over the same measured object. The recommendations above turn that requirement into practice. They ask the OCC for an effectiveness disposition anchored in observable, reproducible features (Recommendation 1); a single shared control-posture record inside the consultation (Recommendation 2); thresholds and options keyed to that record, with revocation of approval to issue expressly accounted for (Recommendation 3); a block, freeze, and reject capability confirmed by operational test scaled to measured holder concentration (Recommendation 4); an identifiable accountable line and a uniform, function-based standard across entity types (Recommendation 5); confirmation that AML and sanctions coverage follows a tokenized instrument across a holding-location obligor change (Recommendation 6); alignment with the parallel FDIC rule on a common measured object, with the divergent consultation thresholds reconciled (Recommendation 7); and reserve-asset security and holder-monetization protections calibrated to measured reserve-custody and holder concentration (Recommendation 8). Each recommendation is a supervision-channel or a part 15 application of a position Tokenization Systems has argued in the parallel FinCEN, FDIC, and OCC rulemakings; the increment here is to fit those positions to the examination, coordination, and issuance machinery this rule actually creates. These recommendations describe structural features that can be observed and measured, not accommodations; a disposition grounded in observed function imposes discipline rather than relaxing it.

Tokenization Systems appreciates the opportunity to comment and is available to provide any of the underlying analysis referenced above.

Respectfully submitted,

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## Appendix: Selected Sources

Office of the Comptroller of the Currency, "Permitted Payment Stablecoin Issuer Anti-Money Laundering/Countering the Financing of Terrorism and Sanctions Compliance Risk Management," 91 Fed. Reg. 37840 (June 24, 2026).

Office of the Comptroller of the Currency, proposed rule implementing the GENIUS Act

for payment stablecoin issuance by entities subject to the OCC's jurisdiction, 91 Fed. Reg. 10202 (March 2, 2026).

Financial Crimes Enforcement Network and Office of Foreign Assets Control, "Permitted Payment Stablecoin Issuer Anti-Money Laundering/Countering the Financing of Terrorism Program and Sanctions Compliance Program Requirements," 91 Fed. Reg. 18582 (April 10, 2026).

Federal Deposit Insurance Corporation, "Bank Secrecy Act and Sanctions Compliance Standards for FDIC-Supervised Permitted Payment Stablecoin Issuers," 91 Fed. Reg. 34171 (June 5, 2026).

Vantage Bank and Custodia Bank, "Hazel Network: Unified Tokenized Bank Deposit and Stablecoin Token" (industry white paper, June 2026).

Custodia Bank, Inc. v. Federal Reserve Board of Governors, No. 24-8024 (10th Cir. Oct. 31, 2025).

# Comment on the Notice of Proposed Rulemaking: Permitted Payment Stablecoin Issuer Customer Identification Program

**Submitted to:** Financial Crimes Enforcement Network, via the Federal eRulemaking Portal (https://www.regulations.gov) under Docket FINCEN-2026-0101
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**Submitted by:** Tokenization Systems (www.Tokenization.Systems)
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## Introduction and summary

Tokenization Systems is an independent research program studying the operational control layer of tokenized financial systems: the technical and organizational functions through which a stablecoin issuer or interface operator actually exercises control over issuance, reserve custody, transaction routing, and the execution of lawful orders. Tokenization Systems develops measurement instruments that make those control functions observable to supervisors, including the Minimum Viable Equivalence Pack, a ten-category structural diagnostic for diligence at decision points, and the Control Layer Intensity Index for continuous monitoring.

Tokenization Systems has submitted prior comments to the Financial Crimes Enforcement Network on the general anti-money-laundering rulemaking (FINCEN-2026-0034) and, jointly addressed to the Office of Foreign Assets Control, on the permitted-payment-stablecoin-issuer anti-money-laundering and sanctions program rulemaking (FINCEN-2026-0100), each with a supplemental comment filed June 9, 2026. This comment is Tokenization Systems' fifth comment to FinCEN. Tokenization Systems has also commented to the Office of the Comptroller of the Currency on its rule implementing the GENIUS Act for payment stablecoin issuance (RIN 1557-AF41) and on the Bank Secrecy Act and sanctions compliance rule for OCC-supervised issuers (RIN 1557-AF55); to the Federal Deposit Insurance Corporation on the prudential activities rule (RIN 3064-AG19), the application-process rule (RIN 3064-AG20), and the Bank Secrecy Act and sanctions compliance standards rule (RIN 3064-AG29); to the National Credit Union Administration on its GENIUS Act rulemaking; to the Department of the Treasury on state-similarity principles; to the Federal banking agencies on the joint anti-money-laundering rule (91 Fed. Reg. 18304); and to the U.S. Securities and Exchange Commission on its draft strategic plan. The recommendations below are designed to coordinate with those parallel rulemakings rather than to duplicate or contradict them; where a position is already on the record, this comment cites the prior filing instead of re-arguing it.

This rule occupies a distinct position in that architecture. The companion rulemaking at 91 Fed. Reg. 18582 sets what a permitted payment stablecoin issuer's anti-money-laundering and sanctions programs must contain. This rule sets something narrower and more foundational: **who the issuer must identify, and what relationship triggers the duty to identify them.** It does that through three proposed definitions at 31 CFR 1033.100 (account, customer, and digital asset service provider) and a customer identification program at proposed 31 CFR 1033.220. Every other obligation in the PPSI framework that operates on a customer or an account inherits the boundary these definitions draw.

The central proposition of this comment is that **the account definition is doing two different jobs in the GENIUS Act framework, and this proposal codifies only one of them while disclaiming the other in a footnote.** Proposed 31 CFR 1033.100(a) defines an account for customer identification purposes as a formal relationship, and expressly excludes "ownership or control of a permitted payment stablecoin issuer's payment stablecoins alone, without other indicators of a formal relationship." Separately, the GENIUS Act conditions the lawful-order obligation at 12 U.S.C. 5903(a)(6)(B) on a definition of lawful order that is itself framed in terms of accounts, at 12 U.S.C. 5901(16)(B). FinCEN addresses the relationship between the two in footnote 57, stating that it "is not intending, however, to apply the proposed CIP definition of account to that obligation." That disclaimer appears in a footnote to the preamble. It appears nowhere in the proposed regulatory text. Meanwhile proposed 31 CFR 1033.220(c) does appear in regulatory text and does expressly preserve the lawful-order obligation, without carrying the definitional disclaimer with it. A codified narrow definition of account sitting beside a codified cross-reference to the lawful-order obligation, with only an uncodified footnote separating them, is an invitation to read the first into the second. If that reading takes hold, a blocking order directed at a wallet address would be directed at something the regulation says is not an account.

The remaining recommendations follow from the same concern with what is observable and what is merely asserted. Three of them address the account object directly (the hallmarks of a formal relationship, a divergence between the preamble and the codified text, and the redemption-only relationship the rule invites comment on). Two address the measured population and the reliance chain built on it: the regulatory impact analysis estimates the affected population from on-chain minting and redemption activity, while the rule's obligation attaches to contractually formalized relationships, and those are different objects that Tokenization Systems has measured separately; and the rule permits reliance on another institution's procedures along a boundary the preamble itself identifies as asymmetric. Two address verification method and screening: digital identity credentials, and a list-comparison obligation whose lists do not yet exist.

A note on scope and evidence precedes the recommendations. Where this comment draws on Tokenization Systems' empirical work, that work studies stablecoin issuers and decentralized-finance protocols as they operate today, not permitted payment stablecoin issuers, a category that does not yet have occupants. Findings are offered to illustrate a measurement method and to supply data the Agencies have expressly requested, not as

claims about any future PPSI or as allegations about any named entity. The comment flags this qualification at each point of use. Two externally sourced figures recur below (882 verified redemption accounts at Tether and 1,834 Circle Mint accounts); both are drawn from published legal scholarship, the Circle figure carries an as-of date of March 2025 in that source, and both are flagged with those provenance limits wherever they appear.

The eight recommendations are mapped below to the Agencies' questions and to the action requested in the final rule or preamble. Questions from Section VI are cited as Q1 through Q8; questions from the Additional Requests for Comment in Section VIII.I are cited as AQ1 through AQ16.

| Recommendation | Question or provision | Requested final-rule action | Why it matters |
|---|---|---|---|
| 1. Codify the account-definition boundary | Q2, Q3; proposed 1033.100(a), 1033.220(c) | Move the footnote 57 disclaimer into regulatory text, so the customer-identification definition of account cannot be read into the lawful-order obligation. | A narrow codified definition beside a codified lawful-order cross-reference invites a reading that would exclude wallet addresses from lawful orders. |
| 2. Observable hallmarks of a formal relationship | Q2, Q3; proposed 1033.100(a)(1) | Retain "formal relationship" but state its hallmarks as observable attributes, and reconcile the divergence with the mutual fund CIP formulation. | A relationship test that turns on the issuer's own characterization is not examinable; the attributes that would make it examinable are already countable today. |
| 3. Conform the preamble to the codified account text | Q2; proposed 1033.100(a)(1)(v) | Resolve the divergence between the preamble description of subparagraph (a)(1)(v), which carries three qualifiers, and the codified text, which carries none, by retaining the codified text and correcting the preamble. | As codified and as described, the provision has materially different scope; the qualified reading would relieve an issuer of customer identification duties precisely where its activities were unauthorized. |

| Recommendation | Question or provision | Requested final-rule action | Why it matters |
|---|---|---|---|
| 4. Redemption-only relationships | Q4; proposed 1033.100(b)(2)(iv), 1033.220(a)(2)(ii) | Confirm that verification may follow account opening within a reasonable period for a redemption-triggered account, so the rule does not operate as a redemption gate. | Redemption is the exit path, and the measured direct-redemption perimeter is already narrow; a verification-before-redemption reading would narrow it further. |
| 5. The population estimate measures a different object than the rule reaches | AQ1, AQ4, AQ8, AQ9; Q1 | State which object the population estimate measures, and re-derive the affected-population and burden estimates on the account-holder object the rule defines. | The analysis counts on-chain counterparties; the obligation attaches to formal relationships. Independent measurement of the contractual perimeter finds counts three orders of magnitude below the analysis mean. |
| 6. Reliance asymmetry and the threshold that determines which side an issuer sits on | Q7; AQ5, AQ12; proposed 1033.220(a)(6) | Address the asymmetry the preamble identifies between federally regulated PPSIs and state qualified PPSIs, and reconcile the measurement basis of the ten-billion-dollar threshold across the parallel rules. | The same numeral is measured on at least three different bases across these rulemakings, and it determines an issuer's position in the reliance chain. |
| 7. Digital identity and verifiable credentials | Q5, Q6, Q8; proposed 1033.220(a)(2)(ii) | State observable criteria by which a credential supports a reasonable belief, rather than naming tools or accepting vendor attestation. | The Agencies observe that these tools vary in trustworthiness; trustworthiness is measurable, and a rule that does not say how it is measured will be satisfied by attestation. |

| Recommendation | Question or provision | Requested final-rule action | Why it matters |
|---|---|---|---|
| 8. List comparison with no designated lists | Q8; proposed 1033.220(a)(4) | State the designation mechanism and the notification timing, and confirm the relationship between this obligation and existing sanctions screening. | An obligation whose object does not yet exist cannot be examined for effectiveness, and cannot be costed. |

The highest-priority implementation language could be framed as follows:

- **Possible regulatory text at proposed 31 CFR 1033.100(a):** "The definition of account in this paragraph (a) applies for purposes of Sec. 1033.220 only, and does not limit the meaning of account as used in 12 U.S.C. 5901(16)(B) or in the obligation preserved by Sec. 1033.220(c)."
- **Possible regulatory text at proposed 31 CFR 1033.220(c):** add, at the end, "and the definitions in Sec. 1033.100 do not narrow the scope of those requirements."
- **Preamble clarification for proposed 31 CFR 1033.100(a)(1):** "Indicators of a formal relationship include a contractual right of redemption against the issuer, an onboarding record created by the issuer, inclusion on an issuer-maintained authorized-participant or minter list, and a custody or safekeeping agreement with the issuer. The absence of a written agreement does not defeat a formal relationship where these indicators are otherwise present."
- **Preamble clarification for proposed 31 CFR 1033.220(a)(2)(ii):** "Where an account is established by a request to redeem, the issuer may verify identity within a reasonable period after the account is opened, consistent with this paragraph, and this section does not require verification to be completed before a redemption request is accepted."
- **Preamble clarification for the regulatory impact analysis:** "The population estimates in this analysis are derived from observed on-chain minting and redemption counterparties. The customer identification obligation attaches to persons with whom the issuer has a formal relationship as defined in Sec. 1033.100(a). The Agencies invite comment on the difference between these populations."

The recommendations also align with the parallel federal rulemakings and answer the principal objections likely to arise:

| Issue | This proposal | Sibling proposal(s) | Recommended alignment |
|---|---|---|---|
| Meaning of account | FINCEN-2026-0101 defines account for customer identification purposes at proposed 1033.100(a) and disclaims application to lawful orders in footnote 57. | FINCEN-2026-0100 defines lawful order at proposed 31 CFR 1010.100(rrr), where Tokenization Systems recommended that account include wallet addresses. | Codify the boundary rather than stating it in a footnote, so the two definitions cannot merge by implication. |
| Reliance across supervisory regimes | FINCEN-2026-0101 permits reliance only on a Federal functionally regulated institution, which the preamble acknowledges disadvantages federally regulated PPSIs relative to state qualified issuers. | The GENIUS Act state-supervision option at 12 U.S.C. 5903(c) keys to consolidated total outstanding issuance of not more than ten billion dollars. | Reconcile the asymmetry, and state the measurement basis of the threshold that determines it. |
| Ten-billion-dollar threshold basis | The state-supervision eligibility threshold is measured on consolidated total outstanding issuance. | RIN 1557-AF55 offers a consultation threshold of ten billion dollars or more in assets; RIN 3064-AG29 offers ten billion dollars or more in outstanding issuance value. | Adopt a single measurement basis, or state expressly that the three thresholds measure different quantities and are not intended to align. |
| Operational verification over attestation | FINCEN-2026-0101 requires procedures enabling a reasonable belief as to identity. | RIN 1557-AF55 Recommendation 1 and RIN 3064-AG29 Recommendation 1 addressed the same attestation gap in the effective-program disposition. | Apply the same observable-evidence standard to identity verification that the program recommended for program effectiveness. |

| Issue | This proposal | Sibling proposal(s) | Recommended alignment |
|---|---|---|---|
| Secondary market treatment | FINCEN-2026-0101 excludes secondary market activity from the account and customer definitions and asks in Q1 whether any requirement should extend to it. | FINCEN-2026-0100 Recommendation 5 addressed graduated secondary market treatment for suspicious-activity reporting. | Keep the customer identification perimeter at the primary market, and address secondary market risk through the monitoring and reporting instruments where it belongs. |

The main anticipated objections are manageable. If the Agencies are concerned that Recommendation 1 asks them to decide the meaning of account for lawful-order purposes in a customer identification rule, it does not: it asks only that the disclaimer FinCEN has already written be placed where it will bind, leaving the affirmative scope of the lawful-order account to the docket where that question lives. If the Agencies are concerned that Recommendation 2 would convert a flexible standard into a checklist, the recommendation is expressly non-exclusive and preserves the risk-based structure; it states indicators sufficient to establish a formal relationship rather than necessary conditions. If the Agencies are concerned that Recommendation 5 disputes the cost analysis, it does not reach the cost estimates; it addresses the object on which the population count is taken, which is prior to costing, and it supplies the data AQ4 requests.

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## I. Group I: What the rule identifies a customer for, and the account object that determines it (Recommendations 1 through 4)

### Recommendation 1 (Questions 2 and 3; proposed 31 CFR 1033.100(a) and 1033.220(c)): Codify the boundary between the customer identification account and the lawful-order account

Question 2 asks whether the Agencies should refine or clarify the definitions of account, customer, or digital asset service provider. Tokenization Systems recommends one refinement above all others: **state in regulatory text what footnote 57 states in a footnote.**

The structure that creates the risk is visible on the face of the proposal. Proposed 31 CFR 1033.100(a)(1) defines an account as "a formal relationship between a customer and a permitted payment stablecoin issuer established to provide or engage in services, dealings, or other financial transactions." Proposed 31 CFR 1033.100(a)(2)(iv) then provides that an account does not include "[o]wnership or control of a permitted payment stablecoin issuer's payment stablecoins alone, without other indicators of a formal relationship." For customer identification purposes that exclusion is sound, and Tokenization Systems does not oppose

it: a person who holds a token acquired on the secondary market has had no interaction through which an issuer could collect or verify identifying information, and the Agencies are correct that a contrary rule would impose an obligation that is, in the preamble's words, "nearly impossible for PPSIs to implement."

The difficulty is what sits next to that exclusion. Proposed 31 CFR 1033.220(c) provides, in codified text, that nothing in that section relieves a PPSI of its obligation to comply with any other provision of this chapter, "including provisions concerning information that must be obtained, verified, or maintained in connection with any account or transaction, or its obligations with respect to complying with the terms of any lawful order as set forth in this chapter." The lawful-order obligation is thus expressly preserved in the codified text of this rule, and preserved by reference to this same chapter, which is the chapter in which the proposed account definition at Section 1033.100 would also sit. The statutory definition of a lawful order at 12 U.S.C. 5901(16)(B) is framed in terms of accounts. And the only statement that the account definition codified a few paragraphs earlier does not govern that obligation appears in footnote 57 of the preamble, which says that FinCEN "is not intending, however, to apply the proposed CIP definition of account to that obligation."

Preamble statements guide interpretation; codified definitions bind. A final rule that codifies a narrow definition of account, codifies a cross-reference to the lawful-order obligation, and leaves the separation between them in an uncodified footnote has created a live interpretive argument that the narrow definition travels. The consequence is specific and serious. The operational target of a blocking, freezing, or burn instruction is a wallet address. Under proposed 31 CFR 1033.100(a)(2)(iv), ownership or control of stablecoins at a wallet address, standing alone, is not an account. A PPSI resisting a lawful order, or a court assessing whether an order identifies its target with sufficient particularity, would have a codified definition to point to and only a footnote to overcome.

Tokenization Systems raised the underlying question in its comment on FINCEN-2026-0100 (Recommendation 3), recommending that account, for purposes of lawful orders, be clarified to include any identifier used to hold a payment stablecoin, including a wallet address. This comment does not re-argue that recommendation, which remains on the record in the docket where the lawful-order definition is proposed. The increment here is narrower and, Tokenization Systems suggests, easier for the Agencies to accept: whatever the affirmative scope of the lawful-order account turns out to be, this rule should not be the instrument that narrows it by implication. FinCEN has already decided the point and written it down. The recommendation is that it be written down somewhere that binds.

Two drafting routes would accomplish this. The Agencies could add to proposed 31 CFR 1033.100(a) a sentence limiting the definition to Section 1033.220 and disclaiming any effect on 12 U.S.C. 5901(16)(B). Alternatively, and with equivalent effect, they could add a clause to the end of proposed 31 CFR 1033.220(c) stating that the definitions in Section 1033.100 do not narrow the scope of the requirements that provision preserves. Either is a short addition to text the Agencies are already promulgating, and neither requires the Agencies to resolve, in this rule, what the lawful-order account affirmatively includes.

**Recommendation 2 (Questions 2 and 3; proposed 31 CFR 1033.100(a)(1)): Retain "formal relationship" and state its hallmarks as observable attributes**

Question 3 asks a set of questions directly: whether to retain "formal relationship" in the account definition, what the hallmarks of a formal relationship are, whether the Agencies should provide examples or attributes in guidance, and whether another concept, such as a contractual or business relationship, would be a better foundation.

Tokenization Systems recommends retaining "formal relationship" and adding stated hallmarks. The term should be retained because, as the Agencies note, it aligns the PPSI rule with the bank, broker-dealer, and futures commission merchant customer identification rules, and that alignment is what makes cross-institution reliance under proposed Section 1033.220(a)(6) coherent. Changing the foundational concept for one class of institution would introduce a seam precisely where the rule contemplates institutions relying on one another.

The hallmarks should be stated because, without them, the test turns on the issuer's own characterization of its relationships. This is the same structural problem Tokenization Systems has raised across the FinCEN, OCC, and FDIC channels: in its FINCEN-2026-0100 comment (Recommendation 2), that a block, freeze, and reject capability cannot be presumed from the existence of smart-contract functions and must be operationally verified; in its FINCEN-2026-0034 comment (Recommendation 5), that testing must be fit for purpose and trace on-chain behavior against internal records rather than review documentation alone; and in its comments to the OCC (RIN 1557-AF55, Recommendation 1) and the FDIC (RIN 3064-AG29, Recommendation 1), that an effective-program disposition should rest on observable indicators rather than attestation. A definitional test is if anything more consequential than those, because it determines whether the obligation attaches at all. An issuer that characterizes a relationship as informal has, on an uninstrumented reading of the proposed text, characterized itself out of the customer identification duty.

The Agencies' own drafting supplies most of the hallmarks. Proposed Section 1033.100(a)(1) already lists the activities that create accounts: issuing or redeeming a payment stablecoin; managing related reserves; providing custodial or safekeeping services for stablecoins, reserves, or private keys; and activities directly supporting those. What the rule does not say is what evidence establishes that such a relationship exists. Tokenization Systems recommends that the final rule or its preamble identify indicators sufficient to establish a formal relationship, stated non-exclusively so that the risk-based structure is preserved: a contractual right of redemption against the issuer; an onboarding record created by the issuer for the person; inclusion on an issuer-maintained authorized-participant, authorized-minter, or allowlist; and a custody or safekeeping agreement with the issuer. Each is a fact an examiner can confirm from the issuer's own records, and each is a fact the issuer necessarily possesses.

That these indicators are workable is not a matter of assertion. Tokenization Systems' measurement work finds that the contractual perimeter is already countable from public disclosure and on-chain records, and that it is stable rather than a snapshot artifact.

Published legal scholarship recording issuer terms of service (Odinet, Tosato and Yadav, "The Moneyness of Stablecoins," 136 Yale Law Journal, forthcoming 2026) finds direct redemption rights at Tether limited to 882 verified customer accounts, and Circle Mint accounts numbering 1,834 as of March 2025. Tokenization Systems' own on-chain panel of monthly minting and redemption activity for the two largest dollar stablecoins over the period from 2024 onward finds that this authorized perimeter persists rather than fluctuating with volume, and a parallel panel for a third product finds an authorized-minter allowlist fixed at twenty addresses, observed at that count in twenty-five of twenty-seven monthly observations, even as monthly mint volume rose to a peak of approximately 4.08 billion dollars in August 2025 (author's on-chain analysis via Dune Analytics). These figures describe stablecoin issuers as they operate today, not permitted payment stablecoin issuers, and they are offered to show that the class of indicator the recommendation proposes is observable in practice, not to characterize any future PPSI. The point they establish is modest and sufficient: an issuer knows who holds a contractual claim against it, that population is small enough to enumerate, and an examiner can therefore verify a formal-relationship determination against a list rather than against a characterization.

On the alternative Question 3 raises, Tokenization Systems notes that the Agencies' footnote 59 already identifies the divergence: the mutual fund customer identification rule at 31 CFR 1024.100(a)(1) defines account as a "contractual or other business relationship," while the bank, broker-dealer, and futures commission merchant rules use "formal relationship." Whichever formulation the Agencies retain, the final rule should state whether the difference is intended to carry substantive weight. If a contractual relationship would be a formal relationship in every case under this rule, saying so removes the question. If it would not, the cases where the two diverge are exactly the cases the hallmarks should address.

**Recommendation 3 (Question 2; proposed 31 CFR 1033.100(a)(1)(v)): Resolve the divergence between the preamble description of subparagraph (a)(1)(v) and its codified text, in favor of the codified text**

Question 2 asks whether the definitions should be refined or clarified. Tokenization Systems identifies a divergence between the preamble and the proposed regulatory text that appears to be inadvertent and that materially changes the provision's scope.

The preamble at 91 Fed. Reg. 37239 describes the fifth item in the illustrative list of account-forming activities as "providing services of a digital asset service provider that are authorized by the primary Federal payment stablecoin regulator or the State payment stablecoin regulator, as applicable, consistent with all other Federal and State laws, provided that the claims of payment stablecoin holders rank senior to any potential claims of non-stablecoin creditors with respect to the reserve assets, consistent with section 11 of the GENIUS Act."

The proposed regulatory text at 91 Fed. Reg. 37270 codifies subparagraph (a)(1)(v) in full as: "Providing services of a digital asset service provider."

The preamble version carries three qualifiers: regulator authorization, consistency with

other Federal and State law, and seniority of stablecoin-holder claims to reserve assets. The codified version carries none. The scope difference is not stylistic. Under the codified text, any digital asset service provider activity by a PPSI creates an account relationship and therefore a customer identification obligation. Under the preamble description, only authorized, law-consistent, seniority-preserving activity does.

Tokenization Systems recommends that the Agencies resolve the divergence **in favor of the codified text**, and correct the preamble accordingly. The qualified reading produces a perverse result: a PPSI providing digital asset service provider services **without** the required regulator authorization, or in a manner inconsistent with other law, or under a capital structure in which holder claims do not rank senior, would fall outside the account definition, and would therefore owe no customer identification duty with respect to those relationships. Non-compliance with the GENIUS Act's authorization condition would operate as a release from the Bank Secrecy Act's identification requirement. Nothing in the statute or the preamble suggests the Agencies intend that, and the qualifiers read naturally as a description of what the GENIUS Act permits a PPSI to do under 12 U.S.C. 5903(a)(7), not as a limit on which relationships require customer identification.

The recommendation is therefore to retain subparagraph (a)(1)(v) as codified and to revise the corresponding preamble passage in the final rule to describe the permission and the obligation separately. If instead the Agencies intend the qualifiers to be operative, they should appear in the regulatory text, and the final rule should address the consequence identified above. Either resolution is acceptable; leaving the preamble and the codified text describing different provisions is not, because the account definition is the load-bearing term for the entire obligation and its scope should not depend on which document a reader consults.

### Recommendation 4 (Question 4; proposed 31 CFR 1033.100(b)(2)(iv) and 1033.220(a)(2)(ii)): Confirm that a redemption-triggered account may be verified after opening, so the rule does not operate as a redemption gate

Question 4 asks whether the proposed rule should be clarified or refined to account for situations where a customer's only desired relationship with a PPSI is to redeem a payment stablecoin. The preamble frames the case concretely: an individual with no established relationship acquires a stablecoin from an exchange and seeks to redeem it with the issuer, and "[t]hat redemption could establish an account with the PPSI and make the individual a customer."

Tokenization Systems recommends that the Agencies clarify this case, and recommends the specific clarification that verification may be completed within a reasonable period **after** the account is opened, consistent with proposed Section 1033.220(a)(2)(ii), rather than as a precondition to accepting the redemption request.

The reason is that redemption is not one transaction type among several. It is the exit path, and it is the mechanism by which a payment stablecoin's claim to par value is tested. The proposed rule's own structure recognizes the asymmetry: proposed Section 1033.100(b)(2)(iv) excludes from the customer definition "[a] person acquiring or redeeming

a payment stablecoin from a means other than directly from or directly to the permitted payment stablecoin issuer," so secondary market exit creates no customer relationship, while direct redemption does. A holder therefore faces a choice between an exit that triggers no identification duty and an exit that does.

If the final rule were read to require completed verification before a redemption request may be accepted, the practical effect would be to add an identification step to the one path that leads to par and to leave the other path unchanged. The direct-redemption perimeter is already narrow: the published scholarship cited above records direct redemption rights limited to 882 verified customer accounts at Tether and 1,834 Circle Mint accounts as of March 2025, with the remaining holders confined to secondary markets whose liquidity under stress is untested. Those figures describe today's issuers rather than permitted payment stablecoin issuers, and the perimeter under the GENIUS Act framework may well be wider. The structural point does not depend on the specific counts: whatever the perimeter's size, a verification-before-redemption reading narrows it further at exactly the moment when holders are most likely to seek the direct path, which is a period of stress.

The clarification Tokenization Systems recommends is available within the rule as proposed and requires no new policy. Proposed Section 1033.220(a)(2)(ii) already provides that the customer identification program must contain procedures for verifying identity "within a reasonable period of time after the customer's account is opened." Applying that timing to the redemption-triggered account is the natural reading, and stating it in the preamble to the final rule would remove the ambiguity Question 4 identifies. The Agencies may reasonably pair that clarification with the risk-based structure of Section 1033.220(a)(2): a redemption of unusual size or pattern may warrant verification before completion, and nothing in this recommendation asks the Agencies to foreclose that. The recommendation is that the default not be inverted, so that ordinary redemption is not gated on completed identification while the secondary-market alternative remains open.

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## II. Group II: The measured population and the reliance chain (Recommendations 5 and 6)

### Recommendation 5 (Additional Questions 1, 4, 8, and 9; Question 1): State which object the population estimate measures, and re-derive the affected population on the object the rule defines

Additional Question 4 asks directly: "How many primary market customers does a typical issuer of payment stablecoin-type products interact with?" Additional Questions 1, 8, and 9 ask whether the baseline population estimates are accurate, what share of PPSIs already maintain customer identification programs, and whether it is reasonable to assume that issuers already know their existing customers' true identities. Each requests data. Tokenization Systems has measured a closely related quantity and offers it here, together with a methodological observation that Tokenization Systems believes is more consequential than the numbers.

**The methodological observation.** The regulatory impact analysis derives its population estimate from a specific measurement. As the analysis states, "[t]o estimate the number of expected primary market customers a future PPSI might interact with, FinCEN examined current on-chain minting and redemption activity as observable from publicly available data." On that basis, the analysis reports that almost all reviewed products had "fewer than 1,000 primary market customers in a given year," that a small number had "over 250,000 customers," and that "the average number of an issuer's primary market customers was approximately 17,000."

The rule's obligation, however, does not attach to on-chain minting and redemption counterparties. It attaches to persons with whom the issuer has a formal relationship, as proposed Section 1033.100(a) defines that term, and proposed Section 1033.100(a)(2)(iv) expressly provides that ownership or control of stablecoins alone is not enough. These are different objects, and they can diverge substantially in both directions. An address that appears in mint or redemption flow may be a settlement address, an intermediary's operational wallet, a routing contract, or a single participant transacting through many addresses, none of which is by itself a formal relationship. Conversely, a single authorized participant with a contractual redemption right may transact through numerous addresses, or in a given year through none at all, while remaining a customer whose identity the issuer must have verified.

The consequence is that the estimate of approximately 17,000 average primary market customers, and the finding that a small number of products exceed 250,000, may be measuring the volume and topology of on-chain flow rather than the size of the population the rule reaches. Because the analysis's per-institution burden estimates are built on that population count, an object mismatch at the counting stage propagates into every downstream figure. Tokenization Systems does not contend that the burden estimates are too high or too low; it observes that the object on which they rest is not the object the rule defines, and that this is prior to any question about cost per customer.

**The data.** Tokenization Systems offers the following measurements of the contractual perimeter, which is the object closer to the rule's definition. All describe stablecoin issuers as they operate today rather than permitted payment stablecoin issuers, and they are offered as evidence about measurement feasibility and order of magnitude, not as forecasts.

- Published legal scholarship recording issuer terms of service, cited above and listed in the appendix, finds direct redemption rights at Tether limited to 882 verified customer accounts, and Circle Mint accounts numbering 1,834 as of March 2025. The Circle figure's as-of date should be treated as material: the perimeter may have changed since.
- Tokenization Systems' on-chain panel of monthly minting and redemption activity for the two largest dollar stablecoins, covering 2024 onward, finds that this authorized perimeter is persistent rather than a snapshot artifact (author's on-chain analysis via Dune Analytics, as above).
- A parallel panel for a third product finds an authorized-minter allowlist fixed at twenty addresses, observed at that count in twenty-five of twenty-seven monthly observations, over a period in which monthly mint volume rose to a peak of

approximately 4.08 billion dollars in August 2025. Volume moved by orders of magnitude while the authorized perimeter did not, which is the clearest available illustration that flow-based and relationship-based counts measure different things.

Read against the analysis's own findings, these measurements are not in tension with the modal case. The analysis found that almost all reviewed products had fewer than 1,000 primary market customers annually, and the contractual perimeters measured above (882, 1,834, and 20) sit within or below that range. The tension is with the mean of approximately 17,000, which appears to be driven by the outlier products exceeding 250,000 counterparties. For a rule whose per-institution burden estimate depends on a typical issuer's customer count, a mean drawn from a distribution with outliers of that magnitude is unlikely to describe a typical issuer, and the analysis's own modal finding is the better guide.

**What Tokenization Systems recommends.** First, that the final rule's analysis state expressly which object its population estimate measures, and acknowledge the difference between on-chain counterparties and formal-relationship account holders. Second, that the affected-population estimate be re-derived, or at least cross-checked, against the contractual perimeter, using data issuers already possess: an issuer knows the size of its authorized-participant or verified-account list, and the Agencies can request that figure directly rather than infer it from chain data. Third, and responsive to Additional Questions 8 and 9, that the assumption that existing customers need no first-year re-verification be evaluated against the same object. An issuer that maintains a verified-account list has, by construction, formed some belief about those identities; whether that belief meets the proposed standard is a question about the quality of the onboarding record, not about the number of addresses observed on chain. Additional Question 9's assumption is likely to hold for the narrow contractual perimeter and is materially less likely to hold for a population defined by on-chain activity, which is a further reason the object distinction matters.

Finally, and responsive to Question 1, this analysis supports keeping the customer identification perimeter at the primary market. The measurement above shows that the primary-market relationship set is small, enumerable, and stable, which is what makes an identification duty administrable there. Extending customer identification requirements to secondary market activity would attach the duty to a population that is neither enumerable by the issuer nor in any relationship with it, which is the outcome the preamble correctly describes as nearly impossible to implement.

Tokenization Systems states the cost of that position rather than leaving it implicit, because the cost is real and is documented in the central-banking literature. Garratt and Shin, writing for the Bank for International Settlements, observe that a token circulating as a digital bearer instrument carries an identification weakness that is structural rather than incidental: a holder can come to hold one issuer's liability having been identified only by a different issuer, so that the first issuer "must rely on the KYC practices of issuer 2," and in the limiting case "issuer liabilities may be transferred to individuals who have not had their identities verified by anyone." That is a fair description of the gap a primary-market perimeter leaves open, and the Agencies should weigh it.

It is nonetheless an argument for a different instrument, not for extending this one. A customer identification program acts at account opening, on a person the issuer is dealing with; it has no point of application to a holder the issuer never meets. Closing the gap Garratt and Shin describe requires transaction-side instruments that operate after issuance, which is where the program has already made its recommendation: Tokenization Systems' comment on FINCEN-2026-0100 (Recommendation 5) addressed graduated treatment of secondary market risk through suspicious-activity reporting, and that remains the appropriate instrument for it. This comment does not re-argue that position here.

**Recommendation 6 (Question 7; Additional Questions 5 and 12; proposed 31 CFR 1033.220(a)(6)): Address the reliance asymmetry the preamble identifies, and reconcile the measurement basis of the threshold that determines it**

Question 7 asks the expected likelihood that a PPSI would rely on another PPSI's customer identification program or on that of another Federal functionally regulated financial institution. Additional Question 5 asks whether any of the 14,575 institutions in Table 2 would be relied upon. Tokenization Systems' comment on these questions is that the likelihood of reliance is conditioned by an asymmetry the Agencies have themselves identified but have not resolved, and that the asymmetry is in turn governed by a threshold whose measurement basis diverges across these parallel rulemakings.

**The asymmetry.** The preamble states it plainly: proposed Section 1033.220(a)(6) permits reliance only on an institution "regulated by a Federal functional regulator," and the Agencies observe that this "create[s] a disparity between PPSIs that fall under a primary Federal payment stablecoin regulator and a State payment stablecoin regulator." As the preamble explains, a state qualified payment stablecoin issuer would be able to rely on a procedure performed by a PPSI that is a subsidiary of an insured depository institution, but a PPSI that is a subsidiary of a federally regulated depository institution "would not be able to rely on a procedure performed by a State qualified payment stablecoin issuer because such issuers are not overseen by a Federal functional regulator."

Tokenization Systems does not recommend that the Agencies abandon the Federal functional regulator condition, which is drawn from the existing customer identification rules and carries a coherent rationale: reliance is safe to the extent the relied-upon institution is subject to a supervised program. Tokenization Systems recommends that the final rule address the asymmetry rather than only note it, and identifies two routes. The Agencies could permit reliance on a state qualified payment stablecoin issuer where that issuer is subject to a state regime the Secretary has determined to be substantially similar under the GENIUS Act's state-certification machinery, with the same annual certification and contract conditions proposed Section 1033.220(a)(6) already requires of federally regulated counterparties. Alternatively, the Agencies could state expressly that the asymmetry is intended, and explain the supervisory basis for treating a certified state regime as insufficient for reliance purposes when the GENIUS Act treats it as sufficient for supervision purposes. Either resolution informs the Question 7 likelihood estimate; the present position, where the disparity is acknowledged without disposition, leaves commenters and issuers unable to predict the reliance landscape the rule will produce.

**The threshold that determines which side an issuer sits on.** Whether an issuer is state supervised, and therefore whether it sits on the disadvantaged side of this asymmetry, is not a free choice. The GENIUS Act's state-supervision option at 12 U.S.C. 5903(c), cited in the proposal's own footnote 3, is available to issuers with a consolidated total outstanding issuance of not more than ten billion dollars.

Tokenization Systems' comment record across the parallel dockets permits an observation available from no single docket. In its comment to the OCC on RIN 1557-AF55 (Recommendation 7), Tokenization Systems identified that the OCC's proposed supervisory consultation threshold of ten billion dollars or more **in assets** diverges from the FDIC's parallel threshold, in RIN 3064-AG29, of ten billion dollars or more **in outstanding issuance value**, and recommended that the two be reconciled because an issuer can sit above one and below the other. This proposal adds a third instance of the same numeral on a third basis: **consolidated total outstanding issuance** for state-supervision eligibility. Consolidated total outstanding issuance is not the same quantity as outstanding issuance value, which in turn is not the same quantity as assets.

The consequence is compounding rather than merely untidy. An issuer's eligibility for state supervision determines its position in the reliance chain this rule creates; its position relative to the OCC and FDIC consultation thresholds determines its supervisory exposure under the sibling rules; and all three turn on ten-billion-dollar lines measured on different quantities. An issuer near those lines faces a structure in which the choice of legal form, the location of assets, and the consolidation perimeter can move it across one boundary without moving it across the others. Tokenization Systems recommends that the Agencies state, in the final rule or in coordination with the sibling rulemakings, whether the three thresholds are intended to identify the same population. If they are, a single measurement basis should be adopted. If they are not, saying so expressly is sufficient, and it would let issuers and commenters reason about the three regimes as designed rather than as coincidentally numbered.

One further consideration bears on the Question 7 likelihood estimate. Garratt and Shin's analysis of bearer-instrument tokens, cited above, describes cross-issuer reliance as an inherent property of the model rather than an elective arrangement: where a token circulates, one issuer ends up relying on another's identification work whether or not either intended it. If that is right, the demand for the formal reliance mechanism proposed Section 1033.220(a)(6) creates is likely to be higher than a survey of current bilateral arrangements would suggest, because the informal version of it is already a structural feature of how these instruments move. That is a further reason to resolve the asymmetry rather than leave it noted.

On Additional Question 5 specifically, Tokenization Systems has no basis to estimate what share of the 14,575 institutions in Table 2 would participate in reliance arrangements, and does not speculate. The observation it offers is that the answer depends on the disposition of the asymmetry above: if reliance on certified state regimes remains unavailable, the addressable set of relied-upon institutions is bounded by the federally regulated population, and any estimate built on the full Table 2 count will overstate it.

## III. Group III: How identity is verified, and what it is screened against (Recommendations 7 and 8)

### Recommendation 7 (Questions 5, 6, and 8; proposed 31 CFR 1033.220(a)(2)(ii)): State observable criteria for digital identity credentials rather than naming tools

Question 5 asks whether the regulatory text should explicitly discuss digital identity solutions or verifiable credentials, and how it could best do so given the range of tools available. Question 6 asks the benefits and risks of using them in identity verification.

Tokenization Systems recommends that the Agencies **not** name specific tools, technologies, or standards in the regulatory text, and instead state the observable criteria by which any credential supports the reasonable belief the rule requires. The Agencies' own framing supports this. The preamble notes that guidance issued more than twenty years ago already recognized an "electronic credential" as one method of forming a reasonable belief, and that the difficulty today is not permission but heterogeneity: these tools "vary in how they operate and in their trustworthiness." A rule that names tools will be outrun by the market and will confer an implicit endorsement the Agencies cannot maintain. A rule that says nothing will be satisfied by whatever a vendor attests.

The path between those failures is to specify what makes a credential trustworthy in terms an examiner can check. Tokenization Systems recommends that the final rule, in preamble or guidance accompanying proposed Section 1033.220(a)(2)(ii), state that a PPSI relying on a digital identity solution or verifiable credential should be able to demonstrate, at minimum: what identity evidence the credential's issuer collected and verified before issuing it, and to what assurance level; whether the credential is bound to the person presenting it, and by what mechanism; whether the credential's status can be checked at the time of reliance, including revocation; and what the PPSI does when credential verification fails or returns an indeterminate result. These are properties of the credential and the reliance process, not of any particular vendor or protocol, and each is a fact a PPSI can evidence and an examiner can test.

This is the same principle Tokenization Systems has urged in the adjacent dockets, applied to a new surface. In its comment on FINCEN-2026-0034 (Recommendation 5), Tokenization Systems argued that testing must be fit for purpose, tracing behavior against records rather than reviewing documentation; in its comments to the OCC (RIN 1557-AF55, Recommendation 1) and the FDIC (RIN 3064-AG29, Recommendation 1), that an effective-program determination should rest on observable indicators rather than attestation. Digital identity is where that principle bites hardest, because the credential arrives as a cryptographic assertion that is easy to mistake for a verified fact. A signature proves that a credential was issued by a particular issuer. It does not prove what that issuer checked before issuing it. The criteria above are the ones that distinguish the two.

Responsive to Question 6, the benefits and risks follow from the same distinction. The

benefit is that a well-constructed credential can carry a stronger and more consistently applied identity assurance than ad hoc documentary review, and can do so repeatedly at low marginal cost. The risk is concentration and opacity: reliance on a small number of credential issuers concentrates the consequences of a failure at any one of them, and a credential whose underlying verification process is not visible to the relying institution transfers the identification judgment to a party the rule does not reach. Recommending observable criteria addresses both, because a PPSI that can evidence the four properties above has, by construction, looked through the credential to the process behind it.

Responsive to Question 8, this is also where the rule can be most conducive to innovation without weakening it. Criteria stated as properties rather than technologies let a new method qualify on the day it can demonstrate the properties, with no rulemaking required.

**Recommendation 8 (Question 8; proposed 31 CFR 1033.220(a)(4)): State the designation mechanism and notification timing for the government lists, and confirm the relationship to existing sanctions screening**

Proposed Section 1033.220(a)(4) would require a PPSI's customer identification program to include reasonable procedures for determining whether a customer appears on any list of known or suspected terrorists or terrorist organizations issued by a Federal agency and designated as such by Treasury in consultation with the Federal functional regulators. The preamble then states that "Treasury and the Federal functional regulators have not yet designated any such lists," that PPSIs accordingly have no affirmative duty to seek out such lists, and that PPSIs "would receive separate notification regarding the lists that must be consulted."

Tokenization Systems notes that this provision mirrors the corresponding provision in the existing customer identification rules, and does not recommend that the Agencies depart from that model. It recommends two clarifications that cost the Agencies little and improve the provision's examinability.

First, the final rule should state the mechanism and expected form of the separate notification, and whether the twelve-month compliance period runs from issuance of the final rule regardless of when any list is designated. As proposed, the rule creates an obligation whose object does not yet exist. An examiner asked whether a PPSI's procedures under Section 1033.220(a)(4) are adequate has, at present, nothing to test them against, and a PPSI asked to build them has nothing to build against. Stating how and when designation will be communicated converts a presently untestable obligation into a scheduled one.

Second, the final rule should confirm the relationship between this obligation and the sanctions screening a PPSI already performs. The preamble observes that many PPSIs already have procedures for checking Federal lists, including those circulated by the Office of Foreign Assets Control, and that failure to comply with those requirements carries civil and criminal exposure. It does not say whether performing that screening satisfies Section 1033.220(a)(4) in whole, in part, or not at all, pending designation. Tokenization Systems recommends that the final rule state expressly that sanctions screening and Section

1033.220(a)(4) list comparison are distinct obligations with distinct objects, if that is the Agencies' intent, so that an issuer does not treat one as discharging the other. The point connects to Tokenization Systems' comment on FINCEN-2026-0100 (Recommendation 4), which addressed the integration of sanctions compliance and anti-money-laundering program obligations; the concern here is the converse of integration, which is that two obligations performed by the same operational function should not be assumed to be one obligation.

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## Conclusion

This rule sets the boundary of the customer identification duty for a class of institution that does not yet exist, and it does so through definitions that other obligations in the GENIUS Act framework will inherit. Tokenization Systems' recommendations are directed at making that boundary explicit where the proposal leaves it implicit, and observable where the proposal leaves it to characterization.

Two of the eight warrant particular attention because they concern the proposal's internal consistency rather than its policy. Recommendation 1 asks the Agencies to codify a boundary they have already drawn in footnote 57, so that a customer identification definition of account cannot narrow the lawful-order obligation that proposed Section 1033.220(c) preserves in the same rule. Recommendation 3 identifies a divergence between the preamble description of proposed Section 1033.100(a)(1)(v) and its codified text, where the preamble carries three qualifiers the regulatory text omits, and where the qualified reading would relieve an issuer of identification duties precisely where its activities were unauthorized. Neither requires the Agencies to change a policy judgment. Both require only that the rule say, in the place that binds, what the Agencies appear already to have decided.

Recommendation 5 supplies data the Agencies expressly requested in Additional Question 4, together with the observation that the population estimate and the rule's obligation attach to different objects. Tokenization Systems submits that the object distinction is the more useful contribution: the specific counts will change, and the question of whether one is counting on-chain counterparties or contractually formalized relationships will not.

Tokenization Systems appreciates the opportunity to comment and is available to provide any of the underlying analysis referenced above.

Respectfully submitted,

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## Appendix: Selected Sources

### Rulemaking of record

- Permitted Payment Stablecoin Issuer Customer Identification Program, 91 Fed. Reg. 37234 (June 22, 2026) (joint proposed rule of FinCEN, OCC, Board of Governors of the Federal Reserve System, FDIC, and NCUA) (to be codified at 31 CFR part 1033), Docket FINCEN-2026-0101, RIN 1506-AB74.

### Parallel and companion rulemakings cited

- Permitted Payment Stablecoin Issuer Anti-Money Laundering/Countering the Financing of Terrorism Program and Sanctions Compliance Program Requirements, 91 Fed. Reg. 18582 (Apr. 10, 2026), Docket FINCEN-2026-0100.
- Bank Secrecy Act and sanctions compliance rule for OCC-supervised permitted payment stablecoin issuers, RIN 1557-AF55.
- Bank Secrecy Act and sanctions compliance standards for FDIC-supervised permitted payment stablecoin issuers, RIN 3064-AG29.
- Joint anti-money-laundering rule, 91 Fed. Reg. 18304.

### Statutory authority

- Guiding and Establishing National Innovation for U.S. Stablecoins Act, Public Law 119-27, 139 Stat. 419 (2025), codified at 12 U.S.C. 5901 to 5916; in particular 12 U.S.C. 5901(16)(B) (lawful order), 5901(25) (primary Federal payment stablecoin regulator), 5903(a)(5)(A)(v) (customer identification program), 5903(a)(6)(B) (technological capability and compliance with lawful orders), 5903(a)(7) (digital asset service provider activities), and 5903(c) (state-level regulatory regime).
- 31 U.S.C. 5318(l) (customer identification minimum standards).

### Existing customer identification rules cited for comparison

- 31 CFR 1020.100(a)(1) (banks); 31 CFR 1023.100(a)(1) (broker-dealers); 31 CFR 1024.100(a)(1) (mutual funds); 31 CFR 1026.100(a)(1) (futures commission merchants and introducing brokers).

### External research and data cited

Rodney Garratt and Hyun Song Shin, "Stablecoins versus tokenised deposits: implications for the singleness of money," BIS Bulletin No. 73 (Bank for International Settlements, April 11, 2023), including its observation that the digital bearer instrument model carries know-your-customer weaknesses because an issuer's liability can be transferred to holders it has never identified.

Christopher K. Odinet, Andrea Tosato and Yesha Yadav, "The Moneyness of Stablecoins," 136 Yale Law Journal (forthcoming 2026), Part III (Gatekeeping and Direct Claims), recording 882 verified customer accounts with direct redemption at Tether and 1,834 Circle

Mint accounts as of March 2025, with the remaining holders confined to secondary markets. The March 2025 as-of date applies to the Circle figure as recorded in that source.

Author's on-chain analysis via Dune Analytics: a monthly minting and redemption panel for the two largest dollar-denominated stablecoins from 2024 onward, showing persistence of the authorized redemption perimeter; and a monthly authorized-minter panel for a third dollar-denominated product across twenty-seven monthly observations, in twenty-five of which the authorized-minter count stood at twenty, while monthly mint volume reached a peak of approximately 4.08 billion dollars in August 2025. These measurements describe stablecoin issuers as they operate today and are offered as evidence of measurement feasibility and order of magnitude, not as claims about any permitted payment stablecoin issuer.

# Comment on the Notice of Proposed Rulemaking: Resolution Submissions Required for Covered Insured Depository Institutions

**Submitted to:** Federal Deposit Insurance Corporation, via Comments@fdic.gov (with "RIN 3064-AG21" in the subject line) and the Federal eRulemaking Portal at www.regulations.gov
**Docket / RIN:** RIN 3064-AG21
**Federal Register citation:** 91 Fed. Reg. 39546 (June 30, 2026)
**Comment period closes:** August 31, 2026
**Submitted by:** Tokenization Systems (www.Tokenization.Systems)
**Date:** August 24, 2026

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## Introduction and summary

Tokenization Systems is an independent research program studying the operational control layer of tokenized financial systems: the technical and organizational functions through which an issuer, a bank, or an interface operator actually exercises control over issuance, reserve custody, transaction routing, and the execution of lawful orders. The program develops measurement instruments that make those control functions observable to supervisors, including the Minimum Viable Equivalence Pack (MVEP), a ten-category structural diagnostic for diligence at decision points, and the Control Layer Intensity Index (CLII), for continuous monitoring. It also conducts first-party empirical work, including a replication-archived forensic study of the March 2023 Silicon Valley Bank (SVB) episode that reconstructs the transmission of that bank failure into the tokenized-dollar sector at hourly and minute resolution from on-chain data.

This comment is the program's fourth comment to the FDIC, following its comments on the prudential activities rule (RIN 3064-AG19), the application-process rule (RIN 3064-AG20), and the Bank Secrecy Act and sanctions rule (RIN 3064-AG29). It is part of a broader set of sixteen comments the program has submitted across eight federal agencies (the Office of the Comptroller of the Currency, the Department of the Treasury, the Financial Crimes Enforcement Network, the Office of Foreign Assets Control, the FDIC, the National Credit Union Administration, the Securities and Exchange Commission, and the Board of Governors of the Federal Reserve System). The recommendations below are designed to coordinate with the FDIC's parallel rulemakings, including the companion Assessments proposal published the same day (RIN 3064-AG27, 91 Fed. Reg. 39794), rather than to duplicate or contradict them; the comment references the connected rules where the recommendations touch, without restating positions already on the record.

The central proposition of this comment is narrow and specific. The proposed rule reduces exactly the resolution-readiness information whose absence the 2023 failures made costly, and it does so for a size cohort (the $50 billion to $100 billion tier) and a risk channel

(uninsured-deposit concentration, and the newer tokenized-deposit and stablecoin-reserve-custody linkages) that the program's own study of the March 2023 SVB episode indicates can transmit stress rapidly and across sectors. The federal record of those failures supports that proposition directly, and independently of the program's own work. In its preliminary review of the March 2023 failures, the Government Accountability Office reports the FDIC staff's own preliminary findings on Silicon Valley Bank's first resolution plan, still under FDIC review when the bank closed: "the resolution plan did not list potential acquirers for a whole bank purchase, specific portfolios, and franchise components," and the "plan did not detail crisis communication, liquidity needs, liquidity resources, or processes for determining liquidity drivers" (GAO-23-106736, April 2023, p. 37). Those are, in substance, content categories this proposal now removes: it deletes the identified-strategy and franchise-components requirements at current Sections 360.10(d)(1) and (d)(10), and most of the communications-playbook requirement at current Section 360.10(d)(24) (p. 39550), and it removes the requirement to describe the current capabilities of the CIDI to project and report its funding and liquidity needs (p. 39556). Of the two banks that failed that March, the one that had filed a resolution plan was found wanting in these fields; the proposal responds by ceasing to require them. The program does not oppose burden reduction. It recommends calibrated retentions rather than a size-only elimination, developed as six recommendations below and summarized in the routing table: retain a minimal, high-value subset of readiness information keyed to measured run risk rather than to the raw asset threshold; require that the receivership perimeter explicitly capture tokenized-deposit and stablecoin-reserve linkages; and require that any reliance on the voluntary Resolution Readiness Adjustment (RRA) to backfill de-scoped readiness rest on a currently demonstrated capability rather than on opt-in participation alone.

A note on scope and evidence precedes the recommendations, stated once here prominently and re-flagged at each later use. The program's first-party study examines payment stablecoins and decentralized-finance protocols, not insured depository institutions (IDIs). Its findings transfer to this rulemaking as method and as a cautionary pattern about how reserve and deposit concentration and rapid outflow transmit stress, and not as evidence about any specific IDI. The bank-side transposition on which the first two recommendations rest, that funding structure rather than asset size predicts run vulnerability in the cross-section of banks, is drawn not from the program's own study but from the bank-cross-section literature. The program consulted Drechsler, Savov, Schnabl, and Wang (2024) directly; that work finds the uninsured-deposit share predicts run vulnerability only where those deposits are insensitive to market rates, and it distinguishes its mechanism from the mark-to-market insolvency mechanism of Jiang, Matvos, Piskorski, and Seru (2024), which, with Choi, Goldsmith-Pinkham, and Yorulmazer (2023), this comment cites as those works are cited in the program's study. Every figure from the program's study is scope-qualified again at the point of use.

The six recommendations are summarized in the routing table below and developed in the sections that follow.

| Recommendation | FDIC question or provision | Requested final-rule action | Why it matters |
|---|---|---|---|
| 1. Measured run-risk trigger, not size alone | Questions 2 and 3; proposed Sec. 360.10(b) and (c) | Do not de-scope the $50B to $100B cohort by asset size alone; key continued minimal coverage to a measured run-risk trigger (uninsured-deposit concentration, rapid asset growth) rather than to the raw threshold. | The 2023 failures were liquidity-induced; a CPI-W-indexed size threshold is administrable but an incomplete proxy for the run risk the FDIC must resolve. |
| 2. Retained uninsured-deposit-concentration element | Question 21; deletion of current Sec. 360.10(d)(7)(i) at proposed Sec. 360.10(d)(3)(i), and the key-depositor report | Retain a minimal uninsured-deposit-concentration and key-depositor data element as a small, high-value carve-out against the larger content cut. | Uninsured-deposit concentration is among the reported elements most predictive of the run dynamics the FDIC resolves. |
| 3. Tokenized-deposit and reserve-custody linkages in the perimeter | Questions 37 and 38; digital-services content; p. 39556 | Require identification of tokenized-deposit and non-traditional-ledger arrangements, the bank's role as a concentrated reserve custodian or banking partner to a payment stablecoin issuer or fintech, and the operational controls at that boundary. | The receivership perimeter now runs through tokenized-deposit and stablecoin-reserve linkages that can transmit stress across sectors and draw on the federal safety net. |
| 4. Current demonstration, not opt-in participation | Question 40; the AG27 RRA overlap | Key any reliance on the RRA to a demonstration that is still current, reconciling the three-year virtual-data-room retest with the seven-year data-access reengagement; do not rest de-scoped-cohort readiness solely on opt-in. | A voluntary, rate-incentivized mechanism selects for the banks least likely to fail; the readiness gap concentrates in the non-electing tail. |
| 5. Minimal public accountability signal | Question 44; removal of the public section | Retain a minimal public section or an equivalent accountability mechanism, calibrated and brief. | Public resolvability information supports market discipline and, per the program's SVB work, public information shapes run dynamics. |

| Recommendation | FDIC question or provision | Requested final-rule action | Why it matters |
|---|---|---|---|
| 6. One operational-capability test, administered once | Questions 16 and 17; elimination of capabilities testing and the credibility assessment | Retain an operational-capability test that the covered IDI can deliver the required operational data at failure, reusable as the same test the AG27 RRA rewards. | One capability, tested once: an observable substitution for the deleted analytical machinery. |

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## Group I: Retain the run-risk-predictive information the rule deletes (Recommendations 1 and 2)

### Recommendation 1 (Questions 2 and 3; proposed Sec. 360.10(b) and (c)): Key continued coverage to a measured run-risk trigger, not to the asset threshold alone

Proposed Section 360.10(b) establishes the "CIDI threshold amount" at $100 billion as of the final rule's effective date, and proposed Section 360.10(c)(5) indexes it triennially to the cumulative non-seasonally-adjusted Consumer Price Index for Urban Wage Earners and Clerical Workers (CPI-W). Question 2 asks whether "$100 billion is the appropriate initial update to the threshold," and Question 3 asks whether an "alternative threshold (e.g., $75 billion, $250 billion, $750 billion)" would be better and whether subsidiaries of Title I resolution-plan companies should be exempt. The immediate consequence of the change is that the sixteen midsize banks that comprise the current group B (holding roughly $1.2 trillion in aggregate) exit the rule entirely and file no resolution submission going forward.

The program recommends that the FDIC not de-scope the $50 billion to $100 billion cohort by asset size alone, and that it instead key continued minimal coverage to a measured run-risk trigger. Restoring the real-terms meaning of a threshold that has been static since 2012 is a reasonable objective, and a CPI-W-indexed threshold is administrable and observable. Asset size is, however, an incomplete proxy for the risk the resolution-submission regime exists to manage. The FDIC's own rationale runs through run dynamics, with size standing in as the proxy for them: the rule reaches large institutions because they "tend to be more susceptible to liquidity-induced failures and fail with shorter runways" (p. 39548). The susceptibility is the reason; the threshold is only the instrument, and the two come apart. A liquidity-induced failure with a short runway is precisely the condition under which pre-positioned operational information is most load-bearing, and susceptibility to it is not a monotone function of crossing $100 billion in assets.

The FDIC's own operational account supports treating runway as the operative variable. The FDIC has said so directly. Its 2023 report *Options for Deposit Insurance Reform* explains that "Resolving an institution does not happen without considerable planning and preparation before a potential failure. Bank runs can shorten, or eliminate, the time

available to the FDIC to implement an orderly resolution and increase the costs of the resolution," and that "Severe liquidity challenges that induce a bank failure are likely to progress quickly and with little warning" (p. 28). The FDIC states that condition in terms of liquidity and time, and does not qualify it by asset size. The Depository Institution Resolutions Handbook, describing how the FDIC develops a resolution structure for a failing institution, lists among its key elements the institution's "Liquidity position," the "Marketability of the deposit franchise given the competitive and economic conditions of the market area," and the "Available time to market the institution before failure." Those are the facts a resolution turns on, and two of the three are liquidity and time rather than size. A rule that de-scopes by asset threshold alone removes the pre-positioned record for institutions whose liquidity position and available runway are exactly what the FDIC's own handbook says it will need to assess, at the moment it has least time to assemble them.

The FDIC states the resulting gap candidly. It concedes that it "would not have updated information" for the de-scoped cohort and that "[r]egulators may be less prepared to resolve a failed IDI with total assets between $50 billion and $100 billion" (p. 39561). The program treats that concession as the operative fact: the rule identifies a readiness reduction and offsets it with tools examined in Recommendation 4, not with a finding that the cohort is low-run-risk. The bank-cross-section literature indicates why the cohort is not low-run-risk on the dimension that matters here. Jiang, Matvos, Piskorski, and Seru (2024) document that the uninsured-deposit share predicts run vulnerability in the cross-section of banks, and Choi, Goldsmith-Pinkham, and Yorulmazer (2023) show that uninsured-deposit reliance, held-to-maturity losses, and size together predict the cross-section of bank-stock contagion after the SVB run (both as cited in the program's study of the episode). Run vulnerability, on this evidence, tracks funding structure, not asset size alone.

Drechsler, Savov, Schnabl, and Wang (2024), which the program consulted directly, measure that mechanism across a 715-bank sample and validate it in an event study of the 171 publicly traded banks in that sample around the SVB failure. Their result refines the raw-share finding rather than repeating it: "banks with more uninsured deposits experienced lower returns, but only if their uninsured deposits had a low beta." On the authors' account the institutions that failed in 2023 combined a high uninsured-deposit share, a low uninsured deposit beta, and relatively long asset duration, so that the value of their uninsured deposit franchise became large relative to their capital as rates rose. The authors state the framework's reach plainly: "Our framework is thus able to identify which banks are vulnerable to deposit franchise runs." A measured trigger of the kind this recommendation asks for is therefore constructible ex ante rather than only after a failure, from quarterly report of condition data together with a deposit rate sensitivity estimated over the prior rate cycle, and it should read that sensitivity alongside the uninsured share. That sample also sits on the cohort this rule de-scopes: it covers United States commercial banks with at least $1 billion in assets, averaging $24 billion, with only 17 of the 715 above $100 billion.

The recommendation is therefore modular rather than a rejection of the threshold. The FDIC could retain the $100 billion threshold for the full content set while preserving a minimal readiness filing for any institution in the $50 billion to $100 billion band that also

crosses a measured run-risk trigger, for example an uninsured-deposit-concentration level or a rapid-asset-growth rate above a defined supervisory floor. This directs continued coverage to the institutions whose failure would be liquidity-induced and fast, which is the failure mode the FDIC names, while allowing the size-only relief to reach the institutions that do not present that profile. The trigger levels are properly the FDIC's to set; the recommendation is that the scoping instrument be a measured run-risk indicator and not the raw threshold in isolation.

**Recommendation 2 (Question 21; deletion of current Sec. 360.10(d)(7)(i) at proposed Sec. 360.10(d)(3)(i), and the key-depositor report): Retain a minimal uninsured-deposit-concentration and key-depositor element**

The proposed rule deletes current Section 360.10(d)(7)(i), which requires "a description of the insured and uninsured deposits and deposit concentrations or other aspects of the deposit base or underlying systems that may create operational complexity for the FDIC" (p. 39552), and it eliminates the key-depositor report. Question 21 asks whether "the proposed elimination of the key depositor requirement" is appropriate and whether a subset of "key depositor data … helpful to the FDIC in planning for a resolution … not readily available from other sources" exists.

The program recommends that the FDIC answer its own Question 21 in the affirmative and retain a minimal uninsured-deposit-concentration and key-depositor data element as a small, high-value carve-out against the larger content reduction. Among the many items the rule deletes, this one is distinctive: it is among the reported elements most directly predictive of the run dynamics the FDIC must resolve. The 2023 failures were, in the FDIC's own framing, liquidity-induced and fast, and the bank-cross-section evidence cited in Recommendation 1 identifies the uninsured-deposit share, and the rate sensitivity of those deposits, as the balance-sheet characteristics that predict which institutions run. A resolution-submission regime that retains operational facts about deposit systems but discards the concentration description discards the field that tells the FDIC where the run pressure will originate and how fast the funding base can leave.

The FDIC's own companion proposal answers the second half of Question 21. Current Section 360.10(d)(7)(v), which this rule would remove in its entirety, requires that "[t]he report must identify key depositors by name and business segment and the amount of deposit of each key depositor, and for each key depositor must identify other services provided by the CIDI to that depositor, such as lending, wealth management, brokerage services, or custody services." The companion Assessments proposal defines key depositors in the same terms at proposed Section 327.18(b)(2), and its virtual-data-room test requires the institution to produce "a report regarding key depositors (including key depositors by name and business segment, the amount of each key depositor's deposits, and a list of other services provided to such key depositors), though existing management reports are acceptable" (RIN 3064-AG27, p. 39814). The FDIC is therefore removing the report from this rule as obtainable from other sources while requiring the same report, in the same form, in the companion rule published the same day, and stating there that existing management reports suffice. That is the FDIC's own evidence that the element is easily

provided, which is the test Question 21 sets. The program does not ask that the report be retained in its full by-name form; the aggregate balance held by those depositors, which the suggested rule text below proposes, is the subset Question 21 invites.

The retention need not reintroduce the analytical burden the rule is removing. The recommendation is not that the covered IDI reconstruct a hypothetical resolution analysis around its deposit base; it is that the FDIC retain a compact, reported data element (the distribution of insured and uninsured deposits, the concentration among the largest depositors, and the deposit systems that create operational complexity) that the institution already maintains for its own liquidity management. Retained as a small data element rather than as a narrative resolvability analysis, the item is consistent with the rule's stated shift toward "operational information … rather than strategy and analyses" (Question 44 framing), and it preserves the one input whose absence would leave the FDIC least prepared for a liquidity-induced failure of exactly the kind the 2023 experience documented.

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## Group II: The receivership perimeter must capture tokenized-deposit and stablecoin-reserve linkages (Recommendation 3)

### Recommendation 3 (Questions 37 and 38; digital-services content; p. 39556): Require identification of tokenized-deposit and stablecoin-reserve-custody arrangements and the operational controls at the boundary

The proposed rule revises the digital-services content to strip resolvability analysis while retaining operational facts, and Questions 37 and 38 ask whether that content is clear and "appropriately calibrated." The FDIC's own explanation of why the digital-services content matters is the anchor for this recommendation. The rule states that "certain digital products and services, including tokenized deposits and bank-sponsored deposit or fintech platforms, may be provided through specialized transaction processing procedures, settlement mechanisms, and non-traditional ledgering arrangements. These transfer capabilities must be understood to accurately establish the receivership perimeter and support timely deposit insurance determination" (p. 39556).

The program recommends that the retained digital-services content require three specific identifications, because the receivership perimeter the FDIC describes now runs through arrangements that a conventional deposit-and-payment description does not capture. First, the covered IDI should identify its tokenized-deposit and non-traditional-ledger arrangements, including the ledger or ledgers on which the instruments are recorded and any location-dependent change in the instrument's legal character. Second, the covered IDI should identify its role, where applicable, as a concentrated reserve custodian for, or banking partner to, a payment stablecoin issuer or a fintech platform, together with the size and concentration of that relationship. Third, the covered IDI should identify the operational controls at that boundary, including any block, freeze, or reject capability, the end-of-day processing cut-off times the rule already proposes to collect, and the

sweep-account and fund-movement controls that govern how balances move across the boundary at and after failure. This is the same control-layer observability the program's MVEP and CLII instruments apply to interface operators, directed here at the receivership perimeter: the object of measurement is not the institution's strategy but the concrete, testable functions through which value crosses the perimeter.

The second of those identifications rests on more than the program's own reading. A December 2025 Federal Reserve FEDS Note by Jessie Jiaxu Wang, "Banks in the Age of Stablecoins," describes the relationship from the bank's side: at individual banks "the proportion of funding coming from a small number of large stablecoin issuers may increase dramatically, creating counterparty concentration that traditional diversification metrics might not fully capture," and issuers "likely maintain relationships with a limited number of banking partners that have the operational capabilities and risk appetite to serve this market." On that analysis, a resolution submission that does not identify the relationship would omit a concentrated, uninsured funding position at an institution the FDIC would have to resolve, which is information the receivership perimeter depends on.

The program's first-party study of the March 2023 SVB episode indicates why these linkages belong inside the perimeter rather than outside it. The following figures are drawn from that study, which examines payment stablecoins and decentralized-finance protocols and not insured depository institutions; they are offered as method and as a cautionary pattern about how reserve concentration transmits stress, and not as evidence about any specific IDI. In that episode, a single bank's failure transmitted to a novel non-depositor counterparty through a reserve-custody relationship. Circle, the issuer of the USDC stablecoin, held $3.3 billion of its reserves (approximately 7.8 percent of about $42.1 billion) at SVB; when SVB failed, USDC depegged by approximately 11 percent at its intraday low and traded to roughly $0.89, below the roughly $0.92 floor implied by its reserves even at zero recovery on the SVB deposits. The within-unit event study places the trough at 9.77 percentage points below par at hour +10. The stress then propagated through code rather than through panic: MakerDAO's Peg Stability Module absorbed approximately $1.30 billion of USDC in a single day, importing USDC's discount into a second, structurally distinct token (DAI) through a hardcoded exchange rate. This is the transmission the FDIC's receivership-perimeter language is trying to make legible: reserve concentration at one bank, moving across a settlement boundary into instruments the bank does not itself issue.

Two features of that episode bear directly on the FDIC's interest in the Deposit Insurance Fund. First, the disruption was resolved by the federal safety net, not by private arbitrage: the recovery trajectory breaks at the March 12, 2023 joint Treasury, Federal Reserve, and FDIC statement invoking systemic-risk exceptions for SVB and Signature Bank, a break that a formal structural-break test dates to that announcement (Chow $F = 7.41$, $p = 0.0012$; HAC joint Wald $F = 12.71$, $p < 0.001$, in the stablecoin setting described above). The implication the study draws is that stablecoin par convertibility, in the existing architecture, free-rides on the public safety net during tail events. Second, regulatory intensity did not predict the outcome: Circle scored 0.92 on the CLII and experienced the largest depeg, while Tether, scoring 0.52 with no failed-bank reserve exposure, held its peg

(again, a stablecoin-sector observation offered as method, not as evidence about any IDI). The lesson for this rule is not that any covered IDI is fragile; it is that the reserve-custody and tokenized-deposit linkages are exactly the surface through which a banking-sector shock can enter, and be exported to, a novel non-depositor sector, and through which the DIF and the systemic-risk machinery can be called upon. A receivership perimeter that does not identify those linkages in advance is a perimeter drawn before the stress path is visible.

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## Group III: Observable substitution and public accountability (Recommendations 4 through 6)

### Recommendation 4 (Question 40; the AG27 RRA overlap): Key the RRA's readiness backfill to a current demonstration, not to opt-in participation

The proposed rule leans on the voluntary RRA in the companion Assessments proposal to offset the readiness it de-scopes. The FDIC expects that "many of these institutions would elect to qualify for the RRA" (p. 39561), and Question 40 asks whether commenters anticipate overlap between this rule's informational requirements and "the separately proposed Assessments proposal, which envisions voluntary provision of certain information through a VDR testing exercise or the prescribed data access," and whether the rule should be amended for institutions that voluntarily provide that data. Under the Assessments proposal, the RRA is a downward assessment adjustment of up to 1 basis point (0.5 basis points for passing a VDR test that populates an online data room with financial, deposit, and loan data within 48 hours, and 0.5 basis points for granting the FDIC prescribed data access), retested on multi-year cycles.

The program's recommendation has two parts. First, where the FDIC relies on the RRA to backfill de-scoped readiness, that reliance should be keyed to a demonstration that is still current. The Assessments proposal's regulatory text already tests the capability rather than accepting a representation of it: proposed Section 327.18(e) requires the institution to populate an FDIC-specified data room within 48 hours of the test beginning and conditions the credit on the FDIC's review of what was uploaded, and proposed Section 327.18(f) requires an engagement in which deposit and loan core data are actually provided. That is the observability-over-attestation standard the program has argued across its FinCEN and FDIC comments (for example, in FINCEN-2026-0100 and FINCEN-2026-0034, that a control capability must be independently tested rather than presumed from the existence of a function, and in the program's comment on the FDIC prudential rule, RIN 3064-AG19, that operational controls be verified rather than represented), and the FDIC has already applied it. The gap is currency rather than form. Data-room capability is retested every three years under proposed Section 327.18(e)(4)(ii), but data access is reengaged only every seven years under proposed Section 327.18(f)(3)(ii). Where this rule de-scopes a cohort permanently, readiness credited on a demonstration up to seven years old is a weak substitute for the filing it replaces, and the companion comment recommends that the FDIC reconcile the two intervals.

Second, de-scoped-cohort readiness should not rest solely on opt-in. A voluntary, rate-incentivized mechanism has a selection property that runs against the FDIC's stated purpose: it selects for the banks most confident of their own readiness and least likely to fail, so the readiness gap concentrates in the non-electing tail. The Assessments proposal's own baseline assumes that roughly three-quarters of eligible institutions elect and earn the full RRA, which is another way of stating that roughly one-quarter do not, and the institutions that decline a rate-rewarded readiness test are not a random draw from the cohort. The program's SVB study reinforces the concern from the loss side: because par convertibility and, more generally, tail-event stabilization drew on the public safety net rather than on private arbitrage in that episode, the readiness the FDIC and the DIF ultimately depend on is not something that should be optional for the institutions most likely to transmit stress. The recommendation is that the final rule retain a minimal, non-optional readiness element for the de-scoped band (the measured-trigger filing of Recommendation 1 and the deposit-concentration element of Recommendation 2 are candidates), so that the voluntary RRA operates as an enhancement above a tested floor rather than as the floor itself.

**Recommendation 5 (Question 44; removal of the public section): Retain a minimal, calibrated public section or an equivalent accountability mechanism**

The proposed rule eliminates the public section of resolution submissions. Question 44 asks whether "the changing nature of the resolution submission, with a narrow focus of operational information … rather than strategy and analyses, makes a public section no longer appropriate or relevant? If not, what would be the utility and appropriate scope of a public section?"

The program recommends that the FDIC retain a minimal public section, or an equivalent accountability mechanism, calibrated and brief. Two grounds support retention. First, public resolvability information supports market discipline: the ability of counterparties, uninsured depositors, and analysts to observe that a large institution is resolvable is part of what makes resolvability credible, and a regime that reduces the public signal to zero removes a channel through which market participants price and monitor that credibility. Second, the program's SVB work indicates that public information shapes run dynamics. In that episode, the pace and content of public disclosure moved the secondary-market price directly, and the recovery turned on a public policy announcement; the general pattern, that runs are driven by what holders can observe and update on, is well documented in the run literature the study builds on. Public resolvability information is not neutral to run risk, and a calibrated public section is a place where the FDIC can shape, rather than merely withhold, the information environment around a large institution under stress.

The recommendation is deliberately modest on scope. The program does not recommend that the public section reproduce sensitive operational detail; the rule retains its confidential-treatment provisions (Section 360.10(h)) for material whose disclosure would itself be destabilizing, and a minimal public section can coexist with them. A brief public statement that an institution is subject to the regime, has filed, and has demonstrated the core operational capability the rule now prioritizes would preserve the accountability signal

at a fraction of the prior public-section burden. If the FDIC concludes that a formal public section is no longer proportionate, the program recommends an equivalent lightweight accountability mechanism (for example, a published attestation of filing and capability status) rather than the removal of any public signal at all.

**Recommendation 6 (Questions 16 and 17; elimination of capabilities testing and the credibility assessment): Retain an operational-capability test, reusable as the RRA's test**

The proposed rule eliminates capabilities testing and the credibility assessment (the material-weakness and significant-finding determinations and the associated feedback regime). Question 16 asks "What requirements of the proposed rule, if any, should be eliminated?" and Question 17 asks whether "any of the content requirements that would be removed … should be retained." The program's answer to Question 17, on this specific item, is that an operational-capability test should be retained even if the analytical credibility assessment is streamlined.

The two eliminated mechanisms are not equivalent, and the case for removing them differs. The credibility assessment evaluated CIDI-authored analytical resolution planning (the strategy, failure-scenario, and valuation analyses the rule is deleting), so streamlining it follows from deleting the analyses it graded, and the program does not contest that step. Capabilities testing is different in kind: it asks not whether an institution's written analysis is credible but whether the institution can actually deliver the required operational data when the FDIC needs it. That question survives the shift to operational information; if anything, it becomes the central question, because the rule's own premise is that standardized operational data at failure substitutes for the deleted analytical planning. A regime that relies on operational data at failure, but does not test whether the institution can produce that data at failure, has removed the check on its own load-bearing assumption.

The program recommends that the FDIC retain an operational-capability test that the covered IDI can deliver the required operational data at the point of failure, distinct from the analytical credibility assessment. Two features make this low-burden. First, it is consistent with the observability principle the program has argued throughout: it tests a demonstrated function rather than a representation, which is the same standard Recommendation 4 applies to the RRA. Second, and directly responsive to the Question 40 overlap, it can be the same test. The RRA's VDR exercise in the Assessments proposal is already an operational test of whether an institution can populate a data room with financial, deposit, and loan data within a fixed window; designed once, that test can satisfy both the RRA's rate-credit condition and this rule's retained capability requirement. Both pieces of that test already exist in the FDIC's current resolution rule: the authority to run it, and the content it would run against. Current Section 360.10(f)(7) states the authority in operative form: at its discretion, the FDIC "may require any CIDI to demonstrate the CIDI's capabilities described, or required to be described, in the full resolution submission, including the ability to provide the information, data and analysis underlying the full resolution submission." Current Section 360.10(d)(10)(viii) supplies what such a test would

run against, requiring the CIDI to describe its capabilities and processes to establish a virtual data room promptly in the run-up to or upon failure and setting out the content that room must hold, a list whose categories proposed Section 327.18(e)(1) largely follows, with added categories and a differently stated catch-all. Retaining that authority and pointing it at the Assessments proposal's virtual-data-room test would reuse language the FDIC has already written rather than draft new language. The program recommends that the FDIC align the two so that a covered IDI faces one operational-capability test, administered once, that both earns the RRA and demonstrates the readiness this rule now depends on.

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## Suggested rule text

Agencies act on language they can lift. The following is offered as drafting input for the five recommendations above that reach the regulatory text, using the proposal's own defined terms and calibration conventions. Where a numerical trigger is properly the FDIC's to set, it is left bracketed rather than invented.

- **Possible regulatory text at proposed 12 CFR 360.10(c) (Recommendation 1),** as a new paragraph (6): "Limited submission below the CIDI threshold amount. An insured depository institution with total assets of at least $50 billion but less than the CIDI threshold amount must file, on the cycle specified in paragraph (c)(1) of this section, a submission limited to the content required by paragraphs (d)(3) and (d)(12) of this section if, in its quarterly reports of condition for four consecutive quarters, its estimated uninsured deposits exceeded [X] percent of total deposits or its total assets grew by more than [Y] percent. The FDIC will publish the applicable percentages and may adjust them by order."
- **Possible regulatory text at proposed 12 CFR 360.10(d)(3)(i) (Recommendation 2),** added at the end: "and describe the insured and uninsured deposits and deposit concentrations, and any other aspects of the deposit base or underlying systems, that may create operational complexity for the FDIC, including the aggregate balance held by the institution's key depositors as that term is defined in Sec. 327.18(b) of this chapter." This retains the deleted element as a reported data item rather than as the narrative analysis the rule is removing, and it borrows the companion Assessments proposal's own definition of key depositors so that one term serves both rules.
- **Possible regulatory text at proposed 12 CFR 360.10(d)(12) (Recommendation 3),** as new paragraphs (iv) through (vi): "(iv) Identify any deposit or deposit-like obligation recorded on a distributed or other non-traditional ledger, and identify each ledger on which it is recorded. (v) Identify whether the CIDI holds reserves for, or provides deposit or payment services to, an issuer of a payment stablecoin or a financial technology firm, and state the aggregate balance and the share of total deposits that the relationship represents. (vi) For each arrangement identified under paragraphs (d)(12)(iv) and (v) of this section, describe the operational controls at the boundary, including any capability to block, freeze, or

reject a transfer, the applicable end-of-day processing cut-off times, and the controls governing movement of funds between accounts." Paragraph (vi) reuses the processing cut-off times the proposed rule already collects, so it adds a boundary description rather than a new data call.

- **Possible regulatory text at proposed 12 CFR 327.18(f)(3)(ii) of the companion Assessments proposal (Recommendation 4):** replace "every seven years" with "every three years," so that data-access capability is reengaged on the same cycle as the virtual-data-room retest under proposed Sec. 327.18(e)(4)(ii). Where this rule de-scopes a cohort permanently and names the adjustment as the backfill, the two components of that adjustment should not be re-verified on cycles that differ by four years.
- **Possible regulatory text at proposed 12 CFR 360.10(e) (Recommendation 6),** added at the end: "The FDIC may test a CIDI's capability to produce the content required by paragraph (d) of this section. A CIDI that has received written notice under Sec. 327.18(e)(3)(ii)(A) of this chapter that it demonstrated its capabilities to populate a virtual data room, and whose demonstration remains current under Sec. 327.18(e)(4)(ii) of this chapter, satisfies this paragraph." This is the "one capability, tested once" alignment in operative form: it retains a capability test without creating a second exercise for institutions the companion rule already tests.

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## Cross-rule alignment

The recommendations connect at three points to the FDIC's simultaneous Assessments proposal (RIN 3064-AG27, 91 Fed. Reg. 39794) and to the program's prior FDIC comments. The table below states the alignment the program recommends; it does not restate the prior comments, which are on the record.

| This proposal (RIN 3064-AG21) | Sibling proposal or prior comment | Recommended alignment |
|---|---|---|
| De-scopes the $50B to $100B cohort from resolution submissions and leans on the voluntary RRA to backfill readiness (p. 39561). | AG27 Assessments proposal: RRA of up to 1 basis point for large and highly-complex banks that pass a VDR test and grant data access. | Keep the RRA's reliance keyed to a current demonstration and reconcile its three-year and seven-year re-verification intervals (Recommendation 4), and let that single test also satisfy this rule's retained operational-capability requirement (Recommendation 6): one capability, tested once. |

| This proposal (RIN 3064-AG21) | Sibling proposal or prior comment | Recommended alignment |
|---|---|---|
| Deletes the uninsured-deposit-concentration description (Sec. 360.10(d)(7)(i)) and the key-depositor report. | AG27 moves the $10B to $30B cohort, which carries a higher average uninsured-deposit share (34.8 percent versus 32.6 percent, AG27 Table 1), to the less risk-sensitive small-bank method. | Both rules reduce readiness sensitivity for run-prone midsize cohorts; retain a minimal uninsured-deposit-concentration element in this rule (Recommendation 2) so at least one supervisory instrument continues to price the run channel. |
| Revises the digital-services content to strip resolvability analysis (Questions 37 and 38). | AG27 prices size and resolvability but includes no crypto, digital-asset, or tokenization risk factor. | Use this rule's receivership-perimeter content to capture tokenized-deposit and stablecoin-reserve linkages (Recommendation 3), since neither rule otherwise brings those linkages into supervisory view. |
| Requires operational verification of control functions at failure. | Program comments on the FDIC prudential rule (RIN 3064-AG19) and BSA and sanctions rule (RIN 3064-AG29), and to FinCEN (FINCEN-2026-0034, FINCEN-2026-0100): observability over attestation. | Hold the RRA test and the retained capability test to the same observability-over-attestation standard the Assessments proposal already adopts, and keep both current, so the readiness the DIF relies on is demonstrated rather than represented and is not years stale (Recommendations 4 and 6). |

## Anticipated objections

The program anticipates several objections and addresses the principal ones directly.

First, that any retention defeats the burden reduction the rule is designed to deliver. The program does not oppose burden reduction, and the recommended retentions are minimal and targeted. The FDIC's own Paperwork Reduction Act analysis attributes roughly $27.7 million of the estimated aggregate savings to content reduction, out of about $68 million total (Table 2, p. 39561); the recommended carve-outs (a measured-trigger filing for a subset of the de-scoped band, a compact deposit-concentration element, three specific digital-services identifications) reuse data the institution already maintains and reach only a fraction of the deleted content. The recommendations retain the highest-value information, not the most voluminous, and they leave the bulk of the analytical relief intact.

Second, that the RRA and the FDIC's "other tools to promote resolution preparedness for midsize banks" (p. 39561) already backfill the readiness. The RRA is voluntary and rate-incentivized, and the FDIC's own participation assumption implies a non-electing tail;

opt-in participation and a currently tested capability are different objects, which is the whole of Recommendation 4. The program does not dispute that the FDIC has other tools; it recommends that at least one of them, for the de-scoped band, be a non-optional readiness element rather than an inducement the least-ready institutions can decline.

Third, that the $50 billion to $100 billion cohort is below the size range that failed in 2023 (approximately $110 billion to $230 billion), so the de-scoping is consistent with the lesson of that year. The transmission mechanism the failures exposed, uninsured-deposit concentration and rapid outflow, is a funding-structure property, not a size threshold, and the bank-cross-section evidence indicates it is not bounded at $100 billion. The FDIC's concession that it "may be less prepared to resolve a failed IDI with total assets between $50 billion and $100 billion" (p. 39561) is a statement that the readiness reduction is real for this band specifically. Recommendation 1 responds by keying continued coverage to the funding-structure trigger rather than to the size line.

Fourth, that tokenized-deposit and stablecoin-reserve linkages are speculative or immaterial for the institutions this rule covers. The FDIC itself identifies these arrangements as content that "must be understood to accurately establish the receivership perimeter and support timely deposit insurance determination" (p. 39556). Recommendation 3 asks only that the retained digital-services content identify the linkage where it exists; it does not require any new capability or presume that any covered IDI presents the profile. The program's SVB figures are scope-qualified throughout as a stablecoin-sector cautionary pattern, offered to show that the linkage is a real transmission surface, not to characterize any IDI.

Fifth, that a public section could itself precipitate a run. The recommendation is for a minimal, calibrated public section, and the rule retains its confidential-treatment provisions for genuinely destabilizing detail. The program's SVB work indicates that public information shapes run dynamics in both directions; a calibrated public signal that an institution is resolvable and has demonstrated the core capability is a stabilizing use of that channel, not a destabilizing one, and it preserves the market-discipline function that full removal would end.

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## Conclusion

This rule reduces resolution-readiness information at the moment the 2023 experience has made that information most valuable, for a size cohort and a set of risk channels that the program's first-party study indicates can transmit stress quickly and across sectors. The program does not oppose the FDIC's deregulatory objective, and it accepts that the CIDI-authored analytical planning the rule deletes duplicates work the FDIC performs at failure. Its recommendations are calibrated retentions, not a reversal. Key the continued coverage of the $50 billion to $100 billion band to a measured run-risk trigger rather than to asset size alone (Recommendation 1); retain a compact uninsured-deposit-concentration and key-depositor element, one of the most run-predictive fields the rule deletes (Recommendation 2); require the receivership perimeter to identify tokenized-deposit and

stablecoin-reserve linkages and the operational controls at that boundary (Recommendation 3); key the readiness the rule offloads to the voluntary RRA to a current demonstration rather than to an opt-in (Recommendation 4); retain a minimal, calibrated public accountability signal (Recommendation 5); and retain an operational-capability test, administered once, that both earns the RRA and demonstrates the readiness this rule now depends on (Recommendation 6). Each recommendation asks the FDIC to substitute an observable, tested object for information it is removing, so that the final rule prices and monitors the run risk it must resolve, rather than reducing the risk information by size alone. These are disciplines that can be observed and measured, not accommodations; a regime grounded in demonstrated operational capability imposes discipline rather than relaxing it.

The research program appreciates the opportunity to comment and is available to provide any of the underlying analysis referenced above.

Respectfully submitted,

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## Appendix: Selected Sources

**The proposed rule and its companion.**

- Federal Deposit Insurance Corporation, "Resolution Submissions Required for Covered Insured Depository Institutions," 91 Fed. Reg. 39546 (June 30, 2026) (RIN 3064-AG21; 12 CFR Part 360). Pages cited: 39546 (summary), 39547 (rapid-sale rationale; RRA and Deposit Insurance Fund), 39548 (2023 experience; "liquidity-induced failures … shorter runways"), 39550 to 39552 (deleted content, including the Section 360.10(d)(2) valuation and the Section 360.10(d)(7)(i) deposit-concentration description), 39555 (qualified financial contracts in the 2023 failures), 39556 (tokenized deposits and the receivership perimeter), 39561 ("Regulators may be less prepared …"; Paperwork Reduction Act Table 2), 39564 (Executive Order 14192).
- Federal Deposit Insurance Corporation, "Assessments Thresholds, Rate Schedules, and Adjustments," 91 Fed. Reg. 39794 (June 30, 2026) (RIN 3064-AG27; 12 CFR Part 327), including the Resolution Readiness Adjustment (proposed Section 327.18) and Table 1 (p. 39798) on the reclassified cohort's uninsured-deposit share.

**The FDIC's own operational account of resolution.**

- Federal Deposit Insurance Corporation, *Depository Institution Resolutions Handbook* (February 2025), Chapter 2 (Overview of the Resolution Process), enumerating the key elements the FDIC considers when developing a resolution structure.

- Federal Deposit Insurance Corporation, *Options for Deposit Insurance Reform* (May 1, 2023), Section 4, p. 28 (Minimizing Disruptions From Bank Resolution), on the planning and preparation a resolution requires before a potential failure, and on how bank runs shorten or eliminate the time available for it and increase the cost of the resolution.

**The federal record of the March 2023 failures.**

- U.S. Government Accountability Office, "Bank Regulation: Preliminary Review of Agency Actions Related to March 2023 Bank Failures," GAO-23-106736 (April 2023). Pages cited: 36 (Appendix I: Silicon Valley Bank's first resolution plan, filed December 1, 2022 and still under FDIC review at closing), 37 (Appendix I: FDIC staff's preliminary findings that the plan did not list potential acquirers for a whole bank purchase, specific portfolios, or franchise components, and did not detail crisis communication or liquidity content).

**Official-sector analysis of the bank side of stablecoin reserve custody.**

- Wang, Jessie Jiaxu, "Banks in the Age of Stablecoins: Some Possible Implications for Deposits, Credit, and Financial Intermediation," FEDS Notes, Board of Governors of the Federal Reserve System (December 17, 2025). Source of the bank-side concentration observations cited in Recommendation 3: counterparty concentration from a small number of large stablecoin issuers at individual banks, and issuers' relationships with a limited number of banking partners. FEDS Notes are articles in which Board staff offer their own views.

**Current rule.**

- 12 CFR 360.10, as amended, "Resolution Plans Required for Insured Depository Institutions with $100 Billion or More in Total Assets; Informational Filings Required for Insured Depository Institutions with At Least $50 Billion but Less Than $100 Billion in Total Assets," 89 Fed. Reg. 56648 (July 9, 2024) (effective October 30, 2024). Paragraphs cited: 360.10(d)(7)(i) and (d)(7)(v) (deposit concentrations; the key-depositor report); 360.10(d)(10)(viii) (the virtual data room and its content list); 360.10(f)(7) (capabilities testing).

**The program's first-party study (scope-qualified as method and cautionary pattern; not evidence about any insured depository institution).**

- Zukowski, "Anatomy of a Stablecoin Run: Reserve Exposure, Impaired Arbitrage, and Code-Level Contagion in the March 2023 USDC Depeg," Tokenization Systems (2026). Source of the figures used in Recommendation 3: Circle's $3.3 billion (approximately 7.8 percent of about $42.1 billion) reserve exposure at SVB and CLII score of 0.92; Tether's CLII score of 0.52 and maintained peg; the approximately 11 percent intraday depeg to roughly $0.89 against the roughly $0.92 zero-recovery floor; the within-unit event-study trough of 9.77 percentage points below par at hour +10; the structural-break test at the March 12, 2023 systemic-risk announcement (Chow $F = 7.41$, $p = 0.0012$; HAC joint Wald $F = 12.71$, $p < 0.001$); and the MakerDAO Peg Stability Module's absorption of approximately $1.30 billion of USDC in a single day.
- Zukowski (2026a), the source of the Control Layer Intensity Index used above.

**Bank-cross-section literature (source of the funding-structure transposition; the first entry consulted directly, the remaining two cited as they appear in the study above).**

- Drechsler, Savov, Schnabl, and Wang, "Deposit Franchise Runs," National Bureau of Economic Research Working Paper 31138 (April 2023, revised September 2024); consulted directly and quoted above from that working paper. Source of the event-study result that banks with more uninsured deposits experienced lower returns around the Silicon Valley Bank failure only where those deposits had a low deposit beta (sample of 715 United States commercial banks with at least $1 billion in assets; 171 publicly traded banks in the event study).
- Jiang, Matvos, Piskorski, and Seru (2024), documenting that the uninsured-deposit share predicts run vulnerability in the cross-section of banks.
- Choi, Goldsmith-Pinkham, and Yorulmazer (2023), showing that uninsured-deposit reliance, held-to-maturity losses, and size predict the cross-section of bank-stock contagion after the SVB run.

**Prior program comments referenced for coordination (not restated).**

- FDIC prudential activities rule (RIN 3064-AG19); FDIC application-process rule (RIN 3064-AG20); FDIC Bank Secrecy Act and sanctions rule (RIN 3064-AG29); FinCEN general anti-money-laundering rulemaking (FINCEN-2026-0034); FinCEN and OFAC permitted-payment-stablecoin-issuer program rulemaking (FINCEN-2026-0100).

# Comment on the Notice of Proposed Rulemaking: Assessments Thresholds, Rate Schedules, and Adjustments

**Submitted to:** Federal Deposit Insurance Corporation, via Comments@fdic.gov (RIN 3064-AG27 in the subject line) and the Federal eRulemaking Portal (https://www.regulations.gov)
**Docket / RIN:** RIN 3064-AG27
**Federal Register citation:** 91 Fed. Reg. 39794 (June 30, 2026)
**Comment period closes:** August 31, 2026
**Submitted by:** Tokenization Systems (www.Tokenization.Systems)
**Date:** August 24, 2026

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## Introduction and summary

Tokenization Systems is an independent research program studying the operational control layer of tokenized financial systems: the technical and organizational functions through which a financial institution actually exercises control over issuance, reserve custody, transaction routing, and the execution of lawful orders. The program builds measurement instruments that make those functions observable to supervisors, including the Minimum Viable Equivalence Pack, a ten-category structural diagnostic for diligence at decision points, and the Control Layer Intensity Index, a continuous-monitoring measure. It also conducts first-party empirical work, including a replication-archived study of the March 2023 Silicon Valley Bank episode and the associated depeg of the most heavily regulated major payment stablecoin.

This is the program's fifth FDIC comment, and the companion to its comment on the Resolution Submissions proposal (RIN 3064-AG21), filed on the same June 30, 2026 FDIC rulemaking issue. The program's prior FDIC comments addressed the prudential activities rule (RIN 3064-AG19), the application-process rule (RIN 3064-AG20), and the Bank Secrecy Act and sanctions compliance rule (RIN 3064-AG29). These comments are part of a broader set of sixteen comments the program has submitted across eight federal agencies. The recommendations below are designed to coordinate with the parallel FDIC rulemakings, and in particular with the companion resolution proposal, rather than to duplicate or contradict them; where a recommendation connects to a position the program has already stated, the comment references that position rather than restating it.

The proposed rule revises how the FDIC prices deposit-insurance risk. It raises the small-versus-large assessment-methodology threshold from $10 billion to $30 billion, which moves 76 institutions from the forward-looking large-bank scorecard to the less risk-sensitive seven-ratio small-bank method; it reduces initial base assessment rate schedules by 2 basis points for small institutions and by 1 basis point for large and highly complex institutions; and it adds a downward Resolution Readiness Adjustment (RRA) of

up to 1 basis point, allocated as 0.5 basis points for passing a virtual-data-room (VDR) test and 0.5 basis points for granting the FDIC prescribed data access. The FDIC estimates the combined effect at approximately $4.0 billion per year less in assessment revenue, with large banks paying approximately 33 percent less and small banks approximately 35 percent less, and only four institutions (0.1 percent) paying more.

The central proposition of this comment is that the proposal prices size, and through the RRA prices resolvability, but does not price the risk that the March 2023 failures showed is decisive. By the FDIC's own Table 1, the $10 billion to $30 billion cohort that the rule moves to the less risk-sensitive method carries higher uninsured-deposit and brokered-deposit concentration than the small institutions it is being grouped with, so the institutions the rule makes less risk-sensitively priced are, on average, the more run-prone ones. That inverts the central lesson of March 2023, that uninsured-deposit concentration and the speed of outflow, not asset size alone, determine run vulnerability. The framework also contains no factor for crypto-asset, stablecoin-reserve-custody, or novel-activity exposure, even as banks increasingly serve as reserve custodians and banking partners to payment stablecoin issuers and financial-technology firms. And because the RRA is the voluntary backfill for the resolution-submission cuts in the companion AG21 proposal, the two should be calibrated together, and the credit should turn on a demonstration that is still current. The program does not oppose assessment relief. It recommends that the pricing track measured run risk and novel-activity concentration, and that the RRA continue to rest on a tested capability.

The recommendations are:

| Recommendation | FDIC question or provision | Requested final-rule action | Why it matters |
|---|---|---|---|
| 1. Run-risk factor for the reclassified cohort | Questions 1 and 2; the $10 billion to $30 billion threshold (Table 1) | Retain a run-risk-sensitive factor for reclassified banks, or condition the reclassification on a measured uninsured-deposit-concentration or rapid-growth trigger | The reclassified cohort carries higher uninsured (34.8 percent versus 32.6 percent) and insured brokered (8.3 percent versus 6.1 percent) deposit shares than the $1 billion to $10 billion small institutions Table 1 compares it to; pricing should track the run risk March 2023 showed is decisive |
| 2. Novel-activity and concentration risk indicator | Question 12 (alternatives); Section IX (all aspects) | Add, or solicit comment on adding, a novel-activity and concentration risk indicator to the assessment framework | The framework prices size and resolvability but not crypto-asset, stablecoin-reserve-custody, or novel-activity exposure, a channel that transmitted a failure across sectors in March 2023 |

| Recommendation | FDIC question or provision | Requested final-rule action | Why it matters |
|---|---|---|---|
| 3. Keep the RRA keyed to a current demonstration, calibrated jointly with AG21 | Questions 13, 17, 18, and 25; proposed Sec. 327.18 | Preserve the operational test the proposed text already defines; state the Section 327.18(e)(3)(i)(B) sufficiency standard; reconcile the seven-year data-access reengagement interval with the three-year VDR retest; calibrate the RRA jointly with the companion AG21 resolution proposal; support observable partial VDR credit | A voluntary, rate-incentivized mechanism selects for the banks least likely to fail, so the Question 17 loss-reduction rationale is weakest for the non-electing tail where readiness matters most |
| 4. Reserve-ratio slippage and the distribution of relief | Question 12; Section IX (material economic effects) | Weigh the reductions' effect on the fund's recovery and their distribution against the fairness rationale, and state the reconciliation on the record | The roughly $4.0 billion per year reduction delays the fund reaching its 2 percent designated reserve ratio to 2035 versus 2031, and relief flows in part to the more run-prone $10 billion to $30 billion tier |

A note on scope and evidence precedes the recommendations. Where this comment draws on the program's first-party empirical work, that work, the program's study of the March 2023 Silicon Valley Bank episode and the associated USDC depeg, examines payment stablecoins and decentralized-finance protocols, not insured depository institutions. The FDIC supervises the assessment system for insured depository institutions; the program's study does not describe any such institution. Its findings transfer to this rulemaking as method and as a cautionary pattern about how reserve and deposit concentration and rapid outflow transmit stress, and not as evidence about any specific insured depository institution. The comment flags this scope qualification again at each figure. The run-risk claims this comment makes about banks rest on the FDIC's own Table 1 and footnote 78, and on the bank-cross-section literature: Drechsler, Savov, Schnabl, and Wang (2024), which the program consulted directly and which finds the uninsured-deposit share predicts run vulnerability only where those deposits are insensitive to market rates; and Jiang, Matvos, Piskorski, and Seru (2024) and Choi, Goldsmith-Pinkham, and Yorulmazer (2023), which the FDIC's record and the program's study both cite.

## I. Price the run risk, and the novel-activity risk, that the assessment method is about to stop pricing (Recommendations 1 and 2)

### Recommendation 1 (Questions 1 and 2; the $10 billion to $30 billion threshold and Table 1): Account for the reclassified cohort's above-average run-risk concentration

Question 1 asks about the advantages and disadvantages of updating the threshold from $10 billion to $30 billion, including other thresholds and other factors the FDIC should consider; Question 2 asks about the unintended consequences of a higher threshold. The program recommends that the reclassification of the $10 billion to $30 billion cohort account for that cohort's measured run-risk concentration, because the FDIC's own record indicates the reclassified banks are, on average, the more run-prone ones.

The FDIC's Table 1 (p. 39798) makes the point directly. The reclassified $10 billion to $30 billion cohort carries uninsured deposits averaging 34.8 percent, against 32.6 percent for the comparison group Table 1 uses (the 897 small institutions holding between $1 billion and $10 billion in total assets), and insured brokered deposits averaging 8.3 percent, against 6.1 percent. Both differences run in the direction of higher run risk. The direction matters because the FDIC has already identified the mechanism. Its 2023 *Options for Deposit Insurance Reform* states that "Large concentrations of uninsured deposits, or other short-term demandable liabilities, increase the potential for bank runs and can threaten financial stability" (p. 1), and it treats deposit insurance pricing as one of the tools that can constrain the risk-taking behind that exposure. A reclassification that moves a cohort measured as more exposed on precisely those funding dimensions into a methodology that weights them differently should say what happens to the pricing signal the FDIC's own analysis identifies. The seven-ratio small-bank method is not a re-labeled version of the scorecard: as the FDIC states, the small-bank methodology "uses a different set of financial measures and weights based on how the measures corresponded with the probability of failure for small banks," and the FDIC acknowledges that the shift could result in "banks with significant concentrations in higher-risk assets or elevated funding stress paying lower assessments." The reclassified banks would also shed exposure to the brokered-deposit adjustment (0 to 10 basis points, available to large and highly complex institutions only), even though brokered funding is a recognized run-risk vector and this cohort carries an above-average brokered share.

This matters because the March 2023 failures showed that uninsured-deposit concentration and the speed of outflow, not size alone, determine run vulnerability. In the bank cross-section, Jiang, Matvos, Piskorski, and Seru (2024) document that the uninsured-deposit share predicts run vulnerability, and Choi, Goldsmith-Pinkham, and Yorulmazer (2023) show that uninsured-deposit reliance, held-to-maturity losses, and size predict the cross-section of bank-stock contagion after the Silicon Valley Bank run (both as cited in the program's study of the episode). Drechsler, Savov, Schnabl, and Wang (2024), consulted directly rather than through the program's study, measure that cross-section across a 715-bank sample and validate it in an event study of the 171 publicly traded banks

in that sample around the Silicon Valley Bank failure: "banks with more uninsured deposits experienced lower returns, but only if their uninsured deposits had a low beta." The refinement is directly usable in assessment design. What the market priced around that failure was not the uninsured share alone but the uninsured share of deposits whose rates do not follow market rates, so a run-risk factor for the reclassified cohort should read deposit rate sensitivity alongside the uninsured-deposit share Table 1 already reports. The NPRM's own footnote 78 ties the Deposit Insurance Fund's largest losses to the March 2023 systemic-risk determination and the special assessment for Silicon Valley Bank and Signature Bank. The speed of that outflow is also on the federal record, independently of the program's own data. The Government Accountability Office reports that Silicon Valley Bank "faced significant and sudden deposit withdrawal requests that totaled over $40 billion" the day after it announced its securities sale, that Federal Reserve Bank of San Francisco staff told GAO that the "bank's concentrated and interconnected client base began to withdraw deposits quickly after speculations about the bank's distress," and that on "the morning of March 10th, SVB expected to have an additional $100 billion in deposit withdrawal requests for that day" (GAO-23-106736, April 2023, p. 16). An assessment method insensitive to the depositor concentration behind withdrawal demand of that speed is not pricing the channel that produced the losses footnote 78 identifies. The program's first-party study of the same episode, scope-qualified as set out above and again here (it examines payment stablecoins and decentralized-finance protocols, not insured depository institutions, and transfers as method and as a cautionary pattern, not as evidence about any bank), documents how fast a concentrated exposure repriced once stress began: the affected token fell to an event-study trough of minus 9.77 percentage points ten hours into the window and stabilized only at the public backstop, and the recovery trajectory shows a structural break at that announcement (Chow $F = 7.41$, $p = 0.0012$). The pattern, not the token, is the point: concentration plus speed, not size, set the loss.

The program recommends that the FDIC either retain a run-risk-sensitive factor for the reclassified banks or condition the reclassification on a measured trigger, keyed to uninsured-deposit concentration or rapid deposit growth, so that pricing continues to track the run risk the FDIC's own record treats as decisive. A trigger of this kind preserves the relief for the low-concentration majority of the cohort while retaining sensitivity for the high-concentration tail, which is where the Deposit Insurance Fund's exposure sits.

**Recommendation 2 (Question 12 and the general invitation to comment on all aspects; the absent novel-activity risk factor): Add, or solicit comment on adding, a novel-activity and concentration risk indicator**

Question 12 invites comment on the rate revisions, on support for the Deposit Insurance Fund long-range management plan, and on alternatives; Section IX invites comment on all aspects of the proposal, and on material economic effects the FDIC has not identified. The program recommends that the FDIC add, or solicit comment on adding, a novel-activity and concentration risk indicator to the assessment framework, because the framework as proposed prices size and, through the RRA, resolvability, but prices novel-activity exposure nowhere, in the rule or in any of its 26 questions.

The gap is specific. The assessment system contains no factor for crypto-asset exposure, for stablecoin-reserve-custody concentration, or for novel-activity funding, even as banks increasingly serve as reserve custodians and banking partners to payment stablecoin issuers and financial-technology firms. That exposure is a run-risk and concentration channel, not an abstraction. In March 2023, a concentrated reserve-custody relationship between a payment stablecoin issuer and a single bank was a bidirectional stress channel, and the episode was resolved only by the public backstop.

The insured-depository side of that channel is on the federal record of March 2023. The Government Accountability Office reports that in 2022 Signature Bank's "deposits declined by $17.5 billion ($12 billion of which represented deposits related to the digital assets industry)" and that its "balance sheet cash holdings were reduced from $30 billion in 2021 to $6 billion in 2022" (GAO-23-106736, April 2023, p. 16). Part of that decline was deliberate, since the bank had announced in the fourth quarter of 2022 its intent to reduce its digital-asset deposit exposure; the magnitude is the point. One activity concentration moved $12 billion of an insured institution's deposits in a single year and left it holding $6 billion of cash, and in March the bank "did not have sufficient cash to fulfill its large number of deposit withdrawal requests" (p. 17). A peer concentrated in the same business, Silvergate Bank, "experienced a bank run due to concerns surrounding its involvement with the digital assets industry" (p. 17). These are insured depository institutions, and what moved their funding was activity concentration rather than asset size; the proposed framework prices the second and not the first.

The program's first-party study of the March 2023 episode documents the transmission, scope-qualified as above and again here: the study examines payment stablecoins and decentralized-finance protocols, not insured depository institutions, and transfers as method and as a cautionary pattern about how reserve and deposit concentration transmit stress, not as evidence about any bank. In that episode, the issuer of the most heavily regulated major payment stablecoin (Control Layer Intensity Index 0.92) held $3.3 billion of reserves, approximately 7.8 percent of approximately $42.1 billion, at the failed bank; its token depegged by approximately 11 percent at its intraday low, trading to roughly $0.89, below the roughly $0.92 floor implied even by zero recovery on the deposits, while the least regulated major issuer (Control Layer Intensity Index 0.52), which had no failed-bank exposure, held its peg. The stress then propagated through code: a decentralized-finance protocol's peg-stability module absorbed approximately $1.30 billion of the discounted token in a single day, importing the discount through a hardcoded exchange rate. The peg was restored not by private arbitrage but by the March 12, 2023 systemic-risk-exception backstop. The cautionary pattern for assessment risk is that concentrated exposure to a novel counterparty transmitted a failure across sectors and required the public backstop, which is precisely the kind of loss the Deposit Insurance Fund absorbs and the assessment system exists to price.

This recommendation is the program's control-layer measurement method applied to assessment risk. The Minimum Viable Equivalence Pack and the Control Layer Intensity Index measure, respectively, structural control-layer posture and its continuous intensity; the same observable, reproducible measurement can inform a novel-activity and

concentration indicator that captures the reserve-custody and banking-partner exposure the current seven ratios and the scorecard do not. The program does not propose a specific coefficient; it recommends that the FDIC recognize the exposure as an assessment-risk factor and solicit comment on how to measure it.

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## II. The Resolution Readiness Adjustment should rest on a tested capability and be calibrated with the companion resolution proposal (Recommendation 3)

### Recommendation 3 (Questions 13, 17, 18, and 25; proposed Sec. 327.18 and coordination with the companion AG21 proposal): Keep the RRA keyed to a current demonstration, calibrate it jointly with AG21, and support observable partial credit

Question 13 asks whether the RRA is appropriately calibrated; Question 17 asks whether the RRA amount is appropriately calibrated to the potential reduction in Deposit Insurance Fund losses; Question 18 asks whether the correct set of data is requested for a VDR test; and Question 25 asks whether there should be partial VDR credit and how to divide the timeliness and information subcomponents. The program offers three coordinated recommendations.

First, the proposed regulatory text already meets the program's observability-over-attestation standard, and the final rule should keep it there. Proposed Section 327.18(e) does not credit a representation: the institution must populate an FDIC-specified data room with the paragraph (e)(1) materials no later than 48 hours after the test begins, the FDIC reviews and examines what was uploaded, and the adjustment follows only a written notice that the capability was demonstrated. Proposed Section 327.18(f) is built the same way, as an engagement in which the institution must actually provide or facilitate access to its consolidated and unconsolidated ledger and its deposit and loan core data, with the adjustment removed and reimbursement owed if it does not. This is the standard the program has argued across its FinCEN and FDIC comments, a control capability demonstrated by operational test rather than represented on paper, and the FDIC has applied it here without being asked to. The FDIC's own rationale for the RRA is that an institution's ability to populate a VDR quickly "can be key to ensuring that the FDIC receives high quality bids in the event of the institution's failure," and only a demonstrated capability satisfies that rationale. The program's recommendation on this point is therefore to preserve the tested structure against any move toward certification or self-assessment in the final rule.

Two gaps remain inside that structure, and both are specific. The first is the pass criterion. Under proposed Section 327.18(e)(3)(i)(B) an institution passes if the FDIC determines that the uploaded materials are "sufficient for a potential bidder to conduct adequate due diligence to inform a potential bid," with reconcilability against the general ledger the only stated measure. A rate credit conditioned on an otherwise unstated sufficiency standard is

not reproducible across institutions or across test cycles, and the program recommends that the final rule state the standard the FDIC will apply. The second is the re-verification interval. Virtual-data-room capability is retested every three years under proposed Section 327.18(e)(4)(ii), but data-access capability is reengaged only every seven years under proposed Section 327.18(f)(3)(ii), with changes in between reaching the FDIC through the institution's own material-change notice under proposed Section 327.18(f)(3)(i). Seven years is a long period to carry a rate credit for a capability demonstrated once, and it is longer still when that credit is the mechanism the companion AG21 proposal names to backfill readiness it removes permanently. The program recommends that the FDIC state why the two components are re-verified on different cycles, and consider aligning the data-access interval with the three-year virtual-data-room cycle.

Second, the FDIC should calibrate the RRA jointly with the companion AG21 resolution-submission proposal, and assess the two proposals' combined effect on Deposit Insurance Fund loss exposure rather than each in isolation. The RRA is the voluntary backfill for the mandatory readiness that AG21 removes: AG21 de-scopes the $50 billion to $100 billion tier from resolution-submission coverage and strips institution-authored resolvability and valuation analysis, and its own preamble leans on the RRA to recover the resulting readiness. A voluntary, rate-incentivized mechanism, however, selects for the institutions least likely to fail, because the banks most confident of their resolvability are the banks most willing to elect and to be tested. The Question 17 loss-reduction rationale is therefore weakest exactly for the non-electing tail, the institutions least ready to be resolved, which is where the readiness gap and the Deposit Insurance Fund exposure are largest. Calibrating the RRA against the AG21 de-scoping, and assessing whether the combined package leaves the non-electing tail unaddressed, is the coordination the two proposals require.

Third, the program supports observable partial VDR credit (Question 25), provided the subcomponents are themselves observable and measurable. Dividing credit between a timeliness subcomponent (populating the room within the prescribed window) and an information-completeness subcomponent is sound if each is scored against a demonstrated result rather than a represented one, so that partial credit reflects partial capability actually shown rather than partial capability asserted.

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## III. Reserve-ratio slippage and the distribution of relief (Recommendation 4)

### Recommendation 4 (Question 12 and the general invitation on material economic effects; reserve-ratio slippage and distributional fairness): Weigh the distributional effect against the fairness rationale

Question 12 invites comment on the rate revisions and on support for the Deposit Insurance Fund long-range management plan, and Section IX invites comment on material economic effects. The program recommends, briefly, that the FDIC weigh two effects of the

reductions against the fairness rationale that motivates them.

First, the reductions slow the Deposit Insurance Fund's recovery. The FDIC projects a decline in assessment revenue of $3.7 billion in 2027 and $22.6 billion cumulatively through 2031, reducing the fund balance by approximately $24.6 billion by 2031, with the reserve ratio reaching the 2 percent designated reserve ratio in 2035 under the proposal, against 2031 under the baseline. A four-year delay in reaching the statutory target is a material economic effect of the kind Section IX invites comment on.

Second, the relief is not distributed neutrally with respect to run risk. Part of it flows to the $10 billion to $30 billion tier that, by Table 1, carries higher uninsured-deposit and brokered-deposit concentration than the small institutions it joins, the same tier Recommendation 1 addresses. The fairness rationale for the proposal is that inflation alone pushed smaller institutions across a threshold static since 2006, over-burdening them; that rationale is reasonable on its own terms, but it is a rationale about size and inflation, not about risk. The FDIC has already explained why those two effects are connected. Its 2023 *Options for Deposit Insurance Reform* traces the chain from a run to an assessment: an abbreviated lead-up to failure leaves the FDIC less able to market the institution to potential acquirers and interested parties less able to conduct due diligence, and "[t]hese dynamics increase the cost to the DIF [Deposit Insurance Fund] and, ultimately, the banking system that must pay higher assessments to recapitalize the Fund" (p. 28). Under-pricing the run channel in one tier is therefore not a closed transaction within that tier; on the FDIC's own account, the resolution costs a run drives are borne later by the rest of the banking system, in assessments. The program recommends that the FDIC weigh the distributional effect, relief flowing in part to the more run-prone tier while the fund's recovery slows, against the fairness rationale, and state on the record how it reconciles the two. The program takes no position on the overall level of relief; it recommends only that the reconciliation be explicit.

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## Suggested rule text

Agencies act on language they can lift. The following is offered as drafting input for the four recommendations above, using the proposal's own defined terms and drafting conventions. Where a numerical trigger is properly the FDIC's to set, it is left bracketed rather than invented.

- **Possible regulatory text at proposed 12 CFR 327.8(e)(1) (Recommendation 1, conditioning the reclassification),** added as a proviso: "provided that an insured depository institution with total assets of at least $10 billion but less than $30 billion whose ratio of estimated uninsured deposits to total deposits exceeded [X] percent in its quarterly reports of condition for four consecutive quarters shall continue to be classified as a large institution until it reports a ratio at or below [X] percent for four consecutive quarters." This mirrors the four-consecutive-quarter reclassification mechanic the proposal already uses at proposed Sec. 327.8(e)(2), so it adds a condition rather than a new procedure.

- **Possible regulatory text at proposed 12 CFR 327.16(e) (Recommendation 1, retaining a factor instead),** as a new paragraph (5): "Funding concentration adjustment. An institution classified as small under Sec. 327.8(e) whose ratio of estimated uninsured deposits to total deposits, or whose ratio of insured brokered deposits to total deposits, exceeds the level the FDIC publishes for this purpose shall be subject to an upward adjustment of up to [Z] basis points to its initial base assessment rate." Either form preserves the relief for the low-concentration majority of the reclassified cohort while retaining sensitivity for the high-concentration tail; the FDIC need not adopt both.
- **Possible additional question on the novel-activity gap (Recommendation 2),** since the program proposes no coefficient: "Should the assessment framework include an indicator for novel-activity and concentration exposure, including reserves held for issuers of payment stablecoins, deposit or payment services provided to financial technology firms, and direct crypto-asset exposures? What currently reported data, or what additional reporting, would be required to measure such an indicator, and at what burden?"
- **Possible regulatory text at proposed 12 CFR 327.18(e)(3)(i)(B) (Recommendation 3, stating the pass criterion):** "The FDIC, after conducting a review and examination of the virtual data room, determines that the data, information, and other materials uploaded conform to the specifications the FDIC publishes under paragraph (e)(1) of this section, are complete as to each item the FDIC did not waive under paragraph (e)(2)(i) of this section, and are reconcilable against the institution's general ledger." A rate credit conditioned on a published specification is reproducible across institutions and across test cycles; one conditioned on an unstated sufficiency judgment is not.
- **Possible regulatory text at proposed 12 CFR 327.18(f)(3)(ii) (Recommendation 3, aligning the intervals):** replace "every seven years" with "every three years," so that data-access capability is reengaged on the same cycle as the virtual-data-room retest under proposed Sec. 327.18(e)(4)(ii).
- **Possible preamble statement for the final rule (Recommendation 4):** "The FDIC has considered that the proposed reductions delay the reserve ratio's return to the designated reserve ratio from 2031 to 2035, and that a portion of the relief accrues to institutions reclassified as small that report higher average uninsured and insured brokered deposit shares than the small institutions with which they are grouped. The FDIC reconciles these effects with the proposal's fairness rationale as follows." The program takes no position on the level of relief; the recommendation is that the reconciliation appear on the record rather than be left to inference.

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## Cross-rule alignment

The recommendations above connect this proposal to its sibling FDIC rulemakings and to the March 2023 record. The table sets out, for each connection, the alignment the program recommends.

| This proposal (RIN 3064-AG27) | Sibling proposal or record | Recommended alignment |
|---|---|---|
| The Resolution Readiness Adjustment, a voluntary rate credit for VDR testing and data access | Resolution Submissions proposal (RIN 3064-AG21), which de-scopes the $50 billion to $100 billion tier and strips institution-authored resolvability analysis, naming the RRA to backfill readiness | Calibrate the RRA and the AG21 de-scoping together; assess their combined effect on Deposit Insurance Fund loss exposure, not each in isolation, because a voluntary incentive cannot backfill readiness for the non-electing tail |
| The RRA's VDR test as the measure of resolution readiness | The program's observability-over-attestation standard, argued across its FinCEN and FDIC comments (RIN 3064-AG19, RIN 3064-AG29; the program's FinCEN comments) | Preserve the demonstrated-capability structure the proposed text already uses, state the sufficiency standard that decides a pass, and re-verify data access on a cycle closer to the three-year VDR retest |
| The absent novel-activity and stablecoin-reserve-custody risk factor | Bank Secrecy Act and sanctions rule (RIN 3064-AG29) and the companion FinCEN and OFAC program rule, which supervise stablecoin reserve custody and control-layer posture | Where banks serve as reserve custodians and banking partners to payment stablecoin issuers, the assessment framework should recognize the concentration risk the supervisory rules already track |
| The reclassification of the $10 billion to $30 billion cohort to the less risk-sensitive method | The March 2023 bank-cross-section record (uninsured-deposit share predicts run vulnerability) and NPRM footnote 78 | Retain a run-risk factor keyed to uninsured-deposit concentration, the variable the resolution and supervisory rules treat as decisive |

The alignment the program emphasizes is the AG21 coordination. The Assessments proposal and the Resolution Submissions proposal are a coordinated pair: the RRA in this proposal is the instrument the companion proposal names to backfill the readiness it removes. Treating them as a pair, and calibrating the voluntary incentive against the mandatory requirement it replaces, is the single most consequential coordination point across the two filings.

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## Anticipated objections

The program anticipates five objections and addresses each briefly.

First, that the small-bank method still prices risk through CAMELS ratings and seven financial ratios, so reclassified banks are not unpriced. That is correct as stated, but it does not answer the recommendation. The FDIC's own record indicates the small-bank method uses different measures and weights, calibrated to small-bank failure probability, and that reclassified banks with elevated funding stress could pay lower assessments; the reclassified

cohort also sheds the brokered-deposit adjustment. The question Recommendation 1 raises is not whether the method prices some risk, but whether it prices the specific run-risk channel, uninsured-deposit concentration and rapid outflow, that March 2023 showed is decisive for institutions in this size range.

Second, that inflation alone pushed banks across a threshold static since 2006, and indexing simply restores the stratification the FDIC intended. The program does not dispute the inflation rationale and does not oppose the relief. Recommendation 1 asks only that the reclassification account for measured run-risk concentration, which is orthogonal to the inflation-indexing rationale: a run-risk trigger leaves the relief intact for the low-concentration majority of the cohort while retaining sensitivity where the Deposit Insurance Fund's exposure concentrates.

Third, that the program's empirical evidence concerns stablecoins, not banks. That is accurate, and the comment states it at each use. The study transfers as method and as a cautionary pattern about how reserve and deposit concentration and rapid outflow transmit stress, not as evidence about any insured depository institution. The run-risk claims this comment makes about banks rest on the FDIC's own Table 1 and footnote 78, and on the bank-cross-section literature (principally Drechsler, Savov, Schnabl, and Wang 2024, consulted directly; and Jiang, Matvos, Piskorski, and Seru 2024 and Choi, Goldsmith-Pinkham, and Yorulmazer 2023 as cited in the program's study), not on the stablecoin data.

Fourth, that the RRA is a voluntary benefit and should not be constrained. The program supports the RRA and supports partial credit for it. The recommendation is about calibration and currency, not restriction: the proposal's tested structure is the right one, and the program asks only that the criterion deciding a pass be stated, and that a credit standing in for permanently removed readiness not rest on a demonstration up to seven years old. A voluntary incentive calibrated in isolation from the companion AG21 de-scoping also leaves the non-electing tail, where readiness matters most, unaddressed. Stating the standard and calibrating the incentive jointly with the requirement it backfills strengthens the RRA's own loss-reduction rationale rather than weakening the relief.

Fifth, that the FDIC's own reading of Table 1 describes the two groups as similar, so the differences Recommendation 1 relies on are immaterial. The proposal states that the two groups reported "approximately similar shares of deposit and loan types and leverage ratios" (p. 39797) and "approximately similar shares of foreign deposits, uninsured deposits, and real estate loans" (p. 39798). The program does not dispute that as a description of the table as a whole. It observes that the similarity is not uniform across the rows. Every liability row in Table 1 runs higher for the reclassified cohort, and the two that bear on run risk run higher by the same margin: uninsured deposits by 2.2 percentage points and insured brokered deposits by 2.2 percentage points. The asset-side rows and the leverage ratio run lower for that cohort. The recommendation does not claim the cohort is dissimilar overall; it observes that where the two groups differ, they differ in the direction of higher run risk, on exactly the measures the FDIC's own resolution record treats as run-risk drivers, and it asks that the pricing continue to track that difference for the tail where it is largest.

## Conclusion

The proposed rule prices deposit-insurance risk by size, and through the Resolution Readiness Adjustment by resolvability, but it moves the $10 billion to $30 billion cohort to a less risk-sensitive method precisely as the FDIC's own Table 1 shows that cohort to carry higher uninsured-deposit and brokered-deposit concentration than the small institutions it joins. The central lesson of March 2023 is that concentration and the speed of outflow, not size alone, determine run vulnerability; the proposal should not invert it. The program's four recommendations keep the relief the FDIC proposes while directing the pricing to the risk the record identifies: retain a run-risk-sensitive factor or trigger for the reclassified cohort (Recommendation 1); add, or solicit comment on adding, a novel-activity and concentration risk indicator (Recommendation 2); keep the RRA keyed to a current demonstration, state the criterion that decides a pass, and calibrate the adjustment jointly with the companion resolution proposal (Recommendation 3); and weigh the reductions' effect on the fund's recovery and their distribution against the fairness rationale (Recommendation 4). Each recommendation asks the FDIC to price a measured risk rather than to relax a measured one; a pricing system anchored in observed run risk imposes discipline, not burden. The program appreciates the opportunity to comment and is available to provide any of the underlying analysis referenced above.

Respectfully submitted,

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## Appendix: Selected Sources

**The proposed rule and its companion.**

- Federal Deposit Insurance Corporation, Assessments Thresholds, Rate Schedules, and Adjustments, Notice of Proposed Rulemaking, 12 CFR Part 327, RIN 3064-AG27, 91 Fed. Reg. 39794 (June 30, 2026). Table 1, p. 39798 (uninsured-deposit and insured-brokered-deposit shares of the reclassified cohort, against small institutions holding $1 billion to $10 billion); footnote 78 (Deposit Insurance Fund losses and the March 2023 systemic-risk determination); the rate-schedule, RRA, and revenue-impact provisions cited above.
- Federal Deposit Insurance Corporation, Resolution Submissions Required for Covered Insured Depository Institutions, Notice of Proposed Rulemaking, 12 CFR Part 360, RIN 3064-AG21, 91 Fed. Reg. 39546 (June 30, 2026). The companion resolution proposal

whose readiness the RRA is offered to backfill; the program's comment on RIN 3064-AG21 is filed with this comment.

**The FDIC's own analysis of deposit insurance and run risk.**

- Federal Deposit Insurance Corporation, *Options for Deposit Insurance Reform* (May 1, 2023), Section 1, p. 1 (concentrations of uninsured deposits and other short-term demandable liabilities as a driver of run potential); Section 4, p. 28 (Minimizing Disruptions From Bank Resolution: an abbreviated lead-up to failure raises resolution costs, which increase the cost to the Deposit Insurance Fund and the assessments the banking system must pay to recapitalize it); Section 5 (risk-based deposit insurance pricing among the tools that constrain bank risk-taking).

**The federal record of the March 2023 failures.**

- U.S. Government Accountability Office, Bank Regulation: Preliminary Review of Agency Actions Related to March 2023 Bank Failures, GAO-23-106736 (April 2023). Page 16 (Silicon Valley Bank's deposit withdrawal requests of over $40 billion, the concentrated and interconnected client base behind them, and the additional $100 billion expected on March 10, 2023; Signature Bank's 2022 deposit decline of $17.5 billion, $12 billion of it related to the digital assets industry, and its cash reduction from $30 billion in 2021 to $6 billion in 2022); page 17 (Signature Bank's insufficient cash against its withdrawal requests; Silvergate Bank's run).

**The program's first-party empirical work (scope-qualified: payment stablecoins and decentralized-finance protocols, not insured depository institutions; method and cautionary pattern only).**

- Zukowski, Anatomy of a Stablecoin Run: Reserve Exposure, Impaired Arbitrage, and Code-Level Contagion in the March 2023 USDC Depeg (Tokenization Systems, draft, June 2026). Source of the reserve-concentration figures ($3.3 billion, approximately 7.8 percent of approximately $42.1 billion), the depeg-magnitude figures (approximately 11 percent at the intraday low; roughly $0.89 against a roughly $0.92 zero-recovery floor), the event-study figures (trough of minus 9.77 percentage points at hour +10; structural break at the FDIC backstop, Chow $F = 7.41$, $p = 0.0012$), the peg-stability-module figure (approximately $1.30 billion absorbed in one day), and the policy-driven-recovery finding cited above.

**Bank-cross-section literature (the first entry consulted directly; the remaining two as cited in the program's study).**

- Drechsler, Savov, Schnabl, and Wang, Deposit Franchise Runs, National Bureau of Economic Research Working Paper 31138 (April 2023, revised September 2024); consulted directly and quoted above from that working paper. Source of the event-study result that banks with more uninsured deposits experienced lower returns around the Silicon Valley Bank failure only where those deposits had a low deposit beta (sample of 715 United States commercial banks with at least $1 billion in assets; 171 publicly traded banks in the event study).
- Jiang, Matvos, Piskorski, and Seru (2024), on monetary-tightening losses across the banking system and the uninsured-deposit share as a predictor of run vulnerability in the cross-section of banks.

- Choi, Goldsmith-Pinkham, and Yorulmazer (2023), on uninsured-deposit reliance, held-to-maturity losses, and size as predictors of the cross-section of bank-stock contagion after the Silicon Valley Bank run.

**The program's prior FDIC comments, referenced for coordination and not restated.**

- RIN 3064-AG19 (prudential activities rule); RIN 3064-AG20 (application-process rule); RIN 3064-AG29 (Bank Secrecy Act and sanctions compliance rule); and the companion RIN 3064-AG21 (Resolution Submissions), filed with this comment. The program's observability-over-attestation standard is argued across these comments and its FinCEN comments.

# Comment on the Notice of Proposed Rulemaking: Anti-Money Laundering and Countering the Financing of Terrorism Programs

**Submitted to:** Board of Governors of the Federal Reserve System, via the Board's proposal submission portal
**Docket / RIN:** Docket No. R-1835; RIN 7100-AG78
**Federal Register citation:** 91 Fed. Reg. 42363 (July 9, 2026)
**Comment period closes:** September 8, 2026
**Submitted by:** Tokenization Systems (www.Tokenization.Systems)
**Date:** September 4, 2026

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## Introduction and summary

Tokenization Systems is an independent research program studying the operational control layer of tokenized financial systems: the technical and organizational functions through which an issuer, a custodian, or an interface operator actually exercises control over issuance, reserve custody, transaction routing, and the execution of lawful orders. Tokenization Systems develops measurement instruments that make those control functions observable to supervisors, including the Minimum Viable Equivalence Pack, a ten-category structural diagnostic for diligence at decision points, and the Control Layer Intensity Index for continuous monitoring.

Tokenization Systems has filed eighteen comments, carrying ninety-seven recommendations, across eight federal agencies, including the federal rulemakings that together define the anti-money-laundering and countering-the-financing-of-terrorism architecture for tokenized finance. Those comments include comments to the Financial Crimes Enforcement Network on the general AML/CFT program rulemaking (FINCEN-2026-0034), with a supplemental comment; jointly to the Financial Crimes Enforcement Network and the Office of Foreign Assets Control on the permitted payment stablecoin issuer program rulemaking (FINCEN-2026-0100), with a supplemental comment; to the Office of the Comptroller of the Currency, the Federal Deposit Insurance Corporation, and the National Credit Union Administration on the banking agency joint AML/CFT program rule at 91 Fed. Reg. 18304; to the Office of the Comptroller of the Currency on its Bank Secrecy Act and sanctions compliance rule for permitted payment stablecoin issuers (RIN 1557-AF55) and on its rule implementing the GENIUS Act (RIN 1557-AF41); and to the Federal Deposit Insurance Corporation on its prudential activities rule (RIN 3064-AG19), its application-process rule (RIN 3064-AG20), and its Bank Secrecy Act and sanctions compliance standards rule (RIN 3064-AG29).

That filing record is the reason this comment can make its principal contribution. The Board states that this proposal is intended to align with the rules proposed by the Financial Crimes Enforcement Network at 91 Fed. Reg. 18704 and by the Office of the

Comptroller of the Currency, the Federal Deposit Insurance Corporation, and the National Credit Union Administration at 91 Fed. Reg. 18304, both published April 10, 2026. Tokenization Systems is on the record in both of those proceedings. A commenter that has read the sibling proposals closely enough to comment on them is positioned to identify where this proposal diverges from them on a measured object, which is what Questions 8 and 23 invite.

**The Board's separate rulemaking and the supervisory-consistency question**

In April 2026, Tokenization Systems commented on the banking agency joint AML/CFT program proposal at 91 Fed. Reg. 18304. The sixth recommendation of that comment addressed the Board's absence from that rulemaking. It observed that the April 2026 proposal was a re-issuance of a 2024 joint proposal in which the Board had participated; it identified the supervisory-consistency question that the Board's absence created for institutions under Board supervision, including state member banks and the United States operations of foreign banks; and it asked the three participating agencies to address that question in their final rule through three provisions: language accommodating either subsequent Board participation or continued Board separation, a coordination mechanism operating between the participating agencies and the Board even absent Board adoption of the rule, and guidance for institutions operating across supervisory jurisdictions during any period of separation. That comment stated expressly that the research program took no position on whether the Board should join the rulemaking or issue its own parallel rule.

The Board has now proposed its own parallel rule. Tokenization Systems asserts no causal relationship between its April comment and this proposal, and none should be inferred; the Board's rulemaking agenda is its own. The relevance is narrower and more specific. The supervisory-consistency question that comment identified is not resolved by the Board proceeding separately. A separate Board rule either carries the coordination provisions its sibling rules carry or it does not, and by the Board's own account in Section IV.G.2 of the preamble, this proposal does not carry them. The question that comment raised in April is therefore now presented in the concrete and answerable form the Board has itself put to commenters as Question 23.

The docket history sharpens the point. Docket No. R-1835 and RIN 7100-AG78 are the docket and regulation identifier the Board carried as one of four agencies in the 2024 joint proposal at 89 Fed. Reg. 65242 (August 9, 2024). Neither appeared in the April 10, 2026 re-issuance, which proceeded under the identifiers of the other three agencies. The Board has now reactivated that docket and that regulation identifier for this proposal, on which it is the only agency listed. The four-agency instrument of 2024 has become, in 2026, a three-agency instrument and a one-agency instrument governing substantially the same subject matter for populations that overlap at exactly the points where tokenized finance activity concentrates.

### The central proposition

The Board's stated objective is that its "program requirements for Board-supervised banks remain consistent with those imposed by FinCEN and the Agencies," so that banks "will not be subject to any additional burden or confusion from needing to comply with differing standards between regulatory agencies" (91 Fed. Reg. at 42363). Tokenization Systems supports that objective without qualification. The recommendations below identify five respects in which the proposal as drafted does not yet achieve it, each of which the Board can correct in the final rule:

1. The proposal omits the two FinCEN consultation and information-sharing provisions that all three sibling rules contain, which is the one substantive divergence between this rule and its siblings, and which is the coordination mechanism itself.
2. The proposal states in its analysis of alternatives that it contains those provisions.
3. The proposal conditions its central protection on a term it uses eight times and never defines.
4. The proposal's operative text governs a narrower population than the notice says the rule covers.
5. The proposal's effective date is set relative to the Board's own final rule rather than to the sequence in which the four regimes are finalized.

The first four are matters of internal consistency within a single notice, and the Board can resolve all four without altering a single substantive policy choice it has made. The remaining recommendations apply Tokenization Systems' measurement positions to the risk-assessment, testing, and officer provisions, in each case anchored in language the proposal already contains rather than in categories asserted from outside it.

### The recommendations

| Recommendation | Question or provision | Requested final-rule action | Why it matters |
|---|---|---|---|
| 1. Adopt the FinCEN consultation and information-sharing provisions | Question 23; proposed Section 208.63 | Add provisions parallel to proposed 12 CFR 21.21(h) and (i), 326.8(h) and (i), and 748.2(h) and (i) as new paragraphs of Section 208.63. | This is the single substantive divergence from the sibling rules, and it is the coordination mechanism. Section VIII of the notice already describes the rule as containing it. |

| Recommendation | Question or provision | Requested final-rule action | Why it matters |
|---|---|---|---|
| 2. Define the failure that forfeits the enforcement policy, and keep the protected-action definition broad | Questions 6, 7, 21, 22, 24, and 26; proposed Section 208.63(a) and (g) | State the factors that make an implementation failure significant or systemic, and retain "any written communication" and "unsafe or unsound practices or conditions" in the definition of significant AML/CFT supervisory action. | The protection in paragraph (g) is the proposal's principal benefit to supervised institutions, and it turns entirely on an undefined term. The American Bankers Association asked the sibling agencies for the same clarification a month before this proposal published. Narrowing the protected-action definition would shrink the protection. |
| 3. State how the four regimes function harmoniously by naming the divergences | Question 8 | Identify in the preamble each point at which the Board's final rule differs from the FinCEN and Agencies final rules, and state the reconciliation for each. | An institution cannot comply consistently with divergences it must discover for itself. |
| 4. Sequence the effective date across the four regimes | Questions 28 and 29 | Key the effective date to the last of the four final rules to issue, or state how a bank should comply during any interval in which the regimes are not yet aligned. | A twelve-month clock running from the Board's own final rule can expire before, or begin after, the clocks running on the rules this rule aligns to. |
| 5. Make the operative text cover the population the rule says it covers | Regulatory Flexibility Act analysis; proposed Section 208.63 | Define a term covering all Board-supervised institutions and use it in the operative paragraphs, or amend 12 CFR 211.5(m) and 211.24(j) in the same final rule. State one small-entity count and use it in both places. | Edge and agreement corporations and the covered United States offices of foreign banks are costed in the analysis but are not clearly reached by the enforcement policy in paragraph (g). |

| Recommendation | Question or provision | Requested final-rule action | Why it matters |
|---|---|---|---|
| 6. Confirm that risk assessment processes reach tokenized distribution channels | Questions 10, 11, 15, and 20; proposed Section 208.63(c)(1)(i)(A) and (e) | Confirm in the preamble that "distribution channels" includes tokenized and programmatic channels, and that a change in control-layer arrangements is a change that may require a prompt update. | The rule's own definition already reaches these channels; confirming it prevents an avoidable gap without adding a requirement. |
| 7. Anchor independent testing and the effectiveness determination in observable criteria | Questions 1, 2, and 17; proposed Section 208.63(c)(2) | Confirm that independent testing evaluates whether controls function under test conditions, consistent with the objective-criteria language the notice already uses. | An effectiveness standard that rests on documentation will systematically overstate effectiveness. |
| 8. Name reserve-custody and stablecoin banking relationships as a risk-assessment consideration | Questions 9, 11, and 14 | Confirm that a bank holding reserves for, or providing banking services to, a permitted payment stablecoin issuer evaluates that relationship in its risk assessment processes. | This relationship is a distinct risk channel, and it is the point at which Board-supervised institutions connect to the stablecoin regime. |
| 9. Clarify the United States officer requirement where control functions sit offshore | Question 18; proposed Section 208.63(c)(3) | Confirm that the required accessibility is to the officer's authority and information, not location alone, where AML/CFT functions or control-layer operations are performed outside the United States. | A domestically located officer without effective control over offshore functions satisfies the text and not the purpose. |

**Implementation language**

The highest-priority items could be framed as follows. The language for Recommendation 1 is drawn from the corresponding provisions of the sibling proposals so that the four regimes read alike.

- **Proposed Section 208.63 new paragraph, FinCEN consultation:** "Before initiating an AML/CFT enforcement action or a significant AML/CFT supervisory action with respect to an AML/CFT requirement, the Board will provide notice to and consult with the Director of FinCEN, and will consider any views the Director provides, including any view as to the effectiveness of the institution's AML/CFT program."

- **Proposed Section 208.63 new paragraph, information sharing:** "An institution may share with the Director of FinCEN any information relating to an existing or potential AML/CFT enforcement action or significant AML/CFT supervisory action."
- **Preamble language for proposed Section 208.63(g), the forfeiture trigger:** "In determining whether a failure to implement an established AML/CFT program is significant or systemic, the Board will consider the extent of the failure across the institution's business activities, its duration, whether the institution's own controls detected it, whether it arises from a dependency on which multiple products, services, or channels rely, and its effect on the institution's ability to produce the reporting the Bank Secrecy Act requires. An isolated, technical, or immaterial implementation shortfall is not a significant or systemic failure."
- **Proposed Section 208.63(a), scope definition:** "Board-supervised institution means a state member bank; an Edge corporation or agreement corporation subject to Sec. 211.5(m) of this chapter; and a branch, agency, or representative office of a foreign bank operating in the United States that is subject to Sec. 211.24(j) of this chapter," with the operative paragraphs (b) through (h) revised to use that term.
- **Preamble confirmation for proposed Section 208.63(c)(1)(i)(A):** "The distribution channels a bank evaluates include channels through which the bank opens accounts or provides products or services by programmatic or tokenized means, including channels operated through distributed-ledger infrastructure or through a third party that performs control-layer functions on the bank's behalf."
- **Preamble confirmation for proposed Section 208.63(c)(2):** "Independent testing evaluates whether the established program operates as designed, including whether the controls the program describes can be demonstrated to function under conditions appropriate to the institution's risk profile, and not solely whether the program is documented."

**Alignment with the parallel rulemakings**

| Issue | This proposal | Sibling proposals | Recommended alignment |
|---|---|---|---|
| FinCEN consultation before supervisory or enforcement action | Absent from proposed Section 208.63. | Proposed 12 CFR 21.21(h) (OCC), 326.8(h) (FDIC), 748.2(h) (NCUA) at 91 Fed. Reg. 18304; parallel provisions in the OCC and FDIC permitted payment stablecoin issuer rules. | Adopt the provision so that all four prudential regimes consult the same counterparty on the same trigger. |
| Institution-initiated information sharing with FinCEN | Absent from proposed Section 208.63. | Proposed 12 CFR 21.21(i), 326.8(i), 748.2(i) at 91 Fed. Reg. 18304. | Adopt the provision, and resolve the two sharing options consistently with whichever option the Agencies adopt. |

| Issue | This proposal | Sibling proposals | Recommended alignment |
|---|---|---|---|
| Effective-program standard | Proposed Section 208.63(b), established plus implemented in all material respects. | Substantively identical formulations in the FinCEN rule at 91 Fed. Reg. 18704 and the Agencies' rule at 91 Fed. Reg. 18304. | Preserve the common formulation, and state the observable basis on which examiners reach the determination. |
| Enforcement and supervision policy | Proposed Section 208.63(g), applicable to actions by the Board only. | Corresponding provisions in each Agency rule, applicable to that agency's actions. | Confirm that an institution supervised by more than one of these agencies receives the policy from each with respect to that agency's actions. |
| Threshold that forfeits the enforcement policy | Proposed Section 208.63(g)(1) excepts a "significant or systemic failure to implement", undefined in Section 208.63(a). | The Agencies' rules and the FinCEN rule use the same significant-or-systemic formulation. | Give the term content in the final rule, and state it consistently across the four regimes so the same failure is not significant under one and isolated under another. |
| Content of the "significant or systemic failure" threshold | Undefined in proposed Section 208.63; the Board asks about it at Questions 6, 7, 21, and 22. | The same formulation appears in the FinCEN and Agencies proposals, and the American Bankers Association asked those agencies to give it content in its June 9, 2026 comment. | Adopt one shared formulation across the four regimes, so the same implementation failure is not significant under one regime and isolated under another. |
| Scope of covered institutions | Operative text runs to state member banks; the analysis covers three populations. | The Agencies' rules apply to their supervised institutions by defined term. | Adopt a defined term covering the three populations, as the Agencies' rules do. |
| Effective date | Twelve months from issuance of the Board's final rule. | Each sibling rule sets its own date relative to its own final rule. | Sequence to the last of the four to issue, or state the interim compliance expectation. |

## I. Group I: The supervision and enforcement framework, and the consistency it depends on (Recommendations 1 through 4)

### Recommendation 1 (Question 23; proposed Section 208.63): Adopt the FinCEN consultation and information-sharing provisions the sibling rules contain

Question 23 asks: "The Agencies included two provisions in their proposed rules that are not included in the Board's proposed rule regarding consultation and information sharing with FinCEN. Should the Board include the same or similar provisions in its rule?"

Tokenization Systems recommends that the Board include them.

The two provisions are identified in Section IV.G.2 of the preamble. The first "would establish a FinCEN notice and consultation framework applicable when the Agencies intend to initiate an AML/CFT enforcement action or a significant AML/CFT supervisory action." The second "would allow banks to share any information with the FinCEN Director that relates to an existing or potential AML/CFT enforcement action or significant AML/CFT supervisory action." They appear in the sibling proposals at proposed 12 CFR 21.21(h) and (i), 12 CFR 326.8(h) and (i), and 12 CFR 748.2(h) and (i), at 91 Fed. Reg. 18304 (91 Fed. Reg. at 42374 to 42375 and n.60).

Three considerations support adoption.

**First, this is the coordination mechanism, and the Board is the agency whose participation in it is at issue.** The Board's stated objective for this rulemaking is consistency with FinCEN and the Agencies. The consultation provision is the operative instrument by which that consistency is maintained after the rules are final, because it is the mechanism through which the supervisory determinations made under four separate rules are reconciled against a single FinCEN view of program effectiveness. A regime that adopts the common substantive standard but not the common coordination mechanism achieves textual alignment and not operational alignment. Where the four regimes reach the same institution or economically identical institutions, the divergence is consequential: the Office of the Comptroller of the Currency, the Federal Deposit Insurance Corporation, and the National Credit Union Administration would each consult the FinCEN Director before initiating an action, and the Board would not, which produces different processes for the same conduct depending on the supervisor.

**Second, the Board's own analysis of alternatives describes the proposed rule as containing these provisions.** In Section VIII, explaining why it did not reissue or finalize the 2024 proposal, the Board writes: "The proposed rule also includes provisions requiring FinCEN's consultation on supervisory actions and other measures to refocus supervision on substantive issues with bank AML/CFT programs rather than on procedural compliance. The Board therefore chose to issue the proposed rule" (91 Fed. Reg. at 42379). That statement is inconsistent with Section IV.G.2, which states that the provisions are not included, and with the proposed regulatory text, which contains no consultation or information-sharing provision in any of paragraphs (a) through (h) of Section 208.63.

Tokenization Systems raises this as a drafting observation and not as a criticism of the

Board's reasoning. The most economical reading is that Section VIII describes the rule the Board understood itself to be proposing. Adopting the provisions in the final rule would conform the rule to the description its own alternatives analysis gives of it, and would remove an inconsistency that a reader of the final rule would otherwise encounter in the explanation of why this approach was chosen over the alternatives.

**Third, the institution-side provision costs the Board nothing and closes a gap the institution cannot close for itself.** The second provision permits an institution to share information with the FinCEN Director relating to an existing or potential action. Without it, an institution supervised by the Board that wishes to present its position to FinCEN has no stated channel, while an institution supervised by one of the Agencies does. Adopting it places Board-supervised institutions on the same footing.

On the two information-sharing options the Agencies' proposals present, Tokenization Systems recommends that the Board resolve the choice consistently with the Agencies rather than independently. The value of these provisions lies in their uniformity across regimes, and a Board rule that adopts a different option would reintroduce, in a smaller form, the divergence the adoption is meant to close.

Tokenization Systems notes one drafting point. If the Board adopts the consultation provision, the provision should be drawn to reach the same set of actions that the enforcement policy in proposed paragraph (g) reaches, using the same defined terms, so that the two paragraphs describe one coherent framework. Adopting the consultation provision with a different scope than paragraph (g) would create an internal seam in place of the external one.

### Recommendation 2 (Questions 6, 7, 21, 22, 24, and 26; proposed Section 208.63(a) and (g)): Define the failure that forfeits the enforcement policy, and keep the definition of the protected action broad

The Board asks four separate questions about the same two terms. Questions 6 and 21 both ask whether clarification is needed on what constitutes a "significant or systemic failure" to implement an established AML/CFT program. Questions 7 and 22 both ask whether clarification is needed on what constitutes a "failure to establish an AML/CFT program."

Tokenization Systems' answer is yes, and this is the most consequential clarification available in this rulemaking.

**The proposed rule conditions its central protection on a term it never defines.** Proposed Section 208.63(g)(1) provides that, except with respect to "a significant or systemic failure to implement the AML/CFT program in accordance with paragraph (d)," an institution that has established a program will not be subject to an AML/CFT enforcement action or a significant AML/CFT supervisory action. That protection is the proposal's principal benefit to supervised institutions, and the Board's own benefit analysis treats it as such. Everything therefore turns on the boundary between an implementation shortfall that keeps the protection and one that forfeits it.

The proposed definitions paragraph, Section 208.63(a), defines four terms: AML/CFT

enforcement action, AML/CFT requirement, Bank Secrecy Act, and significant AML/CFT supervisory action. It does not define "significant or systemic failure." The phrase appears throughout the notice, in the overview, in the section-by-section analysis, in the regulatory impact analysis, and in the operative text, and it is nowhere given content. An institution reading the final rule to determine whether a known implementation gap forfeits its protection has no standard to apply.

The requirement is also doubly qualified in a way that compounds the difficulty. Paragraph (g)(1) excepts a failure that is "significant or systemic," and it defines that failure by reference to paragraph (d), which requires implementation "in all material respects." An institution must therefore satisfy itself about two distinct and undefined thresholds, one framed in the language of significance and systemic effect and the other in the language of materiality, in order to know whether it holds the protection.

**Tokenization Systems recommends that the final rule state the factors the Board weighs**, in the preamble or in regulatory text. The Board does not need to author a bright-line test, and Tokenization Systems does not recommend one; a quantitative threshold would create the cliff effects the Board rightly rejects elsewhere in Section VIII. What is needed is the set of considerations that distinguish a significant or systemic failure from an isolated one. The notice already contains a workable starting point. Section IV.C.2 lists commonly observed examples of implementation shortfalls, including internal policies, procedures, and controls not being performed on a consistent, regular, and timely basis; gaps in risk assessment processes that cause the program to miss or inadequately cover higher risks; and deficiencies in risk assessment processes that have a material impact on risk mitigation, including through data-related issues. Tokenization Systems recommends that the final rule present that material as the factors bearing on the significant-or-systemic determination, rather than as illustration alone, and that it state whether the determination turns on the extent of the failure, its duration, its detection through the institution's own controls, its effect on the reporting the Bank Secrecy Act exists to produce, or some combination.

**This request is not novel, and the Board has the benefit of seeing it answered on the sibling record first.** The American Bankers Association, in its June 9, 2026 comment to the Financial Crimes Enforcement Network, the Office of the Comptroller of the Currency, and the Federal Deposit Insurance Corporation on the two proposals this rule aligns to, asked those agencies to "clarify what constitutes a 'significant or systemic failure to implement' (or 'establish') a rule-compliant AML/CFT program," and observed that "[i]f there is uncertainty regarding eligibility for this safe harbor, it will not benefit banks." That comment was filed a month before this proposal published, and it was addressed to those three agencies because they were the agencies then with proposals before the public. The Board's proposal carries the same term forward and does not define it.

The Association also proposed candidate content, which Tokenization Systems supports rather than restates: that a program lacking mandatory operational components, deficiencies widespread across one or more program components, or deficiencies substantially impairing the institution's ability to assess or update risks could reasonably be construed as a failure to implement in all material respects, judged on the totality of the

circumstances; and that absent such circumstances the final rules adopt a presumption that an institution has implemented its program in all material respects, with the presumption preserved where the institution self-identifies gaps and takes reasonable steps to remediate them. The increment Tokenization Systems adds is the control-layer factor described below, which that list does not reach.

The cross-regime consequence deserves the Board's attention, because it is the same consideration Recommendation 3 addresses. Four authorities have now been asked to give content to one term. If they answer differently, or if some answer and others do not, the definitional divergence becomes precisely the inconsistency this rulemaking exists to prevent, and it will sit at the most consequential point in each of the four rules. Whatever content the agencies adopt should be adopted in common.

**Question 5 raises the part of this question the other four leave open, and the final rule should answer it.** Question 5 asks whether the rule should distinguish establishing and maintaining at the program level from establishing and maintaining each individual element, and specifically whether the final rule should differentiate a failure to establish the program as a whole from a failure to establish an individual mandatory component. The same question governs the forfeiture trigger, and the proposed text does not answer it: an institution cannot tell whether a significant or systemic failure affecting one mandatory component, independent testing, for example, constitutes a significant or systemic failure to implement the program. Tokenization Systems recommends that the final rule state whether the determination is made at the program level or the component level, because the two readings produce materially different outcomes for the same facts.

One consideration is specific to the institutions this comment is most concerned with. Where an institution's monitoring or customer-identification capability depends on control functions performed by a third party, a failure at that layer can be systemic in effect while presenting as isolated within the institution's own systems, because a single dependency may sit beneath many products and channels at once. Tokenization Systems recommends that the factors the Board states account for where a failure sits in the institution's control architecture, and not for its surface presentation alone.

**On Questions 24 and 26, Tokenization Systems recommends that the Board retain its current drafting**, and does so for a reason that runs against the direction those questions appear to contemplate.

Question 24 asks whether "any written communication" is too broad in the definition of significant AML/CFT supervisory action, and whether the term should be more clearly defined or removed. Question 26 asks whether that definition is sufficiently clear and whether including "unsafe or unsound practices or conditions" introduces confusion, given that those terms are not found in the Bank Secrecy Act.

The structural point is that this definition does not describe conduct the institution must avoid. It describes the category of supervisory action from which a compliant institution is protected by paragraph (g). Its breadth therefore runs in the institution's favour. Narrowing it would not narrow any obligation; it would narrow the shield. If "any written communication" were removed, a written supervisory criticism that is not a formal

supervisory determination would fall outside the definition, and paragraph (g) would not bar it. If "unsafe or unsound practices or conditions" were removed, an action grounded in an unsafe or unsound practice relating to an AML/CFT requirement could be characterised as a safety-and-soundness matter and fall outside the protection, which would leave the institution exposed on the same underlying facts through a different label.

The breadth is also already bounded, which is the answer to the concern Question 24 raises. The definition is conjunctive. A communication qualifies only if it identifies a deficiency, weakness, violation, or unsafe or unsound practice relating to an AML/CFT requirement, and communicates supervisory expectations regarding required remedial measures, and contemplates significant or programmatic actions or remedial measures. The third element carries the limiting work. The definition further excludes examiner observations, suggestions, and other informal comments in terms. The reach of "any written communication" is therefore a matter of the form a qualifying communication may take, not of the substance it must have, and the substance is constrained by the third element and the express carve-out. Tokenization Systems recommends that the Board retain both phrases and, if further clarity is sought under Question 26, address it in the preamble by confirming that the third element and the carve-out are what bound the definition.

**Recommendation 3 (Question 8): State how the four regimes function harmoniously by naming the divergences and their reconciliation**

Question 8 asks: "How should the proposed rule ensure that the regulations issued by FinCEN, the Board, and the Agencies function harmoniously? How should the proposed rule differentiate between the Secretary of the Treasury's responsibility for regulations on establishing AML/CFT programs and the Board's responsibilities for regulations on establishing and maintaining programs?"

Tokenization Systems recommends that the Board answer the first question in the preamble to the final rule by enumerating, point by point, each respect in which its final rule differs from the FinCEN final rule and the Agencies' final rule, and stating for each divergence how an institution should reconcile it. Harmonious function is not established by a statement of intent to align. It is established by a reader of the four instruments being able to determine, for any given obligation, whether the four say the same thing, and if they do not, which governs.

This recommendation is not a request for new substantive requirements. It asks for the reconciliation to be published rather than left to be derived. The population that must derive it is not uniform in its capacity to do so: the Board's own analysis identifies approximately 439 Board-supervised institutions that are small entities for purposes of the Regulatory Flexibility Act, out of 703 insured state member banks and the additional covered populations (91 Fed. Reg. at 42379 to 42380). An institution of that size reconciling four instruments without a published crosswalk is precisely the "additional burden or confusion from needing to comply with differing standards between regulatory agencies" that Section I of the notice states the proposal is designed to avoid.

At least four divergences are visible on the face of the current proposals and would benefit

from explicit reconciliation: the consultation and information-sharing provisions addressed in Recommendation 1; the scope of covered institutions addressed in Recommendation 5; the effective dates addressed in Recommendation 4; and the relationship between the enforcement policy each regime states and the actions of the other regimes, since proposed Section 208.63(g) is expressly limited to actions by the Board while an institution may be subject to action by more than one authority arising from the same conduct.

On the second half of Question 8, Tokenization Systems observes that the division the question describes is already articulated in the notice, at Section IV.C and in footnote 40: the Bank Secrecy Act requires that each financial institution "shall establish" a program, while 12 U.S.C. 1818(s)(1) requires that institutions "establish and maintain procedures reasonably designed to assure and monitor" compliance. The Board's two-pronged framework tracks that statutory division. Tokenization Systems recommends that the final rule preamble state this derivation explicitly, because it explains why the Board's rule reaches maintenance and implementation while the FinCEN rule is framed around establishment, and an institution that understands the derivation will not read the difference as a conflict between the two instruments.

**Recommendation 4 (Questions 28 and 29): Sequence the effective date to the alignment it depends on**

Question 29 solicits comment on the proposed effective date of twelve months from issuance of the final rule. Question 28 asks whether the rule should tailor requirements or implementation timelines to the size, complexity, or risk profile of the bank.

On Question 29, Tokenization Systems supports a twelve-month implementation period in principle and recommends one modification to how the period is anchored. As proposed, the clock runs from the issuance of the Board's final rule. The Board's rule is expressly an alignment instrument: its content is defined by reference to rules that three other authorities will finalize on their own schedules. If the Board finalizes first, institutions will be implementing a rule whose reference points are not yet fixed, and a subsequent divergence in a sibling final rule will arrive partway through the implementation period. If the Board finalizes last, the period may extend well past the point at which institutions are already subject to the aligned obligations through the other regimes.

Tokenization Systems recommends that the Board either key the effective date to the later of twelve months from its own final rule and the effective date of the last of the four final rules to issue, or state in the preamble how an institution should comply during any interval in which the regimes are not yet aligned. Either resolution is administrable. The recommendation is only that the interval be addressed rather than left to supervisory practice, because the interval is a foreseeable consequence of four authorities finalizing aligned rules independently.

On Question 28, Tokenization Systems does not recommend formal tailoring by size, and agrees with the Board's reasoning in Section VIII that explicit thresholds could create cliff effects. The proposal is already scalable through the "commensurate with the size, structure, risk profile, and complexity" standard. Tokenization Systems observes only that

scalability by risk profile cuts in both directions: an institution that is small by asset measure may perform control-layer functions in tokenized finance that present risk out of proportion to its balance sheet, and the commensurate-with standard should be understood to scale to the risk the institution's activities present rather than to its asset size. Recommendation 8 addresses the specific case.

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## II. Group II: The rule should cover what it says it covers and examine what it says it examines (Recommendations 5 through 7)

### Recommendation 5 (Regulatory Flexibility Act analysis; proposed Section 208.63): Make the operative text reach every population the rule is said to cover

The Regulatory Flexibility Act analysis states that "[t]he proposal would apply to state member banks; Edge and agreement corporations; and branches, agencies, or representative offices of a foreign bank operating in the United States (other than a Federal branch or agency or a state branch that is insured by the FDIC)," which it defines collectively as "Board-supervised institutions," citing 12 CFR 208.63, 211.5(m), and 211.24(j). It reports 703 insured state member banks and approximately 439 Board-supervised institutions that are small entities, and it then computes the burden of the proposal over 464 small entities (91 Fed. Reg. at 42379 to 42380). The Summary and the preamble likewise describe the rule as applying to "Board-supervised banks."

Those two small-entity figures do not agree, and the difference is load-bearing for the analysis rather than incidental. The analysis states the affected small-entity population as approximately 439, and the two cost estimates are computed over 464. The published dollar figures reconcile only with the larger number: 32 hours at $51.20 per hour across 464 entities produces $760,218, and 8 hours at the same rate across 464 produces $190,054, while the same arithmetic at 439 entities produces approximately $719,258 and $179,814. Tokenization Systems raises this because the Board asks commenters, in this same section, to describe the number of small entities under the Regulatory Flexibility Act and the impact on them, and a commenter cannot address a population the analysis states two ways. Tokenization Systems takes no position on which figure is correct and does not suggest the estimate is materially wrong at either count; the recommendation is that the final rule state one number and use it in both places. The discrepancy also bears on the scope question above. Both figures are counts of small entities across the three populations the analysis identifies as Board-supervised institutions, while the operative text reaches state member banks alone, so the population the burden is computed over and the population the revised section governs on its face are not the same set, whichever count the Board adopts.

The operative text is narrower. The amendatory instruction revises only 12 CFR 208.63, and every operative paragraph of the revised section runs to "a state member bank." The definition of "significant AML/CFT supervisory action" in proposed paragraph (a)(4) is

framed in terms of communications to a state member bank and remedial measures taken by a state member bank. Paragraphs (b) through (g) each impose their obligation or confer their protection on a state member bank.

The two cross-referencing provisions the analysis cites carry the program obligation to the other populations, but they carry it for a defined purpose. Section 211.5(m)(1) provides that each Edge corporation and each agreement corporation shall, "in accordance with the provisions of Sec. 208.63 of the Board's Regulation H, 12 CFR 208.63, develop and provide for the continued administration of a program reasonably designed to assure and monitor compliance" with the Bank Secrecy Act. Section 211.24(j)(1) imposes the same obligation in the same words on the covered foreign-bank offices. Both incorporate Section 208.63 for the purpose of developing and administering a program.

The consequence is asymmetric, and it runs against the institutions. The program-establishment and program-maintenance obligations in proposed paragraphs (c) and (d) are program-development requirements, and the incorporating provisions carry them. The enforcement and supervision policy in proposed paragraph (g) is not a program-development requirement. It is a limitation on the Board's own supervisory and enforcement action, expressed as a protection for an institution that has properly established a program, and its terms run to state member banks. An Edge corporation or a covered United States office of a foreign bank would therefore take on the obligations through the cross-reference while its entitlement to the corresponding protection is, at best, unclear. That protection is the principal benefit the proposal offers supervised institutions, and the Board's own benefit analysis treats it as such.

The Board is not obliged to extend paragraph (g) to those populations, and Tokenization Systems does not assume the omission was inadvertent. The recommendation is that the final rule state the answer either way, and that the operative text and the analysis describe the same population. Two drafting paths are available:

1. Define a term in proposed Section 208.63(a) covering the three populations the analysis identifies, and use that term in paragraphs (b) through (h). This is the approach the Agencies' rules take.
2. Amend 12 CFR 211.5(m) and 12 CFR 211.24(j) in the same final rule to incorporate Section 208.63 in full, including paragraph (g), rather than for program development and administration alone.

Either path aligns the operative text with the Regulatory Flexibility Act analysis and with the burden estimate computed over 464 small entities across the combined population. If the Board intends the enforcement policy to reach only state member banks, Tokenization Systems recommends that the final rule preamble say so, and that the Regulatory Flexibility Act analysis be revised to describe the benefit as accruing to a narrower population than the one over which the cost is computed.

This is not a formal point for the population most exposed to it. The covered United States offices of foreign banks are, as Tokenization Systems observed in its April comment, increasingly involved in stablecoin and tokenized deposit activity. They are among the institutions most likely to encounter the control-layer questions the remaining

recommendations address, and they are the population for which the scope of the enforcement policy is least clear on the current text.

### Recommendation 6 (Questions 10, 11, 15, and 20; proposed Section 208.63(c)(1)(i) and (e)): Confirm that risk assessment processes reach tokenized distribution channels and control-layer arrangements

Proposed Section 208.63(c)(1)(i)(A) requires risk assessment processes that evaluate the ML/TF risks of the institution's business activities, "including its products, services, distribution channels, customers, and geographic locations." The preamble states that the Board "considers 'distribution channels' to refer to the methods and tools through which a bank opens accounts and provides products or services, including, for example, through remote or other non-face-to-face means," and notes that the term "may be a newer term for some banks" (91 Fed. Reg. at 42370).

Tokenization Systems recommends that the Board confirm in the final rule preamble that this definition reaches channels operated through distributed-ledger infrastructure, and that it reaches channels in which a third party performs control-layer functions on the institution's behalf.

The recommendation asks the Board to confirm the reach of language it has already adopted rather than to add a category. On the definition's own terms, a channel through which an institution opens accounts or provides products or services by programmatic means, through a wallet-based onboarding path, through a smart-contract interface, or through an interface operator that stands between the institution and the customer, is a method or tool through which the institution provides the product or service, and is not face to face. Confirmation is nonetheless warranted for the reason the Board itself identifies: the term is new to some institutions, and an institution unfamiliar with it is more likely to read it against the traditional branch, telephone, and internet channels it already inventories than to read it as reaching an arrangement in which a technical intermediary performs the customer-facing function.

The distinguishing feature of these channels for risk-assessment purposes is that the operational capacity to observe and act on activity may sit with a party other than the institution that carries the obligation. Where an institution provides a service through an interface it does not operate, its ability to identify the customer, to observe the transaction, and to execute a lawful order depends on arrangements with the operator of that interface. A risk assessment that inventories the product without reaching the control arrangement will not surface that dependency. This is the substance of the control-layer mapping Tokenization Systems recommended to the Agencies in its April comment, expressed here in the Board's own vocabulary.

The Board notes that innovative approaches "could involve machine learning, generative artificial intelligence (GenAI), digital identity, blockchain monitoring and analytics, or application programming interfaces" (91 Fed. Reg. at 42368 and 42369). Tokenization Systems supports that encouragement, and observes that blockchain monitoring and analytics are the instruments through which activity conducted over a tokenized

distribution channel becomes observable at all. An institution that provides services through such a channel without the corresponding monitoring capability has a distribution channel it cannot observe, which is a risk-assessment finding rather than a technology preference.

On the prompt-update requirement in proposed Section 208.63(c)(1)(i)(C) and Question 15, Tokenization Systems recommends that the Board confirm that a material change in the control-layer arrangements supporting an existing product is a change that a bank has reason to know may significantly change its ML/TF risks. The preamble's examples focus on new products, new customer types, significant changes to existing offerings, adoption of new risk-mitigation technology, and corporate transactions (91 Fed. Reg. at 42371). A change in who operates the interface, in the custody arrangement supporting a tokenized instrument, or in the technical mechanism by which an order can be executed will not always present as a change to the product as the institution catalogues it, while it may materially change the institution's ability to detect and act on illicit activity through that channel.

On Question 15's alternatives, Tokenization Systems recommends retaining "promptly" over a set schedule and retaining "significantly changes" over "materially changes." A periodic schedule would permit a known change in risk to sit unaddressed until the next scheduled review, which is the outcome the requirement exists to prevent. As to the verbal standard, "materially" carries an accounting and securities-law connotation calibrated to a reasonable investor, and importing it here would invite institutions to apply a quantitative materiality convention to a question about illicit-finance risk. Tokenization Systems recommends that the Board retain "significantly" and, if further clarity is sought, illustrate it with examples in the preamble rather than substitute a term of art from another field.

**An objection to this recommendation is already on the sibling record, and it deserves a direct answer.** The American Bankers Association, in the June 9, 2026 comment described in Recommendation 2, recommended that the risk assessment requirement apply to an institution's "business activities" generally rather than to the enumerated categories, on the ground that "distribution channels" is "a term which is undefined in the rules themselves, seems highly likely to evolve over time, and may become indistinguishable from products or services."

Two of those three observations are correct, and the third is the reason to keep the enumeration rather than to remove it.

The Association is right that the term is undefined in the codified text. The Board's definition appears in the preamble and not in proposed Section 208.63, which is precisely why Tokenization Systems recommends that the final rule confirm it. Confirming the definition answers the objection directly, and it does so without removing anything.

The Association is also right that the term will evolve. That is an argument for confirming its reach rather than for deleting the category, because the practical risk runs toward under-inclusion rather than rigidity. An institution applying an unenumerated "business activities" standard against the channel inventory it already maintains is less likely, not more, to reach a channel operated through distributed-ledger infrastructure or through a

third party that performs the customer-facing function. Removing the enumerated category would remove the one place in the text that names the concept at all.

On the third point, overlap between a distribution channel and a product or service is not a defect in the enumeration. The same activity can present one risk profile as a product and a different one as the channel through which it is delivered, and the difference is exactly what matters here: the product may be familiar while the channel introduces a dependency on a party the institution does not control.

Tokenization Systems therefore recommends that the Board retain the enumerated categories, confirm the preamble definition in the final rule, and state that the enumerated categories are not exhaustive. Those three together answer the Association's concern about being locked into fixed categories while preserving the hook that reaches the channels this comment is concerned with.

One consequence of this reaches Question 20, which asks whether material revisions to particular components should require re-approval at the same level as the program itself. Tokenization Systems recommends that the Board treat the two questions as one. If a change in the control-layer arrangements supporting a product is a change that may require a prompt update to risk assessment processes, then a change of that kind which materially alters the institution's monitoring architecture is also the natural candidate for re-approval under proposed Section 208.63(e). Answering Question 15 and Question 20 with the same trigger would spare institutions from maintaining two separate tests for the same event, which is consistent with the flexibility the Board seeks elsewhere in the proposal.

**Recommendation 7 (Questions 1, 2, and 17; proposed Section 208.63(c)(2)): Anchor independent testing and the effectiveness determination in observable criteria**

Question 17 asks how institutions may interpret and carry out the independent testing requirement, and whether further clarifications are necessary "to ensure that audits carried out by bank personnel or outside third parties are well-tailored, risk-based, and focused on effectiveness." Questions 1 and 2 ask whether the description of an effective program is sufficiently clear and whether banks are best placed to identify risks and allocate resources.

Tokenization Systems recommends that the Board confirm in the final rule preamble or in examination guidance that independent testing evaluates whether the established program operates as designed, including whether the controls the program describes can be demonstrated to function, and not solely whether the program is documented and the documented steps were performed.

The notice already contains the operative language. It states that independent testing "should be based on objective criteria designed to assess whether a bank has established and implemented an effective AML/CFT program and allocated resources consistent with its risk assessment processes," and that the evaluation should provide sufficient information for the reviewer "to reach a conclusion about whether the set of internal policies, procedures, and controls is reasonably-designed, and resources are well-allocated" (91 Fed.

Reg. at 42372). The recommendation asks the Board to carry that objective-criteria framing into the final rule preamble in terms that make the object of the test explicit: not whether the control is described, but whether it works.

The distinction is load-bearing under this proposal in a way it was not under the prior rule, because of what the proposal ties to the effectiveness determination. Proposed paragraph (g) provides that an institution that has properly established a program will not be subject to an AML/CFT enforcement action or a significant AML/CFT supervisory action except with respect to a significant or systemic failure to implement. That is a substantial and appropriate protection. Its integrity depends on the establishment determination resting on something more than the presence of the required components, and independent testing is the mechanism through which the institution and its examiners learn whether the components function. The Board makes exactly this point in Section III, stating that it "does not intend for the proposed rule to provide banks permission to establish an AML/CFT program that might be interpreted as meeting the proposed rule's technical requirements on their face, but do not effectively detect and prevent ML/TF activity" (91 Fed. Reg. at 42367). Tokenization Systems recommends that the final rule carry that statement into the testing discussion, where it becomes operational.

Tokenization Systems' prior comments have advanced this position across the parallel channels, recommending in the FinCEN general program proceeding that independent testing trace activity against internal records rather than review documentation alone, and recommending in the permitted payment stablecoin issuer proceedings that a control capability be confirmed by operational test rather than presumed from the existence of a technical function. The increment this comment adds is narrow: the Board's proposal creates a disposition whose availability turns on proper establishment, so the observability of the establishment determination becomes a question about the scope of a protection rather than a question about audit quality alone.

On Question 2, Tokenization Systems agrees that institutions are best placed to identify their own risks and allocate resources accordingly, and does not recommend that the Board add resource-allocation requirements. On the question of how banks might assess changes in total AML/CFT resource allocation, Tokenization Systems observes that an allocation measured only by aggregate expenditure or headcount will not answer the question the rule actually asks, which is whether allocation is consistent with the risk assessment processes. An institution that reduces staffing while deploying monitoring capability of greater coverage may have improved its posture; an institution that holds expenditure constant while entering a channel it cannot observe has degraded it. Tokenization Systems recommends that any preamble discussion of resource allocation frame the measure as coverage of identified risk rather than as input volume.

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## III. Group III: Where Board-supervised institutions meet the tokenized finance regime (Recommendations 8 and 9)

### Recommendation 8 (Questions 9, 11, and 14; proposed Section 208.63(c)(1)(i)): Name reserve-custody and stablecoin banking relationships as a risk-assessment consideration

Question 11 asks whether risk assessment processes should take into account additional or different criteria or risks than those listed in the proposed rule. Question 9 asks whether banks expect changes to their internal policies, procedures, and controls. Question 14 asks what additional guidance on incorporating the AML/CFT Priorities would be useful.

Tokenization Systems recommends that the Board confirm in the final rule preamble that an institution that holds reserve assets for a permitted payment stablecoin issuer, or that provides banking services to such an issuer, evaluates that relationship in its risk assessment processes as a distinct channel rather than solely as a deposit or custody relationship with a single commercial customer.

The GENIUS Act framework, which the Board's proposal cites among the recent statutory developments, contemplates that permitted payment stablecoin issuers will hold reserves in specified forms, and a substantial share of those reserves will sit with insured depository institutions and their affiliates. Where a Board-supervised institution performs that function, the risk it takes on is not fully described by the risk profile of its direct customer. The activity that gives rise to illicit-finance risk in that relationship occurs among holders of the issued instrument, who are not the institution's customers and whose transactions do not pass through the institution's systems. The institution's exposure is a function of the issuer's control-layer capability, specifically the issuer's ability to observe holder activity and to execute lawful orders against the instrument, which is a property of a counterparty rather than of the institution itself.

This is the position Tokenization Systems advanced to the Agencies in April, and it applies to this proposal for the same reason: the relationship is a channel through which illicit-finance risk reaches a supervised institution without appearing in the institution's own transaction monitoring. Tokenization Systems recommends confirmation in the preamble rather than a new regulatory requirement, because the proposal's existing text already reaches the relationship. A reserve-custody or banking relationship with an issuer is a service the institution provides, and the customers, products, and distribution channels the risk assessment must evaluate include it. What confirmation adds is the direction to evaluate the relationship at the level at which the risk actually arises.

The connection to Question 14 and the AML/CFT Priorities is direct. Where an institution's exposure through such a relationship depends on a counterparty's operational capability, guidance on incorporating the Priorities would be more useful to that institution if it addressed how to evaluate a Priority-related risk that materializes in a counterparty's systems rather than in the institution's own. Tokenization Systems recommends that any guidance the Board issues under Question 14 address that pattern, which is not confined to stablecoin relationships and arises wherever a supervised

institution's illicit-finance exposure runs through a third party's control functions.

**Recommendation 9 (Question 18; proposed Section 208.63(c)(3)): Clarify the United States officer requirement where control functions are performed offshore**

Question 18 notes that under the proposed rule the AML/CFT officer must be located in the United States while personnel outside the United States may still perform certain AML/CFT functions, states that the language does not alter existing restrictions on sharing suspicious activity reports outside the United States, and asks whether further clarifications are needed.

Proposed Section 208.63(c)(3) requires the institution to designate an individual who is located in the United States, accessible to and subject to oversight and supervision by FinCEN and the Board, and responsible for establishing and implementing the program and coordinating and monitoring day-to-day compliance.

Tokenization Systems recommends one clarification: that the Board confirm that the required accessibility runs to the officer's authority and to the information on which the officer acts, and not to the officer's physical location alone, where AML/CFT functions or the control-layer operations they depend on are performed outside the United States.

The preamble already supplies the principle. It states that the proposed rule "focuses on the AML/CFT officer's position in the bank's organizational structure that enables the AML/CFT officer to effectively establish and implement the bank's AML/CFT program," that the officer's "authority, independence, and access to resources within the bank are critical," and that the officer's access to resources includes "sufficient technology and systems to support the timely identification, measurement, monitoring, reporting, and management of the bank's ML/TF risks" (91 Fed. Reg. at 42373). The clarification Tokenization Systems recommends applies that principle to the arrangement the question describes.

The concern is specific and is not a general objection to offshore operations, which the Board correctly recognizes may serve legitimate purposes including cross-border coordination. Where the systems that perform monitoring, the personnel who perform investigation, or the technical operations through which an order would be executed are located outside the United States, a domestically located officer satisfies the text. Whether that officer is accessible in the sense the AML Act contemplates depends on whether the officer holds the authority to direct those functions and can obtain the underlying information on request. An officer who can describe what an offshore function does, but cannot direct it and cannot reach its records without the cooperation of a foreign affiliate, is accessible in location and not in substance.

This consideration has particular force for the covered United States offices of foreign banks, for which the head office and the operations supporting the United States activity may both sit abroad. That population is within the group addressed in Recommendation 5, and the two recommendations interact: the clarity of the officer requirement for those

institutions is of limited practical consequence if the scope question raised in Recommendation 5 leaves it unclear which provisions of the revised section reach them at all.

Tokenization Systems does not recommend that the Board restrict the offshore performance of AML/CFT functions, and does not recommend a change to the regulatory text. The recommendation is that the preamble state that the accessibility requirement is satisfied when the designated officer holds directive authority over the functions on which the program depends and can obtain the underlying records, whatever the location of the personnel or systems performing them.

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## IV. A note on the record: the numbered question list has two gaps and one duplicated pair

Section VII states that the Board "encourages commenters to reference specific question numbers when responding." Tokenization Systems has structured this comment accordingly, and in doing so encountered two features of the numbered list that the Board may wish to know are visible to commenters. Tokenization Systems raises both only for the Board's awareness and takes no position on how the Board should address either.

**Two numbers are absent.** The list runs 1 through 24, then 26, then 28, then 29. Questions 25 and 27 do not appear. The numbering is continuous through Question 24, resumes at 26 within the same supervision-and-enforcement cluster, and resumes again at 28 under the heading "Other Topics," so by position the omitted questions fall within or immediately after the supervision-and-enforcement cluster addressed in Section IV.G of the preamble.

**One pair is duplicated, and a near-duplicate pair sits alongside it.** Question 22 is word for word identical to Question 7. Both read, in full: "Is clarification needed for banks to determine what constitutes a 'failure to establish an AML/CFT program'?" Question 21 differs from Question 6 only in the omission of a qualifier, asking about a "significant or systemic failure" to implement "an established" program where Question 6 asks about the same failure to implement "in all material respects a properly established" program. Each pair appears once under "Establishing and Maintaining an AML/CFT Program," keyed to Section IV.C, and once under "Supervision and Enforcement," keyed to Section IV.G.

Tokenization Systems verified both features against the notice of record rather than a derived copy, by independent extraction from the Government Publishing Office rendering of 91 Fed. Reg. 42363 to 42382 in both portable-document and hypertext form, which agree.

Taken together, the twenty-nine numbers yield twenty-seven published questions and twenty-five distinct ones. The practical consequences for the record are modest but worth stating. The record will contain no response keyed to the two absent numbers, and commenters who follow the Board's request to reference question numbers cannot address

whatever those questions asked. A commenter responding to the duplicated pair must either answer twice or choose a number, so responses to the same question will be distributed across two numbers and a reader tallying by number may undercount them.

The duplication is not merely clerical, and this is Tokenization Systems' reason for noting it rather than passing over it. The question the Board asked twice, in two different clusters, is the question about the terms on which the entire enforcement and supervision policy in proposed Section 208.63(g) depends. Whatever produced the repetition, it identifies the same terms that Recommendation 2 above identifies as the ones most in need of content in the final rule.

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## Conclusion

The Board states that the purpose of this proposal is to keep its AML/CFT program requirements consistent with those of the Financial Crimes Enforcement Network and the other Federal banking agencies, so that institutions are not exposed to additional burden or confusion from differing standards. Tokenization Systems supports that purpose and has framed every recommendation to serve it.

Four of the recommendations ask the Board to close a distance between what the notice says and what its text does. The proposal omits the FinCEN consultation and information-sharing provisions that all three sibling rules contain, while the analysis of alternatives describes the proposal as containing them; adopting them is the subject of Recommendation 1 and would conform the rule to the account the notice gives of it. The proposal makes the protection in paragraph (g) its principal benefit to supervised institutions and then conditions that protection on a term the definitions paragraph does not define, which Recommendation 2 asks the Board to give content, in the same breath recommending that the Board retain the drafting that keeps the protection broad. The proposal's operative text runs to state member banks while its analysis covers, and costs, a wider population, which Recommendation 5 asks the Board to resolve in one direction or the other. The effective date is anchored to the Board's own final rule rather than to the alignment on which the rule's content depends, which Recommendation 4 addresses. None of the four requires the Board to revisit a substantive policy choice.

The remaining recommendations ask the Board to confirm the reach of language it has already adopted. Its definition of distribution channels reaches tokenized and programmatic channels, and its prompt-update requirement reaches a change in the control-layer arrangements supporting an existing product (Recommendation 6). Its objective-criteria language for independent testing, read with its own statement that a program meeting the technical requirements on their face is not what the rule intends, supports a testing standard directed at whether controls function (Recommendation 7). Its risk-assessment factors already reach a reserve-custody or banking relationship with a permitted payment stablecoin issuer, and the useful confirmation is that the relationship be evaluated at the level at which the risk arises (Recommendation 8). Its statement that the officer requirement is concerned with organizational position, authority, and access rather

than title supports the clarification that accessibility runs to authority and information and not to location alone (Recommendation 9). Recommendation 3 asks that the reconciliation among the four regimes be published rather than left to each institution to derive.

Tokenization Systems commented in April 2026 on the supervisory-consistency question created by the Board's absence from the joint rulemaking, and expressly took no position on how that question should be resolved. It takes no position now on whether the Board should have proceeded separately. Having proceeded separately, the Board has asked, at Question 23, the precise question on which that consistency now turns. The answer Tokenization Systems offers is that the coordination provisions the sibling rules carry are the mechanism through which four separately administered regimes remain one regime in practice, and that a rule whose stated purpose is consistency should carry them.

Tokenization Systems appreciates the opportunity to comment and is available to provide any of the underlying analysis referenced above.

Respectfully submitted,

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## Appendix: Selected Sources

Board of Governors of the Federal Reserve System, "Anti-Money Laundering and Countering the Financing of Terrorism Programs," 91 Fed. Reg. 42363 (July 9, 2026) (Docket No. R-1835; RIN 7100-AG78).

Office of the Comptroller of the Currency, Board of Governors of the Federal Reserve System, Federal Deposit Insurance Corporation, and National Credit Union Administration, "Anti-Money Laundering and Countering the Financing of Terrorism Program Requirements," 89 Fed. Reg. 65242 (August 9, 2024) (Docket No. R-1835; RIN 7100-AG78, among others).

Office of the Comptroller of the Currency, Federal Deposit Insurance Corporation, and National Credit Union Administration, "Anti-Money Laundering and Countering the Financing of Terrorism Programs," 91 Fed. Reg. 18304 (April 10, 2026).

Financial Crimes Enforcement Network, "Anti-Money Laundering and Countering the Financing of Terrorism Programs," 91 Fed. Reg. 18704 (April 10, 2026).

Financial Crimes Enforcement Network and Office of Foreign Assets Control, "Permitted Payment Stablecoin Issuer Anti-Money Laundering/Countering the Financing of Terrorism Program and Sanctions Compliance Program Requirements," 91 Fed. Reg. 18582 (April 10, 2026).

12 CFR 211.5(m) and 12 CFR 211.24(j) (Bank Secrecy Act compliance program requirements for Edge and agreement corporations and for United States offices of foreign banks, each incorporating 12 CFR 208.63).

American Bankers Association (Heather Trew), comment letter on "Anti-Money Laundering and Countering the Financing of Terrorism Programs," 91 Fed. Reg. 18704 (Docket FINCEN-2026-0034; RIN 1506-AB72) and 91 Fed. Reg. 18304, submitted June 9, 2026 via regulations.gov (https://www.regulations.gov/comment/FINCEN-2026-0034-0078).

Board of Governors of the Federal Reserve System, Federal Deposit Insurance Corporation, National Credit Union Administration, and Office of the Comptroller of the Currency, "Joint Statement on Enforcement of Bank Secrecy Act/Anti-Money Laundering Requirements" (August 13, 2020).

Board of Governors of the Federal Reserve System, Federal Deposit Insurance Corporation, Financial Crimes Enforcement Network, National Credit Union Administration, and Office of the Comptroller of the Currency, "Joint Statement on Innovative Efforts to Combat Money Laundering and Terrorist Financing" (December 3, 2018).

# Comment on the Renewal of Information Collection 3038-0076, Requirements for Derivatives Clearing Organizations

**Submitted to:** Commodity Futures Trading Commission, via www.regulations.gov, specifically referencing "OMB Control No. 3038-0076"
**Docket:** CFTC-2026-1685 (Regulations.gov document CFTC-2026-1685-0001)
**Federal Register citation:** 91 Fed. Reg. 50816 (Aug. 6, 2026)
**Comment period closes:** October 5, 2026
**Submitted by:** Tokenization Systems (www.Tokenization.Systems)
**Date:** October 5, 2026

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## Introduction and summary

Tokenization Systems is an independent research program studying the operational control layer of tokenized financial systems: the technical and organizational functions through which an issuer or platform actually exercises control over issuance, custody, transfer, and the execution of lawful orders. It develops measurement instruments intended to make those functions observable to supervisors, including the Minimum Viable Equivalence Pack (MVEP), a ten-category structural diagnostic applied at decision points such as onboarding and collateral acceptance, and the Control Layer Intensity Index (CLII), a continuous concentration measure.

Tokenization Systems has submitted more than a dozen prior federal comments across eight federal agencies. This is its first comment to the Commission, and it continues a position taken before a sibling regulator rather than opening a new one. In an April 2026 comment to the Office of the Comptroller of the Currency on its rule for permitted payment stablecoin issuers (Docket OCC-2025-0372), Tokenization Systems observed that tokenized instruments originating in different regulatory regimes were receiving comparable collateral treatment, and that "[e]ach regulator supervises the instruments within its perimeter. Nobody supervises the seam where they are combined." That comment named the Commission as one of the regulators whose perimeter meets that seam, and recommended a standardized equivalence assessment as a supervisory tool.

This comment is directed to two of the four matters on which the Commission invites public comment: whether the collection is "necessary for the proper performance of the functions of the Commission, including whether the information will have a practical use," and "[w]ays to enhance the quality, usefulness, and clarity of the information to be collected." It does not contest the Commission's burden estimate. It takes no position on any pending rulemaking, and none of its recommendations requires one.

The four recommendations are:

| # | Recommendation | Regulation inside this collection | What it would make visible |
|---|---|---|---|
| 1. | Define the evidentiary form of the tokenized-collateral equivalence determination | 39.13(g); 39.27(b) | Whether an accepted instrument conveys the rights the margin treatment assumes |
| 2. | Record the liquidation-path analysis behind the liquidity finding | 39.13(g) | Whether quick liquidation survives a named stress, not only the base case |
| 3. | Record whether concentration was assessed at the redemption path, not only at the asset | 39.13(g) | Concentration that sits below the asset level and is invisible when measured at it |
| 4. | Record when the equivalence determination was last revisited | 39.13(g) | Staleness, without the Commission having to set a review interval |

Recommendations 1 and 4 are near-zero burden. Recommendations 2 and 3 are records of analysis a registrant performing the 39.13(g) test in good faith has already done.

## A note on scope and evidence

Tokenization Systems' empirical work studies tokenized funds, stablecoins, and the gateway infrastructure through which they move. It does not study derivatives clearing organizations, and Tokenization Systems has examined no DCO's collateral practices. Where measured findings appear below, they are offered to illustrate a measurement method and a failure mode, not as evidence about any registrant subject to this collection. Each point of use is flagged. Where this comment describes what Staff Letter 25-39 says, it quotes it.

## The collection now supports a determination it does not capture

The notice states that this collection covers the reporting requirements established by Commission Regulations 39.10 through 39.19, 39.21, 39.24 and 39.27, including Regulation 39.13, and that the obligations "are necessary to implement certain provisions of the CEA, including ensuring that registrants exercise effective risk management."

Since this collection was last renewed, Commission staff have addressed a new form in which initial margin assets may be held and transferred. On December 8, 2025, the Market Participants Division, the Division of Market Oversight, and the Division of Clearing and Risk issued CFTC Staff Letter No. 25-39, setting out those Divisions' views on the use of tokenized assets as collateral. That guidance is staff-level, states that it does not create rights and may not be relied upon, and represents the views of the three Divisions rather than the Commission. Tokenization Systems does not treat it as binding and does not ask the Commission to treat it as binding here. It is relevant to this collection for a narrower

reason: it describes determinations that registrants subject to this collection are now expected to make.

The guidance also places itself in a sequence that leads to this collection. It describes the CFTC's tokenized collateral initiative as "part of the CFTC's efforts to implement the recommendations in the President's Working Group on Digital Asset Markets report." That report, issued in July 2025, recommended that the Commission consider using its rulemaking, interpretive, and exemptive authority to "[p]rovide guidance for DCO acceptance of digital asset collateral (including payment stablecoins)," addressing financial resources, haircuts, settlement finality, custody, system safeguards, reporting, and legal risk "under CFTC Regulations 39.11, 39.13, 39.14, 39.15, 39.18, 39.19, and 39.27." Each of those seven regulations is among the thirteen whose reporting requirements this collection covers. The information that shows how DCOs apply any such guidance is therefore information this collection covers.

Three features of Staff Letter 25-39 bear on the practical use of the information collected under 3038-0076.

First, it routes tokenized collateral to the standard this collection already supports. The guidance notes the standard in Regulation 39.13(g), under which, in the guidance's words, a DCO "must limit the assets it accepts as initial margin to those that have minimal credit, market, and liquidity risks," apply appropriate haircuts, and "apply appropriate limitations or charges on the concentration of assets they accept as initial margin to ensure quick liquidation."

Second, it identifies a threshold question the traditional-asset case does not present. The guidance states that "[m]arket participants should consider whether a tokenized form of an asset provides a holder with legal and economic rights that are the same or functionally equivalent to the rights of the asset in traditional form." It supplies no standard for making that determination. On legal enforceability it is firmer: "[r]egistered entities or registrants are required to demonstrate that non-cash assets collected as regulatory margin meet legal enforceability requirements," and for DCOs it cites the legal-framework requirement of Regulation 39.27(b), which is also within this collection. A requirement to demonstrate presupposes a record of the demonstration.

The Divisions have since put the equivalence test itself in those terms. In frequently asked questions updated on September 24, 2026, they answered that an FCM or DCO may invest customer funds in tokenized forms of permitted investments "so long as the FCM or DCO can demonstrate" that, among other things, "the tokenized form of the asset grants the holder legal and economic rights that are the same or functionally equivalent to the rights received by holders of the asset in its traditional form." That answer concerns the investment of customer funds under Regulation 1.25, not initial margin. It confirms, however, that staff now treat equivalence as something a DCO must be able to show, and in more than one setting. What that showing looks like in the record is the question this comment raises.

Third, it forecloses treating the question once and generally. The guidance reminds registrants, including DCOs, that "any tokenized asset or tokenization structure must be

analyzed on an individual basis to ensure it meets all requisite regulatory requirements and registrant policies and procedures," and observes that while tokenization "need not change the fundamental characteristics of that asset," different methods "may provide different rights to token-holders or different levels of protection."

The result is a per-instrument determination that registrants are expected to make, that varies by tokenization structure rather than by asset class, and that conditions whether the 39.13(g) analysis rests on a sound premise. The information collected under 3038-0076 does not capture it in any defined form. A supervisor reading the collection can observe that a haircut was applied. The collection does not show whether the instrument the haircut was applied to conveys the rights the haircut assumes.

That is a limit on practical use rather than a defect in the collection as designed. The collection predates the circumstance. But the standard the Office of Management and Budget applies to every collection asks for more than availability: practical utility means "the actual, not merely the theoretical or potential, usefulness of information to or for an agency" (5 CFR 1320.3(l)). A determination recorded, where it is recorded at all, in whatever form each of 204 respondents chooses has potential usefulness to the Commission. A defined form would make it actual.

## Recommendation 1: define the evidentiary form of the equivalence determination

Tokenization Systems recommends that, in renewing this collection, the Commission specify the form in which a registrant records the equivalence determination for any tokenized asset accepted as initial margin, rather than leaving the form to each registrant.

The recommendation is deliberately narrow. It does not ask the Commission to adopt a substantive standard for equivalence, which is a policy question beyond a PRA renewal. It asks that where the determination is made, the record of it be comparable across the 204 respondents this collection covers. Comparability is what converts an individually reasonable judgment into information with practical use for the Commission.

A defined form would record (i) the decision date; (ii) an instrument description sufficient to identify the tokenized collateral and its redemption or liquidation pathway; (iii) the equivalence framework the registrant applied; (iv) the outcome recorded for each category in that framework; and (v) the system-of-record reference that preserves the decision package. Each is a record of the registrant's own analysis rather than a Commission verdict on substantive equivalence.

The guidance itself supplies a natural first set of categories: the five areas of regulatory concern it names, namely eligible tokenized assets, legal enforceability, segregation, custody, and control arrangements, haircuts and valuation, and operational risks. A form organized around them would require no framework beyond what Commission staff have already published.

MVEP is offered as one more detailed worked model, not the only possible one. Each

category names a required artifact and a pass-or-fail test, applied by the party taking the risk rather than by the issuer of the instrument: Rights Parity; System of Record; Records and Reconciliation; Custody and Customer Property; Insolvency Posture; Settlement Finality; Reorg and Exception Handling; Governance and Change Control; Disclosures; Collateral Operability.

Four map onto regulations already inside this collection:

| MVEP category | Question it forces | Nearest provision in this collection |
|---|---|---|
| Custody and Customer Property | Has the segregation model been verified under stress, and does it match the disclosures | 39.15 |
| Insolvency Posture | Is the holder's claim enforceable against the issuer in a receivership, and is claim priority accessible before it is needed | 39.15; 39.27(b)(3), (4) |
| Settlement Finality | What is "settled," and does value integrity survive an oracle or pricing disruption | 39.14(d); 39.27(b)(5) |
| Collateral Operability | Can the asset be liquidated within the assumed close-out horizon under each named stress | 39.13(g); 39.27(b)(4) |

Tokenization Systems applied MVEP across a published matrix of fourteen tokenized products, nine in the core sample and five comparators. Every product returned Non-Equivalent at the headline level, separating only on a subordinate strength score. Those products are tokenized funds and stablecoins, not DCO margin assets, so the result is not a finding about anything a DCO holds. It is offered for a narrower purpose: it indicates that the determination is not trivially satisfied and that its outcome is not predictable from the asset class alone. That is the condition under which a defined evidentiary form is worth more than a free-text one.

## Recommendation 2: record the liquidation-path analysis behind the liquidity finding

Regulation 39.13(g) limits the assets a DCO accepts as initial margin to those that have "minimal credit, market, and liquidity risks," requires haircuts set "taking into consideration stressed market conditions," and requires concentration limits or charges that protect the DCO's "ability to liquidate such assets quickly with minimal adverse price effects." Regulation 39.27(b)(4) separately requires the DCO's legal framework to provide for "the unimpeded ability to liquidate collateral and close out or transfer positions in a timely manner." For a tokenized asset, the liquidity leg of that test has a structure that the

traditional case does not, and recording only its conclusion discards what makes it checkable.

The characteristic risk is that tokenized collateral posts instantly and converts to cash slowly, and that conversion depends on redemption paths that can constrict together. Tokenization Systems models this in MVEP's tenth category as three paths, four cross-cutting constraints, and a set of named stresses:

- **Paths.** An instant-redemption pool, available continuously but of finite capacity; secondary-market sale, which requires market makers to be present at the moment of need; and standard fund redemption, which runs on business hours and settles on a T+1 or longer cycle.
- **Constraints that cut across all three.** Pool capacity, whitelist or eligible-holder requirements, cross-chain bridge dependency, and the transfer-restriction model.
- **Stresses.** Pool depletion; market-maker withdrawal; fund-administrator unavailability on a weekend or holiday; a transfer-restriction upgrade; an oracle or net-asset-value disruption; sanctions or blocked-property status; and a composed-product cascade, in which an underlying pool is depleted while a wrapper still presents instant redemption.

The pass test Tokenization Systems applies is that the asset remains liquidatable through at least one path under each named stress within the applicable deadline, or that loss allocation is explicit. The test is deliberately not "the base case works," and it is not "two paths work," because the paths share constraints and can fail together. Two of those constraints, eligible-holder requirements and the transfer-restriction model, bear directly on whether liquidation is unimpeded in the sense of Regulation 39.27(b)(4): either can limit who may receive the asset at the moment the DCO needs to sell it.

**Recommendation:** the collection should capture, for each tokenized asset accepted as initial margin, the liquidation paths the registrant relied on, the stresses considered, and whether at least one path survives each. This is a record of the analysis the 39.13(g) liquidity finding already rests on. It converts a conclusion into a reviewable one.

## Recommendation 3: record whether concentration was assessed at the redemption path

Regulation 39.13(g) requires a DCO to apply concentration limits or charges "in order to ensure its ability to liquidate such assets quickly with minimal adverse price effects." Concentration is conventionally measured at the level of the asset: how much of one instrument a portfolio holds. For a tokenized asset, a second concentration sits underneath the asset, in the infrastructure through which it is redeemed or moved, and it is invisible to a measure taken at the asset level.

Tokenization Systems measures this directly for stablecoin transfer infrastructure through the Control Layer Intensity Index. In a sample of nineteen gateway entities across fifty-one addresses, covering 27.7 percent of Ethereum USDC and USDT transfer value (a coverage figure for the sample, not a market share), tier-level concentration measured by the

Herfindahl-Hirschman Index is approximately 5,000, against the 1,800 level conventionally used to mark a highly concentrated market. Within the top tier the split is approximately 56 and 44 between two entities. Over the observed period, transfer volume roughly doubled while unique counterparties fell about 25 percent and cross-gateway counterparties fell from 5.8 to 2.6 percent.

Two scope limits apply and Tokenization Systems states them rather than leaving them to be inferred. This measures gateway infrastructure for two stablecoins on one chain; it is not a measurement of any DCO's collateral, and no DCO's practices were examined. And the index of approximately 5,000 is computed across the three tiers rather than across individual entities: computed across all nineteen entities it averages approximately 2,700, still above the 1,800 level, and the largest single entity holds approximately 37 percent of gross flow and sits outside the top tier.

Independent research finds the same structure at the point of redemption itself. A National Bureau of Economic Research study reports that the largest stablecoin issuer "only allows 6 agents in an average month to redeem stablecoins for cash," that the largest of those agents accounts for 66 percent of redemption activity, and that a second large stablecoin had 521 redeeming agents in an average month; the authors treat their concentration figures as a lower bound. Two instruments of the same asset class can therefore differ by a factor of more than eighty in how many parties stand on their redemption path, and no measure taken at the asset level shows which is which. Stablecoins fall within the CFTC's tokenized collateral initiative, but that study, like the program's, concerns stablecoin markets, not any DCO's collateral.

The relevance to this collection is methodological. If a registrant accepts a tokenized asset whose liquidation depends on redemption or transfer infrastructure, an asset-level concentration limit can be satisfied while the path that limit exists to protect is concentrated. The measurement is feasible from public on-chain data, which is why both that study and Tokenization Systems can report it.

**Recommendation:** the collection should record whether the registrant's concentration analysis was performed at the asset level only, or also at the redemption and transfer path. This is a single categorical field. It does not require the Commission to set a threshold, and it does not require the registrant to adopt any particular index.

## Recommendation 4: record when the determination was last revisited

The equivalence determination is made when an asset is accepted. Nothing in the current collection records when it was last revisited. The parameters that rest on it are treated differently: Regulation 39.13(g)(12) and (13) require a DCO to evaluate the appropriateness of its haircuts, and of its concentration limits or charges, "on at least a monthly basis."

This matters because the facts that determine equivalence can change without producing any signal in the variables a registrant monitors continuously. A custody amendment, a

change to a redemption gate, or a change in administrative-key policy can alter the rights an instrument conveys while its price, market depth, and attestation cadence remain unchanged. Continuous monitoring can therefore remain undisturbed after the basis for the original acceptance has changed, and a monthly haircut review can reconfirm a haircut whose premise no longer holds.

**Recommendation:** capture the date of the most recent equivalence determination for each accepted tokenized asset and the event class that prompted any redetermination. This is a date and a category. It makes staleness visible without requiring the Commission to specify a review interval, which would be a policy choice beyond this renewal.

## Burden

Tokenization Systems does not contest the estimate of 204 respondents, 40 average burden hours per respondent, or 8,160 total annual burden hours.

Recommendations 1, 2 and 3 are intended to be burden-neutral in substance. The equivalence analysis in Recommendation 1 is analysis Staff Letter 25-39 already directs registrants to perform on an individual basis. The liquidation-path and concentration analyses in Recommendations 2 and 3 are the reasoning a registrant performing the 39.13(g) test in good faith has already done in order to reach the finding the collection records. In each case the recommendation addresses the form of the record, not whether the work is done. To the extent that structuring existing analysis imposes any incremental burden, it should fall on presentation rather than on substance, and a defined form should reduce burden over time by removing the need for each registrant to design its own.

Recommendation 4 adds two fields per accepted tokenized asset.

All four apply only to registrants that actually accept tokenized assets as initial margin. Registrants that accept none should record nothing further, and the burden estimate for them is unchanged. Tokenization Systems notes that this scoping is what keeps the recommendations proportionate: the incremental burden is borne by the registrants for whom the information has the most supervisory value.

## Conclusion

This collection exists in part to support the Commission's ability to see that registrants exercise effective risk management. For a tokenized asset, the soundness of that judgment rests on a prior determination about what the instrument conveys, which registrants are now directed to make individually and for which no evidentiary form is specified, and on a liquidity finding whose supporting analysis the collection does not capture.

Defining the form of those records, and recording when the equivalence determination was last revisited, would enhance the quality and usefulness of the information collected without expanding its substantive scope, without setting a threshold, and without requiring a rulemaking.

Tokenization Systems appreciates the opportunity to comment and is available to provide further detail on the category structure and the measurement methods described above.

Respectfully submitted,

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## Appendix: Selected Sources

**The notice.**

- Commodity Futures Trading Commission, Agency Information Collection Activities: Notice of Intent to Extend Collection 3038-0076: Requirements for Derivatives Clearing Organizations, 91 Fed. Reg. 50816 (Aug. 6, 2026) (FR Doc. 2026-16048). Abstract, burden statement, and the four matters on which comment is invited.
- 5 CFR 1320.3(l) (Office of Management and Budget, Controlling Paperwork Burdens on the Public): the definition of practical utility.

**Commission regulations and staff guidance.**

- 17 CFR 39.13(g), including paragraphs (g)(10) (types of assets accepted as initial margin), (g)(12) (haircuts, set taking stressed market conditions into account and evaluated at least monthly), and (g)(13) (concentration limits or charges, also evaluated at least monthly), each also cited in Staff Letter No. 25-39.
- 17 CFR 39.27(b), including paragraphs (b)(3) (the DCO's interest in collateral), (b)(4) (the unimpeded ability to liquidate collateral on a clearing member's default), and (b)(5) (finality of settlement), cited in Staff Letter No. 25-39 for legal enforceability; and 17 CFR 39.14(d) (settlement finality).
- CFTC Market Participants Division, Division of Market Oversight, and Division of Clearing and Risk, Tokenized Collateral Guidance, CFTC Staff Letter No. 25-39 (Dec. 8, 2025). Staff guidance of the three Divisions, not Commission action.
- The same three Divisions, FAQ: Frequently Asked Questions Concerning Registrant and Registered Entity Activities Relating to Crypto Assets and Blockchain Technologies (updated September 24, 2026), Q12 (investment of customer funds in tokenized forms of permitted investments under Regulation 1.25). Staff views, not Commission action.

**Official-sector report.**

- President's Working Group on Digital Asset Markets, Strengthening American Leadership in Digital Financial Technology (July 30, 2025), pp. 52 and 53 (the recommendation that the CFTC consider using its authority to provide guidance for DCO acceptance of digital asset collateral, including payment stablecoins, under Regulations 39.11, 39.13, 39.14, 39.15, 39.18, 39.19, and 39.27).

**Independent research.**

- Yiming Ma, Yao Zeng, and Anthony Lee Zhang, Stablecoin Runs and the Centralization of Arbitrage, National Bureau of Economic Research Working Paper No. 33882 (May 2025). Concentration of stablecoin redemption among a small number of agents, measured from public blockchain data.

**Concentration benchmark.**

- U.S. Department of Justice and Federal Trade Commission, Merger Guidelines (2023). Markets with a Herfindahl-Hirschman Index above 1,800 are treated as highly

concentrated.

**The program's published first-party work (method only; not a finding about any derivatives clearing organization).**

- Zachary Zukowski, Minimum Viable Equivalence Pack: An Institutional Diligence Framework for Tokenized Products, SSRN abstract 6363138 (2026), doi 10.2139/ssrn.6363138. The ten MVEP categories, including Collateral Operability, and the fourteen-product assessment matrix.
- Zachary Zukowski, Routing the Dollar: Gateway Infrastructure, Monetary Policy Transmission, and the Dollar's International Functions in Digital Markets, SSRN abstract 6267698 (2026), doi 10.2139/ssrn.6267698. The Control Layer Intensity Index gateway sample (nineteen entities, fifty-one addresses, 27.7 percent coverage); Exhibit 15 and the accompanying text (tier-level and entity-level concentration); Exhibit 17 (counterparty network).

**The program's prior comment, referenced and not restated.**

- Tokenization Systems, comment on the Office of the Comptroller of the Currency's proposed rule on permitted payment stablecoin issuer activities, RIN 1557-AF41, Docket OCC-2025-0372, comment OCC-2025-0372-0057 (April 10, 2026). Section III.B (coordination across federal regulators on the collateral eligibility boundary) and Section III.C (a standardized equivalence assessment as a supervisory tool).

# Comment on the Notice of Proposed Rulemaking: Disclosure of Information (Aggregated Analyses, Questions 20 Through 23)

**Submitted to:** Federal Deposit Insurance Corporation, via Comments@fdic.gov (RIN 3064-AG30 in the subject line)
**Docket / RIN:** RIN 3064-AG30
**Federal Register citation:** 91 Fed. Reg. 39726 (June 30, 2026); comment period extended, 91 Fed. Reg. 55501 (August 28, 2026)
**Comment period closes:** October 5, 2026
**Submitted by:** Tokenization Systems (www.Tokenization.Systems)
**Date:** October 5, 2026

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## Introduction and summary

Tokenization Systems is an independent research program studying the operational control layer of financial systems: the functions through which an institution actually exercises control, and whether a supervisor or an outside analyst can verify that control from observable data rather than take it on representation. The program's prior comments to the FDIC addressed the prudential activities rule (RIN 3064-AG19), the application-process rule (RIN 3064-AG20), the Bank Secrecy Act and sanctions compliance rule (RIN 3064-AG29), and the companion Resolution Submissions (RIN 3064-AG21) and Assessments (RIN 3064-AG27) proposals issued with this one on June 30, 2026.

This comment is confined to one element of the proposal: Section II.C.7.d, "Disclosure of Data for Aggregated Analyses," and Questions 20 through 23 (91 Fed. Reg. at 39734). There the FDIC recognizes that there may be value in third parties receiving confidential information on an aggregated basis from multiple insured depository institutions "in order to provide transparency with respect to, and facilitate analysis of, the supervisory process, without requiring preapproval from the FDIC." The program supports that objective. Today, supervisory material of this kind reaches the public by exception. When the Board of Governors of the Federal Reserve System released a wide range of supervisory material after the failure of Silicon Valley Bank, it explained: "Due to the exceptional nature of these events, including the failure of SVB, the Board has determined that releasing this information is in the best interest of the public." A standing, safeguarded channel would let the supervisory process be examined before a failure rather than after one.

The proposal does not yet contain that channel. It appears only in the preamble: the proposed regulatory text of revised Part 309 contains no provision for aggregated analyses, and its only references to aggregation concern the aggregation of Freedom of Information Act requests and fees. The FDIC therefore asks, in Questions 20 through 23, whether and how to build it. The program's answer is to adopt it, to codify it with its safeguards, and to design it so that institution-level confidential information does not leave a controlled

environment.

The recommendations are:

| Recommendation | FDIC question | Requested final-rule action | Why it matters |
|---|---|---|---|
| 1. Codify the aggregated-analysis channel and open it to independent researchers | Question 20; Section II.C.7.d | Adopt the channel as a new paragraph (f) of proposed Sec. 309.37 that states its purpose, and make independent research organizations eligible alongside the law firms and trade associations the preamble names | The channel appears only in the preamble, so its purpose and safeguards bind no one yet; and analysis of the supervisory process should not rest solely on organizations that represent the supervised |
| 2. Keep institution-level data in a controlled environment and release only reviewed aggregates | Questions 20, 21, and 22 | Require that institution-level confidential information stay within a controlled environment and that only aggregate outputs passing review leave it | Addresses re-identification (Question 22) and the competitor-information concern in Question 20 by design, because no recipient receives another institution's data |
| 3. Protect the largest institutions against re-identification, not only small cells | Question 22 | Require that every released statistic rest on a minimum number of institutions and that no single institution account for more than a set share of it | Disclosure risk in business data concentrates in the largest units, which a count threshold alone does not protect |
| 4. Require public disclosures to be reproducible from a stated method | Question 23 | Require any public disclosure based on the channel to state its method and parameters in enough detail for the FDIC to recompute it | A statistic computed from the same data can move by a large factor on one unstated choice; reproducibility is the proportionate answer to the inaccuracy risk Question 23 names |

A note on scope and evidence. Recommendation 4 draws on the program's published first-party work, which examines governance tokens, not insured depository institutions; it transfers to this rulemaking as method, not as evidence about any institution the FDIC supervises. Recommendations 2 and 3 draw on the statistical disclosure control literature and on the federal statistical system's own practice, both of which concern business and survey data generally. The one bank-specific source is the Federal Reserve's own review of its supervision of Silicon Valley Bank.

## Recommendations

### Recommendation 1 (Question 20; Section II.C.7.d): Codify the aggregated-analysis channel in the regulatory text, and make independent research organizations eligible

The FDIC asks in Question 20 "[t]o what extent" it should permit this sharing and "[t]o what type(s) of entities" it should allow access. The program recommends that the FDIC adopt the channel as a new paragraph (f) of proposed Sec. 309.37, which in the proposed text runs through paragraph (e), rather than leave it to the preamble or to case-by-case practice. A provision in the rule would state the channel's purpose, its eligibility criteria, and its safeguards in one place that every institution and recipient can read, and would let the FDIC apply them uniformly. Safeguards that exist only in a preamble, or only in individual arrangements, would not.

On eligibility, the preamble offers as examples "law firms or nonpartisan nonprofit banking trade associations." Both have legitimate roles. But a banking trade association represents the institutions whose supervision would be analyzed, and a law firm represents its clients. The purpose the FDIC states is transparency and analysis of the supervisory process, and that analysis is most credible when at least some of it is performed by parties independent of the supervised. The program recommends that eligibility extend to independent research organizations, including academic institutions and nonprofit research organizations, on the same conditions as any other recipient.

The Office of the Comptroller of the Currency has proposed that breadth for its own channel. Its parallel proposal, whose comment period also closes today, would let a supervised entity disclose confidential supervisory information to a not-for-profit entity so that it can "aggregate the anonymized CSI of entities supervised by the OCC, Board, or FDIC" and make the aggregated information public, and its preamble gives as an example "a not-for-profit university or think-tank that uses anonymized, aggregated data to identify, evaluate, and publish research about emerging risks associated with novel technologies" (91 Fed. Reg. 50610, 50622 (Aug. 5, 2026)). Because that design contemplates aggregation across entities supervised by the OCC, the Board, and the FDIC, consistent eligibility criteria and safeguards across the agencies would let one research design operate under each agency's rule.

### Recommendation 2 (Questions 20, 21, and 22): Keep institution-level confidential information within a controlled environment, and release only aggregate outputs that pass review

The preamble contemplates institutions sharing confidential information directly with an aggregating organization (Question 21 asks about permitting "FDIC-supervised institutions to share confidential information with organizations for these purposes"). The program recommends a design that achieves the same analytical purpose without that transfer. Institution-level confidential information would remain within a controlled environment; an approved recipient would run its analysis there; and only aggregate outputs that pass review would leave. In its simplest form, FDIC staff would run approved

analyses and release the results. If the FDIC instead keeps the preamble's model of direct sharing with an aggregator, the same conditions should apply to the aggregator: institution-level information kept segregated, never returned to member institutions, and released only as reviewed aggregates.

The statistical disclosure control (SDC) literature reaches this design for data of this shape. Matthias Templ, in Statistical Disclosure Control for Microdata (Springer, 2017), explains that disclosure risk for business data differs from that for socio-economic data, because "large enterprises are often selected with probability one" and "the risk of disclosure is generally high for those enterprises" (p. 282). He concludes: "Remote access solutions may thus be the preferred solution for such data sets because the anonymized data will most likely have low data utility when using traditional SDC methods" (p. 282). Supervisory data about insured depository institutions has that shape wherever a small number of large institutions account for much of a category.

Both forms of this design are standard release types in that literature. In a controlled research data center, "[t]he final output is checked by the staff of the data provider (usually experts in statistical disclosure control) and only output with very low risk of disclosure is finally given to the user" (p. 46). In remote execution, the form closest to FDIC staff running approved analyses, researchers submit their code and "the data provider executes the code on the original files, checks the output and sends the output that does not disclose information back to the researchers" (p. 47).

The risk is not hypothetical. Even in its exceptional release, the Federal Reserve noted that "[s]urveillance reports may contain confidential supervisory information related to other institutions that are continuing to operate" (Review of the Federal Reserve's Supervision and Regulation of Silicon Valley Bank, p. 67 n.99). Supervisory material about one institution routinely carries information about others.

This design also answers the rest of Question 20, which asks what safeguards would help ensure that "such information sharing would not raise antitrust or other concerns". Because no recipient receives another institution's data, the channel does not become a conduit for competitor-level information. And it answers the second part of Question 21, whether limits should vary with the type of entity receiving the information: when protection comes from the environment and from review of outputs rather than from trust in the recipient, the same rules can apply to every recipient. The information made available within the environment should be limited to what an approved analysis requires.

### Recommendation 3 (Question 22): Protect the largest institutions against re-identification, not only small cells

Question 22 asks whether the FDIC should "take any steps to mitigate the risk that the identity of a specific institution that is the subject of the information can be reverse engineered, and if so how?" The program recommends two rules for every released statistic, with parameters for the FDIC to set: a minimum number of contributing institutions, and a limit on the share of the statistic that any single institution may account for. A minimum count alone protects small cells but not the largest institutions. Where one

institution accounts for most of a category, an aggregate over many institutions still largely describes that one, which is the pattern Templ identifies for large enterprises. Review of outputs should also consider combinations of releases, since two aggregates that differ by one institution can be subtracted to isolate it.

These are the federal statistical system's own rules for business data, so the FDIC would be adopting established practice rather than designing new controls. The Federal Committee on Statistical Methodology explains that for tables of magnitude data, disclosure limitation "concentrates on making sure that the published data cannot be used to estimate within too close of a range the values reported by the largest, most highly visible respondent," and that the rules most commonly used to identify sensitive cells "by government agencies are the (n) threshold rule, (n, k) rule, and the p-percent or pq rules." It also describes complementary suppression, which withholds further cells "so that the sensitive cells cannot be derived by addition or subtraction from published marginal totals" (Statistical Policy Working Paper 22, rev. 2005, p. 22). Those rules are a ready starting point for the parameters the FDIC would set.

### Recommendation 4 (Question 23): Require any public disclosure based on the channel to be reproducible from a stated method

Question 23 asks "[w]hat, if any, risks may be posed by inaccuracies in such public disclosures, and what, if any, requirements should the FDIC consider to mitigate such risks?" The program's own published work shows how large such inaccuracies can be. In a study of 52 token protocols published in Frontiers in Blockchain in August 2026, the program found that concentration figures in prior holder-list studies were inflated by a median factor of 2.3, and by approximately 18 at the maximum, because those studies counted as independent holders addresses controlled by the protocols themselves. That work concerns governance tokens, not insured depository institutions, and it is offered here as method: a statistic computed from the same underlying data can move by a large factor on one methodological choice that a reader cannot see.

The proportionate safeguard is reproducibility. The program recommends that any public disclosure based on the channel state its method and parameters in enough detail for the FDIC to recompute the published figures, and that the recipient correct any figure the FDIC cannot reproduce. This checks computation, not conclusions. It does not require the FDIC to approve what a recipient says, which would reintroduce the preapproval the proposal removes.

## Suggested rule text

Offered as a drafting starting point, with bracketed parameters for the FDIC to set.

**New paragraph (f) of proposed Sec. 309.37, Disclosure for aggregated analyses.**

(1) *Purpose.* The FDIC may permit disclosure of confidential information for the purpose of producing aggregated analyses that provide transparency with respect to, and facilitate analysis of, the supervisory process.

(2) *Eligible recipients.* An eligible recipient is a law firm, a nonpartisan nonprofit banking trade association, an academic institution, or a nonprofit research organization that agrees in writing to the conditions of this paragraph.

(3) *Controlled environment.* Institution-level confidential information disclosed under this paragraph shall remain within an environment controlled by the FDIC, or by the recipient under conditions the FDIC approves, and shall not be transferred outside it or returned to any other institution. Only aggregate outputs that satisfy paragraph (f)(4) may leave the environment.

(4) *Output rules.* No aggregate output may be released unless it is derived from at least [number] institutions, no single institution accounts for more than [percentage] of the value underlying it, and it cannot be combined with another released output to identify a specific institution.

(5) *Reproducibility.* A recipient that publicly discloses information derived under this paragraph shall state its method and parameters in sufficient detail for the FDIC to reproduce the disclosed figures, and shall correct any figure the FDIC cannot reproduce.

## Anticipated objections

**Objection: a controlled environment is costly for the FDIC.** Although the costs of a full research data center "might be high because of the staff and facilities needed" (Templ, p. 46), the simplest form requires no new facility: FDIC staff run approved analyses and release only results that pass review, the arrangement the literature calls remote execution (p. 47). The FDIC can begin there and extend access as demand warrants.

**Objection: opening eligibility to researchers increases confidentiality risk.** Under Recommendation 2, protection comes from the environment and from review of outputs, not from the identity of the recipient. The same rules apply to every recipient, whether a trade association or a university.

**Objection: the program would benefit from access.** It could. Tokenization Systems is a research organization of the kind Recommendation 1 would make eligible. The recommendation defines eligibility by criteria that any independent research organization can meet and conditions it on the same safeguards as every other recipient; it does not seek access for any named party.

**Objection: reproducibility would let the FDIC control research conclusions.** Reproducibility checks that a stated method yields the stated numbers. It does not give the FDIC a veto over interpretation, and it asks less of a recipient than preapproval would.

## Conclusion

The FDIC has identified a real opportunity: to let the supervisory process be analyzed routinely, rather than only in the aftermath of a failure. The program recommends that the FDIC take it, and that it build the channel into the rule itself, open it to independent

researchers, keep institution-level information inside a controlled environment, protect the largest institutions against re-identification, and require that published results be reproducible. Designed this way, the channel would add transparency to the supervisory process without making any institution's confidential information less secure.

Respectfully submitted,

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## Appendix: Selected Sources

**The proposed rule.**

- Federal Deposit Insurance Corporation, Disclosure of Information, Notice of Proposed Rulemaking, 12 CFR Parts 303, 306, 309, 327, and 337, RIN 3064-AG30, 91 Fed. Reg. 39726 (June 30, 2026). Section II.C.7.d and Questions 20 through 23, p. 39734. Proposed Sec. 309.37, paragraphs (a) through (e).
- Federal Deposit Insurance Corporation, Disclosure of Information; Extension of Comment Period, RIN 3064-AG30, 91 Fed. Reg. 55501 (August 28, 2026). Comment period extended to October 5, 2026.

**The parallel OCC proposal.**

- Office of the Comptroller of the Currency, OCC Rules Regarding the Availability of OCC Information, Notice of Proposed Rulemaking, Docket ID OCC-2026-0133, RIN 1557-AF50, 91 Fed. Reg. 50610 (Aug. 5, 2026), proposed Sec. 4.14(b)(1)(vi) and preamble pp. 50621 to 50622 (not-for-profit aggregation of anonymized supervisory information).

**Official-sector precedent.**

- Board of Governors of the Federal Reserve System, Review of the Federal Reserve's Supervision and Regulation of Silicon Valley Bank (April 28, 2023). Page vii (release of supervisory material "in the best interest of the public" due to "the exceptional nature of these events"); page 67, note 99 (surveillance reports and other institutions).

**Statistical disclosure control.**

- Matthias Templ, Statistical Disclosure Control for Microdata: Methods and Applications in R (Springer, 2017), doi 10.1007/978-3-319-50272-4. Pages 46 and 47 (research data centers; remote execution; review of outputs) and 282 (business data; large enterprises; remote access).

- Federal Committee on Statistical Methodology, Report on Statistical Disclosure Limitation Methodology, Statistical Policy Working Paper 22 (second version, December 2005), p. 22 (magnitude data; the threshold, (n, k), and p-percent rules; complementary suppression).

**The program's published first-party work (scope-qualified: governance tokens, not insured depository institutions; method only).**

- Zach Zukowski, Auditing governance concentration beyond token allocation: a live-governance study of 52 token protocols, Frontiers in Blockchain 9:1853465 (2026), doi 10.3389/fbloc.2026.1853465. Abstract (inflation of prior holder-list concentration figures by a median factor of 2.3, maximum approximately 18).

**The program's prior FDIC comments, referenced and not restated.**

- RIN 3064-AG19 (prudential activities rule); RIN 3064-AG20 (application-process rule); RIN 3064-AG29 (Bank Secrecy Act and sanctions compliance rule); RIN 3064-AG21 (Resolution Submissions); RIN 3064-AG27 (Assessments).

# Comment on the Notice of Proposed Rulemaking: GENIUS Act Regulations on Payment Stablecoin Issuance, Offer, and Sale

**Submitted to:** Department of the Treasury, via the Federal eRulemaking Portal at https://www.regulations.gov, captioned "GENIUS Act Regulations on Payment Stablecoin Issuance, Offer, and Sale"
**Docket / RIN:** TREAS-DO-2026-0496; RIN 1505-AC95
**Federal Register citation:** 91 Fed. Reg. 53368 (August 18, 2026)
**Comment period closes:** October 19, 2026
**Submitted by:** Tokenization Systems (www.Tokenization.Systems)
**Date:** October 13, 2026

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## Introduction and summary

Tokenization Systems is an independent research program studying the operational control layer of tokenized financial systems: the technical and organizational functions through which an issuer, a custodian, or an interface operator actually exercises control over issuance, reserve custody, transaction routing, and the execution of lawful orders. The program builds measurement instruments that make those functions observable to supervisors, including the Control Layer Intensity Index, which scores operator-level control continuously and carries a published freeze and blacklist capability dimension, and the Minimum Viable Equivalence Pack, a ten-category structural diligence diagnostic for decision points.

This is the program's second comment to Treasury, following its comment on the GENIUS Act state-similarity assessment (TREAS-DO-2026-0232). Tokenization Systems has submitted twenty-one comments, carrying one hundred fourteen recommendations, to nine federal agencies.

This comment supports the proposed rule. Treasury has read section 3 sensibly, and proposed § 1523.3(c) in particular reflects a correct judgment: a strict reading of section 3(b)(2) would foreclose the offer of foreign-issued payment stablecoins entirely, because no digital asset service provider can know with certainty that a foreign issuer "will comply" at all times in the future. The comment addresses one question that runs through that provision, which Treasury has left open by design and poses directly in Question 52: what "reasonable due diligence" on a foreign issuer's representation should be understood to require. It also answers Question 53, on the knowledge standard; Questions 38, 44, 62, and 64, on the reasonable-belief standard for issuance and for offers and sales; Questions 45, 47, 48, and 50, on offshore treatment, in its response to the New York State Department of Financial Services; and Question 4, on the lawful-order definition.

The comment's central proposition is that the two facts § 1523.3(c) turns on are not equally observable, and the rule should say so. Whether a foreign payment stablecoin

issuer has **the technological capability** to comply with a lawful order is directly readable from the issuer's deployed contract and its on-chain history: a freeze or blacklist function either exists in the deployed code or it does not, the authority to invoke it resides at an identifiable address, and prior invocations are a matter of public record. Whether that issuer **will comply** in the future is not observable at all. Treasury has correctly declined to require certainty about the second. The recommendations below ask Treasury to take the corresponding step on the first, and to name the observable check as a floor rather than leave the entire standard to facts and circumstances.

The program brings one further contribution that is unusual and that it states plainly, because it cuts against its own instrument. Measuring whether a freeze capability exists is not the same as measuring whether the controls around that capability are sound, and the program's own index does not close that gap. A diligence standard keyed only to the existence of a capability would clear an issuer whose operational controls around that capability are absent. Recommendation 2 sets out the evidence for that, and it is drawn from a documented production incident at a highly regulated issuer.

The seven recommendations are summarized below with the provision each addresses, the numbered questions each answers, and the action requested.

| Recommendation | Provision and questions | Requested final-rule action | Why it matters |
|---|---|---|---|
| 1. On-chain capability check as a diligence floor | § 1523.3(c); Question 52 | State that reasonable due diligence includes confirming, from the deployed contract and its on-chain history, that the claimed compliance capability exists and that the authority to invoke it is identifiable | The capability limb of the representation is directly verifiable, so it should not rest on the issuer's assertion when the check is cheap and reproducible |
| 2. Diligence must reach controls, not just capability | § 1523.3(c); Question 52 | Extend the expected diligence to the operational controls around the compliance capability, not the capability alone | A top capability score and absent operational controls coexisted in a documented production overmint at a highly regulated issuer, and the Act already pairs the capability with policies and procedures for permitted issuers |

| Recommendation | Provision and questions | Requested final-rule action | Why it matters |
|---|---|---|---|
| 3. Replace unobservable "will comply" with an observable proxy | § 1523.3(c); section 3(b)(2); Questions 52 and 53 | Confirm that the forward-looking limb is satisfied by documented invocation history and a published response commitment, plus a duty to re-check on defined triggers, and retain the proposed knowledge standard | Treasury already concedes certainty is impossible; naming the proxy converts an unfalsifiable condition into a checkable one |
| 4. Key the mandatory section 8 check to a published determination, and state how notice reaches a provider | § 1523.3(c); section 8 (12 U.S.C. 5907); Question 52 | Confirm that the mandatory check covers a published determination of noncompliance, not only a prohibition in effect, and state the designation list's current state and notice mechanism | Under section 8(b) the trading prohibition takes effect 30 days after its Federal Register notification, so a check limited to a prohibition in effect can pass while the published record already shows noncompliance |
| 5. Adopt reasonable belief over strict liability, and make its evidence observable | § 1523.2(c) and § 1523.3(e); Questions 38, 44, 62, and 64 | Retain the reasonable-belief approach rather than the per se alternatives, and name the observable geographic controls that evidence it | Strict liability is described as depending only on verifiable location, but the controls that establish location are themselves measurable, so the reasonable-belief approach loses nothing on verifiability |
| 6. Reach the party that holds the key, not the party that signs | § 1523.3(c); § 1523.1 definitions; Question 52 (see also Question 24) | Confirm that the compliance capability is assessed where the invoking authority actually resides, including where it sits with an affiliate or a third-party administrator | A representation signed by an issuer whose key is held elsewhere describes a capability the signer does not control |
| 7. Align the lawful-order test across the three rulemakings that now carry it | § 1523.3(c); § 1523.1(c) definition of lawful order; Question 4 | State in the final rule's preamble how this capability standard relates to the lawful-order obligations in the FinCEN permitted-payment-stablecoin-issuer rulemakings | The same underlying obligation now appears in three proceedings with three formulations, which invites forum selection rather than compliance |

## I. Recommendations

### Recommendation 1 (§ 1523.3(c); Question 52): State that reasonable due diligence includes an on-chain confirmation that the claimed compliance capability exists.

Proposed § 1523.3(c) permits a digital asset service provider to rely on a representation by a foreign payment stablecoin issuer that it "has the technological capability to comply with, and will comply, with the terms of any lawful order and any reciprocal arrangement pursuant to section 18 of the Act," provided that the provider "conducts reasonable due diligence regarding the representation," and it denies reliance where the provider "knows, has reason to know, or should know that the representation is false." (The proposed text repeats "with"; a technical correction is noted in Part II.)

Treasury states that what constitutes reasonable diligence "may vary depending on the facts and circumstances," and specifies one mandatory element: confirming that no prohibition on secondary trading under section 8 of the Act is in effect. It also states that the diligence is meant to go further, and that a provider "should consider all reasonably available sources of information regarding the foreign payment stablecoin issuer." Tokenization Systems supports that flexibility as a general matter and does not recommend a prescriptive diligence schedule. It recommends naming one further floor element, because for a payment stablecoin on a public ledger the most reasonably available source of information about the represented capability is the ledger itself, and the fact in question is unusually cheap to verify.

Question 52 asks this directly: whether a provider should be required to "audit or examine smart contracts relating to a payment stablecoin," and whether it should "verify the existence and/or efficacy of smart contract functions designed to comply with lawful orders." Tokenization Systems' answer separates the two. Existence can be confirmed from outside the issuer, and this recommendation says how. Efficacy cannot, and Recommendation 2 addresses it through the controls around the function rather than through an audit. The answer to the first half of the question is therefore to examine, not to audit.

The technological-capability limb is directly observable. The Act defines a lawful order by what it requires: an order that "requires a person to seize, freeze, burn, or prevent the transfer of payment stablecoins issued by the person." Where a payment stablecoin is issued on a public ledger, each of those operations either exists as a function of the deployed contract or it does not; the authority to invoke it resides at an identifiable address or under an identifiable governance process; and any prior invocation is a matter of public record. As the Bank for International Settlements has observed, "Most stablecoins can block specific addresses from holding their tokens." Whether a particular one can is a question the ledger answers. None of this requires the issuer's cooperation, and none of it is the "prohibitively onerous inquiry" Treasury reasonably wishes to avoid.

Question 52 also asks whether such a requirement would effectively exclude payment stablecoins "whose code is not fully open source." It need not. A contract's transaction history is public whether or not its source code is published, so a freeze or burn function

that has been used is observable from its use, and an issuer that has not published its source can identify the function and the address that holds the authority to invoke it, which the provider can then check against the ledger. The question's companion, whether the rule should address public statements that a payment stablecoin is "resistant to freezing," has a short answer: such a statement is a reasonably available fact of exactly the kind Treasury describes when it explains that its standard reaches a provider "aware of facts that would cause a reasonable person to conclude" that the issuer lacks the represented capability. The adopting release should say so.

Tokenization Systems' Control Layer Intensity Index scores this exact property as one of its five dimensions, with published anchors and a stated evidence source: at the top of the scale, a verified freeze function together with a documented rapid-response process, evidenced from the contract source. The point for this rulemaking is not the index but the observation underlying it, which is that this dimension is scored from public data rather than from operator attestations.

Tokenization Systems therefore recommends that Treasury state, in the rule text or the adopting release, that reasonable due diligence under § 1523.3(c) includes confirming from the deployed contract and its on-chain history that the represented capability exists and that the authority to invoke it is identifiable, where the payment stablecoin is issued on a public ledger. Where it is not, the recommendation does not apply and the general facts-and-circumstances standard should govern.

Osman Sonmez has asked for the same floor: that reasonable due diligence include checking the public on-chain record, and that a provider not rely on a representation which that record contradicts (TREAS-DO-2026-0496-0030). Tokenization Systems agrees, including with his request that the representation list the issuer's contract addresses chain by chain, because capability differs from one chain to another and a bridged or wrapped version is often outside the issuer's control. This comment adds three specifications to that floor. Where source code is unpublished, transaction history and the issuer's identification of the function are enough to examine existence, which answers the open-source part of Question 52. The examination reaches past who controls the function, which his comment also names, to whether a limit on that authority is visible in the contract or its history, which is Recommendation 2. A published section 8 determination defeats reliance before the trading prohibition takes effect, which is Recommendation 4. Other commenters point the same way: the commenter Digital Currency Monetary Authority writes that Treasury should not require every digital asset service provider "to audit source code or smart contracts" (TREAS-DO-2026-0496-0028), and VeloxVFX would require "identification of the responsible function" and "escalation where public statements or other evidence materially contradict the representation" (TREAS-DO-2026-0496-0022). An examination of the ledger, not an audit, is consistent with both.

**Recommendation 2 (§ 1523.3(c); Question 52): Extend the expected diligence to the operational controls around the compliance capability, not the capability alone.**

This recommendation qualifies Recommendation 1, and Tokenization Systems states it plainly because it is a limitation of the program's own instrument rather than a limitation of someone else's.

Confirming that a compliance capability exists is not the same as confirming that the controls around it are sound. A documented production incident makes the gap concrete. On October 15, 2025, a minting address belonging to a highly regulated issuer created 300 trillion units of a payment stablecoin, roughly five orders of magnitude above the token's circulating supply, and burned the position 22 minutes later. The peg held throughout, within 0.03 percent of par on a decentralized-exchange volume-weighted basis. That issuer scored 0.95, the top anchor, on the Control Layer Intensity Index's freeze and mint capability dimension. A supply cap, a per-transaction limit, and multisig minting were all absent.

The episode is consistent with the capability dimension tracking a live operational risk. It also shows that the dimension scores the existence of the capability rather than the quality of the controls around it, and Tokenization Systems has recorded that as a limitation of its own index rather than treating the score as complete.

The consequence for § 1523.3(c) is direct. A diligence standard satisfied by confirming that a freeze function exists would have cleared this issuer, on this token, in the month of this incident. Tokenization Systems recommends that Treasury state that reasonable diligence extends to the controls governing the capability, and that a provider consider at least: who may invoke the function and under what internal authorization; whether limits exist on the privileged operations the same key can perform; and whether the issuer publishes a response commitment for a lawful order. These are questions an issuer can answer briefly and a provider can record. Where the payment stablecoin is issued on a public ledger, the provider then checks the answers against the ledger on the points the ledger can show: the address or governance process that can invoke the function, and any limit on privileged operations that is encoded in the contract or visible in its transaction history.

The Act already draws this line for domestic issuers. A permitted payment stablecoin issuer may issue only if it "has the technological capability to comply, and will comply, with the terms of any lawful order," the same formula section 3(b)(2) applies to foreign issuers, but the Act separately requires a permitted issuer to maintain "technical capabilities, policies, and procedures to block, freeze, and reject specific or impermissible transactions that violate Federal or State laws, rules, or regulations." Asking a provider to reach the controls around a foreign issuer's capability asks of the foreign issuer's representation no more than the Act asks of a permitted issuer directly.

Federal and foreign supervisors already treat the controls as the object. The Office of the Comptroller of the Currency, proposing rules for permitted payment stablecoin issuers, states that issuers "should ensure that they have sufficient controls to reliably address

operational issues that may arise with burning and minting new stablecoins," and the same proposal cites press coverage of the October 2025 incident described above. The Hong Kong Monetary Authority's August 2025 guideline for licensed stablecoin issuers, a foreign regime of the kind under which a foreign payment stablecoin issuer may be licensed, requires a licensee to identify every token operation, including "deploy, configure, mint, burn, upgrade, pause, resume, blacklist, remove blacklist, freeze, remove freeze, whitelist," to set for each "a required level of authorisation proportionate to the level of risk of the operation," and to ensure that "high-risk operations are designed in a way that prevents any single party from being able to perform the relevant operations unilaterally." A foreign issuer licensed under a regime of that kind already holds the description this recommendation asks a provider to obtain; for one that does not, the absence is itself information a provider should record.

That the controls rather than the bare capability are the right object is also the view of an independent commercial assessor. Moody's Ratings, in its March 2026 cross-sector rating methodology for stablecoins, assesses an issuer's "internal controls, reconciliation processes and contingency planning," and looks for "continuity plans and adequate internal controls to safeguard data integrity and operational resilience." A commercial methodology assessing the same class of issuer, for a different purpose, reaches past capability to the controls around it.

**Recommendation 3 (§ 1523.3(c) and section 3(b)(2); Questions 52 and 53): Confirm that the forward-looking limb is satisfied by an observable proxy plus a duty to re-check.**

Treasury's own analysis of the "will comply" limb is the strongest statement of the problem in the release: a digital asset service provider "can never know with certainty whether a foreign payment stablecoin issuer 'will comply' at all times in the future," and a strict reading "would effectively foreclose" the offer of foreign-issued payment stablecoins in all cases. Tokenization Systems agrees, and agrees with the reliance framework Treasury proposes in response.

What the proposal does not do is say what evidence bears on a limb that admits no certainty. Left unstated, the limb is unfalsifiable in both directions: a provider cannot demonstrate it has been satisfied, and an examiner cannot demonstrate it has not.

Tokenization Systems recommends that Treasury confirm in the adopting release that the forward-looking limb is addressed, not by prediction, but by two observable things: the issuer's documented history of responding to lawful orders and equivalent process where such history exists, and a published commitment to a response process and timeframe. Neither guarantees future compliance. Both are checkable, and both are the kind of evidence a provider can hold in a file.

Both already exist in the market. The President's Working Group on Digital Asset Markets reported in July 2025 that "some stablecoin issuers have, in some cases, taken steps to freeze assets" in response to law-enforcement requests, so an invocation history is a real record rather than a hypothetical one, and it recommended that Treasury explore

"program requirements relating to freezing and seizing stablecoins." Published commitments exist too. Circle Internet Financial's published access-denial policy states that Circle "will block individual addresses in order to comply with a law, regulation, or legal order from a duly recognized U.S. or French authorized authority," reserves a right to object to an order, and commits to "regularly report publicly the most up-to-date amount of access denied Circle Stablecoin tokens." A policy of that form tells a provider whose orders the issuer undertakes to honor and on what reservations, which is precisely the fact the "will comply" limb turns on for a foreign issuer, and its public reporting creates the record against which later conduct can be checked.

This is also how an independent assessor already handles the same unknowable-future problem. The Moody's stablecoin methodology assesses each key counterparty's "operational history, including its track record in the management of stablecoins and similar instruments, operational stability and fulfillment of stated commitments." Track record and fulfillment of stated commitments are precisely the backward-looking observables that stand in for a forward-looking guarantee no one can give.

Tokenization Systems further recommends that Treasury pair this with a duty to re-check on defined triggers rather than a continuous obligation or a fixed calendar, which also answers Question 52's question whether the representation should "be updated with some frequency": a change in the issuer's control arrangements, a change in the deployed contract's privileged functions, a section 8 designation of an affiliated issuer, or a failure to respond to a lawful order of which the provider becomes aware. A trigger-based duty is administrable in a way that a continuous one is not, and it is how the Hong Kong guideline cited in Recommendation 2 times its own re-examination of a licensee's contracts, requiring an audit "whenever there is deployment, redeployment, or an upgrade to the smart contracts," in addition to an annual one. A provider should retain the representation, its record of the observable checks, and its record of each trigger review, which answers Question 52's question whether providers should "retain records of the representation and due diligence."

On Question 53, Tokenization Systems recommends retaining the proposed "knows, has reason to know, or should know" standard rather than the alternative of "not having any reason to suspect" that the issuer lacks the capability or will not comply. With the observable floors in Recommendations 1 through 3, the "should know" limb has content a provider can meet and an examiner can test; a no-reason-to-suspect standard applied to a limb that admits no certainty could not be met by anyone.

**Recommendation 4 (§ 1523.3(c) and section 8; Question 52): Confirm that the mandatory section 8 check covers a published determination of noncompliance, and state whether the designation list is populated and how notice reaches a provider.**

Treasury makes one diligence element mandatory: confirming that no prohibition on secondary trading under section 8 is in effect with respect to the foreign payment stablecoin issuer. The release describes the designation process and notes that designations

are published in the Federal Register.

The statute's own sequence opens a gap in that element as framed. Under section 8(b), when a designated issuer fails to come into compliance, the Secretary must, subject to the waivers in section 8(c), "publish the determination of noncompliance in the Federal Register" together with a notification prohibiting digital asset service providers from facilitating secondary trading, and the prohibition "shall become effective on the date that is 30 days after the date of issue of notification of the prohibition in the Federal Register." For those 30 days, a provider that checks only whether a prohibition is in effect satisfies the mandatory element while the Federal Register already records that the issuer has failed to comply with a lawful order. That provider would, on Treasury's own description of the knowledge standard, be "aware of facts that would cause a reasonable person to conclude" that the issuer will not comply. The mandatory element should say what the knowledge standard already implies: the check is whether a determination of noncompliance has been published and not since lifted, not only whether the trading prohibition has taken effect. A waiver, general license, or specific license under section 8(c)(1) relieves the secondary-trading prohibition for the trading it covers; it does not show that the issuer will comply with lawful orders, so it does not by itself restore reliance on that representation.

Two operational questions are also left open, and both determine whether the mandatory element is meaningful at the moment a provider must satisfy it. First, whether any designation is currently in effect, and second, the mechanism and expected timing by which a provider learns of a new designation, given that a provider's obligation attaches to every offer and sale rather than to a periodic review date.

Tokenization Systems raises this because it has encountered the same structure in an adjacent proceeding. In its comment on the FinCEN permitted-payment-stablecoin-issuer customer identification program rulemaking, the program noted that the proposed government-list comparison obligation had no designated lists, the release stating that the relevant agencies had not yet designated any. An obligation to check a list is only as operative as the list and its notice mechanism. Tokenization Systems recommends that the final rule or its preamble confirm that the mandatory element covers a published determination of noncompliance, state the designation list's current state and where a provider checks it, and state whether Federal Register publication is the sole notice channel or whether Treasury will maintain a machine-readable source.

**Recommendation 5 (§ 1523.2(c), § 1523.3(e), and the alternative approaches; Questions 38, 44, 62, and 64): Retain the reasonable-belief approach, and name the observable evidence that supports it.**

Treasury asks whether to replace the proposed approach with an alternative deeming any issuance to a person located in the United States unlawful regardless of the issuer's knowledge, which would narrow or remove proposed § 1523.2(c) (Question 44), and asks the parallel question for offers and sales under proposed § 1523.3(e) (Question 64). In describing the issuance alternative, Treasury notes that it "would provide a clear, unambiguous line … that depends only on factually verifiable locations," and acknowledges

that it "may be viewed as overly strict."

Tokenization Systems recommends retaining the proposed reasonable-belief approach in both provisions. The verifiability argument advanced for the alternative is weaker than it appears, because the controls that establish a recipient's location are themselves observable. Geographic restriction is a scored dimension in the program's control-layer instrument, assessed from terms of service, sanctions-list compliance, and frontend geographic-blocking behavior, all of which are examinable from outside the issuer. An approach conditioned on reasonable belief supported by such controls does not trade away verifiability; it relocates the verifiable object from the recipient's location, which the issuer often cannot determine, to the issuer's controls, which are visible.

Questions 38 and 62 ask what policies, procedures, or controls should support a reasonable belief, and whether Treasury should identify specific controls such as "geographic access restrictions, device- or network-location checks." Tokenization Systems recommends that Treasury, if it retains the reasonable-belief standard, name in the adopting release the categories of evidence that support a reasonable belief, including deployed geographic-blocking controls and their coverage, sanctions and jurisdictional screening at onboarding, controls against location spoofing, and the handling of indeterminate results. Naming the categories preserves flexibility while giving the standard content. The categories are not novel. The Hong Kong Monetary Authority already expects a licensed stablecoin issuer to maintain policies and procedures for "ensuring that it does not issue or offer specified stablecoins in jurisdictions where such activity is unlawful," by means that include identity-document verification, geolocation lookup by IP address or GPS, and blocking access, and to "implement controls to mitigate the risk of location spoofing," including through virtual private networks. A foreign issuer licensed under a regime of that kind will already hold the evidence these categories describe.

**Recommendation 6 (§ 1523.3(c) and § 1523.1; Question 52): Assess the capability where the invoking authority actually resides.**

Proposed § 1523.3(c) directs the representation to the foreign payment stablecoin issuer. In practice the authority to invoke a compliance function is not always held by the entity that signs the representation. It may reside with an affiliate, a foundation, a contracted contract administrator, or a multi-party arrangement in which the issuer is one signer among several.

Where that is so, a representation by the issuer describes a capability the issuer does not solely control, and diligence directed only at the signer will not surface the gap. This is the same divergence between nominal and effective control that Tokenization Systems has raised with other agencies: where control is delegated or placed with an affiliate, the nominal locus of accountability and the effective locus of control can separate, and a test that reads only the nominal structure will misjudge the arrangement. The program's live-governance study of 52 token protocols states the measurement form of the same point: "Holder-list concentration is meaningless until the unit of control is identified." Treasury has already recognized the structure in its questions on the issuer definition, asking whether there is "a risk of evasion if activities are split among persons to attempt to avoid

any one of them being considered the issuer" (Question 24). The same risk attends a representation about a compliance capability.

Tokenization Systems recommends that Treasury confirm in the adopting release that the § 1523.3(c) inquiry reaches the party that actually holds the invoking authority, and that a provider's diligence is expected to establish where that authority resides. The recommendation adds no new obligation for the ordinary case in which the issuer holds its own keys; it prevents the provision from being satisfied formally in the case where it does not.

This is also settled international supervisory practice rather than a novel ask. The Financial Stability Board's high-level recommendations for global stablecoin arrangements, in their July 2023 final form, provide that "Authorities should require that GSC arrangements have in place and disclose a comprehensive governance framework with clear and direct lines of responsibility and accountability for all functions and activities within the GSC arrangement," and that issuance "be governed and operated by one or more identifiable and responsible legal entities or individuals." A compliance capability is exactly such a function, and the location of the authority to invoke it is what Recommendation 6 asks a provider to establish.

**Recommendation 7 (§ 1523.3(c) and § 1523.1(c); Question 4): State how this capability standard relates to the lawful-order obligations in the FinCEN rulemakings.**

The obligation to comply with lawful orders now appears in at least three federal proceedings, in three formulations. This proposal frames it as a foreign issuer's technological capability plus a provider's reliance and diligence. The FinCEN permitted payment stablecoin issuer sanctions and anti-money-laundering rulemaking frames it as a compliance obligation of the issuer. The FinCEN customer identification program rulemaking frames it through the statutory definition of a lawful order, which is itself expressed in terms of accounts.

Tokenization Systems has commented in each of those proceedings and has argued that the account-based framing and the wallet-based reality of stablecoin transfers must be reconciled explicitly rather than left to inference. It does not repeat those arguments here, and this recommendation asks for nothing substantive from Treasury on them.

What it asks is narrower, and Treasury has posed the question itself. Question 4 asks whether the definition of lawful order in part 1523, which proposed § 1523.1(c) supplies by cross-reference to section 2(16) of the Act, should define terms as FinCEN considered for its own proposed definition (91 Fed. Reg. 18582, 18594 to 18595) or otherwise "align more closely to FinCEN regulatory definitions." Tokenization Systems' answer is that it should align, or that the final rule should state where and why the two differ. Either way, it recommends that the final rule's preamble state how the capability standard in § 1523.3(c) relates to the lawful-order obligations in the FinCEN rulemakings: whether an issuer that satisfies one is understood to satisfy the others, and whether a provider's diligence under this rule may rely on a determination made under those. A commenter reading only this

docket cannot answer that question, and a provider subject to all three needs it answered.

Treasury has stated the corresponding commitment at the international level. The 2021 President's Working Group report on stablecoins records that, to prevent misuse by illicit actors, "Treasury will continue leading efforts at the Financial Action Task Force (FATF) to encourage countries to implement international AML/CFT standards." The request here is the domestic counterpart of that leadership, and a smaller one: not to harmonize across jurisdictions, but to state how three of Treasury's own and its bureau's proceedings relate on a single obligation.

## II. Suggested rule text

The following language is offered as a drafting starting point for the highest-priority recommendations, using the proposal's own defined terms.

**Recommendations 1, 2, and 6 (§ 1523.3(c)).** Add to proposed § 1523.3(c), after the existing due diligence condition:

> For purposes of this paragraph (c), where the payment stablecoin is recorded on a public distributed ledger, reasonable due diligence includes confirming from the deployed contract code and its transaction history that the represented capability exists, identifying the address or governance process holding the authority to invoke it, and determining whether that authority is held by the foreign payment stablecoin issuer or by another person. Reasonable due diligence also includes obtaining the foreign payment stablecoin issuer's description of the internal authorization required to invoke that capability and of any limits on the other privileged operations exercisable by the same authority, and checking that description against the deployed contract code and its transaction history on the points they show.

**Recommendation 3 (§ 1523.3(c)).** Add:

> A digital asset service provider may treat the representation that a foreign payment stablecoin issuer will comply with the terms of any lawful order as supported where the foreign payment stablecoin issuer has published a commitment describing its process and timeframe for responding to a lawful order, and where the digital asset service provider is not aware of a failure by the foreign payment stablecoin issuer to comply with such an order. A digital asset service provider must repeat the due diligence required by this paragraph upon becoming aware of a change in the authority holding the represented capability, a change in the privileged functions of the deployed contract, or a failure to comply with a lawful order, and must retain a record of the representation and of each due diligence review.

**Recommendation 4 (§ 1523.3(c)).** Add:

> The due diligence required by paragraph (c)(1) of this section includes confirming that the Secretary has not published a determination of

noncompliance with respect to the foreign payment stablecoin issuer under section 8(b)(1)(A) of the Act (12 U.S.C. 5907(b)(1)(A)), unless the Secretary has since published a determination under section 8(b)(3) of the Act (12 U.S.C. 5907(b)(3)) that the foreign payment stablecoin issuer is no longer noncompliant. A waiver, general license, or specific license under section 8(c)(1) of the Act (12 U.S.C. 5907(c)(1)) permits the secondary trading that instrument describes; it does not by itself restore reliance on the representation that the foreign payment stablecoin issuer will comply, and reliance remains unavailable until the Secretary publishes a determination under section 8(b)(3) of the Act that the foreign payment stablecoin issuer is no longer noncompliant.

**Technical correction (§ 1523.3(b) and (c)).** Proposed § 1523.3(b) and (c) read "has the technological capability to comply with, and will comply, with the terms of any lawful order," repeating "with." Section 3(b)(2) of the Act reads "has the technological capability to comply, and will comply, with the terms of any lawful order." The preamble identifies two intended differences between proposed § 1523.3(b) and the statutory text, and this is not one of them, so Treasury may wish to conform the final text to the statute.

## III. Cross-rule alignment

| Issue | This proposal | Adjacent rulemakings | Recommended alignment |
|---|---|---|---|
| The lawful-order obligation | Foreign issuer's technological capability plus provider reliance and diligence (§ 1523.3(c)); lawful order defined by cross-reference to the Act, and Question 4 asks whether to align with FinCEN | Framed as an issuer compliance obligation in the FinCEN permitted payment stablecoin issuer sanctions rulemaking; framed through the account-based statutory definition in the FinCEN customer identification program rulemaking | State in the preamble how satisfying one relates to the others, and whether diligence here may rely on determinations made there |
| Controls around the privileged operations that make up the capability | Not reached; § 1523.3(c) addresses the representation of capability only | For permitted issuers the Act requires "technical capabilities, policies, and procedures" (section 4(a)(5)(A)(iv)), and the OCC's proposed rule for permitted issuers (RIN 1557-AF41) expects sufficient controls over minting and burning | Expect diligence on a foreign issuer's representation to reach the same controls (Recommendation 2) |

| Issue | This proposal | Adjacent rulemakings | Recommended alignment |
|---|---|---|---|
| Verification of a self-reported status | Representation plus reasonable due diligence, whose content beyond the section 8 check is left to facts and circumstances | The SEC's proposed Regulation Crypto Assets conditions a permanent change in a crypto asset's securities status on issuer self-certification with a supporting analysis | Specify the observable floor in both; the two proposals share the structure of resting a consequential determination on an unverified assertion |
| A mandatory comparison against a government list | Section 8 designation list; population and notice mechanism unstated; the mandatory check is framed as a prohibition in effect, which follows publication by 30 days | The FinCEN customer identification program rulemaking's government-list obligation had no designated lists at proposal | State the list's current state and its notice mechanism, in both, and key the check here to publication |

## IV. Response to the New York State Department of Financial Services

The New York State Department of Financial Services argues that the proposal is overly permissive of secondary sales into the United States: "issue" reaches only an initial sale, proposed § 1523.2(d) reaches a distributor or market maker only in connection with an issuance that itself violates section 3(a), the restriction on offers and sales by digital asset service providers does not apply until July 2028, and resales that do not involve a provider would remain permitted. It asks Treasury to add anti-evasion requirements so that a foreign issuer cannot structure an issuance for resale into the United States, and to require no-resale representations, for an extended period, from the affiliates, distributors, market makers, platforms, and other intermediaries to which the issuer directly issues. Tokenization Systems supports both as requirements. An issuer that can skip the representation and still claim a reasonable belief under § 1523.2(c) has not been required to obtain it.

The concern is well founded, and Treasury anticipates the same fact pattern: "a nominally offshore issuance may be structured to place newly issued payment stablecoins into U.S. circulation through an affiliate, distributor, market maker, platform, or other intermediary." The Chair of the Financial Stability Board described the wider cross-border problem to the G20 on October 8, 2026: global stablecoin arrangements "are inherently cross-border, yet national regulations are taking shape at different speeds and cross-border cooperation in this area is still in its infancy."

Question 44's per se alternative would not reach that structure. It makes an issuance unlawful when the payment stablecoin is issued to a person located in the United States,

and in the structure the Department describes the first acquirer is not. Treasury places the structure in its discussion of a Regulation S approach, which it recognizes "may better address certain cross-border fact patterns than the proposed approach" (91 Fed. Reg. 53379). This section answers Questions 45, 47, 48, and 50 on that framework, and it is the anti-evasion complement to Recommendation 5. The final rule should apply the directed-selling-efforts concept to this case: an issuer that knows, or has reason to know, that a recipient acquires the payment stablecoin for resale into the United States, or that directs at the United States selling efforts of the kind Treasury describes in that discussion, should not be treated as issuing outside the United States, and written no-resale representations should be a condition of that treatment. Because transfers from an issuer to its intermediaries, and onward, are recorded on a public ledger, a representation of that kind can be tested against observed flows rather than merely collected.

Section 3(b)(1) of the Act starts the provider's offer-and-sale prohibition in July 2028, three years after enactment, and resales that never involve a digital asset service provider stay outside that prohibition after it starts. This comment does not ask Treasury to treat those resales as offers by a provider. It asks Treasury to treat the issuer's structuring of an issuance as the issuer's conduct under § 1523.2. The Department's Question 74 point, on state-certification safe harbors, is outside this comment.

## V. Anticipated objections

**Objection: an on-chain check imposes technical capacity that many providers lack.** The check in Recommendation 1 is reading a deployed contract's function list and its transaction history, which is a standard capability among digital asset service providers and is available through commodity block-explorer tooling. Recommendation 1 is also scoped to public-ledger issuance and expressly does not apply otherwise.

**Objection: naming diligence elements converts a flexible standard into a checklist.** Recommendations 1 through 4 name floors, not ceilings, and leave the remainder of the facts-and-circumstances standard intact. Treasury has already taken this approach once in the proposal by making the section 8 confirmation mandatory while leaving the rest flexible; these recommendations extend the same drafting pattern.

**Objection: the controls inquiry in Recommendation 2 asks providers to audit foreign issuers.** It does not. The provider obtains the issuer's description of who may invoke the capability and under what authorization, and records it. The provider then checks that description against the ledger on the points the ledger can show: the address or governance process that can invoke the function, and any limit on privileged operations that is encoded in the contract or visible in its transaction history. The provider does not inspect the issuer's internal approval files. If the ledger contradicts the description, the provider cannot treat its diligence regarding the representation as reasonable until the contradiction is resolved, which is the condition proposed § 1523.3(c) already sets.

**Objection: keying the mandatory check to publication shortens the 30-day period the statute provides.** It does not. That period governs when the prohibition on facilitating secondary trading takes effect; it does not make a published determination of

noncompliance unknowable, and the proposal's own knowledge standard already denies reliance to a provider aware of facts showing that the issuer will not comply. Recommendation 4 makes the mandatory element consistent with that standard; it does not accelerate the prohibition.

**Objection: Recommendation 6 would capture ordinary contract administration.** It reaches only the location of the authority to invoke the represented capability. Where an administrator acts solely at the issuer's direction and the issuer retains the authority, the issuer holds the capability and nothing changes.

## VI. Conclusion

The seven recommendations share one point. Proposed § 1523.3(c) rests on a representation with two limbs that differ fundamentally in how knowable they are. Treasury has correctly refused to demand certainty about the limb that admits none. The recommendations ask Treasury to take the matching step on the limb that is directly observable, and to say what evidence bears on the one that is not, so that a standard framed as reliance on a representation does not become reliance on assertion alone.

Tokenization Systems supports the proposed rule and appreciates the care evident in its treatment of the section 3(b)(2) reliance problem. Tokenization Systems is available to provide the underlying data, methods, and analysis cited in the appendix.

Respectfully submitted,

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SSRN author page:
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## Appendix: Selected sources

Department of the Treasury, GENIUS Act Regulations on Payment Stablecoin Issuance, Offer, and Sale, TREAS-DO-2026-0496, RIN 1505-AC95, 91 Fed. Reg. 53368 (Aug. 18, 2026). (The proposed rule. Quotations are taken from the published notice: Question 4 at 53371, Question 24 at 53374, Question 38 at 53378, the issuance alternative and the nominally offshore issuance example at 53379, Question 44 at 53380, the § 1523.3(c) discussion at 53382, Questions 52 to 54 at 53382 to 53383, Questions 62 and 64 at 53384 to 53385, and proposed § 1523.3 at 53390.)

New York State Department of Financial Services, comment on the GENIUS Act Section 3 Proposal (Oct. 5, 2026), TREAS-DO-2026-0496-0067. (Its resale point is answered in section IV; its Question 74 point is not addressed.)

Osman Sonmez, comment, TREAS-DO-2026-0496-0030 (posted Sept. 21, 2026). (The on-chain diligence floor and the chain-by-chain address list, credited in Recommendation 1.)

Digital Currency Monetary Authority, comment, TREAS-DO-2026-0496-0028 (posted Sept. 9, 2026). (Quoted in Recommendation 1.)

VeloxVFX LLC, comment, TREAS-DO-2026-0496-0022 (posted Sept. 9, 2026). (Quoted in Recommendation 1.)

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Office of the Comptroller of the Currency, proposed rule implementing the GENIUS Act for the issuance of stablecoins by entities subject to the OCC's jurisdiction, Docket ID OCC-2025-0372, RIN 1557-AF41, 91 Fed. Reg. 10202 (Mar. 2, 2026), at 10214 n.50 and 10224. (Controls over minting and burning for permitted issuers, relied on in Recommendation 2.)

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Financial Stability Board, "High-level Recommendations for the Regulation, Supervision and Oversight of Global Stablecoin Arrangements," Final report (17 July 2023). (Recommendation 4 on governance structures and identifiable, responsible legal entities, relied on in Recommendation 6. It revises the FSB's October 2020 recommendations.)

Financial Stability Board, Chair's letter to G20 Finance Ministers and Central Bank Governors (October 8, 2026), p. 2, https://www.fsb.org/uploads/P121026-1.pdf.

Hong Kong Monetary Authority, "Guideline on Supervision of Licensed Stablecoin Issuers" (August 2025), paragraphs 3.5.2, 3.5.3, 6.5.3, and 6.5.5. (Token-operation controls, contract re-audit triggers, and location controls expected of a licensed issuer, relied on in Recommendations 2, 3, and 5.)

Bank for International Settlements, "The next-generation monetary and financial system," Annual Economic Report 2025, Chapter III. (Relied on in Recommendation 1.)

Circle Internet Financial, "Circle Stablecoin Access Denial Policy" (undated; linked from the USDC Terms as Circle's blocklisting policy; retrieved October 9, 2026). (A published response commitment, relied on in Recommendation 3.)

T. Klotz and J. Hu, "Cross-Sector Rating Methodology: Stablecoin," Moody's Ratings (March 17, 2026), https://www.moodys.com/research/Cross-Sector-Rating-Methodology-Stablecoin. (An independent methodology assessing the same class of issuer, relied on in Recommendations 2 and 3 for its treatment of internal controls and of operational track record as evidence bearing on future performance.)

Zach Zukowski, "Seven Dollars: A Comparative Framework for Major Dollar-Denominated Digital Products," SSRN Working Paper No. 6483118, https://ssrn.com/abstract=6483118. (Source of the October 15, 2025 production overmint analysis relied on in Recommendation 2, and of the capability-versus-operational-controls limitation stated there.)

Zach Zukowski, "Routing the Dollar: Gateway Infrastructure, Monetary Policy Transmission, and the Dollar's International Functions in Digital Markets," SSRN Working Paper No. 6267698, https://ssrn.com/abstract=6267698. (The Control Layer Intensity Index, including the freeze and blacklist capability dimension and the geographic restriction dimension relied on in Recommendations 1 and 5.)

Zach Zukowski, "Minimum Viable Equivalence Pack: An Institutional Diligence Framework for Tokenized Products," SSRN Working Paper No. 6363138, https://ssrn.com/abstract=6363138. (The ten-category structural diligence diagnostic.)

Zach Zukowski, "Auditing governance concentration beyond token allocation: a live-governance study of 52 token protocols," Frontiers in Blockchain 9:1853465 (Aug. 5, 2026), doi: 10.3389/fbloc.2026.1853465. (Holder-list concentration read against the unit of control, quoted in Recommendation 6.)

Tokenization Systems, comment on GENIUS Act state-similarity assessment, TREAS-DO-2026-0232 (filed April 15, 2026). (The program's first Treasury comment.)

Tokenization Systems, comments on FINCEN-2026-0100 (filed April 18, 2026, with a supplemental comment filed June 9, 2026) and FINCEN-2026-0101 (filed August 21, 2026). (The program's prior positions on the lawful-order obligation and on a list-comparison obligation without designated lists, referenced in Recommendations 4 and 7.)

**Submitted via the Commission's internet comment form at https://www.sec.gov/comments/s7-2026-27/regulation-crypto-assets (File No. S7-2026-27)**

Vanessa A. Countryman
Secretary
Attention: File No. S7-2026-27, Regulation Crypto Assets
U.S. Securities and Exchange Commission
100 F Street NE
Washington, DC 20549-1090

October 19, 2026

**Re: File No. S7-2026-27, Regulation Crypto Assets; Release Nos. 33-11434 and 34-106150; RIN 3235-AN38 (91 Fed. Reg. 54510, August 21, 2026; comments due October 20, 2026)**

Dear Ms. Countryman:

Tokenization Systems, an independent research program on stablecoin, tokenization, and digital-asset market structure, submits this comment on proposed Regulation Crypto Assets. Tokenization Systems supports the Commission's decision to build a tailored offering regime rather than continue applying rules written for a different asset class, and supports the proposal's principles-based disclosure architecture. This comment addresses one structural question that runs through the proposal and that the Commission has itself put to commenters: how the Commission will know, other than by taking the issuer's word for it, that essential managerial efforts have in fact ceased.

Question 131 asks whether there is "a more objective standard that we should use in place of the proposed standard in Rule 400(a)." This comment answers that question. Its central proposition is that proposed Rule 400 conditions a permanent change in a crypto asset's status under the Federal securities laws on facts that are measurable from public data, but tests them only through the issuer's own certification about the issuer's own prior promises. That is a solvable problem, and the instruments to solve it already exist and are in published, peer-reviewed use. The Commission has already framed the underlying question in measurable terms: the 2026 Interpretation that Rule 400 would codify in part defines a decentralized crypto system as one that "functions and operates autonomously with no person, entity, or group of persons or entities having operational, economic, or voting control of the crypto system," a definition written in terms of control, which can be read from public data. The gap the proposal leaves open also has a name in the legal literature. Angela Walch, writing in Cryptoassets: Legal, Regulatory, and Monetary Perspectives (Oxford University Press, 2019), calls it the "Veil of Decentralization": the distance between a system's claimed decentralization and the actual distribution of power within it, which she argues can be pierced only "through active interrogation of how power operates in each blockchain system." A certification by the issuer, about the issuer's own prior promises, is not such an interrogation.

The empirical basis for the concern is direct. In a fifty-two-protocol live-governance audit

published in *Frontiers in Blockchain* on August 5, 2026, Tokenization Systems found that launch insider allocation does not predict where governance concentration settles: the correlation between launch insider allocation and steady-state governance concentration is weak and statistically insignificant (Pearson r = 0.09, p = 0.55, N = 50). By contrast, current insider retention is informative about concentration (Spearman rho = 0.44, p = 0.005, N = 39; the relationship survives a non-insider tautology check at rho = 0.54). The study measures allocation and retention against concentration; it does not measure offering-stage promises against later cessation of managerial efforts. Its implication for Rule 400 is limited and direct: a figure taken from the offering is a poor proxy for who controls the network at the Form TR date, and the current-state measures that do carry information are not required at all.

Two further findings from the same audit bear on any test the Commission adopts. Naive top-1000 holder lists overstate measured concentration, which a burn-address and protocol-controlled-address exclusion methodology lowers by a median factor of 2.3 times across the thirty-two protocols with complete pre-exclusion and post-exclusion logging. And where governance runs through delegation, voting power is more concentrated than post-exclusion token holdings in thirteen of eighteen protocols with sufficient governance data, with amplification ratios from 2.5 to 25.6 times and a median of 4.4 times, alongside five documented structural exceptions where delegation disperses voting below holdings. Both findings point the same way: the indicators most readily reached misstate control, in both directions, unless the measurement methodology is specified.

Tokenization Systems has submitted twenty-two comments, carrying one hundred twenty-one recommendations, to nine Federal agencies, including the Office of the Comptroller of the Currency (Dockets OCC-2025-0372 and OCC-2026-0463), the Department of the Treasury (TREAS-DO-2026-0232 and TREAS-DO-2026-0496), the Federal Deposit Insurance Corporation (RINs 3064-AG19, 3064-AG20, 3064-AG21, 3064-AG27, 3064-AG29, and 3064-AG30), the Financial Crimes Enforcement Network (FINCEN-2026-0034, FINCEN-2026-0100, and FINCEN-2026-0101), the Board of Governors of the Federal Reserve System (Docket No. R-1835), the National Credit Union Administration (NCUA-2026-1024), the Commodity Futures Trading Commission (Docket CFTC-2026-1685), and the Commission (File Number DSP-3). This is Tokenization Systems' second comment to the Commission. The first, on the Draft Strategic Plan for Fiscal Years 2026 through 2030, recommended that the Commission measure decentralization from current on-chain state wherever a boundary or jurisdictional determination turns on it. Proposed Rule 400 is the first rule text in which that recommendation has concrete purchase, and this comment supplies the operational detail the strategic-plan comment could only name. Full citations appear in the appendix.

The eight recommendations are summarized below with the questions each answers and the action requested.

| Recommendation | Questions answered | Requested final-rule action | Why it matters |
|---|---|---|---|
| 1. Observable control condition in Rule 400(a) | 124, 127, 131, 133 | Add to Rule 400(a) a condition that the issuer retain no unilateral privileged control over the associated crypto network, determined from current on-chain state; do not rest the safe harbor on the issuer's representations alone | Whether the issuer or a person acting for it can still change the network unilaterally is a yes-or-no fact readable from current chain state, while offering-time figures say little about later control ($r = 0.09$) |
| 2. Form TR analysis content | 128, 130 | Require the supporting analysis and specify its minimum content; do not permit certification without analysis | An analysis with unspecified content cannot be evaluated, and the alternative in Question 130 would make the condition unreviewable |
| 3. Reach beyond the issuer | 125, 127 | Extend the Rule 400(a) condition to affiliates and agents of the issuer or a promoter and to any person who controls a privileged function, not to every Rule 100 related person | Rule 400 reaches only "the issuer," although the 2026 Interpretation it codifies reads that term to include affiliates and agents, so efforts continuing at a founder-controlled foundation satisfy the rule as drafted |
| 4. Measurement methodology | 28, 130, 131, 132 | Specify burn-address and protocol-controlled-address exclusion and delegation-adjusted voting measurement wherever holder or voting data is relied on | Unspecified methodology moves measured concentration by a median factor of 2.3 times, and delegation raises effective voting concentration in thirteen of eighteen protocols |
| 5. Functionality anchor | 131, 132, 133 | Anchor the Rule 400(a) standard to the functionality test the release already articulates, rather than solely to the scope of what the issuer promised | As drafted, an issuer that promised less has a smaller cessation burden than one that promised more, which rewards thin offering-stage disclosure |
| 6. Non-resumption and notice | 127, 134 | Condition continued reliance on non-resumption of essential managerial efforts and require prompt notice if they resume; state that filing Form TR is not, by itself, an admission (Question 134) | Rule 400 is one-way on its face and its only forward-looking element is unobservable intent |

| Recommendation | Questions answered | Requested final-rule action | Why it matters |
|---|---|---|---|
| 7. Progress against milestones | 26, 27, 28, 29, 30 | Require that Rule 103(b)(1) progress disclosure be stated against the milestones the issuer disclosed | Without a disclosed baseline, the Form TR analysis has nothing auditable to measure completion against |
| 8. Cross-agency alignment | 127, 131 | Align the Commission's control test with the effective-control standards sibling agencies are applying to the same underlying fact | Divergent tests for who controls a network invite forum selection rather than compliance, and the CFTC is now designing its crypto asset market framework for assets on the far side of the Rule 400 line |

# I. Recommendations

**Recommendation 1 (Questions 124, 127, 131, 133): Add an observable control condition to Rule 400(a) rather than resting the safe harbor on the issuer's representations alone.**

Proposed Rule 400(a) requires that the issuer "has completed or otherwise permanently ceased all essential managerial efforts that it represented or promised it would engage in" and "is not making and does not intend to make any new representations or promises." Rule 400(b) requires a Form TR carrying a certification and a supporting analysis. Nothing else conditions the safe harbor. The consequence is not modest: on satisfaction, the crypto asset is deemed not to constitute, represent, or be subject to an investment contract for purposes of Section 2(a)(1) of the Securities Act and Section 3(a)(10) of the Exchange Act.

The difficulty is that both operative facts are internal to the issuer. Whether the issuer has ceased its own efforts, and whether it intends to make new promises, are matters the issuer alone observes. The Commission and investors observe the certification.

Tokenization Systems' audit bears on one input to the question of who controls the network. Launch insider allocation is uninformative about where governance concentration settles (Pearson $r = 0.09$, $p = 0.55$, $N = 50$), a null that is statistically equivalent to zero within the study's power bound. Current insider retention, by contrast, is informative (Spearman $rho = 0.44$, $p = 0.005$, $N = 39$; surviving a non-insider tautology check at $rho = 0.54$). Control is measurable, but it is measurable in the present tense, from current state, not from what was represented at the offering.

Tokenization Systems recommends that Rule 400(a) carry a third condition addressed to current, observable control. The condition should be satisfied where neither the issuer nor any person acting for it holds a power to alter the associated crypto network or the subject crypto asset that can be exercised without holder approval and takes effect without a timelock during which holders may reject it. This is not a theoretical construct. In an on-chain admin-key and upgrade-authority audit that Tokenization Systems conducted

across thirty-six protocols for a separate classification study, unilateral upgrade control proved pervasive: in seventeen of the thirty-six, an upgrade authority could alter the core with no token-holder-governance-plus-timelock gate. Those seventeen include protocols controlled by a single party or common-control group, whether a team multisig, an externally-owned account, or a foundation-run proof-of-authority arrangement, and one borderline case, a permissioned thirteen-of-nineteen guardian set whose signers are independent rather than under common control but which can still alter the core with no token-holder governance gate. The audit read the actual upgrade authority on-chain for each protocol. What that audit did for thirty-six protocols, an issuer can do for one, and a reviewer can reproduce. The count of seventeen is not a result of the published Frontiers article: it comes from the separate study, which is unpublished, so the article cannot be used to check it. The recommendation does not depend on it, because an issuer can inventory its own upgrade authority whatever other protocols retained.

The concept is the Commission's own, and the recommended condition asks for less than the Commission's own definition requires. The 2026 Interpretation defines a crypto system as "decentralized" if it "functions and operates autonomously with no person, entity, or group of persons or entities having operational, economic, or voting control of the crypto system" (91 Fed. Reg. at 13718 n.50). The release explains that the safe harbor should focus on the issuer's fulfillment of its representations or promises "rather than a general market conception of decentralization" (release n.193). Recommendation 1 is consistent with that choice. It does not import a market conception of decentralization. It tests one of the three forms of control the Commission's own definition names, operational control, in its narrowest form, unilateral control, and only as to the issuer, the affiliates and agents of the issuer or of a promoter, and the holders of a privileged function. The fact bears directly on the question Rule 400 asks, because a purchaser can still reasonably expect essential managerial efforts from an issuer that keeps the unilateral power to rewrite the network.

The release considered a broader condition of this kind and set it aside, and its reason does not reach this one. Among the reasonable alternatives, it discusses requiring that the subject crypto asset have sufficient functionality and that the associated crypto network or associated crypto application "has become sufficiently decentralized (according to specified criteria regarding functionality and decentralization)." It allows that such criteria "might be less costly to demonstrate than those in Form TR," and identifies the cost on the other side: "it could be difficult for issuers to determine when a subject crypto asset has sufficient utility or control of the associated blockchain network or when the application is sufficiently dispersed," so that issuers "may need to retain the services of legal and technical professionals to verify that they meet the conditions of the safe harbor" (release section IV.D.4.b). Recommendation 1 asks no question of degree. Whether the issuer or a person acting for it holds a power to alter the network that can be exercised without holder approval and without a timelock is a yes-or-no fact. The issuer already knows the answer, because it holds the keys or has given them up, and a reviewer can confirm it from the chain. The inventory in Recommendation 2 is the issuer's own list of those keys.

The condition can also be written in observable terms, because legislative drafters have already written it that way. The House-passed text of the Digital Asset Market Clarity Act

of 2025 (H.R. 3633), which the release cites in setting the startup exemption's four-year period, would treat a blockchain system as mature only if no person or group of persons under common control "has the unilateral authority, directly or indirectly, through any contract, arrangement, understanding, relationship, or otherwise, to control or materially alter the functionality, operation, or rules of consensus or agreement of the blockchain system or its related digital commodity." The admin-key audit described above applied that element, read from chain state, to its thirty-six protocols. Tokenization Systems cites the bill for its drafting, not as a forecast of legislation.

That control is measurable from observable system properties is not this program's claim alone. In a systematic literature review published in 2021, Ashish Rajendra Sai, Jim Buckley, Brian Fitzgerald, and Andrew Le Gear derive a taxonomy of centralization in public blockchain systems built, in their words, on "empirically observable and measurable characteristics," consisting of "13 aspects of centralization, classified over six architectural layers: Governance, Network, Consensus, Incentive, Operational, and Application." The Commission need not adopt that taxonomy. The point for Rule 400 is narrower and is established independently of any one framework: the question the safe harbor asks is of a kind that admits observation, and an independent literature has been operationalizing it for years.

The supervisory form of the same point has been stated inside the Federal Reserve System. Writing in the Federal Reserve Bank of St. Louis *Review* in 2021, Fabian Schär observed that many decentralized-finance protocols "use admin keys" and that even where a launch is perceived as relatively fair, "the actual distribution often remains highly concentrated." His conclusion is addressed to regulators directly: they "should watch closely and analyze carefully if a given DeFi protocol is indeed decentralized or if the DeFi label is just for show in an attempt to get around regulation." Proposed Rule 400 asks a version of exactly that question, and answers it by asking the issuer. The recommendation here is only that the Commission take the analytical step the Federal Reserve publication urges, using evidence that is already public.

**Recommendation 2 (Questions 128, 130): Require the Form TR analysis and specify its minimum content; do not permit certification without analysis.**

Question 130 asks whether Form TR should require a supporting analysis or whether issuers should be permitted to certify without one. Tokenization Systems recommends requiring the analysis. The alternative would reduce the condition to an assertion, and the Commission's stated purpose for Form TR, that "a reasonable investor could understand how the issuer made its determination," cannot be met by a certification with no reasoning attached.

Requiring an analysis is necessary but not sufficient. An analysis of unspecified content is difficult to evaluate and easy to satisfy formally. Tokenization Systems recommends that Form TR specify three minimum elements:

First, a privileged-function inventory: the admin keys, upgrade authorities, mint and freeze functions, and equivalent privileged capabilities associated with the crypto asset and the

associated network, with the on-chain addresses or program identifiers at which each resides and a statement of who controls each.

Second, where the issuer relies on governance dispersion, a governance-participation measurement with the methodology stated, including the address exclusions applied and whether delegated voting power was measured.

Third, a related-person continuation statement addressing whether any related person is engaged in, or has undertaken to engage in, the efforts the issuer has ceased.

Each of these is a fact the issuer already knows and can state briefly. Together they convert the analysis from a narrative into something a reviewer can check.

The Commission has an antecedent of its own here, and it is closer to these recommendations than the proposal is. Commissioner Hester Peirce's Token Safe Harbor Proposal 2.0, issued as a public statement in April 2021, addressed the same problem of what happens when a grace period ends, and answered it with an exit report that would include "an analysis by outside counsel explaining why the network is decentralized or functional, or an announcement that the tokens will be registered under the Securities Exchange Act of 1934." That proposal also required "semi-annual updates to the plan of development disclosure and a block explorer," and defined the plan of development as "[t]he current state and timeline for the development of the network to show how and when the Initial Development Team intends to achieve Network Maturity."

Those four elements map onto four of the recommendations in this comment: a required analysis with stated content (Recommendation 2), an on-chain reference point (Recommendation 1), a maturity or functionality anchor rather than a promise-scoped one (Recommendation 5), and milestones disclosed and reported against (Recommendation 7). Tokenization Systems does not suggest the Commission adopt the 2021 proposal, which differs from this one in structure and in the relief it offers. The narrower observation is that the Commission has already considered what an end-of-period determination needs in order to be reviewable, and reached answers close to these. Proposed Rule 400 asks for a certification and an analysis of unspecified content, which is less than its own antecedent asked for.

**Recommendation 3 (Questions 125, 127): Extend the Rule 400(a) condition to the affiliates and agents of the issuer or of a promoter and to the holders of a privileged function.**

Proposed Rule 400 addresses only "the issuer." The term "related person" is defined in proposed Rule 100 to mean, with respect to an issuer, founders, promoters, employees, affiliates, and any person that is a director, officer, trustee, consultant, contractor, or advisor to the issuer, in each case together with any immediate family members; and the term is used in the disclosure requirements of Rule 103, which both exemptions incorporate (the startup exemption through Rule 200(d), the fundraising exemption through Form 1-CRYPTO). It does not appear in Rule 400.

The gap this leaves is straightforward. An issuer may cease its essential managerial efforts

while a founder-controlled foundation, an affiliate, or a development company under common control continues precisely those efforts. On the text as proposed, the Rule 400(a) condition is satisfied, the Form TR is accurate, and the crypto asset exits the definition of "security" permanently, while the efforts on which purchasers' expectations rest continue uninterrupted at a related person. Tokenization Systems does not suggest this is the Commission's intent. It is a consequence of a defined term being used in three of the regulation's four operative subparts and not the fourth.

The Commission's own 2026 Interpretation already reads the term more broadly: "For purposes of this release, references to an 'issuer' include affiliates and agents of the issuer or a promoter" (91 Fed. Reg. at 13721 n.83). The release explains that Rule 400's conditions "are intended to codify the Commission's views expressed in the 2026 Interpretation," yet neither proposed Rule 400 nor the definitions in proposed Rule 100 carry that construction into the codified text, so on its face the codification is narrower than the view it codifies. Where the codified text means to reach affiliates it says so, as in the offering limits, which count aggregate sales "by the issuer and its affiliates." Legislative drafting likewise looks past the issuer itself: the House-passed text of H.R. 3633 measures distributed ownership by asking whether any "digital commodity issuer, digital commodity related person, or digital commodity affiliated person beneficially owns, in the aggregate, 20 percent or more" of the asset.

Tokenization Systems recommends extending the Rule 400(a) condition beyond the issuer, but not to every related person. The extension should reach affiliates and agents of the issuer or of a promoter, the reach the 2026 Interpretation already gives the issuer, and any other person who controls a privileged function described in the Form TR inventory. It does not reach a consultant, a family member, a validator, or a code publisher who is neither an affiliate nor an agent and controls no privileged function, and it attaches to acts and powers, not to anyone's intent. Rule 103(b)(4) already requires the issuer to describe its related persons, and the Form TR inventory names who controls each privileged function, so the issuer will have identified the relevant population before it files.

**Anticipated objection.** Extending the condition beyond the issuer might be read to capture ordinary post-functionality maintenance performed by an affiliate, and so to make the safe harbor unusable. It should not, and the release already supplies the answer. The Commission states that once a network or application is functional, "services to secure, maintain, improve, or enhance such a network or application or its functionality, or to facilitate network effects, whether through sponsoring or funding development projects or other similar activities, would not constitute essential managerial efforts," and that this holds "whether by the issuer or another party." The recommended extension reaches only efforts that are essential managerial efforts in the first place. The Commission's existing carve-out does the limiting work, and the extension simply prevents the identity of the actor from being dispositive where the character of the effort is not.

**Recommendation 4 (Questions 28, 130, 131, 132): Specify the measurement methodology wherever the Commission relies on holder or voting data.**

If the Commission adopts an observable condition in Rule 400(a), or accepts governance dispersion as evidence in a Form TR analysis, it will be relying on holder or voting data. That data does not speak for itself, and the methodological choices that determine what it says are currently unstated.

Tokenization Systems' audit quantifies the exposure. Applying a universal burn-address rule and excluding protocol-controlled addresses lowers measured concentration by a median factor of 2.3 times across the thirty-two protocols with complete pre-exclusion and post-exclusion logging. In the opposite direction, delegation raises effective voting concentration above post-exclusion holdings in thirteen of eighteen protocols with sufficient governance data, with ratios from 2.5 to 25.6 times and a median of 4.4 times. Five protocols in the sample show the reverse pattern, where a mature delegate program disperses voting below holdings, and those exceptions are informative rather than anomalous: they show that delegate-program design, not sector or governance venue, determines the magnitude.

Independent work reaches the same conclusion about holder data. Studying the token distributions of decentralized-finance protocols, Matthias Nadler and Fabian Schär found that, for most tokens, a holder analysis that did not control for the type of account overstated the holdings of the top five addresses "by approximately 100% and in some extreme cases by up to 700%." The main sources of error were tokens held in custodial and escrow contracts (liquidity, lending, and staking pools, token wrappers, and vesting contracts) and in burner and decentralized-exchange addresses. A naive list counts those balances as ordinary holdings; the corrected method reassigns them to their economic beneficiaries where it can and excludes them where it cannot. Any threshold the Commission adopts inherits the same dependency. The Commission's own definition of decentralization turns in part on "voting control," and the House-passed text of H.R. 3633 draws bright lines at "20 percent or more of the outstanding voting power" and at beneficial ownership of 20 percent of the units. Neither line can be applied consistently until the denominator and the attribution rules are stated.

The practical implication is that the same crypto asset can be characterized as dispersed or concentrated depending on choices no rule currently constrains: whether burn addresses sit in the denominator, whether bridge and treasury addresses are excluded, and whether voting is measured at all or only holdings. Tokenization Systems recommends that the Commission specify, in the rule text or the adopting release, that any holder-concentration measure exclude burn addresses and protocol-controlled addresses, and that where governance runs through delegation the measure reflect delegated voting power rather than token holdings alone. Tokenization Systems offers its corrected concentration methodology, documented in the published audit and in an executable replication package, as one reproducible procedure for that determination.

**Recommendation 5 (Questions 131, 132, 133): Anchor the Rule 400(a) standard to network functionality rather than solely to the scope of what the issuer promised.**

Rule 400(a) is scoped by the issuer's own representations: the efforts that must have ceased are "all essential managerial efforts that it represented or promised it would engage in under the covered investment contract." The scope of the condition therefore varies with the ambition of the issuer's offering-stage disclosure. An issuer that described an extensive development program must complete or abandon all of it. An issuer that described little has little to cease.

That asymmetry runs against the proposal's own disclosure objectives. Rule 103 seeks fuller, more useful narrative disclosure of what the issuer has undertaken; Rule 400 attaches a smaller exit burden to having undertaken less. The two provisions pull in opposite directions on the same behavior.

The release already contains the corrective. In discussing what does not constitute essential managerial efforts, the Commission ties the analysis to whether the network or application is functional, and states that after functionality is achieved the asset "should derive its value from the programmatic operation of the associated crypto network or associated crypto application, as well as the market's supply and demand dynamics." Tokenization Systems recommends that Rule 400(a) incorporate that functionality anchor as an independent element, so that the condition turns on the state of the network as well as on the completion of what was promised. Question 133 asks whether the safe harbor should be available only to issuers that have fulfilled their representations; the functionality anchor is the better discriminator, because it addresses the fact purchasers' expectations actually rest on.

The 2026 Interpretation supplies the definition the element needs. It defines a crypto system as "functional" if "the system's native crypto asset can be used on the system in accordance with the programmatic utility of the system" (91 Fed. Reg. at 13718 n.49), and the suggested rule text in Part II tracks that definition. The same release shows why the element must stand apart from the issuer's own description, because it measures promised functionality in the issuer's terms: "whether the issuer has achieved functionality would be based on how the issuer defined or otherwise described functionality, not a general market conception of what constitutes functionality" (id. at 13722 n.96). That is a sound rule for deciding whether a promise was kept. It is not a reason to let the promise set the floor for leaving the securities laws, and an independent functionality element, defined in the Commission's terms rather than the issuer's, is what closes the gap.

**Recommendation 6 (Questions 127, 134): Condition continued reliance on non-resumption, and require prompt notice if essential managerial efforts resume.**

Proposed Rule 400 operates once. On satisfaction of its conditions the covered investment contract is deemed to have ceased to exist and the crypto asset is deemed not to be subject to it. The codified text addresses no subsequent event. Its only forward-looking element is

the Rule 400(a) statement that the issuer "does not intend to make" new representations or promises, which is a statement about intent and therefore not observable by the Commission, by investors, or by a court examining the question later.

Tokenization Systems recommends two additions. First, condition continued reliance on the safe harbor on the issuer not resuming essential managerial efforts with respect to the crypto asset. Second, require the issuer to file prompt notice if it does resume, on the model of the current-report obligation the proposal already establishes in Form 1-UC. The change converts an unobservable statement about present intent into an observable obligation attached to a future act.

Question 134 raises a different concern: that some parties may read reliance on the safe harbor as a tacit admission that the crypto asset was subject to an investment contract and that the party relying on it was the issuer. The final rule should state that filing Form TR is not, by itself, that admission. The filing remains subject to the antifraud provisions, and a false analysis is still a false filing. Tokenization Systems does not have evidence on whether issuers will rely on the 2026 Interpretation instead of Rule 400, and it does not answer that half of the question.

**Anticipated objection.** The 2026 Interpretation already addresses renewed promises: once an investment contract has ceased, the issuer's later offers and sales are not securities transactions "unless the issuer creates a new investment contract to which the non-security crypto asset is subject" (91 Fed. Reg. at 13722). That principle and this recommendation are complementary. The principle states the legal consequence once new representations or promises are established; it does not tell investors or the Commission that they have been made. In the meantime the issuer's Form TR remains on EDGAR stating that the covered investment contract has ceased to exist. A notice obligation is what makes the Interpretation's own principle visible to the market it protects.

### Recommendation 7 (Questions 26, 27, 28, 29, 30): Require that Rule 103(b)(1) progress disclosure be stated against the milestones the issuer disclosed.

Proposed Rule 103(b)(1) requires disclosure of "the issuer's representations or promises to engage in essential managerial efforts under the covered investment contract and its progress with respect to such representations or promises." The Commission expects the Form TR analysis to draw on these disclosures, and observes that they "may provide issuers, investors, and other market participants with a more objective means" of determining whether a covered investment contract has ceased to exist.

That expectation is sound and one drafting change would secure it. Progress is only measurable against a stated baseline. If the initial disclosure describes undertakings in narrative terms without identifiable milestones, then later progress disclosure has nothing to be measured against, and the Form TR completion analysis inherits the same indeterminacy.

Tokenization Systems recommends that Rule 103(b)(1) require the issuer to identify the specific milestones or deliverables comprising its represented essential managerial efforts,

and to state progress against those identified items. Questions 29 and 30 ask whether to supplement the principles-based requirements with prescriptive elements, non-exclusive examples, or adopting-release guidance. This is the one place where a prescriptive element earns its cost, because it is the element on which the safe harbor later depends. Tokenization Systems otherwise supports the principles-based approach and does not recommend converting Rule 103 to a prescriptive schedule.

The Commission's own guidance already treats milestones as the substance of the efforts this disclosure describes. The 2026 Interpretation identifies representations made "together with a business plan containing detailed milestones, a timeline, information about personnel, sources of funding and other resources needed to meet those milestones" as the kind that "speak directly to those essential managerial efforts that affect the failure or success of the project," and treats representations "lacking milestones, funding, or other plans for needed resources" as unlikely to create reasonable expectations of profit at all (91 Fed. Reg. at 13721-22). An issuer whose offering created an investment contract will therefore usually have stated its milestones already; the recommendation asks only that progress be reported against them.

The empirical literature supports the weight the proposal places on disclosure here. Studying more than 1,500 token offerings raising $12.9 billion collectively, Sabrina Howell, Marina Niessner, and David Yermack found in the *Review of Financial Studies* that issuer success, measured as increasing employment and avoiding enterprise failure, "is associated with disclosure, credible commitment to the project, and quality signals." Milestones stated at the offering and reported against are precisely a credible commitment in that sense. The recommendation therefore asks for something the evidence associates with better real outcomes for issuers, not only with better administrability for the Commission.

**Recommendation 8 (Questions 127, 131): Align the Commission's control test with the effective-control standards sibling agencies are applying to the same underlying fact.**

Several Federal agencies are now writing rules that turn on who effectively controls a digital-asset arrangement, and they are not converging. Tokenization Systems has recommended to the Financial Crimes Enforcement Network that a United States-based compliance officer hold effective supervisory control over United States-nexus operations rather than a nominal title (FINCEN-2026-0034, Recommendation 4), and to the Federal Deposit Insurance Corporation that the supervisor confirm an identifiable accountable line where a payment stablecoin issuer leverages an affiliate's program (RIN 3064-AG29, Recommendation 5). Both rest on the same diagnostic this comment applies to Rule 400: where control is delegated or placed with an affiliate, the nominal locus of accountability and the effective locus of control can diverge, and a test that reads only the nominal structure will misjudge the arrangement.

Tokenization Systems recommends that the Commission state, in the adopting release, that the Rule 400(a) determination looks to effective control rather than nominal arrangement, and that the placement of an effort with an affiliate or agent does not by itself establish

cessation. The alignment is directional and costs the Commission nothing in flexibility. Its absence has a cost: where one agency reads nominal structure and another reads effective control, the same arrangement can be compliant in one forum and not the other, and the resulting choice is a forum choice rather than a compliance improvement.

The alignment matters more now than when the proposal issued, because the Rule 400 determination is becoming a boundary between two agencies' regimes. The 2026 Interpretation that Rule 400 would codify in part was issued together with guidance in which the Commodity Futures Trading Commission stated that it and its staff "will administer the Commodity Exchange Act" consistently with that interpretation. On October 5, 2026, the CFTC released an advance notice of proposed rulemaking on Regulation Crypto Asset Transactions and Regulation Crypto Asset Markets that describes the proposed safe harbor as the point at which a crypto asset may become "freely tradable in secondary markets outside the purview of the SEC and the Federal securities laws," and presents its own proposal as "a complementary federal regulatory framework for crypto assets subject to the safe harbor proposed in Regulation Crypto Assets." A crypto asset that leaves the Commission's perimeter on its issuer's Form TR will therefore enter another agency's framework on the same record, and that record should rest on effective-control facts both agencies can read.

## II. Suggested rule text

The following drafting language is offered as a starting point for six of the eight recommendations. It uses the proposal's own defined terms and structure.

**Recommendations 1, 3, and 5 (Section 228.400(a)).** Revise proposed Section 228.400(a) to read:

> (a) The issuer, each affiliate or agent of the issuer or of a promoter, and each other person who controls a privileged function associated with the subject crypto asset or the associated crypto network has completed or otherwise permanently ceased all essential managerial efforts that the issuer represented or promised it would engage in under the covered investment contract, and none of them is making any new representation or promise to engage in essential managerial efforts with respect to the crypto asset.
>
> (a)(1) The associated crypto network or associated crypto application is functional, in that the crypto asset can be used on that network or application in accordance with the programmatic utility of that network or application.
>
> (a)(2) Neither the issuer nor any person described in paragraph (a) holds a unilateral, discretionary power to modify the associated crypto network, the associated crypto application, or the subject crypto asset. A power is not unilateral if it can be exercised only with the approval of holders of the crypto asset. A power is not discretionary if it takes effect only after a timelock during which holders may reject it, or if the code exercises it on a published schedule.

Paragraph (b), the proposed Form TR filing condition, stays as proposed.

**Recommendation 6 (new Section 228.400(c)).** Add:

> (c) The safe harbor provided by this section ceases to be available with respect to a covered investment contract if, after filing the transition report required by paragraph (b) of this section, the issuer or any person described in paragraph (a) resumes essential managerial efforts with respect to the crypto asset. An issuer that resumes such efforts must file a current report on Form 1-UC within four business days of the resumption.

**Recommendation 2 (Form TR, Part I).** Add to the required contents of Form TR:

> An inventory of each privileged function associated with the subject crypto asset and the associated crypto network, including administrative keys, upgrade authorities, and minting, freezing, and pausing capabilities, identifying for each the on-chain address or program identifier at which it resides and the person that controls it; and, where the issuer relies on the dispersion of governance participation, a statement of the methodology used to measure that dispersion, including the addresses excluded from the measurement and whether delegated voting power was measured.

**Recommendation 7 (Section 228.103(b)(1)).** Revise the first clause of proposed Section 228.103(b)(1) to read:

> (1) Covered investment contract. A description of the material terms of the covered investment contract, including the issuer's representations or promises to engage in essential managerial efforts under the covered investment contract, the specific milestones or deliverables comprising those efforts, and the issuer's progress with respect to each such milestone or deliverable, …

## III. Cross-agency alignment and divergence

Tokenization Systems has commented in adjacent proceedings at eight other agencies. The table below sets out where this proposal and its siblings treat the same underlying question differently.

| Issue | This proposal (S7-2026-27) | Sibling rulemakings | Recommended alignment |
|---|---|---|---|
| Who is treated as controlling an arrangement | Rule 400(a) reaches only "the issuer"; related persons are addressed in Rule 103 but not in Rule 400 | FDIC RIN 3064-AG29 addresses affiliate-run programs and the accountable line; FinCEN FINCEN-2026-0034 addresses whether a compliance officer holds effective supervisory control | Extend Rule 400(a) to affiliates and agents of the issuer or a promoter and to any person who controls a privileged function, so the identity of the actor is not dispositive where the character of the effort is not |

| Issue | This proposal (S7-2026-27) | Sibling rulemakings | Recommended alignment |
|---|---|---|---|
| Nominal versus effective control | The Rule 400(a) determination is not expressed in effective-control terms | The banking and AML rulemakings increasingly ask whether authority is effective rather than titular | State in the adopting release that Rule 400(a) looks to effective control |
| Verification of a self-reported status | Self-certification with a supporting analysis of unspecified content | Bank and credit-union rules pair self-reporting with supervisory examination; the Commission has no examination relationship with these issuers | Specify the analysis content, which is the substitute available where examination is not |
| Handoff to another regulator | A crypto asset that satisfies Rule 400 leaves the Commission's perimeter on the issuer's own Form TR | The CFTC's October 2026 advance notice presents its proposed crypto asset market framework as complementary to the Rule 400 safe harbor | Build the Form TR record on effective-control facts that the CFTC can read from the same evidence |
| Measurement of concentration and control | Not specified | Not specified in the sibling rules either | Specify the exclusion and delegation-adjustment methodology; this is a gap common to all of them and the Commission is positioned to set the standard |

The last row is the one Tokenization Systems most encourages the Commission to act on. None of the proceedings on which Tokenization Systems has commented specifies how concentration or control is to be measured from on-chain data. The Commission is the agency whose rules most directly turn on the answer, and a methodology specified here would likely become the reference for the others.

## IV. Anticipated objections

**Objection: the release has already declined to make decentralization the test.** Addressed in Recommendation 1. The recommended condition does not adopt a general market conception of decentralization. It tests one element of the Commission's own definition, unilateral operational control, and only as to the issuer, the affiliates and agents of the issuer or of a promoter, and the holders of a privileged function, because that element bears on whether a purchaser can still reasonably expect the issuer's efforts.

**Objection: an observable control condition would make the safe harbor unavailable to most issuers.** In the separate, unpublished audit, seventeen of thirty-six protocols retained unilateral upgrade control; that sample is not the set of Rule 400 issuers,

so it does not say how many issuers the condition would bind. Binding where control is retained is the point of a condition. It would not bind on issuers that have genuinely relinquished control, which are the issuers the safe harbor is designed for. An issuer that retains unilateral authority to rewrite the network has not ceased essential managerial efforts in any sense a purchaser would recognize, and the safe harbor's premise, that purchasers no longer reasonably expect the issuer to act, is not satisfied.

**Objection: specifying measurement methodology is too technical for rule text.** The Commission need not put the methodology in the rule text. Stating it in the adopting release, or requiring the issuer to disclose the methodology it used, would achieve most of the benefit. Recommendation 2 takes the lighter path: it requires the issuer to state its methodology rather than requiring the Commission to prescribe one.

**Objection: the extension beyond the issuer would capture ordinary maintenance.** Addressed in Recommendation 3. The release's existing functionality carve-out, which applies "whether by the issuer or another party," does the limiting work.

**Objection: these additions increase burden on small issuers.** The privileged-function inventory in Recommendation 2 is information the issuer necessarily possesses, since it holds or has relinquished the keys in question, and is typically a short list. The milestone disclosure in Recommendation 7 is a formatting requirement applied to information Rule 103(b)(1) already requires. Tokenization Systems does not recommend audited or third-party-verified control assessments, which would impose real cost on the startup-exemption issuers the proposal is designed to reach.

**Objection: the Commission should not codify a control test while Congress is considering market-structure legislation.** The Commission is codifying a cessation test either way; the question is only whether it is observable. An unobservable test is not more deferential to a future statute, it is merely harder to administer in the interim. Nor is an observable control test foreign to the legislative drafting the release itself consults: the House-passed text of H.R. 3633 frames its maturity test in comparable terms (Recommendation 1).

## V. Conclusion

The eight recommendations share one organizing point. Proposed Regulation Crypto Assets conditions a permanent change in a crypto asset's status under the Federal securities laws on whether essential managerial efforts have ceased, and that is a question about the world rather than a question about the issuer's own account of the world. It can be answered from current, public, reproducible data. The evidence that it should be answered that way is that a figure taken from the offering is a poor proxy for who controls the network later (launch insider allocation, Pearson r = 0.09), while current-state measures do carry information (Spearman rho = 0.44, surviving a non-insider tautology check at rho = 0.54). Question 131 asks whether a more objective standard exists. It does: its core is a definition of control the Commission has already written, it is in published use, and Recommendations 1, 4, and 5 set it out in rule text.

Tokenization Systems supports the Commission's decision to build a tailored regime and appreciates the care evident in the proposal's disclosure architecture and its economic analysis. The recommendations above are offered in the same spirit, and Tokenization Systems is available to provide the underlying data, methods, and analysis cited in the appendix, including the executable replication package for the published audit.

Respectfully submitted,

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## Appendix: Selected sources

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U.S. Securities and Exchange Commission, Fact Sheet, Regulation Crypto Assets (Aug. 2026), https://www.sec.gov/files/33-11434-fact-sheet.pdf.

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Commodity Futures Trading Commission, Regulation Crypto Asset Transactions and Regulation Crypto Asset Markets, Advance Notice of Proposed Rulemaking, RIN 3038-AF80, Release No. 9307-26 (Oct. 5, 2026) (pre-publication version posted by the CFTC; the Federal Register placed the notice on public inspection on October 9, 2026, for publication on October 13, 2026 at 91 Fed. Reg. 64811, FR Doc. 2026-20888, with comments due December 14, 2026), https://www.cftc.gov/media/14716/ANPRM_CTX-CAM_asapproved/download. (The CFTC's description of the proposed Rule 400 safe harbor and of its own framework as complementary to it.)

Zach Zukowski, "Routing the Dollar: Gateway Infrastructure, Monetary Policy Transmission, and the Dollar's International Functions in Digital Markets," SSRN Working Paper No. 6267698, https://ssrn.com/abstract=6267698. (The Control Layer Intensity Index, the operator-level control-scoring instrument.)

Zach Zukowski, "Minimum Viable Equivalence Pack: An Institutional Diligence Framework for Tokenized Products," SSRN Working Paper No. 6363138, https://ssrn.com/abstract=6363138. (The ten-category structural-equivalence diagnostic.)

Tokenization Systems, comment on the Draft Strategic Plan for Fiscal Years 2026 through 2030, File Number DSP-3 (filed July 2, 2026). (The prior comment recommending measured decentralization as the evidentiary standard.)

**Submitted via the Commission's internet comment form at https://www.sec.gov/comments/4-927/order-granting-temporary-conditional-exemptive-relief-pursuant-section-36a1-securities-exchange-act (File No. 4-927)**

Vanessa A. Countryman
Secretary
Attention: File No. 4-927, Order Granting Temporary Conditional Exemptive Relief for Tokenized NMS Stock
U.S. Securities and Exchange Commission
100 F Street NE
Washington, DC 20549-1090

October 19, 2026

**Re: File No. 4-927; Release No. 34-106402; Order Granting Temporary Conditional Exemptive Relief from the Definitions of "Exchange" and "Dealer" for Tokenized NMS Stock, and Request for Comment (issued September 17, 2026; 91 Fed. Reg. 60168, September 22, 2026)**

Dear Ms. Countryman:

Tokenization Systems, an independent research program on stablecoin, tokenization, and digital-asset market structure, submits this comment on the Commission's order granting the TSV Exemption and the Covered Firm Exemption (the Order). Tokenization Systems supports the Commission's decision to let trading of Tokenized NMS Stock begin under stated conditions while it considers rulemaking, and supports in particular the condition that the smart contracts a Tokenized Securities Venue (TSV) uses be "auditable, public, and deployed on a public, permissionless distributed ledger." That condition is what makes the recommendations below inexpensive: most of the facts they ask for are already public on the ledger the Order requires.

The Order is designed to produce evidence. The Commission "anticipates that experience with the Order, both in the form of public input and the practical application of the exemptions, which are time-limited and subject to enumerated conditions, will help inform any future Commission actions in this area, including rulemaking" (91 Fed. Reg. at 60169), and expects that trading on TSVs "will help the Commission evaluate the impact of trading Tokenized NMS Stock using AMM Liquidity Pools and the TSV trading model on the national market system" (id. at 60172). Commissioner Peirce's statement on the Order puts the purpose plainly: exemptions like this one "are intended to provide the Commission and market participants with an opportunity to observe how tokenized NMS stocks are used and traded in different onchain contexts and how onchain and traditional markets interact with one another." This comment's central proposition is that several of the Order's conditions turn on facts the ledger already makes observable, but the Order collects those facts as descriptions of procedure, collects some of them only for the TSV's own smart contracts rather than for the assets traded in its pools, and does not collect others at all. A five-year exemption whose purpose is to inform rulemaking should collect, from its first day, the facts that rulemaking will need, in a form a reviewer can check against the ledger rather than accept on representation.

Three examples show the gap. First, the Order requires a TSV to name who can upgrade, modify, suspend, override, or cease its own smart contracts, but asks no equivalent question about the token contracts of the Tokenized NMS Stock, stablecoin, or tokenized money market fund in each pool, although those contracts commonly carry functions to mint, freeze, force a transfer, pause, or replace their own code. Second, the Order deems a token to carry the same rights as the share by reference to four rights a shareholder holds against the issuer, while the Commission's own staff has identified an exposure that third-party tokenization adds and that none of the four reaches: the holder's exposure to the third party itself, "such as bankruptcy." Third, the Order requires transaction prices in U.S. dollars but not the rate used to convert a stablecoin price into dollars, so a reader of the data cannot tell a move in the stock from a move in the stablecoin it traded against.

Tokenization Systems' measurement work bears on each. Its Minimum Viable Equivalence Pack (MVEP), published on SSRN, is a ten-category structural-equivalence diagnostic for tokenized products; applied to fourteen named tokenized money and collateral products, it rated every one of them non-equivalent at the headline. Its on-chain measurements of tokenized Treasury funds and stablecoins, and its fifty-two-protocol governance audit published in *Frontiers in Blockchain* in August 2026, are described where they bear. Where a finding comes from products other than Tokenized NMS Stock, which is not yet traded under the Order, this comment says so at the point of use and offers it for what it shows about the control layer of tokenized assets generally.

Tokenization Systems' first comment to the Commission, on the Draft Strategic Plan for Fiscal Years 2026 through 2030 (File Number DSP-3), recommended reproducible on-chain measurement of control. Recommendation 2 below applies that recommendation here, through an inventory of privileged functions. This comment addresses Questions 1, 3, 4, 5, 8, and 10, and the operational part of Question 7. It takes no position on the duration or permanence of either exemption (Questions 2 and 9), on the calibration of the Tier 1 and Tier 2 limits (Question 6), on relief from Regulation NMS for broker-dealer participants (the second part of Question 7), or on whether TSVs should trade securities other than NMS stock (the first part of Question 4), because it has no evidence to offer on them. For the same reason it takes no position on the issuer notice and objection mechanics of Sections II.C and II.D, including Computershare's request of October 2, 2026 that the Commission "provide prompt guidance that an issuer may establish a standing objection" and publish registers of TSVs and of issuer objections. None of the recommendations requires the use of any program instrument: the MVEP and the program's on-chain measurements are cited for the facts they show a review must establish, and any reviewer may establish those facts by its own method.

The seven recommendations are summarized below with the questions each answers and the action requested.

| Recommendation | Questions | Requested action | Why it matters |
|---|---|---|---|
| 1. Verify equivalence through the custody chain and the holder's position if the tokenizer fails, and state the evidence | 1, 3, 5 | Require the Section II.E verification and Notice item (i) to cover the tokenization model, the controlling record and its reconciliation, the holder's position if an intermediary fails, corporate actions, and conversion between token and share | A token can carry the four rights the Order names while the holder's claim runs against a custodian |
| 2. Extend the change-control disclosure to every asset traded on the TSV | 1, 4, 5 | Add a Notice item listing each asset's privileged functions, who holds them, and whether approval by more than one person and a delay apply; treat an exercise that freezes, burns, moves, or pauses a pooled asset, or by the TSV or a Covered Firm, as a significant operational event | Item (n) reaches only the TSV's own contracts |
| 3. State when each leg of a trade is final and who bears loss if it is reversed or frozen | 4, 5, 7 | Require Notice item (y) to give, for each asset, the ledger event treated as final, its legal effect, and the loss allocation | Settlement is "near instantaneous" only if the ledger event is the legal transfer for both assets |
| 4. Add the ledger transaction identifier and the dollar conversion rate to each transaction record | 3, 5 | Add both to the Section II.G minimum fields | Without them, a stablecoin deviation reads as a dislocation in the stock, and no print can be reconciled to the ledger |
| 5. Ask Covered Firms for their control over pool parameters and their share of pool liquidity | 8, 10 | Add both to the Covered Firm notification and records | Control over pricing is the indicium of dealing the Order names, and it is observable |
| 6. Determine affiliation for the volume and symbol limits by who holds a pool's privileged functions | 5 | Treat TSVs as affiliated where the same persons can exercise those functions over a pool each provides | Common control can sit with a shared key holder |

| Recommendation | Questions | Requested action | Why it matters |
|---|---|---|---|
| 7. Address the GENIUS Act's July 18, 2028 offer-and-sale restriction before it applies | 4 | With Treasury, state how section 3(b)(1) applies to a TSV's pairing of a payment stablecoin, and require the Notice to state each paired stablecoin's issuer status | The date falls inside the Order's term, and footnote 24 leaves the question open |

# I. Recommendations

**Recommendation 1 (Questions 1, 3, and 5; Section II.E and Notice items (h), (i), and (cc)): Verify equivalence through the custody chain and the holder's position if the tokenizer fails, and state the evidence relied on.**

Section II.E requires a TSV to "verify that the Tokenized NMS Stock made available for trading on the TSV provides holders the same rights and privileges as does traditional NMS stock of an equivalent class," and deems that standard met if, "among other things," the token conveys the same interest in the company, the same dividends, the same voting rights, and the same share of residual assets on liquidation (91 Fed. Reg. at 60174). Notice item (i) asks the TSV to describe "the steps (e.g., audits, certifications, attestations)" it has taken to verify this (id. at 60178).

The four rights the Order names are the rights of a shareholder against the issuer, and the Commission has itself recognized that tokenization can change them. Its 2026 interpretation of how the federal securities laws apply to crypto assets, which the Order cites, states: "There are a variety of models used to tokenize securities, but they may vary in terms of structure and the rights afforded to holders. As such, the rights of a holder of the crypto asset may be materially different from the rights of a holder of the underlying security, including economic and voting rights." For Tokenized NMS Stock tokenized by an unaffiliated third party, the Commission's staff has identified a further exposure that sits outside all four rights. Its January 2026 Statement on Tokenized Securities, on which the Order draws for its definition of Tokenized NMS Stock, observes that the crypto asset "may or may not confer upon the holder of the crypto asset any rights as a holder of the underlying security," and that "holders of the crypto asset may be exposed to risks with respect to the third party, such as bankruptcy, to which a holder of the underlying security would not necessarily be exposed." Commissioner Peirce made the same point in July 2025: "Purchasers of these third-party tokens may face unique risks, such as counterparty risks," and a token "could be a 'receipt for a security,' which is itself a security but is distinct from the underlying security held by the distributor of the token."

A token can therefore satisfy every right the Order names while the holder's claim runs against a custodian rather than the issuer, while the record that controls ownership sits off the ledger, and while the token's supply is not reconciled to the shares held for holders. Each is a way in which the holder of the token is not in the position of the holder of the share, and none is visible in an attestation that the four rights are present.

The MVEP was built to test this question for tokenized products, and five of its ten categories bear on it directly: rights parity, the system of record, records and reconciliation, custody and customer property, and insolvency posture. Applied to a sample of named tokenized money and collateral products, it found that no major U.S. tokenized financial product passes its rights-parity and settlement-finality categories cleanly, and that products treated as equivalent in market use separate once the holder-rights and settlement evidence beneath the label is tested. The MVEP's subject is tokenized money and collateral products rather than equities, so it is offered here as method: it identifies which facts an equivalence verification has to establish, whatever the underlying asset.

Tokenization Systems recommends that the Commission state that the Section II.E verification, and the Notice item (i) description of it, must address five things: (1) the tokenization model, in the terms of the staff statement (issuer-sponsored, with the ledger forming part of the master securityholder file or used to notify an off-chain record; or third-party custodial, as a tokenized security entitlement); (2) which record controls if the ledger and the off-chain record disagree, and how often the token supply is reconciled to the shares held for holders; (3) the holder's position if the tokenizer, custodian, or any other intermediary in the chain fails; (4) how stock splits, mergers, tender offers, and other corporate actions are applied to the token, and by whom; and (5) who may convert the token into the underlying share and back, and on what terms.

The fourth item is where a token most often parts from the share in practice. Tokenization Systems' analysis of tokenized equity rails found that around-the-clock trading creates a structural mismatch with business-day record updates at the depository, so that stock splits, ex-dates, and dividend record dates can produce divergent on-chain and depository records across weekend trading, and it identified three ways to resolve the mismatch: halting trading during corporate-action processing windows, treating the ledger as the authoritative record, or synchronizing two records. That analysis concerns exchange-listed tokenized shares and is forward-looking (when it was written, no tokenized equity had processed a stock split on a 24/7 trading rail), but the mismatch arises for any token whose underlying share is recorded off the ledger. The Order already asks, in Notice item (cc), for "any procedures to address price volatility or trading involving, for example, corporate actions occurring when markets for the underlying securities are closed" (91 Fed. Reg. at 60180). The TSV's answer should name which of the three approaches it uses, the moment at which an ex-date adjustment takes effect on the token, and how a dispute about it is resolved; this is also the part of Question 3, on overnight trading, on which Tokenization Systems has evidence to offer. Traditional venues are doing the same for extended-hours trading: at the Commission's roundtable on 24-hour trading, held the day the Order issued, Commissioner Peirce noted that "trading venues have established standards to determine how to treat certain corporate actions in this new environment."

The fifth item governs price as well as rights. A token's price stays aligned with the share's only through participants able to convert one into the other, and the evidence from stablecoins is that the width of that channel matters, in both directions. Yiming Ma, Yao Zeng, and Anthony Lee Zhang write that "issuers could simply authorize more arbitrageurs and make arbitrage more efficient to improve price stability in secondary markets," and

also that, "while limiting arbitrage is harmful to stablecoin price stability," limiting it "can, in fact, reduce the likelihood of panic runs" (NBER Working Paper No. 33882, 2025). The program's comment to the OCC (Docket OCC-2025-0372) reported the finding of Christopher Odinet, Andrea Tosato, and Yesha Yadav that only 882 verified Tether accounts and 1,834 Circle accounts have direct redemption rights, with the remaining holders exiting through secondary-market intermediaries (Yale Law Journal, forthcoming). Who may tokenize and detokenize a Tokenized NMS Stock is the same channel. The paper concerns stablecoins and is offered for the channel, not as a reason to widen it; the Notice should name who may use it.

These are facts a TSV must establish in order to verify equivalence at all. The recommendation asks that they be stated rather than summarized as an attestation, and it answers a question Commissioner Peirce put to the Investor Advisory Committee before the Order issued: "Should the Commission consider allowing different tokenization models in an innovation exemption to help inform their risks, benefits, and regulatory treatment?" A model the Notice does not name cannot inform anything.

**Recommendation 2 (Questions 1, 4, and 5; Section II.A and Notice items (h), (n), and (dd)): Extend the change-control disclosure from the TSV's own smart contracts to every asset traded in its pools.**

Notice item (n) requires a TSV to describe "any circumstances under which the distributed ledger applications used by the TSV can be upgraded, modified, suspended, overridden, or ceased," the persons who can do so, "whether unilaterally or in combination," and the names or roles of those persons (91 Fed. Reg. at 60179). That is the right question. The Order asks it about the TSV's own applications. It does not ask it about the token contracts of the Tokenized NMS Stock, the stablecoin, or the tokenized money market fund held in each pool, although those contracts commonly carry functions that can mint or burn units, freeze or block an address, force a transfer, pause all transfers, restrict transfers to an allow-list, or replace the contract's code. Any of those functions, exercised on an asset held in an AMM Liquidity Pool, changes what TSV Participants hold and what the pool's price means. Item (h) comes closest, asking the TSV to describe the procedures it uses to evaluate "the legal status, technical soundness, and operational integrity" of each Tokenized NMS Stock and its distributed ledger system (id. at 60178), and item (dd) asks about "processes to burn or detokenize" a token (id. at 60180). A description of procedures is not an inventory of functions, and neither item reaches the paired asset. The Commission made the relevant judgment one month before the Order. Proposing Regulation Crypto Assets, it explained that disclosure of an asset's governance mechanisms and permissions "would help investors understand the conditions under which changes may be made to the subject crypto asset or the associated crypto network or associated crypto application and who may be empowered to make such changes" (91 Fed. Reg. 54510, 54527 (Aug. 21, 2026)). A TSV Participant holding a token in a pool needs the same understanding of that token.

The program's on-chain work shows that these functions are not theoretical, and that the controls around them are often thin. In its verification of the four major tokenized

Treasury products, as documented in March 2026, no administrative control chain carried a timelock; in some cases a single proxy owner address, backed by off-chain key management rather than an on-chain multisignature wallet, can replace the token's implementation contract in a single transaction; and in others one shared multisignature wallet controls several products, so that a single compromise could affect the whole product family. One of the four is the token of a registered money market fund, and tokenized money market fund shares are among the assets the Order permits a TSV to pair with Tokenized NMS Stock.

A later measurement of one of the largest of these funds, taken on October 1, 2026, enumerated the role grants of its token contract from the ledger alone: thirteen role holders on Ethereum, four of them externally owned accounts, among them an owner holding the upgrade power on all six chains measured and a transfer-agent role that can burn, seize, and pause. That measurement reads on-chain authority only, and an off-chain control may stand behind any key; what it shows is that the inventory recommended below can be produced from public data, without the issuer's cooperation.

A paired payment stablecoin carries the same class of function. On October 15, 2025, a minting address belonging to a highly regulated payment stablecoin issuer created 300 trillion units of its stablecoin, roughly five orders of magnitude above the token's circulating supply, and burned the position 22 minutes later. The peg held, and the episode caused no market harm; its relevance is that one transaction from one address created units far exceeding the asset's supply, an event an AMM Liquidity Pool pairing that asset with Tokenized NMS Stock would price mechanically. That issuer scored 0.90 on the freeze and mint capability dimension of Tokenization Systems' Control Layer Intensity Index, the top of the band for a verified freeze function with a documented response time, while a supply cap, a per-transaction limit, and multisignature minting were all absent. That is a limitation of the program's own instrument, and Tokenization Systems states it as one: the index scores whether a capability exists, not the quality of the controls around it. An inventory that names who holds each function, and whether approval by more than one person and a delay are required, reaches the controls as well as the capability.

Commissioner Peirce's statement on the Order explains why the identity of these key holders matters. "This order is not about decentralized finance," she writes, because "[t]ruly decentralized systems that are driven by automated software do not give rise to the foundational concerns underlying securities regulation, namely that an intermediary you trust to act on your behalf will be foolish, careless, or compromised." A pool whose assets can be minted, frozen, seized, paused, or rewritten by an identifiable key holder is not such a system: the key holder is an intermediary of exactly that kind, and the inventory tells TSV Participants who it is. The International Monetary Fund's 2026 note on tokenized finance reaches the same point from the supervisory side: "the governance challenges concern not only code quality but also the processes that design, validate, modify, and, if necessary, override code." The underlying design principle is an old one. Jerome Saltzer and Michael Schroeder's statement of separation of privilege holds that "a protection mechanism that requires two keys to unlock it is more robust and flexible than one that allows access to the presenter of only a single key," because then "no single accident, deception, or breach of trust is sufficient to compromise the protected information."

Whether an asset's privileged functions require more than one key is one of the facts the recommended inventory would show.

Tokenization Systems recommends a Notice item that lists, for each Tokenized NMS Stock and each paired asset made available on the TSV, each function by which any person can mint, burn, freeze, block, force the transfer of, pause, restrict the transfer of, or upgrade or replace the code governing the asset; the address at which each function resides; the person or persons who can exercise it; and whether its exercise requires approval by more than one person or is subject to a delay. The TSV should revise the Notice within five business days of any change. An exercise of any such function should be treated as a significant operational event under Section II.I, which already reaches "an event that has a significant impact on the operation of the TSV or on its participants" (id. at 60176), when it freezes, blocks, burns, or forces the transfer of units held by an AMM Liquidity Pool the TSV provides, or pauses transfers of an asset in that pool, or when the TSV or a Covered Firm supplying that pool holds the function; any other exercise, such as a third-party issuer's mint or code upgrade, is a significant operational event only if it meets that test. The Commission's staff has drawn this line before: its December 2025 no-action letter for the Depository Trust Company's tokenization service rested, among other representations, on DTC's undertaking to give Division staff a quarterly report that includes "[a]ny instances in which DTC used its 'root wallet' to address Conditions Requiring Reversal during the quarter." Recommendation 2 asks for the TSV equivalent, reported as it happens rather than quarterly. The Commission should also confirm that "auditable" in Section II.A includes the authority to replace the audited code: an audit of a contract's code is only as durable as the control over replacing that code. Gabriel Shapiro's comment of September 19, 2026 would go further and make the exemption unavailable where any person holds a power to mint, burn, freeze, force the transfer of, or sever the token from the securities that "has not been published together with who holds it and on what conditions"; Recommendation 2 asks the Commission to collect that inventory while the exemption runs, not to withdraw the exemption where such a power exists.

**Recommendation 3 (Questions 4, 5, and 7; Notice item (y)): State, for each leg of a trade, when the transfer is final and who bears the loss if it is reversed or frozen.**

The Order lists "near instantaneous settlement" among the benefits TSVs may offer (91 Fed. Reg. at 60171), and Notice item (y) asks a TSV to "Describe any procedures or material arrangements undertaken to facilitate clearance and settlement of transactions on the TSV" (id. at 60179). A TSV trade settles two assets, and each leg's finality depends on the rules governing that asset. The staff statement's analysis of tokenized securities rests on an assumption that does this work: that "a transfer of the crypto asset results in a transfer of control of the security or security entitlement and/or ownership of the security or security entitlement via an effective indorsement, instruction, or entitlement order, as the case may be." Where an off-chain record controls ownership, the on-chain transfer is an instruction to update that record, and the trade is final for the holder when the record is updated, not when the block is confirmed. Even the most conservative tokenization designs reserve a

power to reverse: the Depository Trust Company states that it "retains full administrative control over its tokens, including claw-back and force transfer capabilities, if tokens are lost or stolen." A transfer that an administrator can reverse is final only in the sense the administrator's rules define, which is why those rules should be stated for each leg.

The MVEP's settlement-finality category asks three questions of a tokenized product: the on-chain event at which a transfer becomes legally irreversible, mapped to a legal status under the operator's rules; the corresponding point of irreversibility for transfers routed through intermediaries, with the allocation of risk if an intermediary fails; and when the transfer discharges the underlying obligation. A response that relies on block confirmation alone, without a legal mapping, does not satisfy it. Applied to named products, every fiat-backed stablecoin in the MVEP's sample failed this category, because none publishes a finality analysis comparable to UCC Article 4A, while the tokenized money market funds partially passed it, because securities settlement has an established finality framework through DTC and NSCC with which the on-chain layer can be aligned. A stablecoin is the paired asset the Order offers as its example, and a TSV trade settled on the ledger does not pass through that framework, so each leg needs its own statement of finality. The MVEP's exception-handling category adds the reorganization case: detection, halt criteria, and loss allocation if the ledger reverses a transfer that the off-chain record still shows as complete.

The same question arises across venues. Tokenization Systems' stress analysis of tokenized equity rails found that where one venue settles instantly and another at T+1, the timing mismatch creates free optionality for arbitrageurs and counterparty risk for market makers, and it concluded that a cross-venue definition of settlement finality is needed. That scenario is hypothetical, but it is the position of a broker-dealer TSV Participant that hedges a TSV trade in the underlying NMS stock, which bears on the operational challenges Question 7 asks about.

The post-trade freeze case is concrete for the paired asset. Circle's published Stablecoin Access Denial Policy states that when an address is denied access, "all of the Circle Stablecoin controlled by that address is blocked and cannot be transferred on-chain," and that "[i]t is not possible to deny access to individual Circle Stablecoin tokens." An AMM Liquidity Pool holds the stablecoin of every liquidity provider at one contract address, so a block on that address would freeze the stablecoin side of the whole pool, and the Notice should say who bears that loss.

Tokenization Systems recommends that Notice item (y) state, for each asset in a trading pair, the ledger event at which the TSV treats the transfer as final; the legal effect of that event under the terms governing the asset, including whether it transfers the security or security entitlement or instructs an off-chain record; and how loss is allocated if a completed transfer is reversed by a reorganization of the ledger or the asset is frozen after execution. These are facts the TSV must know to describe its clearance and settlement arrangements accurately; the recommendation asks that the description be specific enough to be checked.

**Recommendation 4 (Questions 3 and 5; Section II.G): Add the ledger transaction identifier and the U.S. dollar conversion rate to each transaction record.**

Section II.G requires each TSV to publish U.S. dollar-denominated transaction data within ten minutes, including the symbols, price, size, "the transaction time at the AMM Liquidity Pool," and direction of each transaction (91 Fed. Reg. at 60176). Footnote 78 requires conversion "using consistent, impartial, and reasonable methods commonly applied by market participants for converting the value of an asset that is not quoted in U.S. dollars" (id.). Two additional fields would let this data serve the evaluation the Order describes.

The first is the conversion rate. An AMM Liquidity Pool prices Tokenized NMS Stock in the paired asset. When the paired asset is a stablecoin, the dollar price a TSV reports is the pool price multiplied by the rate at which the TSV converted the stablecoin to dollars. The Order requires the method to be consistent and reasonable but does not require the rate to be reported, so a reader cannot tell whether a reported price moved because the stock moved or because the stablecoin did. The distinction matters in practice. Yiming Ma, Yao Zeng, and Anthony Lee Zhang document that "stablecoin trading prices in secondary markets frequently deviate from $1" (NBER Working Paper No. 33882, 2025), and in the March 2023 banking stress the stablecoin of the operator scoring highest on Tokenization Systems' Control Layer Intensity Index fell 10.4 percent below par on an hourly decentralized-exchange volume-weighted basis, and 13 percent at the centralized-exchange intraday low, while a lower-scoring operator's stablecoin held its peg. Those two figures describe the same event and differ only in venue and frequency, which is to say in the choice of conversion source, and that choice alone moves the measured price by more than two and a half percentage points. The episode also unfolded over a weekend, while redemption at the issuer, available only in banking hours, was gated and secondary trading continued, which is the pattern a TSV trading around the clock will meet. A TSV that converted at par through such an episode would report dollar prices for a Tokenized NMS Stock that diverge from the underlying NMS stock by the size of the depeg, and a reviewer would read a stablecoin event as a dislocation in the stock.

The second is the transaction's identifier on the ledger. Every TSV trade is recorded on a public, permissionless ledger, and the identifier lets anyone reconcile a reported print to that record and lets the Commission recompute a TSV's reported figures. Stan E. Malone, founder of MONARK, made the same suggestion in his comment of September 24, 2026, that each transaction a TSV publishes under Section II.G identify "its on-chain transaction, so that a third party could recompute its price, size, time and direction from the public, permissionless ledger." Tokenization Systems' governance audit of fifty-two protocols shows why recomputation matters: concentration figures in prior holder-list studies were inflated by a median factor of 2.3 because they counted as independent holders addresses the protocols themselves controlled. That audit concerns governance tokens, not Tokenized NMS Stock; it is offered as method, to show that a figure computed from the same ledger can move by a large factor on a choice the reader cannot see.

The peer-reviewed evidence on AMM pricing indicates where such a comparison is likely to

find dislocation, if it finds any. Studying Uniswap pools against a centralized exchange, Alfred Lehar and Christine Parlour report that "[p]ricing differences between Uniswap and Binance are small except in the startup-phase of the Uniswap pool when liquidity is scarce" (Journal of Finance, 2025). Those were crypto-asset pools, not Tokenized NMS Stock, but the mechanism, a price set by the ratio of pool assets and corrected by outside arbitrage, is the one the Order describes, and it implies that dislocation will concentrate in new and thin pools. The Order's existing end-of-day pool-size field, with the two fields recommended here, would let the Commission test that implication directly, and would let it measure for TSV trading the concern Commissioner Peirce reported at the Commission's roundtable on 24-hour trading: "Some worry about the thinner order books overnight, wider spreads, and the resulting increased price volatility."

Tokenization Systems recommends adding to the Section II.G minimum fields (vi) the identifier of the transaction on the distributed ledger and (vii) for any pair whose other asset is not denominated in U.S. dollars, the conversion rate used to state the price in U.S. dollars and the source of that rate. Both are values the TSV already holds when it computes the dollar price. With them, the published data can be reconciled to the ledger and compared, print by print, with the consolidated quotation for the underlying NMS stock at the same moment, which is the measurement Question 3 asks about. Tokenization Systems has no evidence of its own on what that comparison will show for Tokenized NMS Stock, including around the opening, reopening, and closing processes; the recommendation is that the data be collected in a form that lets the Commission find out. Douro Labs' comment of October 9, 2026 asks the staff to confirm that a TSV may satisfy the footnote 78 standard by applying the principles Douro proposes for reference prices and "identifying the source in its notice under item (s)"; field (vii) supports that and adds what a source named once in the Notice cannot show, the rate applied to each print.

**Recommendation 5 (Questions 8 and 10; Section IV.A): Ask Covered Firms for their control over the parameters of pools they supply and their share of each pool's liquidity.**

The Order identifies, as the conduct that may make liquidity provision dealing, a provider that would "assert control over pricing and inventory of committed liquidity to AMM Liquidity Pools pursuant to agreements, arrangements, or other understandings" (91 Fed. Reg. at 60182), and grants the Covered Firm Exemption "while the Commission evaluates the scope of the term 'dealer' more broadly" (id.). On a ledger, control over a pool's pricing is exercised through identifiable acts, and the Order lists them itself when it explains what it means for a TSV to provide a pool: "deploying an AMM smart contract for trading a given pair of assets, setting or altering the rules or parameters of the pool, determining the fees for the pool, and/or having the ability to pause trading in the pool" (id. at 60170). It also asks each TSV to describe "any governance rights of LP tokens" (id. at 60178).

The economics of AMM liquidity provision draw the same line the Order draws. Lehar and Parlour show that "[l]iquidity suppliers in the AMM rely on outside arbitrageurs to set the correct price at which the liquidity is provided": a supplier of that kind trades against the pool's price and does not set it, which is the trader activity the Order describes. A supplier

that also holds a pool's parameter, fee, or pause controls is in a different position. The Covered Firm notification asks for the firm's business model, its liquidity agreements, and its incentives, but not whether the firm holds any of those roles or rights over a pool it supplies, or how much of the pool's liquidity it supplies. Those two facts are the observable form of the control the Order identifies, and the second matters for pricing as well as for dealer status: a Federal Reserve Board staff working paper on the Terra collapse traces the depeg of a stablecoin in a Curve liquidity pool to a large liquidity withdrawal that left the pool shallower, followed within the hour by two traders swapping 185 million UST for USDC (Badev and Watsky, FEDS 2023-044).

A liquidity share alone can mismeasure control where pool tokens carry governance rights that can be delegated: in Tokenization Systems' audit, where governance ran through delegation, voting power was more concentrated than token holdings in thirteen of eighteen protocols with sufficient governance data, with a median amplification of 4.4 times, alongside five design-driven exceptions in which delegation dispersed voting below holdings. Those are governance tokens of decentralized-finance protocols, offered to show that holdings and control can diverge in either direction, which is why both facts are needed.

Tokenization Systems recommends adding to the Covered Firm notification, and to the records a Covered Firm must keep, any key, role, or governance right held by the Covered Firm or its affiliates that can set or alter the parameters, fees, code, or pause state of an AMM Liquidity Pool to which it supplies liquidity, together with its share of each such pool's liquidity at the end of each calendar month. This gives the Commission, for the broader evaluation of the dealer definition that the Order anticipates, the facts that distinguish a liquidity provider that trades against a pool from one that controls how the pool prices. As Commissioner Peirce wrote of the Order, "Before jumping to regulatory conclusions, we want to see who uses the exemptions and how."

**Recommendation 6 (Question 5; Section II.F): Determine affiliation for the volume and symbol limits by who can exercise a pool's privileged functions.**

The volume and symbol limits aggregate a TSV's trading with that of its affiliated TSVs, a requirement "intended to help avoid a situation in which businesses are structured into multiple TSVs to avoid triggering the volume and symbol limitations" (91 Fed. Reg. at 60174-75). Affiliation turns on control, which the Order defines as "the power, directly or indirectly, to direct the management or policies of a TSV, whether through ownership of securities, by contract, or otherwise" (id. at 60172 n.45). On a ledger, the decisive power over a pool is held by whoever holds its privileged functions, and that can sit with a shared key holder across entities that are not affiliated in the corporate sense. The program's finding that one shared multisignature wallet controls several tokenized Treasury products is an instance of exactly this.

Tokenization Systems recommends that the Commission confirm that control "by contract, or otherwise" includes the ability to exercise the privileged functions described in Recommendation 2, so that, for the aggregation conditions, TSVs are affiliated where the same person, or persons acting together, can exercise those functions over an AMM

Liquidity Pool that each provides. This adds no new category of affiliation and no disclosure beyond Recommendation 2, and it does not reach a shared software vendor, data provider, or node operator that holds no such function. It applies the Order's own control test to the form control takes on a ledger, and it is consistent with the effective-control positions Tokenization Systems has taken before the Financial Crimes Enforcement Network and the Federal Deposit Insurance Corporation.

**Recommendation 7 (Question 4; footnote 24): Address the GENIUS Act's July 18, 2028 offer-and-sale restriction before it applies to a TSV's pairing of a payment stablecoin.**

The Order "does not limit the type of non-security crypto asset a TSV can pair with a Tokenized NMS Stock" (91 Fed. Reg. at 60170), and it "does not provide any interpretation as to whether TSVs are, or could be, 'digital asset service providers,' as the term is defined in the GENIUS Act" (id.). That question has a date attached. Section 3(b)(1) of the GENIUS Act provides, subject to exceptions in subsection (c) and section 18, that "beginning on the date that is 3 years after the date of enactment of this Act, it shall be unlawful for a digital asset service provider to offer or sell a payment stablecoin to a person in the United States, unless the payment stablecoin is issued by a permitted payment stablecoin issuer" (Pub. L. No. 119-27, § 3(b)(1), 139 Stat. 419, 423 (2025)). The Act defines "offer" to mean "to make available for purchase, sale, or exchange" (§ 2(21)), and defines a digital asset service provider to include, subject to exclusions, a person that for compensation or profit engages in the business in the United States of "exchanging digital assets for other digital assets" (§ 2(7)(A)(ii)). The Act was enacted on July 18, 2025, so the prohibition applies from July 18, 2028, the date the Department of the Treasury's pending implementing proposal states (91 Fed. Reg. 53368, 53368 (Aug. 18, 2026)). That date falls inside the Order's term, which runs to September 17, 2031, and an AMM Liquidity Pool that pairs a payment stablecoin with Tokenized NMS Stock makes the stablecoin available for exchange.

Tokenization Systems does not recommend, on the evidence it has, that the Commission limit the paired asset by type; Recommendations 2 and 3 instead condition the pairing on the paired asset's observable control and finality facts, which apply to a stablecoin and a tokenized money market fund alike. It does recommend that the Commission, with Treasury, state before July 18, 2028 how section 3(b)(1) applies to a TSV's pairing of a payment stablecoin, and that in the meantime the Notice identify, for each paired payment stablecoin, whether its issuer is a permitted payment stablecoin issuer. If a TSV is a digital asset service provider, a pair it lists in good-faith reliance on the Order could otherwise become unlawful partway through the Order's term under a statute the Order expressly declined to interpret. In April 2026, Tokenization Systems told the Office of the Comptroller of the Currency that "[e]ach regulator supervises the instruments within its perimeter. Nobody supervises the seam where they are combined." A TSV trading pair is such a seam.

## II. Suggested text for a modified Order

The Commission may modify any aspect of the exemptions under section 36 of the Exchange Act (91 Fed. Reg. at 60183). The following language is offered as a drafting starting point for the five highest-priority recommendations, using the Order's own defined terms.

**Recommendation 1 (Section II.E, new final sentence).**

> The TSV's verification must address, and its Notice must describe under item (i): the model by which the Tokenized NMS Stock is tokenized; which record of ownership controls if the distributed ledger and any other record disagree, and the frequency with which the supply of the Tokenized NMS Stock is reconciled to the securities held for holders; the position of a holder if the person that tokenized the security, or any custodian or other intermediary, becomes insolvent or otherwise fails; the manner in which corporate actions are applied to the Tokenized NMS Stock, and by whom; and the persons that may convert the Tokenized NMS Stock into the underlying security and back, and the terms on which they may do so.

**Recommendation 2 (new Notice item (ee), Asset Control Functions).**

> ee. Asset Control Functions: For each Tokenized NMS Stock, non-security crypto asset, and tokenized money market fund that the TSV makes available for trading, identify each function by which any person can mint, burn, freeze, block, force the transfer of, pause, restrict the transfer of, or upgrade or replace the code governing the asset; the address at which each function resides; the person or persons that can exercise it; and whether its exercise requires the approval of more than one person or is subject to a delay. An exercise of any such function is a significant operational event if it freezes, blocks, burns, or forces the transfer of units held by an AMM Liquidity Pool provided by the TSV, or pauses transfers of an asset held in such a pool, or if the TSV or a Covered Firm supplying liquidity to such a pool holds the function; any other exercise is a significant operational event if it has a significant impact on the operation of the TSV or on its participants.

**Recommendation 3 (Notice item (y), added sentence).**

> For each asset in a trading pair, state the event on the distributed ledger at which the TSV treats a transfer as final, the legal effect of that event under the terms governing the asset, and the allocation of any loss if a completed transfer is reversed or the asset is frozen after execution.

**Recommendation 4 (Section II.G, added minimum fields).**

> (vi) the identifier of the transaction on the distributed ledger, and (vii) for any transaction in a pair whose other asset is not denominated in U.S. dollars, the conversion rate used to state the transaction price in U.S. dollars and the source of that rate.

**Recommendation 5 (Section IV.A, Notification, added element).**

> a description of any key, role, or governance right held by the Covered Firm or any of its affiliates that can set or alter the parameters, fees, code, or pause state of an AMM Liquidity Pool to which the Covered Firm supplies liquidity, and, as of the end of each calendar month, the Covered Firm's share of the liquidity in each such pool.

## III. Cross-agency alignment and divergence

Tokenization Systems has commented on adjacent proceedings at eight other agencies. The table below sets out where this Order and its siblings treat the same underlying question differently.

| Issue | This Order (File No. 4-927) | Sibling proceedings | Recommended alignment |
|---|---|---|---|
| Equivalence of a tokenized instrument to the asset it represents | Section II.E deems equivalence by four shareholder rights and asks the TSV to describe its verification steps | CFTC Staff Letter 25-39 tells market participants to consider whether a tokenized form of an asset provides a holder with "legal and economic rights that are the same or functionally equivalent to the rights of the asset in traditional form"; it does not find that any token meets that test. Tokenization Systems asked the CFTC (Docket CFTC-2026-1685) to specify the form in which a registrant records that equivalence determination | One evidentiary form, covering custody, controlling record, insolvency posture, and finality, so that a token judged equivalent in one market is judged on the same facts in another |
| Who can change, freeze, or mint an asset | Notice item (n) reaches the TSV's own contracts only | Treasury's proposed Sec. 1523.3(c) turns on a foreign issuer's technological capability to comply with lawful orders; proposed Regulation Crypto Assets calls for governance and permissions disclosure (91 Fed. Reg. at 54527) | One inventory format for privileged functions, read from the ledger, usable by every agency that relies on it |
| Nominal versus effective control | Affiliation is the power to direct management or policies | Tokenization Systems has asked FinCEN and the FDIC to look to effective rather than nominal control | Treat control of a pool's or asset's privileged functions as control (Recommendation 6) |

| Issue | This Order (File No. 4-927) | Sibling proceedings | Recommended alignment |
|---|---|---|---|
| Finality and ledger disruptions | Notice items (y) and (z) ask for clearance and settlement arrangements and for risks, without a legal point of finality (Recommendation 3) | The CFTC's October 2026 advance notice on crypto asset transactions and markets (RIN 3038-AF80) asks whether its core principles should address "forks and other blockchain system reorganizations, or pricing oracle failures" (91 Fed. Reg. at 64834) | Common definitions of finality and of reorganization handling, so that one trade is not final under one Commission's regime and reversible under the other's |
| A payment stablecoin as the paired asset | Any non-security crypto asset may be paired; footnote 24 declines to interpret whether a TSV is a digital asset service provider | GENIUS Act section 3(b)(1) restricts digital asset service providers' offers and sales of payment stablecoins not issued by a permitted payment stablecoin issuer from July 18, 2028; Treasury's proposal implements it | State, with Treasury and before July 18, 2028, how section 3(b)(1) applies to a TSV pairing (Recommendation 7) |

## IV. Anticipated objections

**Objection: a TSV does not control the token contracts of the assets it lists and cannot answer for them.** It does not need to control them. It chooses which assets to list, Section II.E already makes it responsible for verifying a Tokenized NMS Stock's rights, and item (h) already asks it to describe how it evaluates the technical soundness of each Tokenized NMS Stock and of the ledger on which it is issued. The privileged functions of a token deployed on a public ledger can be read from the ledger without the token issuer's cooperation, which is why the Order's own transparency condition makes Recommendation 2 inexpensive. Hedera Hashgraph's comment of October 9, 2026 asks the Commission to allow a TSV's smart contracts "to be deployed on a public, permissioned distributed ledger," and Tokenization Systems takes no position on that request; Recommendation 2 needs only that anyone can read the ledger, which Hedera's description of its own public network keeps: "anyone can read from it or build on top of it."

**Objection: these conditions burden a temporary exemption meant to be light.** Each recommended item is either a public fact or a fact the TSV must already establish to meet a condition the Order imposes. The cost of not collecting them is borne later: data the Order does not collect during its five-year term cannot be reconstructed when the Commission turns to rulemaking, and the Chairman's statement on the Order describes its purpose as "using that insight to inform a nimbler and future-ready regulatory framework."

**Objection: disclosing privileged functions would discourage emergency stops and other protective controls.** It would not, and should not. The Order itself cites the President's Working Group recommendation to "consider emergency stops and circuit breakers for unexpected smart contract issues" (91 Fed. Reg. at 60181). Recommendation

2 does not ask a TSV or an issuer to give up such a control. It asks who holds it and whether its use requires more than one person, which is what a TSV Participant needs to know to rely on it.

## V. Conclusion

The seven recommendations share one organizing point. The Order is an instrument for learning, and what it can teach depends on what it collects. Whether a token gives its holder the position of a shareholder, who can change or freeze the assets in a pool, when a trade is final, and whether a reported dollar price reflects the stock or the stablecoin are all questions the public ledger can answer, if the Order asks for the answers in a form that can be checked against it. Tokenization Systems supports the Commission's decision to let this market develop under conditions, and offers these recommendations so that the evidence the Order generates will support the rulemaking the Commission anticipates. Tokenization Systems is available to provide the underlying data, methods, and analysis cited in the appendix.

Respectfully submitted,

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SSRN author page:
https://papers.ssrn.com/sol3/cf_dev/AbsByAuth.cfm?per_id=10386216

## Appendix: Selected sources

**The Order.**

- U.S. Securities and Exchange Commission, Order Granting Temporary Conditional Exemptive Relief, Pursuant to Section 36(a)(1) of the Securities Exchange Act of 1934, from the Definition of "Exchange" in Section 3(a)(1) of the Exchange Act for the Use of Certain Distributed Ledger Trading Venues for Tokenized NMS Stocks and from the Definition of "Dealer" in Section 3(a)(5) of the Exchange Act for Certain Liquidity Providers for Tokenized NMS Stocks, and Request for Comment, Release No. 34-106402, File No. 4-927 (Sept. 17, 2026), 91 Fed. Reg. 60168 (Sept. 22, 2026), https://www.sec.gov/files/rules/exorders/2026/34-106402.pdf. (Pinpoint citations in this comment are to the Federal Register pages.)

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securities-012826-statement-tokenized-securities. (Third-party exposure, including bankruptcy; the transfer assumption.)

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- Chairman Paul S. Atkins, Statement on the Innovation Exemption: A Bridge Toward Durable Rulemaking (Sept. 17, 2026).
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- Department of the Treasury, GENIUS Act Regulations on Payment Stablecoin Issuance, Offer, and Sale, Notice of Proposed Rulemaking, TREAS-DO-2026-0496, RIN 1505-AC95, 91 Fed. Reg. 53368 (Aug. 18, 2026). (The July 18, 2028 applicability date of section 3(b)(1).)
- Tobias Adrian, Tokenized Finance, IMF Note 2026/001 (2026). (Governance of the processes that modify and override code.)
- Commodity Futures Trading Commission, Regulation Crypto Asset Transactions and Regulation Crypto Asset Markets, advance notice of proposed rulemaking, RIN 3038-AF80 (released Oct. 5, 2026), 91 Fed. Reg. 64811 (Oct. 13, 2026). (Reorganizations and oracle failures.)
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Collapse, Finance and Economics Discussion Series 2023-044, Board of Governors of the Federal Reserve System (May 2023), doi 10.17016/FEDS.2023.044. (A liquidity withdrawal leaves a pool shallow before a depeg.)
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**Comments on File No. 4-927.**

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- Stan E. Malone, MONARK, comment (Sept. 24, 2026), https://www.sec.gov/comments/4-927/4927-1073299-3717506.pdf. (Identifying each published transaction's on-chain transaction.)
- Computershare (Paul Conn and Ann Bowering), comment (Oct. 2, 2026), https://www.sec.gov/comments/4-927/4927-1082279-3760507.pdf. (A standing issuer objection; registers of TSVs and of objections.)
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- Douro Labs LLC, comment (Oct. 9, 2026), https://www.sec.gov/comments/4-927/4927-1088899-3805527.pdf. (Identifying the conversion source under Notice item (s).)

**The program's own work.**

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and change control; the worked examples; the tokenized Treasury verification.)
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- Zach Zukowski, Three Tokenization Strategies: Infrastructure Competition, Settlement Architecture, and Operational Risk in Institutional Digital Asset Capital Markets, SSRN Working Paper No. 6483198, https://ssrn.com/abstract=6483198. (Corporate actions under 24/7 trading; cross-venue settlement finality.)
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- Tokenization Systems, comments on Docket OCC-2025-0372 (filed Apr. 10, 2026), Docket CFTC-2026-1685 (filed Oct. 5, 2026), and File Number DSP-3 (filed July 2, 2026), referenced and not restated.

**Submitted via the Commission's internet comment form at https://www.sec.gov/comments/s7-2026-30/transfer-agent-rules (File No. S7-2026-30)**

Vanessa A. Countryman
Secretary
Attention: File No. S7-2026-30, Transfer Agent Rules
U.S. Securities and Exchange Commission
100 F Street NE
Washington, DC 20549-1090

November 3, 2026

**Re: File No. S7-2026-30, Transfer Agent Rules; Release No. 34-106246; RIN 3235-AL55 (91 Fed. Reg. 56946, September 4, 2026; comments due November 3, 2026)**

Dear Ms. Countryman:

Tokenization Systems, an independent research program on stablecoin, tokenization, and digital-asset market structure, submits this comment on the Commission's proposal to modernize the transfer agent rules. Tokenization Systems supports the proposal's direction. It makes the master securityholder file electronic and technology-neutral, ties turnaround to the settlement cycle, replaces certificate-era safeguarding with a risk management rule, and, for the first time, asks transfer agents to report how they use distributed ledgers and which tokenization models they service.

This comment addresses one question the proposal raises and leaves open: when a security's ownership is recorded on a crypto network, which record is the security, and who controls it. The proposal answers the first half in principle. "The master securityholder file is the authoritative record of who owns an issuer's securities" (91 Fed. Reg. at 56969), and the amended definition "would permit a transfer agent to utilize a blockchain or other distributed ledger technology as its master securityholder file, or a component thereof, but it would not mandate it" (91 Fed. Reg. at 56970). The rule text then requires that the transfer agent maintain "at all times exclusive control over the master securityholder file" (91 Fed. Reg. at 57056) and safeguards "to detect and prevent unauthorized alteration" of electronic records (91 Fed. Reg. at 57055). It does not say which record governs when a token and the off-chain file disagree, it does not require that the supply of a token on a crypto network be reconciled to the securities the file records, and it does not define "exclusive control" for a ledger the transfer agent shares with everyone else who uses the network. The release asks related questions (Questions 83 and 84) but proposes no answer.

The answers matter because the market is concentrated and moving on-chain at once. The release reports that, as of 2025, "the 10 largest transfer agents account for approximately 82% of individual security holder accounts" and "87% of securityholder accounts for which the transfer agent maintained master securityholder files," levels that "suggest limited competitive constraints on the largest transfer agents" (91 Fed. Reg. at 57006). It also describes firms "developing models for blockchain-based recordkeeping, tokenized fund

administration, and cross-chain interoperability" that would require transfer agents to "deploy and administer smart-contract-driven processes" (91 Fed. Reg. at 56947). Yet the rule text never names the powers those processes carry: to mint, burn, freeze, force a transfer of, pause, or upgrade a token.

Tokenization Systems' research on tokenized products has repeatedly found the gap this proposal can close. In its comment on the Commission's request for comment on tokenized NMS stock (File No. 4-927, posted as comment 4927-1100019-3872926), the program observed that a token can satisfy every right the Commission's order names while "the record that controls ownership sits off the ledger," and asked the Commission to state that the order's equivalence verification must address, among other things, "which record controls if the ledger and the off-chain record disagree, and how often the token supply is reconciled to the shares held for holders." In its comment on the Commission's draft strategic plan, it reported that across three documented tokenization strategies "a single transfer agent serves all three," a concentration that entity-by-entity review does not surface. And in its comment on proposed Regulation Crypto Assets (File No. S7-2026-27, posted as comment s7202627-1099939-3872688), it asked for an inventory of "the admin keys, upgrade authorities, mint and freeze functions, and equivalent privileged capabilities associated with the crypto asset."

When the Commission issued this proposal, then-Commissioner Peirce posed four questions for public feedback, and on October 29, 2026, the Director of the Division of Trading and Markets highlighted two of them: "We seek your best advice on both of these key questions." This comment answers all four. Will transfer agents "perform more tasks or fewer" as securities move on-chain? Fewer clerical tasks and more control tasks (Recommendations 2 and 3). Should digital identifiers replace names and physical addresses? They should be collected in addition, not instead (Recommendation 7). Are the amendments to rule 17ad-17 appropriate given state inactivity standards? Yes, with one clarification for tokenized positions: an unsolicited incoming transfer or automatic distribution should not by itself count as activity (Recommendation 7). Is disclosure of service providers on Form TA-2 appropriate? Yes, and for the infrastructure that carries the official record it should be public (Recommendation 6).

The seven recommendations below follow from the question of which record is the security and who controls it. They are summarized with the questions each answers and the action requested.

| Recommendation | Questions answered | Requested final-rule action | Why it matters |
|---|---|---|---|
| 1. State which record governs, reconcile on-chain supply to the master securityholder file every business day, and count excess supply in the overissuance test | 45, 50, 83, 84, 105 | Require the transfer agent to designate the governing record for each tokenized issue; add a record difference when on-chain supply and the file disagree; count excess on-chain supply in the overissuance test; do not exempt an immutable-ledger file from retention | Monitoring for overissuance is a statutory transfer agent function, and a token supply that drifts from the official record is the tokenized form of overissuance |
| 2. Define exclusive control of a ledger component as sole authority to create, cancel, or freeze units or move them without the holder's authorization, held by the transfer agent or exercised only on its instruction, under joint authorization | 82, 84, 99 | Define exclusive control as that sole authority, held by the transfer agent or exercised only on its instruction and under joint authorization; do not treat the ability to view and copy a public ledger as independent access; treat a network where another person can freeze or move units without the transfer agent's instruction as outside exclusive control | Anyone can view and copy a public ledger; control is the power to change it |

| Recommendation | Questions answered | Requested final-rule action | Why it matters |
|---|---|---|---|
| 3. Treat the privileged functions of a token as transfer agent functions | 50, 84, 109, 140 | Require that each privileged function of the token's own contract be held by the transfer agent or exercised only on its instruction (network-level powers are handled under Recommendation 2); require issuer authorization for every mint and burn, joint authorization and a transfer journal entry for every use of a privileged function, and disclosure of the functions to holders; treat code-enforced resale restrictions as restrictive legends; name the functions in guidance on material risk | The rule text records the results of these functions but never the functions themselves or who holds them |
| 4. Hand over control with the records, and plan for a transfer agent's failure | 101, 104, 110 | Require the 15-day handover to include the privileged roles and keys of a tokenized issue; require business continuity planning for ledger events; keep one accountable recordkeeping transfer agent across networks | Records without the power to change the ledger strand a tokenized issue, and the release found that 56 of the 144 transfer agents that withdrew between 2016 and 2025 reported a successor for every issue |
| 5. Keep payment stablecoins and tokenized deposits out of "funds" unless held under stated conditions | 108, 113 | If permitted, limit them to payment stablecoins of permitted issuers and tokenized deposits held at a bank or trust company in a for-the-benefit-of wallet, with per-client records and reconciliation; segregate tokens the transfer agent holds | A token held for securityholders carries key, issuer, and network risks that a for-the-benefit-of bank account does not |

| Recommendation | Questions answered | Requested final-rule action | Why it matters |
|---|---|---|---|
| 6. Make tokenization visible on Form TA-2 | 16, 19, 21, 23 | Split Question 4(e) by the role of the ledger; report, publicly and by issue, the network and contract address of each tokenized issue; define the tokenization models in the form instructions; make the names of distributed ledger platforms and tokenization agents public | The Commission would not see which network carries which issue's official record, and investors would see neither platform nor network |
| 7. Make the wallet address part of position detail for tokenized positions, and address lost keys | 37, 41, 116 | Require the wallet address as position detail for tokenized positions in addition to, not instead of, the holder's name and mailing address; in rule 17ad-17, make clear that an unsolicited incoming transfer or automatic distribution is not by itself account activity, and define unresponsive payees for wallets | A payment to a wallet whose keys are lost is never returned, so the holder never becomes an unresponsive payee; and on many networks anyone can send a token to any address, so a receipt alone shows nothing about the holder |

## I. Recommendations

**Recommendation 1 (Questions 45, 50, 83, 84, 105): State which record governs, reconcile on-chain supply to the master securityholder file every business day, and count excess supply in the overissuance test.**

Monitoring for overissuance is one of a transfer agent's statutory functions (91 Fed. Reg. at 56947). The proposal keeps the test anchored to the control book: an overissuance is "an out-of-balance condition wherein the securities issued and outstanding exceed the securities authorized and outstanding, as reflected in the transfer agent's control book" (91 Fed. Reg. at 57056-57057), and a record difference arises when the master securityholder file does not equal the control book or is inconsistent with the transfer journal (91 Fed. Reg. at 57056). Where a ledger is the file or a component of it, those tests reach the token. Neither test reaches a token that only mirrors the file: tokens minted beyond the file (by an exploit, a bridge to another network, or an error) are then neither a record difference nor an overissuance as defined. The exposure is documented. A 2026 whitepaper by Google Quantum AI with the Ethereum Foundation, UC Berkeley, and Stanford observes that for fiat-backed stablecoins and tokenized treasuries "a compromise of issuer keys would allow arbitrary minting, effectively depegging the distributed asset and destabilizing the broader DeFi economy, even though the offchain represented reserves remain untouched." In that event the file would balance and the overissuance test, as drafted, would show nothing. Nor does tokenization itself change the substance of a security: the President's Working Group

on Digital Asset Markets stated in 2025 that "Tokenization does not affect the substance of the securities issued, nor does the use of a blockchain by an issuer or its agent give rise to a new or different type of asset." Units on a network in excess of the file purport to be the issuer's securities, which is what the overissuance test exists to catch. And the buy-in duty reaches only "any actual overissuance that such transfer agent caused and of which it has knowledge" (91 Fed. Reg. at 57056).

Question 83 asks whether the rules facilitate systems "so that the transfer of a tokenized security on a blockchain results in a corresponding transfer of the security on the master securityholder file" (91 Fed. Reg. at 56984), and Question 84 asks how to address "situations where records exist solely on a blockchain or distributed ledger that is not exclusively controlled by the transfer agent" (91 Fed. Reg. at 56984). The first step is to say which record is the security. A registered money market fund's post-effective amendment to its registration statement, filed with the Commission in May 2026, shows why the rule must say it. The filing states that the blockchain records, "together with an off-chain register associating wallet addresses with shareholder personal identifying information, will constitute the official shareholder register of the Fund and, in the absence of a technical failure of either of those systems, conclusively govern the record ownership of the OnChain Shares," and warns separately that during a network delay "recording transactions in OnChain Shares on the blockchain will not be possible and as such may cause discrepancies between the blockchain record and the backup off-chain record maintained by the Transfer Agent." The disclosure makes the blockchain records and the off-chain identity register authoritative absent a technical failure, and these passages do not say which record governs when the blockchain record and the backup off-chain record disagree during a delay. That is the gap a designation requirement closes.

Tokenization Systems recommends that the final rule:

1. require the recordkeeping transfer agent, for each tokenized issue, to designate in writing whether the crypto network is the master securityholder file, a component of it, or a copy, and which record governs if they disagree, and to disclose that designation to holders;
2. add to rule 17ad-9(g) a record difference when the quantity of a tokenized issue outstanding on any crypto network differs from the quantity the master securityholder file records for that representation, and require reconciliation at least every business day, so that a difference left unresolved is reported as an aged record difference under rule 17ad-11;
3. count units outstanding on a crypto network in excess of the quantity the master securityholder file records in the overissuance test, and extend the duty in rule 17ad-10(g) to "devote diligent attention to resolving the overissuance" (91 Fed. Reg. at 57056) to such supply, whoever created it; and
4. decline the exemption floated in Question 105 for a file kept "exclusively on an immutable blockchain network" (91 Fed. Reg. at 56993). A public ledger's history persists only while the network and its archive nodes do. The proposed rule requires every electronic recordkeeping system to have controls that "provide means to recover altered, damaged, or lost records resulting from any cause" (91 Fed. Reg. at 57055),

and an agreement with a third party "shall not relieve a registered transfer agent from the responsibility to maintain, retain, or preserve records" (91 Fed. Reg. at 57055).

**Recommendation 2 (Questions 82, 84, 99): Define exclusive control of a ledger component as sole authority to create, cancel, or freeze units or move them without the holder's authorization, held by the transfer agent or exercised only on its instruction, under joint authorization.**

The master securityholder file must remain under the transfer agent's "exclusive control" (91 Fed. Reg. at 57056), which the release says ensures "that the transfer agent maintains exclusive control over, and responsibility for, such a crucial record" (91 Fed. Reg. at 56970), but the rule does not define the term, and the release reads the independent-access condition for third-party recordkeeping generously for ledgers: a transfer agent using a distributed ledger "would have independent access where it is able to view the records maintained on the blockchain or other distributed-ledger, and can through such access permit examination and promptly furnish copies" (91 Fed. Reg. at 56988). Anyone can view, and copy, a public ledger. What a transfer agent can control on a shared network is the authority to write to the token's records: to create, cancel, or freeze units, or to move them without the holder's authorization. Question 99 asks whether commenters agree, and Question 82 asks how transfer agents should maintain, access, and produce such records for examination.

Tokenization Systems recommends that the final rule define exclusive control, for any component of the master securityholder file kept on a crypto network, as sole authority to create, cancel, or freeze units of the issue on that network, or to transfer units without the holder's authorization, held by the transfer agent, or by a person acting only on its instruction under an agreement the transfer agent can terminate, and exercised under joint authorization of at least two persons the transfer agent designates. Holders would still transfer their own units; the definition reaches only the actions no holder authorizes. Its joint-authorization element follows what the Commission has proposed for investment advisers that hold client crypto assets themselves: joint authorization of transfers by two or more designated persons, at least one of them a management person (proposed rule 223-1(b)(7)(ii)(B), File No. S7-2026-35). It also parallels the control standard the Office of the Comptroller of the Currency adopted for the custody the GENIUS Act reaches: for a payment stablecoin, a reserve asset in tokenized form, or a private key used to issue a payment stablecoin, a covered custodian maintains control if it "can reasonably demonstrate, consistent with the standard of care established by applicable law, that no other party, including the covered customer, can transfer the payment stablecoin or tokenized asset without the consent of the custodian or sub-custodian, as applicable" (12 C.F.R. 15.21(b)(2)(ii), 91 Fed. Reg. at 67186). Viewing should satisfy the independent-access condition only where the transfer agent also holds that authority and keeps its own complete copy of the records.

A power above the token contract raises the same question. According to a party's filing in federal court, in April 2026 the Arbitrum Security Council "froze the 30,765.6675 ETH, valued at approximately $71 million," associated with an exploit, and "transferred those

digital assets to a designated address." On October 29, 2026, after a theft from the Binance exchange that the Federal Bureau of Investigation attributes to North Korea, Arbitrum announced that the Security Council had taken "emergency action to rescue the 74,559,805 ARB and 8,425 ETH being held in the address on Arbitrum One that is identified as connected to the Binance exploit," and that those assets "can only be moved by further action of the Security Council or a vote of Arbitrum DAO governance." Each was an emergency response, which Tokenization Systems does not question. But where a person other than the transfer agent can freeze or move units at the level of the network, without the transfer agent's instruction, the ledger is not under the transfer agent's exclusive control. The staff of the Division of Corporation Finance drew the same line in another context on November 2, 2026: for purposes of its discussion of digital commodities, a central party oversees participation in a crypto system "when it has the authority to control access to the crypto system at any level, whether at the protocol level, validator level, or user level," including unilateral authority to "Modify the crypto system's rules-based code, reverse transactions, or revoke access to the crypto system" (Question 1.5; staff views, not a Commission statement). The test proposed here is broader than "unilateral": a power exercised by a vote of a network's governance token holders is still not the transfer agent's. The final rule should say so: for each network carrying a representation of an issue, the transfer agent should identify and disclose to holders any such person, and such a network should carry a copy of the record, with the off-chain file governing, and not the file or a component of it.

**Recommendation 3 (Questions 50, 84, 109, 140): Treat the privileged functions of a token as transfer agent functions.**

Recommendation 2 defines control where the ledger is part of the official record. This recommendation reaches every tokenized issue, including a token that only mirrors the file. The release recognizes that "Transfer agents interacting with tokenized securities, distributed ledger technologies, and smart contracts must increasingly manage risks relating to blockchain data integrity, security of tokenized securities, and distributed ledger operational models" (91 Fed. Reg. at 56948). The rule text records the results of a token's privileged functions: the transfer journal records "all issuances, cancellations, transfers" (91 Fed. Reg. at 57056), and the recordkeeping rule covers "any other restriction on transfer" (91 Fed. Reg. at 57054). It does not name the functions themselves or say who holds them. The Commission's custody release describes these powers: "some smart contracts have designated addresses with administrative privileges to perform critical operations such as upgrading and modifying the contract's logic and parameters and to pause the contract's operations" (91 Fed. Reg. at 63924). A token contract's administrator can also typically create units, destroy them, freeze an address, or move units without the holder's signature, the privileged capabilities the program asked the Commission to inventory in its Regulation Crypto Assets comment. A registered fund's May 2026 registration statement describes them in operation: smart contracts "have been developed to support functions such as 'minting' (creating a new token balance) and 'burning' (removing a token balance from circulation), as well as transfer restrictions to prevent unauthorized transfers to unregistered wallets, i.e., non-whitelisted wallets, and ability to claw back Tokens under

certain circumstances. These smart contracts are designed, deployed, and maintained by the Transfer Agent." For an erroneous transfer, the transfer agent "generally would have the ability to burn the erroneously transferred OnChain Shares and issue new OnChain Shares to the correct wallet, as applicable." These are transfer agent functions in fact; the rule should make them transfer agent functions in law. The proposal does regulate who may instruct a transfer agent about restrictive legends: it must "Refrain from acting on instructions from any person not included on the list" of issuer employees authorized "regarding the placement and removal of restrictive legends" (91 Fed. Reg. at 57058), a rule the release says "would prevent a transfer agent from acting upon the instructions of an unauthorized person to issue stock" (91 Fed. Reg. at 57000). Nothing reaches a mint that a token contract's administrator executes without instructing the transfer agent. That is the situation Question 84 asks about: records on a ledger the transfer agent does not exclusively control.

Tokenization Systems recommends that the final rule:

1. require that each privileged function of a tokenized issue's own contract be held by the recordkeeping transfer agent or be exercisable only on its instruction, so that the duties below reach every exercise, whoever holds the key; a power that arises only at the level of the crypto network is addressed by Recommendation 2 and the last sentence of suggested rule 17ad-12(d), under which such a network may carry only a copy of the record;
2. require issuer authorization for every creation or cancellation of units of a tokenized issue, as rule 17ad-10(e) already requires for changes to the control book, which may not be made "except upon written authorization from a duly authorized agent of the issuer" (91 Fed. Reg. at 56970);
3. require joint authorization for every use of a privileged function, and a transfer journal entry for each use, including freezes, pauses, and changes to the contract's logic, recording any instruction or legal order the use rests on;
4. require the transfer agent to disclose to holders, for each tokenized issue, which persons hold which privileged functions;
5. confirm that a transfer restriction enforced in a token contract to implement a restriction on resale under the Securities Act is a restrictive legend for purposes of proposed rule 17ad-31, so that lifting it is a removal subject to the rule (the release itself recognizes transfer agents engaged in "wallet whitelisting," 91 Fed. Reg. at 56954); and
6. name these functions, and the persons who hold them, in any guidance on what makes a risk material under rule 17ad-12(a)(2) (Question 109).

**Recommendation 4 (Questions 101, 104, 110): Hand over control with the records, and plan for a transfer agent's failure.**

Proposed rule 17ad-7(i) requires a departing transfer agent, "Within fifteen (15) calendar days of ceasing to perform transfer agent functions for an issue," to deliver its records to the issuer or the issuer's designee (91 Fed. Reg. at 57055). The release adds the deadline because some terminated transfer agents "have delayed or have refused to hand over

securityholder records to successor transfer agents unless the issuer pays a termination fee" (91 Fed. Reg. at 56989). For a tokenized issue, records are not enough: a successor that receives the records but not the privileged roles of the token contract cannot correct, reissue, or move units, and a withheld key gives a departing transfer agent the same leverage a withheld file does. The release reports that of the 144 transfer agents that withdrew from registration between 2016 and 2025, "56 (39% of the total) indicated that they had a successor transfer agent for each issue," while an estimated 35 were firms that never performed transfer agent activities, had filed a duplicate registration, or planned to re-register with another regulator (91 Fed. Reg. at 57011). It also recognizes that "an operational disruption at a single transfer agent can have broader effects" (91 Fed. Reg. at 56995). In a concentrated market, one transfer agent's failure can reach many tokenized issues at once.

Tokenization Systems recommends that the final rule:

1. require the handover under rule 17ad-7(i) to include the transfer of every privileged role and key the transfer agent holds or controls for each tokenized issue, or their revocation and reissue to the successor;
2. require the business continuity plan under rule 17ad-12(c) to address ledger events: network halts and forks, contract exploits, bridge failures, and loss or compromise of keys (Question 110); and
3. keep the rule that "There can be only one recordkeeping transfer agent for a given issue of securities" (91 Fed. Reg. at 57056), and apply it across networks, so that one transfer agent is accountable for reconciling every representation of an issue (Question 104).

**Recommendation 5 (Questions 108, 113): Keep payment stablecoins and tokenized deposits out of "funds" unless held under stated conditions.**

Proposed rule 17ad-12(b) requires issuer, securityholder, and other third-party funds to be held in a bank account designated as a for-the-benefit-of account, separate from the transfer agent's other bank accounts (91 Fed. Reg. at 57057), and the release states that the rule "would not, however, require transfer agents to maintain segregation of third-party funds" client by client (91 Fed. Reg. at 56995). Question 113 asks whether "stablecoins and tokenized deposits can be funds" and whether the account could be a bank's custodial wallet (91 Fed. Reg. at 56996). A token held for securityholders carries risks a deposit account does not: loss of keys, an issuer's freeze or redemption halt, and network failure.

Tokenization Systems recommends that the final rule permit payment stablecoins and tokenized deposits to stand in for funds only if:

1. they are payment stablecoins issued by permitted payment stablecoin issuers under the GENIUS Act, or deposit liabilities of a depository institution recorded on a crypto network;
2. they are held by a bank or trust company in a for-the-benefit-of wallet, not by the transfer agent itself;

3. the transfer agent keeps per-client records and reconciles them to the wallet's balance on the network at least every business day; and
4. the business continuity plan addresses a freeze or redemption halt by the issuer.

Separately, tokens the transfer agent holds for securityholders, such as undelivered distributions, should be segregated from its own assets on the same terms the rule applies to funds.

**Recommendation 6 (Questions 16, 19, 21, 23): Make tokenization visible on Form TA-2.**

Proposed Question 4(e) of Form TA-2 asks for the number of issues for which the registrant "maintained the master securityholder file using distributed ledger technology, in whole or in part, during the reporting period" (91 Fed. Reg. at 57060). That count lumps a ledger that is the whole official record with one that is only a component of it, and misses a ledger that only copies it. Nor does it duplicate Question 5(b), which Question 19 asks about: Question 4(e) counts issues, Question 5(b) names providers, and neither links an issue to the network that carries its record. The three-way distinction is already standard in the market the form would survey. A November 2025 report of the Guardian Asset and Wealth Management Industry Group, to which the Monetary Authority of Singapore contributed, describes three archetypes of tokenised fund register, "Model 1: Mirror the authoritative fund shareholder register", "Model 2: Partial on-chain authoritative fund shareholder register", and "Model 3: Full on-chain authoritative fund shareholder register", and observes that "The choice of model has far-reaching implications for investor rights, regulatory compliance, and operational risk." The names of distributed ledger platforms and tokenization agents would be collected, but "this information would not be made publicly available on EDGAR" (91 Fed. Reg. at 56964). The tokenization models in Question 6(b) rest on a staff statement the release itself says has no legal force: "Staff statements have no legal force or effect" (91 Fed. Reg. at 56964 n.110). And the Commission considered, and set aside on cost, issue-level disclosure of whether each master securityholder file was "maintained using distributed ledger technology" and "the name(s) of any recordkeeping system or technology used" (91 Fed. Reg. at 57038).
Then-Commissioner Peirce asked whether disclosing service providers on Form TA-2 is appropriate "in light of the role played by transfer agents and what the Commission requires (or does not require) of other registrants." For a provider that carries the official record of ownership, it is, and the case for making it public is stronger than for any other service provider.

Tokenization Systems recommends that the final Form TA-2:

1. split Question 4(e) into issues for which the ledger is the master securityholder file, a component of it, or a synchronized copy;
2. require, by issue and publicly, the network and contract address of each tokenized issue, as entries on the list of issues serviced that amended Question 13 would already require, a list the release adds because "the Commission does not know which transfer agent services a particular security" (91 Fed. Reg. at 56965). This extends

the issue-level alternative the Commission considered and the alternative that would have required "the names of any blockchains used for maintaining master securityholder files during the reporting period" (91 Fed. Reg. at 57038);

3. define the issuer-sponsored and third-party-sponsored models in the form instructions, which leave them undefined; and
4. make the names of distributed ledger platforms and tokenization agents public. Naming the infrastructure that carries the official record of ownership discloses no key or account, and it lets issuers and holders see what the release wants the Commission to see: "how many transfer agents rely on that provider" (91 Fed. Reg. at 56964). The Commission rejected confidential reporting of the Form TA-1 organizational chart because it "would limit the ability of issuers and investors to identify conflicts of interest, assess governance and operational risks, and compare transfer agents on an informed basis" (91 Fed. Reg. at 57038). The same reasoning applies to the infrastructure that carries the official record.

**Recommendation 7 (Questions 37, 41, 116): Make the wallet address part of position detail for tokenized positions, and address lost keys.**

The release offers the wallet address only as an example: of identifying information, "a digital wallet address in the case of any tokenized security" (91 Fed. Reg. at 56968), and of contact information, "a blockchain wallet address" (91 Fed. Reg. at 56968). The rule text requires, for every holder, contact information "including at a minimum a physical mailing address" (91 Fed. Reg. at 57056). The Commission considered a principles-based alternative that could accommodate "pseudonymous wallet addresses as identifying information" and preferred a uniform minimum standard (91 Fed. Reg. at 57039). Tokenization Systems agrees that the holder's identity should remain the identifier of record. But for a tokenized position, the wallet address is what links the identity to the units on the network, and rule 17ad-17 depends on signals a wallet does not give: an electronic payment makes a holder an unresponsive payee only when it is "rejected and returned as undeliverable to the paying agent" (91 Fed. Reg. at 57058), and a payment to a wallet whose keys are lost is never returned.

Then-Commissioner Peirce asked whether transfer agents should "continue to be required to collect names and physical addresses of securityholders or should the rule allow other identifiers, such as email and digital wallet addresses, to be collected instead," and the Director of the Division of Trading and Markets highlighted that question on October 29, 2026. Tokenization Systems' answer is in addition, not instead, for the reason the release itself gives for the mailing-address minimum: it "may help recordkeeping transfer agents comply with Rule 17ad-17" (91 Fed. Reg. at 56969). A wallet address shows which key can move the units. It does not show who holds them, and it fails as a way to reach the holder at the moment that matters most, when the key is lost. The registered fund filing cited above operates on the same premise. It states that the registered owner of tokenized shares "will be the person whose identifying information, as recorded separately on the Fund's books and records maintained off chain, is associated with such shareholder wallet," that "Each investor is responsible for their own blockchain wallet," and that when a key is lost

the remedy begins with the holder contacting the fund so that the transfer agent can act, "which may include freezing the Tokens in the shareholder's wallet, verifying the shareholder's ownership of the Tokens." Both the identity and the recovery path run through the off-chain record, not the wallet. The mailing address also does work under state law that a wallet address cannot: the release describes two primary dormancy triggers under state escheatment laws, "the return as undeliverable of one or more items of U.S. mail sent to the owner of the securities" and the time since the last contact or activity the owner generated (91 Fed. Reg. at 56996). Without a mailing address the first trigger never operates, and the second runs with no way to reach the holder by mail. The rule has the same dependency: nothing sent to a wallet is ever "returned as undeliverable" (91 Fed. Reg. at 57057), so a holder known only by a wallet address could never become a lost securityholder under rule 17ad-17(b)(2)(i) and the search duty would never start, and the holder of a lost key can never answer a notice sent to the wallet. For the same reason, the final rule should make clear that a wallet address alone is not a method "reasonably expected to reach the inactive securityholder" (91 Fed. Reg. at 57057) for the notices rule 17ad-17(a)(3) requires. An email address is a useful further channel, but it can lapse too, and it does not show who holds the units.

She also asked whether the amendments to rule 17ad-17 are appropriate given "the recent adoption of inactivity standards in state escheatment laws," and the Director asked how to "best tailor transfer agent rules to address the growing challenge of inactivity standards in state escheatment laws." For most accounts the amendments are appropriate. For a tokenized position, one limb needs a clarification. The proposed rule counts as account activity by a securityholder "conducting a transaction in the account where the assets are held, including deposits or withdrawals of funds" (91 Fed. Reg. at 57057). That language was written for accounts kept by a transfer agent, broker, or dealer. On a network or token that permits unsolicited transfers, anyone can send a token to an address, and a distribution can arrive with no act by the holder. If a receipt alone counted, it could keep a lost holder's position looking active indefinitely. The state standard the release describes is owner-generated, and the proposed definition closes with "any other affirmative indication or action that reasonably demonstrates that the securityholder is reachable and engaged with its account" (91 Fed. Reg. at 57057). The final rule should clarify that, for a tokenized position, the transaction limb covers transactions initiated or directed by, and reasonably attributable to, the holder, including deposits and withdrawals, and that an unsolicited incoming transfer or automatic distribution does not count by itself. Logins, messages to the transfer agent, and replies to its notices should still count.

Tokenization Systems recommends that the final rule:

1. require the wallet address, and the network, as position detail for every tokenized position, in addition to, and not instead of, the holder's name and mailing address, with procedures for changes of address and for lost keys; and
2. define, for tokenized positions, the transaction limb of account activity under rule 17ad-17(b)(3) as transactions initiated or directed by, and reasonably attributable to, the holder, including deposits and withdrawals, and not an unsolicited incoming transfer or automatic distribution alone, and treat a holder as an unresponsive payee

when a payment is sent to a wallet for which there has been no such transaction for the inactivity period and the holder has shown no other account activity, with the written notification rule 17ad-17(c)(1) requires sent to the mailing address of record, so that the holder can be found before its property is lost (Question 116).

## II. Suggested rule text

The following language is offered as a starting point for the three highest-priority recommendations. "Crypto network" is not a term of the transfer agent rules; the first provision adds it, using the definition the Commission proposed in File No. S7-2026-35.

**Definition (new rule 17ad-9(p)):**

> (p) Crypto network means a blockchain or similar distributed ledger technology network.

**Recommendation 1, record difference (new rule 17ad-9(g)(4), moving "or" from paragraph (g)(2) to (g)(3)):**

> (4) The quantity of a representation of an issue of securities outstanding on a crypto network differs from the quantity the master securityholder file records for that representation.

**Recommendation 1, reconciliation (new rule 17ad-10(j)):**

> (j) For each issue of securities a representation of which is recorded on a crypto network, every recordkeeping transfer agent shall, at least once each business day, reconcile the quantity of the representation outstanding on the crypto network to the quantity the master securityholder file records for it.

**Recommendation 1, overissuance (rule 17ad-10(i)):**

> (i) For purposes of this section, overissuance means an out-of-balance condition wherein the securities issued and outstanding, as reflected in the transfer agent's control book, together with any units of a representation outstanding on a crypto network in excess of the quantity the master securityholder file records for that representation, exceed the securities authorized and outstanding, as reflected in the control book. Units locked on one crypto network to back a representation of the same issue on another crypto network are not counted as outstanding on the first.

**Recommendation 2, exclusive control (rule 17ad-9(b), added sentence):**

> Where any component of the master securityholder file is maintained on a crypto network, exclusive control means that no person other than the transfer agent, or a person acting only on its instruction under an agreement the transfer agent can terminate, can create, cancel, or freeze units of the issue on that network or transfer units without the holder's authorization, and that each

such action requires the authorization of at least two persons designated by the transfer agent.

**Recommendation 3, privileged functions (new rule 17ad-12(d)):**

(d) No registered transfer agent shall act as recordkeeping transfer agent for an issue of securities a representation of which is recorded on a crypto network unless each person who can create, cancel, freeze, transfer without the holder's authorization, pause, or modify the representation is the transfer agent or acts only on its instruction. For each such issue, the recordkeeping transfer agent shall maintain a current list of those persons; shall permit each exercise of any such function only with the authorization of at least two persons designated by the transfer agent; shall create or cancel units only upon written authorization from a duly authorized agent of the issuer; shall record each exercise of any such function in the transfer journal, with any instruction or legal order on which it rests; and shall disclose the list to securityholders. The condition in the first sentence, and the requirement in the second sentence for authorization by two persons designated by the transfer agent, do not apply to a person whose power over the representation arises only at the level of the crypto network, and not from the representation's own contract; but where such a person can act without the transfer agent's instruction, the crypto network may carry only a synchronized copy of the master securityholder file, with the off-chain file governing, and not the file or a component of it, and the recordkeeping transfer agent shall identify any such person and disclose that person to securityholders.

## III. Cross-agency alignment and divergence

The same control and reconciliation questions appear in the Commission's own custody proposal and in a Federal banking agency's final rule implementing the GENIUS Act, whose subpart C governs custody.

| Issue | This proposal | Commission's custody proposal (File No. S7-2026-35) | OCC GENIUS Act final rule (12 C.F.R. part 15) | Recommended alignment |
|---|---|---|---|---|
| Reconciliation to the crypto network | None for the supply of a token that mirrors the official record | Required: the accountant must verify that self-custodied crypto assets are reconciled to the crypto network | Issuer publishes total outstanding payment stablecoins monthly against reserves, examined by an accounting firm (Sec. 15.11(e) and (f)); the preamble states that sound custodial practices would entail that a custodian "may not rely solely on a distributed ledger and must reconcile distributed ledger data, as applicable, with its internal records" (91 Fed. Reg. at 67100; not codified) | Business-day reconciliation of on-chain supply to the master securityholder file (Recommendation 1) |
| What control means on a ledger | "Exclusive control" undefined; viewing a ledger, plus the ability to furnish copies, counts as independent access | Possession of key materials; joint authorization of transfers required for adviser self-custody | For payment stablecoins, tokenized reserves, and issuance keys in its custody: control if the custodian can reasonably demonstrate that no other party can transfer the asset without its consent | Sole authority to create, cancel, freeze, or move units without the holder, held by the transfer agent or exercised on its instruction, under joint authorization (Recommendation 2) |

| Issue | This proposal | Commission's custody proposal (File No. S7-2026-35) | OCC GENIUS Act final rule (12 C.F.R. part 15) | Recommended alignment |
|---|---|---|---|---|
| Privileged functions held by others | Rule text records results only | Described in the release; no rule text | Rule text silent; the Act requires issuers able to comply with lawful orders to "seize, freeze, burn, or prevent the transfer" (GENIUS Act Secs. 2(16), 4(a)(6)(B)) | Issuer authorization, joint authorization, journal entries, and disclosure (Recommendation 3) |
| Payment stablecoins as funds | Open question (Question 113) | Stated view that payment stablecoins of permitted and registered foreign issuers, and tokenized deposits, are digital representations of funds under the custody rule | Customer property and segregation duties for the custody the Act reaches | Conditions in Recommendation 5 |

## IV. Anticipated objections

**Objection: reconciliation every business day is burdensome for a transfer agent using a public ledger.** A token's supply is a single public number on the network, read in seconds. The burden is comparing it with the file the transfer agent already keeps, which is the overissuance monitoring the statute already assigns. The proposal already requires posting to the master securityholder file within the shorter of one business day or the settlement cycle (rule 17ad-10(a)(2)(i), 91 Fed. Reg. at 57056), so a business-day reconciliation runs on the same clock.

**Objection: defining exclusive control prescribes a technology.** The recommended definition names a result (no one but the transfer agent, or a person acting only on its instruction, can create, cancel, or freeze units or move them without the holder, and only with two authorizations), not a mechanism. Multisignature contracts, threshold signing, and administrator roles can each meet it, and holders' own transfers are untouched.

**Objection: excluding a network with a security council takes away a useful protection.** It takes away neither the network nor the council. Such a network can carry a

synchronized copy of the record, with the off-chain file governing, and the council can still act in an emergency. What it cannot be is the official record of ownership, because someone other than the transfer agent can change it.

**Objection: issuers keep compliance controls on their tokens.** They can keep them, exercised on the transfer agent's instruction under an agreement the transfer agent can terminate. What the rule should not permit is a party other than the transfer agent changing the official record of ownership on its own authority, which is what exclusive control over the master securityholder file already rules out.

**Objection: publishing networks and contract addresses creates security risks.** A tokenized issue's contract address is already public on the network; the form would only connect it to the transfer agent of record. Recommendation 6 asks for no key, wallet, or holder information.

**Objection: payment stablecoins are the banking agencies' responsibility.** Recommendation 5 does not regulate stablecoins. It conditions a transfer agent's use of them for securityholder funds, which is squarely within rule 17ad-12, and it defers to the GENIUS Act for which stablecoins qualify.

## V. Conclusion

The proposal makes the master securityholder file the authoritative record of ownership and lets that record live on a crypto network. Tokenization Systems' recommendations ask that the rule finish the thought: say which record governs, reconcile the token to it, define control as the power to change the ledger, bring the token's privileged functions inside the transfer agent's duties, hand them over with the records, and let the Commission and the public see which networks carry the official record.

Tokenization Systems appreciates the care evident in the proposal and would welcome the opportunity to discuss these recommendations with the Commission's staff.

Respectfully submitted,

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# Comment on the Notice of Proposed Rulemaking: Proposal of Special Measure Prohibiting the Transmittal of Funds Regarding Transactions Involving the A7 Network's Sub-Agents

**Submitted to:** Financial Crimes Enforcement Network, via the Federal eRulemaking Portal (https://www.regulations.gov) under Docket FINCEN-2026-0265
**Docket / RIN:** Docket FINCEN-2026-0265; RIN 1506-AB77
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**Comment period closes:** November 4, 2026
**Submitted by:** Tokenization Systems (www.Tokenization.Systems)
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## Introduction and summary

Tokenization Systems is an independent research program that studies the control layer of tokenized money: the functions through which an issuer or intermediary can mint, freeze, redeem, or redirect a token, and the evidence, recorded on the blockchain, of whether those functions are actually used. Tokenization Systems has commented to FinCEN on the anti-money-laundering program rulemaking (FINCEN-2026-0034), on the joint FinCEN and Office of Foreign Assets Control (OFAC) proposal for payment stablecoin issuer anti-money-laundering and sanctions programs (FINCEN-2026-0100), and on the payment stablecoin issuer customer identification program (FINCEN-2026-0101).

Tokenization Systems supports the proposed prohibition. It has no information about the A7 Network beyond the public record, so this comment takes no position on FinCEN's factual findings about it. The comment addresses one part of the proposal: how the prohibition will work for convertible virtual currency (CVC), and in particular for stablecoins.

That part matters more than its length suggests. FinCEN explains that it chose a prohibition on transmittals of funds over the correspondent account measure in part because transactions related to A7A5, the ruble-backed stablecoin the A7 Network created (91 Fed. Reg. 63213), "do not rely on the correspondent banking system" (91 Fed. Reg. 63217). FinCEN also finds that the A7 Network "has most often used the A7A5 tokens as a non-freezable, bridging asset to convert into other, more widely accepted digital assets, such as the stablecoin Tether (USDT)" (91 Fed. Reg. 63214). That finding shows where control is possible. Value moves out of a token FinCEN describes as non-freezable and into tokens whose issuers can freeze an address, and that conversion step is where the United States financial system can act.

The proposal's rules for CVC place nearly all of the work on the receiving institution: it must screen the CVC transfers it sends and receives, and once it has received CVC from a

Sub-Agent, it must block or return that CVC to fall within the proposal's safe harbor. Yet FinCEN itself assesses that "there are few, if any, readily available ways for covered financial institutions to 'reject' incoming CVC transactions (prior to receipt)" (91 Fed. Reg. 63218, note 80). The recommendations below follow one principle: **assign each CVC obligation to the party that can carry it out.** FinCEN controls what its proposed non-public list of Sub-Agents contains. A receiving institution can screen addresses and isolate funds after receipt. Only the issuer of a freezable stablecoin can stop a listed address from moving that stablecoin again.

The timing makes the issuer's role pressing. Proposed section 1010.668(a)(4) gives "covered financial institution" the meaning of "financial institution" in 31 CFR 1010.100(t) (91 Fed. Reg. 63225). FinCEN's pending payment stablecoin issuer rule proposes "to amend the definition of 'financial institution' at 31 CFR 1010.100(t) to expressly include" permitted payment stablecoin issuers, or PPSIs (91 Fed. Reg. 18593). When that rule is final, PPSIs will become covered financial institutions under this rule by cross-reference, without further action, and neither proposal says what this rule then requires of them.

These terms recur below, in plain words:

- **A7 Network and Sub-Agents.** As the proposal uses them: a Russian-Kyrgyzstan based network, and the companies outside the United States that it controls (91 Fed. Reg. 63208, 63225).
- **Address.** The public identifier on a blockchain that sends, receives, and holds tokens.
- **Token contract.** The program on a blockchain that creates and governs a token.
- **Transaction hash.** The unique public identifier of one blockchain transaction.
- **Freeze.** An issuer's action on the blockchain that stops a specific address from moving the issuer's token.
- **Block.** Used alone in this comment: to hold property as OFAC sanctions require, so that no one can use or move it; blocked property is not returned. (The statutory phrase "block, freeze, and reject" uses the word more broadly, for stopping a transaction.)
- **Listed address.** An address on FinCEN's list of Sub-Agents, if the list carries addresses as Recommendation 2 asks.
- **Wrapped or derivative token.** A separate token that stands for another token, often on a different blockchain.
- **Unhosted wallet.** An address its holder controls directly, not through a financial institution.
- **Safe harbor.** This comment's name for proposed section 1010.668(b)(1)(i), which deems an institution not to have violated the prohibition if it takes stated steps after receiving CVC from a Sub-Agent.
- **Primary market and secondary market.** FinCEN and OFAC's terms in the joint payment stablecoin issuer proposal: an issuer dealing directly with a holder, and activity that does not directly involve the issuer as a party (91 Fed. Reg. 18585).
- **Special measures one through five.** The measures in 31 U.S.C. 5318A(b). The fifth restricts correspondent accounts, which banks hold for one another to process

payments, and payable-through accounts.

The five recommendations are mapped below to FinCEN's three questions (Section V.D of the preamble) and to the action requested in the final rule.

| Recommendation | Question or provision | Requested final-rule action | Why it matters |
|---|---|---|---|
| 1. Adopt the prohibition on transmittals of funds | Question 1 | Retain the prohibition under section 9714(a)(2) of the Combating Russian Money Laundering Act rather than special measures one through five. | A7A5 transfers do not pass through correspondent accounts, and special measure five reaches only correspondent and payable-through accounts, a limit the President's Working Group on Digital Asset Markets identified in 2025. |
| 2. Deliver Sub-Agent addresses, not only names, and state the minimum screening expected for CVC | Question 3; proposed 1010.668(a)(2), (b)(1), (b)(4) | Provide in (a)(2) that FinCEN may identify CVC addresses and token contracts; have the list FinCEN shares through its FI-Portal carry each Sub-Agent's known addresses, blockchains, and token contracts in machine-readable form; and state that the prohibition reaches a transmittal sent from or to a listed address. | A blockchain transfer carries addresses, not names, so screening it against names detects nothing. |

| Recommendation | Question or provision | Requested final-rule action | Why it matters |
|---|---|---|---|
| 3. State what the rule requires of payment stablecoin issuers | All aspects; proposed 1010.668(a)(4), (a)(5), (b)(1) | Prohibit a PPSI's primary market transactions for a listed Sub-Agent; require, or at least recognize as compliance, a freeze of a listed address holding the PPSI's stablecoin; state that the rule does not require blanket monitoring of secondary market transfers. | PPSIs become covered institutions by cross-reference, and an issuer is the only party that can stop a listed address from moving its stablecoin again. |
| 4. Put in the regulatory text the preamble's rule that OFAC blocking counts as compliance, and separate blocking from returning in the CVC safe harbor | All aspects; proposed 1010.668(b)(1)(i) and Note 1 | Move into the regulatory text the preamble's rule that an institution that blocks property as OFAC requires is deemed to comply with this measure; state separately when to block and when to reject and return; say what to do when return is not feasible; and require prompt action once the institution determines that it received CVC from a Sub-Agent. | As drafted, one reading requires returning blocked property, and the rule for when an OFAC blocking obligation conflicts with this measure appears only in the preamble. |
| 5. Identify CVC transfers by transaction hash in the notice and records, and treat returns and freezes, which are visible on the blockchain, as permitted disclosures | Question 2; proposed 1010.668(b)(2), (b)(5)(i) | Identify each CVC transfer by its transaction hash in the notice and in the records, and confirm that a return transfer or an issuer freeze is a permitted disclosure. | Every return and every issuer freeze is visible on the blockchain, so an address on FinCEN's non-public list becomes known once it is acted on. |

Possible wording for the highest-priority changes:

- **Possible regulatory text, new sentence at the end of proposed 1010.668(a)(2):** "FinCEN may also identify convertible virtual currency addresses administered by or on behalf of an A7 Network Sub-Agent, and token contracts that represent A7A5, and make them available to covered financial institutions."
- **Possible regulatory text, new sentence at the end of proposed 1010.668(b)(1):** "For purposes of this paragraph (b)(1), a transmittal of convertible virtual currency involves an A7 Network Sub-Agent when an address that FinCEN has identified under paragraph (a)(2) of this section as administered by or on behalf of an A7 Network Sub-Agent is the sending or receiving address of the transmittal."
- **Possible regulatory text, new sentence at the end of proposed 1010.668(b)(4):** "For transmittals of convertible virtual currency, such due diligence shall include screening the sending address, the receiving address, and the token contract of each transmittal against the addresses and token contracts that FinCEN has identified under paragraph (a)(2) of this section."
- **Possible regulatory text, new proposed 1010.668(b)(6):** "Permitted payment stablecoin issuers. A covered financial institution that is a permitted payment stablecoin issuer (i) shall not issue, redeem, convert, or hold payment stablecoins for or on behalf of an A7 Network Sub-Agent; (ii) upon receiving FinCEN's identification under paragraph (a)(2) of this section of an address administered by or on behalf of an A7 Network Sub-Agent that holds its payment stablecoins, shall promptly freeze that address, and in doing so is deemed to comply with paragraph (b)(1) of this section with respect to transfers from that address; and (iii) is not otherwise required by this section to monitor transfers of its payment stablecoins between other persons."
- **Possible regulatory text, replacing proposed 1010.668(b)(1)(i):** "(i) A covered financial institution will be deemed not to have violated this prohibition where, upon determining that it received convertible virtual currency that originated from an A7 Network Sub-Agent or from an account or CVC address administered by or on behalf of an A7 Network Sub-Agent, the covered financial institution, promptly after that determination: (A) if the convertible virtual currency is required to be blocked under any OFAC sanctions authority, blocks it and reports it to OFAC in accordance with 31 CFR part 501, without returning it; or (B) in any other case, prevents the intended Recipient from accessing the convertible virtual currency and returns it to the account or CVC address from which it originated or, where return is not technically feasible, holds it in an account that the intended Recipient cannot access and notifies FinCEN. (ii) A covered financial institution that complies with an obligation to block property or interests in property under any OFAC sanctions authority is deemed to comply with this section with respect to that property."

The recommendations are designed to fit FinCEN's pending payment stablecoin issuer rulemaking, which Tokenization Systems has commented on, rather than to conflict with it:

| Issue | This proposal (proposed 31 CFR 1010.668) | Payment stablecoin issuer proposal (FINCEN-2026-0100) | Recommended alignment |
|---|---|---|---|
| Who is covered | "Covered financial institution" takes its meaning from 31 CFR 1010.100(t) (91 Fed. Reg. 63225). | Adds "permitted payment stablecoin issuer" to 31 CFR 1010.100(t) (91 Fed. Reg. 18593). | State in this rule what it requires of PPSIs (Recommendation 3). |
| Which transfers | "Transmittals of funds" means "the sending and receiving of funds, including convertible virtual currency" (91 Fed. Reg. 63225), with no further division. | Divides issuer activity into primary market and secondary market activity (91 Fed. Reg. 18585). | Use the primary and secondary market terms when applying this rule to PPSIs. |
| Tools for CVC | Receive, then block or return (proposed 1010.668(b)(1)(i)); few, if any, ways to reject before receipt (note 80). | Requires the technical capability to block, freeze, and reject transactions (proposed 1033.240(a), 91 Fed. Reg. 18604). | Treat an issuer's freeze of a listed address as compliance (Recommendations 3 and 4). |
| Address as the target | Reaches "any account or CVC address administered by or on behalf of an A7 Network Sub-Agent" (91 Fed. Reg. 63225). | A lawful order must specify "the payment stablecoins or accounts subject to blocking with reasonable particularity" (91 Fed. Reg. 18593); Tokenization Systems asked that "account" there include wallet addresses (FINCEN-2026-0100-0005, Recommendation 3). | Keep this rule's coverage of both accounts and addresses, and conform the issuer rule's definition of a lawful order to it. |

## Recommendation 1: Adopt the prohibition on transmittals of funds rather than special measures one through five (Question 1)

Tokenization Systems supports FinCEN's choice of measure. The proposal explains that special measure five "would not address the movement of funds outside of a strict correspondent or payable-through relationship," including because A7A5-related transactions "do not rely on the correspondent banking system" (91 Fed. Reg. 63217). The

President's Working Group on Digital Asset Markets reached the same conclusion in general terms in July 2025: "FinCEN has encountered limitations when applying its Section 311 authority to digital assets. Specifically, the fifth special measure is limited to correspondent or payable-through accounts, which do not translate to the digital asset industry." The Working Group added that because the newer authorities, section 9714 among them, use "certain transmittals of funds" instead of "correspondent or payable-through accounts," they "can be applied to both traditional finance and digital assets" (Report, at 116). FinCEN has used the same prohibition before for a CVC exchanger: its 2024 order on PM2BTC prohibits transmittals of funds "from or to PM2BTC, or from or to any account or CVC address administered by or on behalf of PM2BTC" (89 Fed. Reg. 82505). This proposal applies the authority the Working Group described to a network whose stablecoin operations bypass correspondent accounts by design.

The remaining recommendations concern how the chosen measure will operate for CVC. None of them would exempt a transmittal sent from or to an address FinCEN has identified as a Sub-Agent's, and Recommendation 4 changes only what an institution must do after it has received one.

## Recommendation 2: Deliver Sub-Agent addresses, not only names, and state the minimum screening expected for convertible virtual currency (Question 3)

The proposal describes the expected due diligence as "an appropriate screening mechanism to identify a transmittal of funds that involves any A7 Network Sub-Agent as an originator or beneficiary or otherwise references any A7 Network Sub-Agent in a manner detectable under the covered financial institution's normal screening mechanisms," which could include "commercially available software programs used to comply with the economic sanctions programs administered by the OFAC" (91 Fed. Reg. 63219). That description fits a wire transfer, whose payment message names an originator and a beneficiary. It does not fit a transfer of CVC. A token transfer on a blockchain identifies a sending address, a receiving address, and the token's contract; it carries no name to screen. Where the transfer comes from an unhosted wallet, which is where FinCEN reports that A7A5 "has been consolidated" (91 Fed. Reg. 63214), there is no sending institution to supply originator information, so none comes with the transfer. A covered institution that screens CVC transfers against a list of Sub-Agent names will detect nothing unless the list tells it which addresses each Sub-Agent administers. That is exactly the fact on which the prohibition turns: proposed section 1010.668(b)(1) reaches transmittals "from or to any account or CVC address administered by or on behalf of an A7 Network Sub-Agent" (91 Fed. Reg. 63225).

A list of addresses should also be unusually effective in this case. FinCEN reports that after an alleged hack of the digital asset exchange Grinex in April 2026, "A7A5 has been consolidated into unhosted wallets" (91 Fed. Reg. 63214), and the analysis the proposal cites for that statement (note 56) reports that one wallet holds 94.5 percent of A7A5's

supply on Tron, and that the top four addresses hold 99.2 percent of it. With the supply on Tron that concentrated, a short list of addresses can identify where nearly all of it is held.

The proposal anticipates that FinCEN will provide information about known Sub-Agents through the FI-Portal and "proposes limiting the obligation on covered financial institutions to prohibit certain transmittals only as to those entities identified on that list" (91 Fed. Reg. 63218). Because proposed paragraph (a)(2) identifies entities only, the final rule should also provide that FinCEN may identify the addresses and token contracts themselves, as in the possible regulatory text above. The final rule, or its preamble, should state that for CVC the list will identify:

1. the known CVC addresses that each Sub-Agent administers, together with the blockchain on which each address exists;
2. the token contracts FinCEN treats as A7A5, including the wrapped or derivative representations that, in FinCEN's words, "U.S. financial institutions may encounter" (91 Fed. Reg. 63214), because a screen limited to the two original A7A5 contracts listed in note 46 will not detect a representation on another blockchain;
3. the date on which each entry was added or last confirmed; and
4. all of the above in a machine-readable format that institutions can load directly into the address-screening tools they already use for sanctions compliance.

These entries would reach institutions the same way as the list itself. FinCEN would share the list through the FI-Portal, "a secure messaging system that FinCEN and covered financial institutions utilize to securely exchange information," and only with covered financial institutions (91 Fed. Reg. 63218), so adding addresses and token contracts would not widen its distribution (see also Recommendation 5).

The token contracts in item 2 matter because value can move without any transfer of the token a screen is watching. TRM Labs attributes the October 29, 2026 theft from Binance to a North Korean state-sponsored unit, and it reports that the laundering of the proceeds used a TRON method that "passes value between wallets as a lending receipt token, which hides the link from any trace that follows only USDT." That case involves a different network; it shows only that a screen limited to the original token can miss value carried in a token that stands for it.

The final rule should also state the minimum screening expected. For CVC, a covered institution should satisfy proposed section 1010.668(b)(4) by screening the sending address, the receiving address, and the token contract of each CVC transmittal it sends or receives against the list, and the prohibition should reach a transmittal in which a listed address is the sending or receiving address. Funds that passed through a listed address at some earlier point, and reached a customer from an address that is not on the list, should be handled through the risk-based due diligence the proposal already describes and through existing suspicious activity reporting, which the proposal expressly preserves, rather than as an automatic violation of paragraph (b)(1). Without that limit, "involving any A7 Network Sub-Agent" has no stopping point on a public blockchain, where the history of any token can be traced back through many prior holders.

Tokenization Systems raised the same concern, that an obligation be checkable in practice,

on the payment stablecoin issuer proposal, where it asked that block and freeze capability be verified in operation rather than presumed from the existence of a function (FINCEN-2026-0100-0005, Recommendation 2). A screening obligation cannot be tested if institutions are not given the addresses to screen against, and examiners cannot check compliance with one that has no limit on its reach.

## Recommendation 3: State what the prohibition requires of payment stablecoin issuers, which become covered financial institutions by cross-reference

When FinCEN finalizes the payment stablecoin issuer rule, PPSIs will become covered financial institutions under this rule, as explained above. That rule implements the direction in the GENIUS Act, the 2025 federal stablecoin statute, that a permitted payment stablecoin issuer "shall be treated as a financial institution for purposes of the" Bank Secrecy Act (91 Fed. Reg. 18593). The proposal does not say what it would then require of them, and its definitions leave the question open. It defines transmittals of funds as "the sending and receiving of funds, including convertible virtual currency" (91 Fed. Reg. 63225) and prohibits a covered institution from "engaging in" a transmittal involving a Sub-Agent. Two kinds of issuer activity fit those words differently, and FinCEN's own issuer proposal already draws the line between them. It uses "primary market" to describe a PPSI "interacting directly with a user or holder of a payment stablecoin, such as when a PPSI engages in issuing, converting, redeeming, repurchasing, burning, and reissuing payment stablecoins," and "secondary market" to describe "payment stablecoin activity that does not directly involve the PPSI as a party" (91 Fed. Reg. 18585).

Primary market activity for a listed Sub-Agent is plainly a transmittal the issuer engages in. A transfer of the issuer's stablecoin between two other parties is not, on the issuer proposal's own terms, a transaction to which the issuer is a party. It is, however, a transfer the issuer can stop. The GENIUS Act requires a permitted issuer to have the technical capability to block, freeze, and reject specific or impermissible transactions (12 U.S.C. 5903(a)(5)(A)(iv)), which the issuer proposal would implement at proposed 31 CFR 1033.240(a) (91 Fed. Reg. 18604). The President's Working Group described the same feature: "A unique feature of stablecoins is that stablecoin issuers can coordinate with law enforcement to freeze and seize assets to counter illicit use" (Report, at 91). FinCEN's finding about A7A5 shows why it matters here. A token that cannot be frozen protects its holder from a freeze only while the value stays in that token. Once the value is converted into a freezable dollar stablecoin, that stablecoin's issuer can stop it before the next transfer, which no receiving institution can do. As drafted, the issuer's freeze plays no defined role in the proposal: the only CVC tool in the regulatory text is a receiving institution's action after receipt.

Tokenization Systems' recommended default has three parts:

1. **Primary market.** A PPSI should be prohibited from issuing, redeeming, converting, or holding payment stablecoins for or on behalf of a listed Sub-Agent. On any reading, these are transmittals the issuer engages in.

2. **Targeted freeze of listed addresses.** On receiving FinCEN's identification of a Sub-Agent address that holds its payment stablecoin, a PPSI should freeze that address promptly. That is a targeted action on an address FinCEN has identified, of the kind the GENIUS Act's capability requirement exists to support, and it is the only step available for CVC that acts before the next transfer rather than after it.
3. **No blanket secondary market monitoring.** The rule should say that a PPSI is not otherwise required to monitor transfers of its payment stablecoin between other persons for Sub-Agent involvement. This would not narrow the issuer proposal, under which the obligation to have block, freeze, and reject capabilities "extends beyond a PPSI's customers and accounts, i.e., to secondary market activity" (91 Fed. Reg. 18604). It limits only what this section requires, which is why the possible regulatory text above says "by this section."

This default mirrors the position Tokenization Systems took on the issuer proposal. That position supported applying block, freeze, and lawful-order capability to secondary market activity while recommending a graduated approach rather than a blanket secondary market reporting obligation (FINCEN-2026-0100-0005, Recommendations 2 and 5). If FinCEN prefers not to mandate the freeze in this rule, the final rule should at least provide that a PPSI that freezes a listed address is deemed to comply with paragraph (b)(1) as to transfers from that address, so that an issuer acting on a non-public list is not left to guess whether it has gone beyond what the rule requires.

A freeze capability is only as useful as the issuer's knowledge of which address to freeze, which is why the rule should state that a PPSI is expected to freeze a listed address and FinCEN should supply the address. After about $6.36 billion left Binance wallets on October 29, 2026, TRM Labs reports that "Tether, Circle, Ripple, World Liberty Financial, and the Arbitrum Security Council froze nearly USD 2.7 billion," and observes that freezes "depend on how fast an issuer or exchange learns an address is tainted." That theft was public. By contrast, an issuer learns of a Sub-Agent address on a non-public list only if FinCEN delivers it. Without a known target, a freeze function can go almost unused.

Before that theft, in the author's review of blockchain records for a single dollar-denominated stablecoin across the six blockchains on which it is natively issued (measured July 18, 2026), the issuer held an active freeze or restriction function on every chain, consistent with the GENIUS Act's requirement that a permitted issuer have the technological capability to comply with lawful orders. That function had been exercised once, against a balance of one dollar on one chain, and the full histories of four of the other chains showed no freezes at all. The measurement describes one product as it operated on that date; it is offered to illustrate the difference between holding a freeze capability and using it, not as a claim about any permitted payment stablecoin issuer.

## Recommendation 4: Put in the regulatory text the preamble's rule that OFAC blocking counts as compliance, and separate blocking from returning in the CVC safe harbor

The preamble twice states that where an obligation to block under existing OFAC sanctions appears to conflict with this measure, covered institutions "should comply with the obligation to block and, in doing so, would be deemed to comply with the requirements of this proposed special measure" (91 Fed. Reg. 63216; see also 91 Fed. Reg. 63218). The regulatory text has only a narrower version: it covers only CVC already received, and it sits in the ambiguous sentence discussed next. The general rule appears only in the preamble. Note 1 to paragraph (b)(1) tells institutions to block and report to OFAC (91 Fed. Reg. 63225 to 63226), but it does not say that doing so satisfies the prohibition.

The gap matters because of how proposed section 1010.668(b)(1)(i), the safe harbor, is drafted. It deems an institution compliant where, having received CVC from a Sub-Agent, it "if required under other authorities, blocks the CVC or rejects the transaction, preventing the intended Recipient from accessing such CVC and returning the CVC to the A7 Network Sub-Agent, or to the account or CVC address from which the CVC originated" (91 Fed. Reg. 63225). The sentence can be read so that "if required under other authorities" governs rejection as well as blocking, which would confine the safe harbor to cases where some other authority already requires action. It can also be read so that returning the CVC is required in both cases, which would require sending back property that OFAC sanctions require the institution to hold, the very conflict the preamble's rule resolves.

Both readings come from one inserted phrase. FinCEN's 2024 order on PM2BTC deemed an institution compliant where it "rejects the transaction, preventing the intended recipient from accessing such CVC and returning the CVC to PM2BTC, or to the account or CVC address from which the CVC originated" (89 Fed. Reg. 82505). The proposal carries that sentence over with the A7 Network Sub-Agent in place of PM2BTC and inserts "if required under other authorities, blocks the CVC or" before "rejects," so the words about returning the CVC now follow both "blocks" and "rejects." The preamble describes the paragraph as allowing institutions "the flexibility to act with discretion based on the facts and circumstances of a particular transaction and comply with the proposed prohibition, even where the originating address is no longer accessible" (91 Fed. Reg. 63218), but the regulatory text says nothing about what an institution should do when return is not possible.

The conflict is not hypothetical here. The proposal records that OFAC designated the A7 Network itself on October 1, 2026, under Executive Order 13581 (91 Fed. Reg. 63209, note 1). OFAC's notice of that action blocks all property and interests in property of the network that are subject to U.S. jurisdiction, and it lists the network alone, with no Sub-Agent and no CVC address (91 Fed. Reg. 63664). CVC sent from a Sub-Agent's address may or may not be property in which the designated network has an interest. An institution will therefore have to decide, at the moment it acts, whether to block or to return, and only a rule that separates the two courses lets it block without returning.

The final rule should separate the two courses, as in the possible regulatory text above: where OFAC blocking applies, block and report without returning; in any other case, prevent the Recipient's access and return the CVC to the originating address, or, where return is not technically feasible, hold it where the Recipient cannot reach it and notify FinCEN. That notice would be a narrow exception to proposed paragraph (b)(5)(ii), which otherwise requires no reporting beyond what other law requires, and it would be limited to the case the preamble already anticipates. The rule should require the action promptly after the institution determines that it received the CVC from a Sub-Agent, and should put the preamble's deemed-compliance sentence in its own paragraph. Because willful violations of the final rule may be subject to criminal penalties under 31 U.S.C. 5322 (91 Fed. Reg. 63219), an institution should be able to find in the regulatory text, not only in the preamble, which course satisfies the rule.

Returning CVC to a Sub-Agent's address sends value back to the network the rule aims to cut off from covered financial institutions. Where no blocking authority applies, return may be the only lawful course, but that downside can be reduced at little cost to institutions: FinCEN should invite covered institutions to share, through the FI-Portal, the transaction hash of each CVC transfer they return or hold. A return shows that a Sub-Agent address is in use at that moment, and that is the information FinCEN needs to keep the list current and to pass to issuers that can freeze the address. Because the sharing would be voluntary, it would not conflict with proposed paragraph (b)(5)(ii), which imposes no new reporting.

## Recommendation 5: Identify CVC transfers by transaction hash in the notice and records, and treat returns and freezes as permitted disclosures (Question 2)

Proposed section 1010.668(b)(2) requires notice to "affected persons associated with the transmittal of funds with which the covered financial institution maintains a direct commercial relationship" (91 Fed. Reg. 63226). For CVC, that person will usually be the institution's own customer, the intended Recipient. A notice that says only that a transfer was rejected leaves the customer unable to tell which of many incoming transfers is meant. For CVC, the notice should identify the incoming transfer by its transaction hash, state whether the CVC was returned or blocked, and give the hash of any return transfer. The documentation required by proposed paragraph (b)(5)(i) should retain the same hashes. Institutions that process CVC transfers already record these hashes, so the cost is negligible, and the records can be checked against the public blockchain, which shows the same hashes.

FinCEN proposes to keep the Sub-Agent list non-public because "a broader public distribution of the list would undermine the purposes of the proposed rule" (91 Fed. Reg. 63218), while confirming that covered institutions "would not, however, be prohibited from disclosing that, in the context of any particular transaction, they have declined to proceed with the transaction" because a party is on FinCEN's list (91 Fed. Reg. 63218). On a public blockchain, the actions this rule contemplates are themselves disclosures. A return transfer goes to the listed address and is visible to anyone, the Sub-Agent included. A

stablecoin issuer's freeze is recorded on the blockchain as an event that names the frozen address; the single freeze counted in Recommendation 3 was found exactly that way, from a public event log. The final rule should therefore:

1. confirm that a return transfer, and an issuer's freeze of a listed address, are permitted disclosures of the kind the preamble describes; and
2. plan list maintenance on the assumption that any address acted upon becomes known to the network, updating address entries frequently (the proposal already contemplates updates: "That list will be updated periodically," 91 Fed. Reg. 63218) and treating a listed address that stops being used after an action as the expected result rather than as an error.

None of this undercuts FinCEN's reason for a non-public list. Which companies are Sub-Agents stays non-public; only an address that has been acted on becomes known, and the network would have to abandon that address anyway.

## Technical corrections to the proposed regulatory text

1. Proposed section 1010.668(a)(1) names "Independent Decentralize Finance Smartbank and Ecosystem" (91 Fed. Reg. 63225), while the preamble names "Independent Decentralized Finance Smartbank and Ecosystem" (91 Fed. Reg. 63210). Institutions will screen against the codified text, so the codified spelling should be conformed to the preamble's.
2. Proposed section 1010.668(a)(3) says "for the purpose of this NPRM." A final rule should say "for purposes of this section."
3. The second sentence of proposed section 1010.668(a)(3), "Despite having legal tender status in at least one jurisdiction, for the purpose of this NPRM, the A7A5 stablecoin is included as a type of CVC" (91 Fed. Reg. 63225), does not make clear what has legal tender status. A definition that identifies A7A5 by the two token contract addresses already given in note 46 (91 Fed. Reg. 63213), and that expressly reaches wrapped, bridged, or derivative representations of A7A5, would be clearer and would match the list content proposed in Recommendation 2.

## Conclusion

Tokenization Systems supports finalizing the prohibition. The changes recommended here are meant to make it as workable for convertible virtual currency as it is for wire transfers: a list that gives the addresses and token contracts a blockchain transfer actually shows, a stated role for the issuers that can freeze a listed address, a safe harbor that says separately when to block and when to return, and notices and records that identify each transfer by its transaction hash, so they can be checked against the public blockchain. Tokenization Systems would be glad to provide the measurement method described in Recommendation 3.

Respectfully submitted,

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## Appendix: Sources

### Rulemaking of record

- Proposal of Special Measure Prohibiting the Transmittal of Funds Regarding Transactions Involving the A7 Network's Sub-Agents, 91 Fed. Reg. 63208 (Oct. 5, 2026), FR Doc 2026-20371, Docket FINCEN-2026-0265, RIN 1506-AB77 (proposed 31 CFR 1010.668).

### Prior order and related sanctions action

- Imposition of Special Measure Prohibiting the Transmittal of Funds Involving PM2BTC, 89 Fed. Reg. 82499 (Oct. 11, 2024), FR Doc 2024-23430; order text at 89 Fed. Reg. 82505.
- Office of Foreign Assets Control, Notice of OFAC Sanctions Action, 91 Fed. Reg. 63664 (Oct. 6, 2026), FR Doc 2026-20395 (designation of the A7 Network, issued October 1, 2026).

### Related rulemaking

- Permitted Payment Stablecoin Issuer Anti-Money Laundering/Countering the Financing of Terrorism Program and Sanctions Compliance Program Requirements, 91 Fed. Reg. 18582 (Apr. 10, 2026), FR Doc 2026-06963, Docket FINCEN-2026-0100, RIN 1506-AB73; in particular 91 Fed. Reg. 18585 (primary market and secondary market), 18593 (amendment of 31 CFR 1010.100(t); definition of lawful order), and 18604 (proposed 31 CFR 1033.240(a)).

### Statutory authority

- Section 9714(a) of the Combating Russian Money Laundering Act, Public Law 116-283, as amended by section 6106(b) of Public Law 117-81 (note to 31 U.S.C. 5318A); 31 U.S.C. 5318A(b)(1) to (5).
- Guiding and Establishing National Innovation for U.S. Stablecoins Act, Public Law 119-27, 139 Stat. 419 (2025), codified at 12 U.S.C. 5901 to 5916; in particular 12 U.S.C. 5903(a)(5)(A)(iv) (technical capabilities, policies, and procedures to block, freeze, and reject specific or impermissible transactions) and 5903(a)(6)(B) (technological capability and compliance with lawful orders).

### Official-sector source

- President's Working Group on Digital Asset Markets, Strengthening American Leadership in Digital Financial Technology (July 2025), at 91 (stablecoin issuers can

coordinate with law enforcement to freeze and seize assets) and at 116 to 117 (limits of the fifth special measure for digital assets, and the recommendation for a special measure reaching transmittals of funds).

**Analysis cited in the proposal**

- Hannah Curtis, Crystal Intelligence, "One wallet now holds 94.5% of A7A5's supply" (July 30, 2026), cited in the proposal at note 56 (supply concentration on Tron).

**Other analysis**

- TRM Labs, "Binance Hack Update: North Korea Launders Proceeds Through Self-Minted Tokens and Chained Bridges" (November 3, 2026) (freezes after the October 29, 2026 theft from Binance, and laundering through a lending receipt token on TRON).

**Prior comments of Tokenization Systems cited**

- Comment on Docket FINCEN-2026-0100 (filed April 18, 2026; posted as FINCEN-2026-0100-0005), Recommendations 2, 3, and 5; supplemental comment posted as FINCEN-2026-0100-0075.
- Comment on Docket FINCEN-2026-0101 (filed August 21, 2026; posted as FINCEN-2026-0101-0060).

**Author's on-chain measurement**

- Freeze-function inventory and exercise history for a single dollar-denominated stablecoin across the six blockchains on which it is natively issued, measured July 18, 2026 from public contract state and event logs (Blockscout, Dune Analytics, and direct node queries). Offered to illustrate the difference between holding a freeze capability and using it, not as a claim about any permitted payment stablecoin issuer.